NEW ISSUE – BOOK-ENTRY ONLY

Rating: S&P: "AA" (Insured)
S&P: "A-" (Underlying)
See the caption "RATINGS"

In the opinion of Stradling Yocca Carlson & Rauth LLP, Bond Counsel, under existing statutes, regulations, rulings and judicial decisions, and assuming the accuracy of certain representations and compliance with certain covenants and requirements described in this Official Statement, interest (and original issue discount) on the Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of calculating the federal alternative minimum tax imposed on individuals. In the further opinion of Bond Counsel, interest (and original issue discount) on the Bonds is exempt from State of California personal income tax. See the caption "TAX MATTERS" with respect to tax consequences relating to the Bonds, including with respect to the alternative minimum tax imposed on certain large corporations for tax years beginning after December 31, 2022.

$20,555,000
MONTEREY PARK FINANCING AUTHORITY
WATER REVENUE BONDS, SERIES 2024

Dated: Date of Delivery **Due: February 1, as shown on inside front cover page**

The Bonds are being issued in fully registered form and, when issued, will be registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York. Individual purchases will be made in denominations of $5,000 and integral multiples thereof and will be in book-entry form only. Purchasers of the Bonds will not receive certificates representing their beneficial ownership in the Bonds but will receive credit balances on the books of their respective nominees. Interest on the Bonds is payable on August 1, 2024 and each February 1 and August 1 thereafter. Payment of the principal of and interest on the Bonds is to be made to Cede & Co., which is to disburse said payments to the Beneficial Owners of the Bonds through their nominees.

The Bonds are subject to optional and mandatory sinking fund redemption prior to maturity, all as more fully described herein.

The Bonds are being issued to provide funds to: (i) finance certain capital improvements to the City's municipal water system; (ii) purchase a municipal bond insurance policy to guarantee payment of the principal of and interest on the Bonds; (iii) purchase a municipal bond debt service reserve insurance policy for deposit in the Reserve Fund; and (iv) pay costs incurred in connection with the issuance of the Bonds.

The Bonds are being issued pursuant to the Indenture of Trust, dated as of May 1, 2024, by and between the Monterey Park Financing Authority and U.S. Bank Trust Company, National Association, as trustee. THE BONDS ARE A SPECIAL LIMITED OBLIGATION OF THE AUTHORITY PAYABLE SOLELY FROM AUTHORITY REVENUES, WHICH CONSIST OF SERIES 2024 INSTALLMENT PAYMENTS TO BE MADE BY THE CITY TO THE AUTHORITY PURSUANT TO THE INSTALLMENT PURCHASE AGREEMENT, DATED AS OF MAY 1, 2024, BY AND BETWEEN THE CITY AND THE AUTHORITY, AND FROM CERTAIN OTHER FUNDS AND ACCOUNTS HELD BY THE TRUSTEE PURSUANT TO THE INDENTURE. NEITHER THE FULL FAITH AND CREDIT NOR ANY OTHER REVENUES OR FUNDS OF THE AUTHORITY ARE PLEDGED TO OR AVAILABLE FOR THE PAYMENT OF DEBT SERVICE ON THE BONDS. THE OBLIGATION OF THE AUTHORITY TO MAKE PAYMENTS OF PRINCIPAL AND INTEREST ON THE BONDS DOES NOT CONSTITUTE AN OBLIGATION FOR WHICH THE AUTHORITY IS OBLIGATED TO LEVY OR PLEDGE ANY FORM OF TAXATION OR FOR WHICH THE AUTHORITY HAS LEVIED OR PLEDGED ANY FORM OF TAXATION. THE AUTHORITY HAS NO TAXING POWER.

The Series 2024 Installment Payments are payable from Net Revenues of the City's Water System, which consist of Revenues of the City's Water System remaining after payment of Operation and Maintenance Costs of the City's Water System. The City may incur additional obligations payable from Net Revenues on a parity with the obligation to pay Series 2024 Installment Payments, subject to the terms and conditions of the Installment Purchase Agreement, as more fully described herein.

THE OBLIGATION OF THE CITY TO MAKE SERIES 2024 INSTALLMENT PAYMENTS PURSUANT TO THE INSTALLMENT PURCHASE AGREEMENT DOES NOT CONSTITUTE AN OBLIGATION FOR WHICH THE CITY IS OBLIGATED TO LEVY OR PLEDGE ANY FORM OF TAXATION OR FOR WHICH THE CITY HAS LEVIED OR PLEDGED ANY FORM OF TAXATION. THE OBLIGATION OF THE CITY TO MAKE THE SERIES 2024 INSTALLMENT PAYMENTS IS A SPECIAL LIMITED OBLIGATION OF THE CITY PAYABLE SOLELY FROM NET REVENUES OF THE CITY'S WATER SYSTEM AND DOES NOT CONSTITUTE A DEBT OF THE CITY OR OF THE STATE OF CALIFORNIA OR OF ANY POLITICAL SUBDIVISION THEREOF IN CONTRAVENTION OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION OR RESTRICTION.

THIS COVER PAGE CONTAINS CERTAIN INFORMATION FOR REFERENCE ONLY. IT IS NOT A SUMMARY OF THIS ISSUE. INVESTORS MUST READ THE ENTIRE OFFICIAL STATEMENT TO OBTAIN INFORMATION ESSENTIAL TO THE MAKING OF AN INFORMED INVESTMENT DECISION.

The scheduled payment of principal of and interest on the Bonds when due will be guaranteed under a municipal bond insurance policy to be issued concurrently with the issuance of the Bonds by Build America Mutual Assurance Company (the "Insurer").

MATURITY SCHEDULE
(See inside front cover page)

The Bonds are offered when, as and if issued and received by the Underwriter, subject to the approval of the valid, legal and binding nature of the Bonds by Stradling Yocca Carlson & Rauth LLP, Bond Counsel, and certain other conditions. Certain matters will be passed upon for the City and the Authority by Karl H. Berger of Burke, Williams & Sorensen, LLP, as City Attorney, and by Stradling Yocca Carlson & Rauth LLP, as Disclosure Counsel, for the Underwriter by its counsel, Kutak Rock LLP, Irvine, California, and for the Trustee by its counsel. It is anticipated that the Bonds will be available for delivery through the facilities of The Depository Trust Company on or about May 16, 2024.

Ramirez & Co., Inc.

Dated: April 30, 2024

$20,555,000
MONTEREY PARK FINANCING AUTHORITY
WATER REVENUE BONDS, SERIES 2024

MATURITY SCHEDULE

BASE CUSIP† 61255T

Maturity (February 1)	*Principal Amount*	*Interest Rate*	*Yield*	*Price*	*CUSIP†*
2025	$ 570,000	5.000%	3.520%	101.021	AA8
2026	335,000	5.000	3.300	102.796	AB6
2027	355,000	5.000	3.190	104.655	AC4
2028	370,000	5.000	3.060	106.747	AD2
2029	390,000	5.000	3.020	108.625	AE0
2030	410,000	5.000	3.000	110.416	AF7
2031	430,000	5.000	3.000	112.066	AG5
2032	450,000	5.000	3.000	113.668	AH3
2033	475,000	5.000	3.010	115.140	AJ9
2034	495,000	5.000	3.010	116.640	AK6
2035	520,000	5.000	3.080	116.001[C]	AL4
2036	550,000	5.000	3.170	115.185[C]	AM2
2037	575,000	5.000	3.300	114.018[C]	AN0
2038	605,000	5.000	3.420	112.954[C]	AP5
2039	635,000	5.000	3.500	112.251[C]	AQ3

$3,610,000 4.000% Term Bonds Due February 1, 2044 Yield: 4.120% Price: 98.386 CUSIP† No. 61255TAR1

$4,400,000 4.125% Term Bonds Due February 1, 2049 Yield: 4.220% Price: 98.545 CUSIP† No. 61255TAS9

$5,380,000 4.125% Term Bonds Due February 1, 2054 Yield: 4.270% Price: 97.566 CUSIP† No. 61255TAT7

[C] Priced to optional redemption date of February 1, 2034, at par.

† *CUSIP® is a registered trademark of the American Bankers Association. CUSIP Global Services (CGS) is managed on behalf of the American Bankers Association by FactSet Research Systems. Copyright© CUSIP Global Services. All rights reserved. CUSIP® data herein is provided by CUSIP Global Services. This data is not intended to create a database and does not serve in any way as a substitute for the CGS database. CUSIP® numbers are provided for convenience of reference only. None of the Authority, the City, the Underwriter or their agents or counsel assume responsibility for the accuracy of such numbers.*

MONTEREY PARK FINANCING AUTHORITY

BOARD OF DIRECTORS

Thomas Wong, *Chair*
Vinh T. Ngo, *Vice Chair*
Yvonne Yiu, *Director*
Jose Sanchez, *Director*
Henry Lo, *Director*

CITY OF MONTEREY PARK

CITY COUNCIL

Thomas Wong, *Mayor*
Vinh T. Ngo, *Mayor Pro-Tem*
Yvonne Yiu, *Council Member*
Jose Sanchez, *Council Member*
Henry Lo, *Council Member*

STAFF

Inez Alvarez, *City Manager/Authority Executive Director*
Karl H. Berger, *City Attorney/Authority General Counsel*
Amy Lee, *City Treasurer*
Martha Garcia, *Director of Finance/Authority Treasurer*
Diana Garcia, *Assistant City Manager*
Maychelle Yee, *City Clerk/Authority Secretary*

SPECIAL SERVICES

Municipal Advisor

Urban Futures, Inc
Walnut Creek, California

Bond Counsel and Disclosure Counsel

Stradling Yocca Carlson & Rauth LLP
Newport Beach, California

Trustee

U.S. Bank Trust Company, National Association
Los Angeles, California

No dealer, broker, salesperson or other person has been authorized by the City or the Authority to give any information or to make any representations in connection with the offer or sale of the Bonds other than those contained herein and, if given or made, such other information or representations must not be relied upon as having been authorized by the City or the Authority. This Official Statement does not constitute an offer to sell or the solicitation of an offer to buy, nor shall there be any sale of the Bonds by a person in any jurisdiction in which it is unlawful for such person to make such an offer, solicitation or sale.

This Official Statement is not to be construed as a contract with the purchasers or Owners of the Bonds. Statements contained in this Official Statement which involve estimates, forecasts or matters of opinion, whether or not expressly so described herein, are intended solely as such and are not to be construed as representations of fact.

The Underwriter has provided the following sentence for inclusion in this Official Statement:

> The Underwriter has reviewed the information in this Official Statement in accordance with, and as a part of, its responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriter does not guarantee the accuracy or completeness of such information.

This Official Statement and the information that is contained herein are subject to completion or amendment without notice, and neither delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the City or the Authority or any other parties that are described herein since the date hereof. These securities may not be sold, nor may an offer to buy them be accepted, prior to the time that the Official Statement is delivered in final form. This Official Statement is being submitted in connection with the sale of the Bonds referred to herein and may not be reproduced or used, in whole or in part, for any other purpose, unless authorized in writing by the City. All summaries of documents and laws are made subject to the provisions thereof and do not purport to be complete statements of any or all such provisions.

Certain statements which are included or incorporated by reference in this Official Statement constitute "forward-looking statements" within the meaning of the United States Private Securities Litigation Reform Act of 1995, Section 21E of the United States Securities Exchange Act of 1934, as amended, and Section 27A of the United States Securities Act of 1933, as amended. Such statements are generally identifiable by the terminology used, such as "plan," "expect," "estimate," "project," "budget," "intend" or similar words. Such forward-looking statements include, but are not limited to, certain statements contained under the captions "THE CITY," "THE WATER SYSTEM" AND "WATER SYSTEM FINANCIAL INFORMATION."

THE ACHIEVEMENT OF CERTAIN RESULTS OR OTHER EXPECTATIONS CONTAINED IN SUCH FORWARD-LOOKING STATEMENTS INVOLVE KNOWN AND UNKNOWN RISKS, UNCERTAINTIES AND OTHER FACTORS WHICH MAY CAUSE ACTUAL RESULTS, PERFORMANCE OR ACHIEVEMENTS DESCRIBED TO BE MATERIALLY DIFFERENT FROM ANY FUTURE RESULTS, PERFORMANCE OR ACHIEVEMENTS EXPRESSED OR IMPLIED BY SUCH FORWARD-LOOKING STATEMENTS. THE CITY DOES NOT PLAN TO ISSUE ANY UPDATES OR REVISIONS TO THE FORWARD-LOOKING STATEMENTS SET FORTH IN THIS OFFICIAL STATEMENT. IN EVALUATING SUCH STATEMENTS, POTENTIAL INVESTORS SHOULD SPECIFICALLY CONSIDER THE VARIOUS FACTORS WHICH COULD CAUSE ACTUAL EVENTS OR RESULTS TO DIFFER MATERIALLY FROM THOSE INDICATED BY SUCH FORWARD-LOOKING STATEMENTS.

IN CONNECTION WITH THE OFFERING OF THE BONDS, THE UNDERWRITER MAY OVERALLOT OR EFFECT TRANSACTIONS THAT STABILIZE OR MAINTAIN THE MARKET PRICE OF THE BONDS AT A LEVEL ABOVE THAT WHICH MIGHT OTHERWISE PREVAIL IN THE OPEN MARKET. SUCH STABILIZING, IF COMMENCED, MAY BE DISCONTINUED AT ANY TIME. THE UNDERWRITER MAY OFFER AND SELL THE BONDS TO CERTAIN DEALERS, DEALER BANKS, BANKS ACTING AS AGENT AND OTHERS AT PRICES LOWER THAN THE PUBLIC OFFERING PRICE STATED ON THE COVER PAGE HEREOF, AND SAID PUBLIC OFFERING PRICES MAY BE CHANGED FROM TIME TO TIME BY THE UNDERWRITER.

THE BONDS HAVE NOT BEEN REGISTERED UNDER THE SECURITIES ACT OF 1933, AS AMENDED, IN RELIANCE UPON AN EXEMPTION CONTAINED IN SUCH ACT, AND HAVE NOT BEEN REGISTERED OR QUALIFIED UNDER THE SECURITIES LAWS OF ANY STATE.

Build America Mutual Assurance Company (the "Insurer") makes no representation regarding the Bonds or the advisability of investing in the Bonds. In addition, the Insurer has not independently verified, makes no representation regarding, and does not accept any responsibility for the accuracy or completeness of this Official Statement or any information or disclosure contained herein, or omitted herefrom, other than with respect to the accuracy of the information regarding the Insurer supplied by the Insurer and presented under the heading "BOND INSURANCE" and APPENDIX G—"SPECIMEN MUNICIPAL BOND INSURANCE POLICY".

The City maintains a website and certain social media accounts; however, information presented on such website and accounts is not a part of this Official Statement and should not be relied upon in making an investment decision with respect to the Bonds.

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SUMMARY STATEMENT

This Summary Statement is subject in all respects to the more complete information contained in this Official Statement, and the offering of the Bonds to potential investors is made only by means of the entire Official Statement. Capitalized terms that are used and not otherwise defined in this Summary Statement have the meanings ascribed to them in this Official Statement.

Purpose. The Bonds are being issued to provide funds to: (i) finance certain capital improvements to the City's Water System, as described under the caption "THE 2024 PROJECT"; (ii) purchase a municipal bond insurance policy to guarantee payment of the principal of and interest on the 2024A Bonds (the "Policy"); (iii) purchase a municipal bond debt service reserve insurance policy for deposit in the Reserve Fund (the "Reserve Surety Policy"); and (iv) pay costs incurred in connection with the issuance of the Bonds. See the caption "ESTIMATED SOURCES AND USES OF FUNDS."

Security for the Bonds. The Bonds are a special limited obligation of the Authority payable solely from Authority Revenues, which consist of Series 2024 Installment Payments to be made by the City to the Authority pursuant to the Installment Purchase Agreement and amounts on deposit in certain funds and accounts established by the Indenture. Neither the full faith and credit nor any other revenues or funds of the Authority are pledged to or available for the payment of debt service on the Bonds. THE OBLIGATION OF THE AUTHORITY TO MAKE PAYMENTS OF PRINCIPAL AND INTEREST ON THE BONDS DOES NOT CONSTITUTE AN OBLIGATION FOR WHICH THE AUTHORITY IS OBLIGATED TO LEVY OR PLEDGE ANY FORM OF TAXATION OR FOR WHICH THE AUTHORITY HAS LEVIED OR PLEDGED ANY FORM OF TAXATION. THE AUTHORITY HAS NO TAXING POWER.

The obligation of the City to make Series 2024 Installment Payments is a special limited obligation of the City payable solely from Net Revenues of the City's Water System, which consist of Revenues of the Water System remaining after payment of Operation and Maintenance Costs of the Water System. See the caption "SECURITY FOR THE BONDS."

The obligation of the City to make the Series 2024 Installment Payments under the Installment Purchase Agreement is absolute and unconditional, and until such time as all payments that are required thereunder have been paid in full (or provision for the payment thereof has been made as provided for in the Installment Purchase Agreement), the City will not discontinue or suspend any Series 2024 Installment Payments required to be made by it under the Installment Purchase Agreement when due, whether or not the Water System or any part thereof is operating or operable, or its use is suspended, interfered with, reduced or curtailed or terminated in whole or in part, and whether or not the 2024 Project has been completed, and such payments will not be subject to reduction whether by offset or otherwise and will not be conditional upon the performance or nonperformance by any party of any agreement for any cause whatsoever.

THE OBLIGATION OF THE CITY TO MAKE SERIES 2024 INSTALLMENT PAYMENTS PURSUANT TO THE INSTALLMENT PURCHASE AGREEMENT DOES NOT CONSTITUTE AN OBLIGATION FOR WHICH THE CITY IS OBLIGATED TO LEVY OR PLEDGE ANY FORM OF TAXATION OR FOR WHICH THE CITY HAS LEVIED OR PLEDGED ANY FORM OF TAXATION. THE OBLIGATION OF THE CITY TO MAKE THE SERIES 2024 INSTALLMENT PAYMENTS IS A SPECIAL LIMITED OBLIGATION OF THE CITY PAYABLE SOLELY FROM NET REVENUES AND DOES NOT CONSTITUTE A DEBT OF THE CITY OR OF THE STATE OF CALIFORNIA OR OF ANY POLITICAL SUBDIVISION THEREOF IN CONTRAVENTION OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION OR RESTRICTION.

Bond Insurance. Payment of principal of and interest on the Bonds will be insured by the Policy to be issued by the Insurer concurrently with the issuance of the Bonds. See the caption "BOND INSURANCE" and APPENDIX G.

As described under the caption "BOND INSURANCE—BAM GreenStar Bonds," the Bonds have been designated BAM GreenStar Bonds because the Insurer has determined that the Bonds are eligible for the BAM GreenStar designation. The BAM GreenStar designation is determined solely by the Insurer. The City has made no representations or warranties to the Insurer with respect to such designation and has not entered into any covenants or agreements with the Insurer (i) to provide information to the Insurer with respect to such designation in the future or (ii) with respect to the operation of the projects financed or refinanced from the proceeds of the obligations of the City to be financed with the proceeds of the Bonds, as described under the caption "THE 2024 PROJECT." None of the Authority, the City, or the Underwriter assumes any responsibility for such designation. The BAM GreenStar designation is solely for identification purposes and is not intended to provide or imply that the Owners of the Bonds are entitled to any security other than that described under the caption "SECURITY FOR THE BONDS."

Reserve Fund. A Reserve Fund for the Bonds is established pursuant to the Indenture in an amount equal to the Reserve Requirement of $1,216,225.00. The Insurer has committed to issue, simultaneously with the execution and delivery of the Bonds, the Reserve Surety Policy in an amount equal to the initial Reserve Requirement, for deposit in the Reserve Fund. See the caption "SECURITY FOR THE BONDS—Reserve Fund."

Rate Stabilization Fund. The City has agreed and covenanted to maintain, so long as any Bonds remain outstanding, a Rate Stabilization Fund. There is $0 on deposit in the Rate Stabilization Fund as of the date of the initial issuance of the Bonds. The City may deposit amounts therein from time to time in its sole discretion.

The Rate Stabilization Fund and all amounts on deposit therein have been irrevocably pledged to the payment of the Bonds, Parity Bonds and Contracts as provided herein. The City may withdraw all or any portion of the amounts on deposit in the Rate Stabilization Fund from time to time and transfer such amounts to the Revenue Fund for application in accordance with the Installment Purchase Agreement. Amounts transferred from the Rate Stabilization Fund to the Revenue Fund during or within 270 days after the end of a Fiscal Year may be taken into account as Revenues for purposes of the calculations under the additional debt test and the rate covenant under the Installment Purchase Agreement in such Fiscal Year to the extent provided in the definition of "Revenues" in the Installment Purchase Agreement. See the caption "SECURITY FOR THE BONDS—Rate Stabilization Fund."

Rate Covenant. The City will, to the fullest extent permitted by law, fix and prescribe, at the commencement of each Fiscal Year, rates and charges for the Water Service which are reasonably expected, at the commencement of each Fiscal Year, to be at least sufficient to yield during each Fiscal Year Net Revenues equal to 120% of the Debt Service and Policy Costs in such Fiscal Year. The City may make adjustments from time to time in such rates and charges and may make such classification thereof as it deems necessary, but will not reduce the rates and charges then in effect unless the Net Revenues from such reduced rates and charges will at all times be sufficient to meet the foregoing requirements. See the caption "SECURITY FOR THE BONDS—Rate Covenant."

No Parity or Senior Obligations. The City has no outstanding obligations payable from Net Revenues on a parity or senior basis to the Series 2024 Installment Payments.

Additional Indebtedness. The Installment Purchase Agreement does not permit the City to make any additional pledge of, or to place any additional lien on, the Revenues, or any portion thereof, which is senior to the pledge and lien securing the payment of the Series 2024 Installment Payments. The Installment Purchase Agreement does permit the City to issue or incur Parity Bonds and Contracts payable on a parity with the Series 2024 Installment Payments provided that certain conditions are satisfied as described herein. Nothing in the Installment Purchase Agreement precludes the City from entering into obligations which are Operation and Maintenance Costs and, therefore, payable from Revenues prior to the Series 2024 Installment Payments, or from issuing any bonds or executing any contracts the payments under which are payable from Net Revenues

on a subordinate basis to the Series 2024 Installment Payments and Parity Bonds and Contracts of the City. See the caption "SECURITY FOR THE BONDS—Additional Parity Bonds and Contracts."

Subject to certain conditions, amounts transferred from the Rate Stabilization Fund shall be considered Revenues for purposes of satisfying the test for issuing or incurring Parity Bonds and Contracts payable from Net Revenues on a parity with the obligation to make the Series 2024 Installment Payments, as more particularly described under the caption "SECURITY FOR THE BONDS "—Rate Stabilization Fund" herein.

Redemption. The Bonds are subject to optional and mandatory sinking fund redemption prior to maturity. See the caption "THE BONDS—Redemption."

The City and the Water System. The City was incorporated in 1916 and operates as a general law city. The City operates under a council-manager form of municipal government and is governed by a five-member City Council. The City is a full-service City, offering its residents a wide range of municipal services, including public safety, highways and streets, sanitation, water and sewer services, development and public infrastructure improvements, culture and leisure programming, and general government functions. The City encompasses approximately 7.73 square miles in the San Gabriel Valley in the County of Los Angeles (the "County"), about 8 miles east of downtown Los Angeles. The City is bounded by the City of Los Angeles to the west, the City of Alhambra to the north, the City of San Gabriel to the east and the City of Montebello to the South.

The City supplies potable water to approximately 11,066 single family residential customers, 1,530 multi-family residential customers, 798 commercial and industrial customers and 213 other customers. The Water System serves approximately 95% of the residents and businesses within the City, with private water companies serving the remaining portion.

The City's main source of water is groundwater pumped from the Main San Gabriel Basin (the "Main Basin"), which is a sub-basin of the San Gabriel Valley Basin. The City also purchases supplemental groundwater from the San Gabriel Valley Water Company ("SGVWC"). See the caption "THE WATER SYSTEM—Water Supply."

The Water System includes 12 groundwater wells in the Main Basin (of which eight are currently active, three are standby wells and one is inactive), approximately 136.6 miles of transmission and distribution pipe ranging in size from 2-inches to 36-inches in diameter, five primary pressure zones, eight closed sub-zones, 11 active service zone storage reservoirs (with a total storage capacity of approximately 15.8 million gallons), two settling tanks, 11 booster pump stations, 20 pressure reducing stations, one imported water supply connection with SGVWC and four emergency interconnections.

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$20,555,000
MONTEREY PARK FINANCING AUTHORITY
WATER REVENUE BONDS, SERIES 2024

INTRODUCTION

This Official Statement, including the front cover page, the inside front cover page and the appendices, provides certain information concerning the sale and delivery of the Monterey Park Financing Authority Water Revenue Bonds, Series 2024 (the "Bonds"). Descriptions and summaries of various documents that are set forth in this Official Statement do not purport to be comprehensive or definitive, and reference is made to each document for complete details of all terms and conditions. All statements herein are qualified in their entirety by reference to each such document. Capitalized terms that are used and not otherwise defined in this Official Statement have the meanings ascribed thereto in Appendix B.

The Bonds are being issued to provide funds to: (i) finance certain capital improvements to the City's Water System, as described under the caption "THE 2024 PROJECT"; (ii) purchase a municipal bond insurance policy to guarantee payment of the principal of and interest on the Bonds (the "Policy"); (iii) purchase a municipal bond debt service reserve insurance policy for deposit in the Reserve Fund (the "Reserve Surety Policy"); and (iv) pay costs incurred in connection with the issuance of the Bonds. See the caption "ESTIMATED SOURCES AND USES OF FUNDS."

The Bonds are being issued pursuant to an Indenture of Trust, dated as of May 1, 2024 (the "Indenture"), by and between the Monterey Park Financing Authority (the "Authority") and U.S. Bank Trust Company, National Association, as trustee (the "Trustee"). The Bonds are limited obligations of the Authority payable solely from Authority Revenues, which consist of payments (the "Series 2024 Installment Payments") to be made by the City of Monterey Park (the "City") to the Authority pursuant to an Installment Purchase Agreement, dated as of May 1, 2024 (the "Installment Purchase Agreement"), by and between the City and the Authority, and amounts on deposit in certain funds and accounts established by the Indenture.

The obligation of the City to make Series 2024 Installment Payments is a special limited obligation of the City payable solely from Net Revenues of the City's Water System, which consist of Revenues of the City's Water System remaining after payment of Operation and Maintenance Costs of the City's Water System. The term "Water System" means the whole and each and every part of the potable water system serving the City, whether owned or operated by the City or another party, including the existing Water System and all additions, betterments, extensions and improvements to such water system or any part thereof hereafter acquired or constructed. See the caption "SECURITY FOR THE BONDS."

The Bonds are subject to optional and mandatory sinking fund redemption prior to maturity. See the caption "THE BONDS—Redemption."

The City has no outstanding obligations payable from Net Revenues on a parity or senior basis to the Series 2024 Installment Payments. The City is permitted to incur additional obligations payable on a parity with the Series 2024 Installment Payments provided that certain conditions are satisfied as described herein. See the caption "SECURITY FOR THE BONDS—Additional Parity Bonds and Contracts."

Payment of principal of and interest on the Bonds will be insured by the Policy to be issued by the Insurer concurrently with the issuance of the Bonds. See the caption "BOND INSURANCE" and APPENDIX G. As described under the caption "BOND INSURANCE—BAM GreenStar Bonds," the Bonds have been designated BAM GreenStar Bonds because the Insurer has determined that the Bonds are eligible for the BAM GreenStar designation.

The Insurer has committed to issue, simultaneously with the execution and delivery of the Bonds, the Reserve Surety Policy in an amount equal to the initial Reserve Requirement, for deposit in the Reserve Fund. See the caption "SECURITY FOR THE BONDS—Reserve Fund."

The City has undertaken to provide annual reports to the Municipal Securities Rulemaking Board's Electronic Municipal Market Access System ("EMMA") pursuant to a continuing disclosure certificate. See the caption "CONTINUING DISCLOSURE" and Appendix E.

Auditor Findings. As a recipient of federal funds, the City is required to undergo an audit in accordance with the Single Audit Act of 1996 and the U.S. Office of Management and Budget Circular A-133. In its Single Audit of Federally Assisted Grant Programs for Fiscal Year 2022-23 prepared by The Pun Group LLP, Santa Ana, California (the "Auditor") and attached hereto as Appendix F (the "Single Audit Report"), the Auditor found certain deficiencies in the City's internal control over financial reporting. See the caption "THE CITY—Single Audit Report" and Appendix F — "CITY SINGLE AUDIT REPORT FOR THE YEAR ENDED JUNE 30, 2023."

THE 2024 PROJECT

The City expects to finance the acquisition and construction of certain improvements, betterments, renovations and expansions of facilities within the City's Water System, referred to herein as the "2024 Project." Following is a description of the projects comprising the 2024 Project to be financed with proceeds of the Bonds.

2024 Projects	***Estimated Cost***
Water Meter Replacement	$ 9,000,000
Russell St. Reservoir Rehabilitation	3,500,000
Russel Booster Station	2,500,000
Phase 4 North East Water Main Replacements	2,400,000
N Atlantic Water Main Upgrade Project	2,200,000
Program Logic Controller Upgrade	1,000,000
Total	$ 20,600,000

The City intends to apply proceeds of the Bonds and other moneys on deposit in the Revenue Fund to pay for the costs of the 2024 Project. The City expects to comply with all governmental approval, environmental review, public bidding and other permitting requirements for each component of the 2024 Project as required by law, and to complete the 2024 Project by May 2027.

Pursuant to the Installment Purchase Agreement, the City may substitute or add additional projects to the 2024 Project. See Appendix B under the caption "INSTALLMENT PURCHASE AGREEMENT—ACQUISITION OF 2024 PROJECT—Changes to the 2024 Project."

ESTIMATED SOURCES AND USES OF FUNDS

The following table sets forth the estimated sources and uses of funds in connection with the issuance of the Bonds:

Sources	
Principal Amount of Bonds	$ 20,555,000.00
Plus Net Original Issue Premium	550,948.50
Total Sources	**$ 21,105,948.50**
Uses	
Acquisition Fund	$ 20,600,000.00
Costs of Issuance[1]	505,948.50
Total Uses	**$ 21,105,948.50**

(1) Includes certain legal, municipal advisory, financing, rating agency and Trustee fees, Underwriter's discount, premiums for the Policy and the Reserve Surety Policy, and printing costs.

THE BONDS

General Provisions

The Bonds will bear interest from and be dated the date of initial issuance, and will be payable upon maturity on the dates set forth on the inside front cover page hereof. Interest on the Bonds will be payable on August 1, 2024 and each February 1 and August 1 thereafter. Interest will be calculated at the rates set forth on the inside front cover page hereof on the basis of a year of 360 days comprised of twelve 30 day months.

The Bonds will be delivered only in fully registered form and, when issued, will be registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York ("DTC"). DTC will act as securities depository for the Bonds. Ownership interests in the Bonds may be purchased in book-entry form only in denominations of $5,000 or any integral multiple thereof. See the caption "—Book-Entry Only System" and Appendix D.

In the event that the book-entry only system that is described below is discontinued, the principal of and interest on any Bond will be payable by check or draft of the Trustee upon presentation and surrender thereof at maturity or upon prior redemption at the Office of the Trustee in Los Angeles, California. Such principal and interest will be payable in lawful money of the United States of America.

Book-Entry Only System

One fully-registered Bond will be issued for each maturity of the Bonds in the principal amount of the Bonds of such maturity. Each such Bond will be registered in the name of Cede & Co. and will be deposited with DTC. As long as the ownership of the Bonds is registered in the name of Cede & Co., the term "Owner" as used in this Official Statement will refer to Cede & Co. and not to the actual purchasers of the Bonds (the "Beneficial Owners").

The Authority may decide to discontinue use of the system of book-entry transfers through DTC (or a successor securities depository). In that event, the Bonds will be printed and delivered and will be governed by the provisions of the Indenture with respect to payment of principal and interest and rights of exchange and transfer.

The Authority cannot and does not give any assurances that DTC participants or others will distribute payments with respect to the Bonds received by DTC or its nominee as the registered Owner, or any redemption or other notices, to the Beneficial Owners, or that they will do so on a timely basis. See Appendix D for additional information concerning DTC.

Transfers and Exchanges Upon Termination of Book-Entry Only System

In the event that the book-entry system that is described above is discontinued, the Bonds will be printed and delivered as provided in the Indenture. Thereafter, any Bond may, in accordance with its terms, be transferred on the Registration Books by the person in whose name it is registered, in person or by his or her duly authorized attorney, upon surrender of such Bond at the Office of the Trustee for cancellation, accompanied by delivery of a written instrument of transfer, duly executed in a form acceptable to the Trustee. The Trustee is not required to register the transfer of any Bond during the period in which the Trustee is selecting Bonds for redemption or any Bond that has been selected for redemption.

Whenever any Bond is surrendered for transfer, the Authority will execute and the Trustee will authenticate and deliver a new Bond or Bonds of authorized denominations for a like series and aggregate principal amount of the same maturity and series. The Trustee will require the Bond Owner requesting such transfer to pay any tax or other governmental charge required to be paid with respect to such transfer. Following any transfer of Bonds, the Trustee will cancel and destroy the Bonds that it has received.

Prior to any transfer of the Bonds outside the book-entry system (including, but not limited to, the initial transfer outside the book-entry system) the transferor will provide or cause to be provided to the Trustee all information necessary to allow the Trustee to comply with any applicable tax reporting obligations, including without limitation any cost basis reporting obligations under Section 6045 of the Internal Revenue Code of 1986, as amended (the "Code"). The Trustee will conclusively rely on the information provided to it and has no responsibility to verify or ensure the accuracy of such information.

Bonds may be exchanged at the Office of the Trustee for a like aggregate principal amount of other authorized denominations of the same series and maturity. The Trustee is not required to exchange any Bond during the period in which the Trustee is selecting Bonds for redemption or any Bond that has been selected for redemption. The Trustee will require the Bond Owner requesting such exchange to pay any tax or other governmental charge required to be paid with respect to such exchange. Following any exchange of Bonds, the Trustee will cancel and destroy the Bonds that it has received.

Redemption

Optional Redemption. The Bonds with stated maturities on or after February 1, 2035, are subject to redemption prior to their respective stated maturities, as a whole or in part as directed by the Authority in a Request provided to the Trustee at least 35 days (or such lesser number of days acceptable to the Trustee in the sole discretion of the Trustee, such notice for the convenience of the Trustee) prior to redemption, by lot within each maturity in integral multiples of $5,000, on February 1, 2034 or any date thereafter at a Redemption Price equal to the principal amount thereof plus accrued interest thereon to the date fixed for redemption, without premium.

Mandatory Sinking Fund Redemption. The Bonds with stated maturities on February 1, 2044 are subject to mandatory sinking fund redemption in part (by lot) on February 1, 2040 and each February 1 thereafter, in integral multiples of $5,000 at a Redemption Price of the principal amount thereof plus accrued interest to the date fixed for redemption, without premium, in accordance with the following schedule:

Redemption Date (February 1)	*Principal Amount*
2040	$665,000
2041	695,000
2042	720,000
2043	750,000
2044*	780,000

* Maturity.

The Bonds with stated maturities on February 1, 2049 are subject to mandatory sinking fund redemption in part (by lot) on February 1, 2045 and each February 1 thereafter, in integral multiples of $5,000 at a Redemption Price of the principal amount thereof plus accrued interest to the date fixed for redemption, without premium, in accordance with the following schedule:

Redemption Date (February 1)	*Principal Amount*
2045	$810,000
2046	845,000
2047	880,000
2048	915,000
2049*	950,000

* Maturity.

The Bonds with stated maturities on February 1, 2054 are subject to mandatory sinking fund redemption in part (by lot) on February 1, 2050 and each February 1 thereafter, in integral multiples of $5,000 at a Redemption Price of the principal amount thereof plus accrued interest to the date fixed for redemption, without premium, in accordance with the following schedule:

Redemption Date (February 1)	*Principal Amount*
2050	$ 990,000
2051	1,030,000
2052	1,075,000
2053	1,120,000
2054*	1,165,000

* Maturity.

If some but not all of the Bonds maturing on February 1, 2044, February 1, 2049 or February 1, 2054 are redeemed as described under the subcaption "—Optional Redemption," the principal amount of the applicable Bonds to be redeemed pursuant to the Indenture on any subsequent February 1 will be reduced, by $5,000 or an integral multiple thereof, as designated by the Authority in a Certificate of the Authority filed with the Trustee; provided, however, that the aggregate amount of such reductions may not exceed the aggregate amount of the applicable Bonds redeemed.

Partial Redemption of Bonds. Upon surrender of any Bond redeemed in part only, the Authority will execute and the Trustee will authenticate and deliver to the Owner thereof, at the expense of the Authority, a new Bond or Bonds of authorized denominations equal in aggregate principal amount to the unredeemed portion of the Bonds surrendered and of the same series, interest rate and maturity.

Selection of Bonds for Redemption

Whenever provision is made in the Indenture for the redemption of less than all of the Bonds, the Trustee will select the Bonds for redemption as a whole or in part on any date as directed by the Authority and by lot within each maturity in integral multiples of $5,000 in accordance with the Indenture. The Trustee will promptly notify the Authority in writing of the numbers of the Bonds or portions thereof so selected for redemption.

Notice of Redemption

Notice of redemption will be mailed by first class mail not less than 20 days nor more than 60 days before any Redemption Date, to the respective Owners of any Bonds that are designated for redemption at their addresses appearing on the Registration Books, to the Securities Depositories and the Information Services. Each notice of redemption will state the date of notice, the redemption date, the place or places of redemption and the Redemption Price, and will designate the maturities, CUSIP numbers, if any, and, in the case of Bonds to be redeemed in part only, the respective portions of the principal amount thereof to be redeemed. Each such notice will also state that on the redemption date there will become due and payable on each of said Bonds or parts thereof that are designated for redemption the Redemption Price thereof or of said specified portion of the principal thereof in the case of a Bond to be redeemed in part only, together with, interest accrued thereon to the redemption date, and that (provided that moneys for redemption have been deposited with the Trustee) from and after such redemption date interest thereon will cease to accrue, and will require that such Bonds be then surrendered to the Trustee. Neither the failure to receive such notice nor any defect in the notice or the mailing thereof will affect the validity of the redemption of any Bond. Notice of redemption of Bonds will be given by the Trustee, at the expense of the Authority, for and on behalf of the Authority.

With respect to any notice of optional redemption of Bonds, such notice may state that such redemption will be conditional upon the receipt by the Trustee on or prior to the date fixed for such redemption of moneys sufficient to pay the principal of, premium, if any, and interest on such Bonds to be redeemed and that, if such moneys have not been so received, said notice will be of no force and effect and the Trustee will not be required to redeem such Bonds. In the event that such notice of redemption contains such a condition and such moneys are not so received, the redemption will not be made, and the Trustee will within a reasonable time thereafter give notice, in the manner in which the notice of redemption was given, that such moneys were not so received.

Effect of Redemption

Notice of redemption having been duly given as described above under the caption "—Notice of Redemption," and moneys for payment of the redemption price of, together with interest accrued to the date fixed for redemption on, the Bonds (or portions thereof) so called for redemption being held by the Trustee, on the redemption date designated in such notice, the Bonds (or portions thereof) so called for redemption will become due and payable, interest on the Bonds so called for redemption will cease to accrue, said Bonds (or portions thereof) will cease to be entitled to any benefit or security under the Indenture, and the Owners of said Bonds will have no rights in respect thereof except to receive payment of the redemption price thereof. The Trustee will, upon surrender for payment of any of the Bonds to be redeemed on their Redemption Dates, pay such Bonds at the Redemption Price. All Bonds redeemed pursuant to the provisions of the Indenture will be canceled upon surrender thereof.

DEBT SERVICE SCHEDULE

Set forth below is a schedule of debt service on the Bonds. Debt service on the Bonds equals the Series 2024 Installment Payments for each annual period ending on June 30 in the years indicated. The below table assumes that there are no optional redemptions of the Bonds.

Period Ending June 30	*Principal*	*Interest*	*Total Debt Service*
2025	$ 570,000	$ 641,803.13	$ 1,211,803.13
2026	335,000	877,575.00	1,212,575.00
2027	355,000	860,825.00	1,215,825.00
2028	370,000	843,075.00	1,213,075.00
2029	390,000	824,575.00	1,214,575.00
2030	410,000	805,075.00	1,215,075.00
2031	430,000	784,575.00	1,214,575.00
2032	450,000	763,075.00	1,213,075.00
2033	475,000	740,575.00	1,215,575.00
2034	495,000	716,825.00	1,211,825.00
2035	520,000	692,075.00	1,212,075.00
2036	550,000	666,075.00	1,216,075.00
2037	575,000	638,575.00	1,213,575.00
2038	605,000	609,825.00	1,214,825.00
2039	635,000	579,575.00	1,214,575.00
2040	665,000	547,825.00	1,212,825.00
2041	695,000	521,225.00	1,216,225.00
2042	720,000	493,425.00	1,213,425.00
2043	750,000	464,625.00	1,214,625.00
2044	780,000	434,625.00	1,214,625.00
2045	810,000	403,425.00	1,213,425.00
2046	845,000	370,012.50	1,215,012.50
2047	880,000	335,156.26	1,215,156.26
2048	915,000	298,856.26	1,213,856.26
2049	950,000	261,112.50	1,211,112.50
2050	990,000	221,925.00	1,211,925.00
2051	1,030,000	181,087.50	1,211,087.50
2052	1,075,000	138,600.00	1,213,600.00
2053	1,120,000	94,256.26	1,214,256.26
2054	1,165,000	48,056.26	1,213,056.26
TOTAL	$ 20,555,000	$ 15,858,315.67	$ 36,413,315.67

Source: Underwriter.

SECURITY FOR THE BONDS

General

Each Bond is a special limited obligation of the Authority payable solely from Authority Revenues, which consist of Series 2024 Installment Payments to be made by the City under the Installment Purchase Agreement and certain other funds and accounts established pursuant to the Indenture. NEITHER THE FULL FAITH AND CREDIT NOR ANY OTHER REVENUES OR FUNDS OF THE AUTHORITY ARE PLEDGED TO OR AVAILABLE FOR THE PAYMENT OF DEBT SERVICE ON THE BONDS. THE OBLIGATION OF THE AUTHORITY TO MAKE PAYMENTS OF PRINCIPAL AND INTEREST ON

THE BONDS DOES NOT CONSTITUTE AN OBLIGATION FOR WHICH THE AUTHORITY IS OBLIGATED TO LEVY OR PLEDGE ANY FORM OF TAXATION OR FOR WHICH THE AUTHORITY HAS LEVIED OR PLEDGED ANY FORM OF TAXATION. THE AUTHORITY HAS NO TAXING POWER.

The Authority has assigned substantially all of its right, title and interest in the Installment Purchase Agreement to the Trustee pursuant to the Indenture, for the benefit of the Owners of the Bonds, including its right to receive Series 2024 Installment Payments and its rights as may be necessary to enforce payment of the Series 2024 Installment Payments when due.

Series 2024 Installment Payments Payable From Net Revenues

All of the Authority Revenues and any other amounts (including proceeds of the sale of the Bonds) held in any fund or account established pursuant to the Indenture (except the Rebate Fund) have been irrevocably pledged to secure the payment of the principal of and interest, and the premium, if any, on the Bonds in accordance with their terms and the provisions of the Indenture. Such pledge constitutes a lien on and security interest in such amounts and will attach, be perfected and be valid and binding from and after the Closing Date, without any physical delivery thereof or further act, and will be valid and binding against all parties having claims of any kind in tort, contract or otherwise against the Authority, irrespective of whether such parties have notice hereof.

The obligation of the City to make the Series 2024 Installment Payments is payable solely from Net Revenues of the City's Water System, which consist of Revenues of the City's Water System remaining after the payment of Operation and Maintenance Costs of the City's Water System. All Revenues (as such term is defined below) of the City's Water System, other amounts that are on deposit in the Revenue Fund and any other amounts (including proceeds of the sale of the Bonds) which are held in any fund or account that is established pursuant to the Installment Purchase Agreement (including the Rate Stabilization Fund) have been irrevocably pledged to the payment of the Series 2024 Installment Payments as provided in the Installment Purchase Agreement.

The Revenues will not be used for any other purpose while any of the Series 2024 Installment Payments remain unpaid; provided that out of the Revenues there may be apportioned such sums for such purposes as are expressly permitted in the Installment Purchase Agreement, including but not limited to the payment of Operation and Maintenance Costs of the Water System. Such pledge, together with the pledge created by all other Bonds and Contracts (as such terms are defined in Appendix B under the caption "INSTALLMENT PURCHASE AGREEMENT—Definitions" and referred to in the forepart of this Official Statement as "Parity Bonds and Contracts" or "Parity Bonds or Contracts," as applicable), constitutes a first lien on Revenues and, subject to application of Revenues and all amounts on deposit in the Revenue Fund as permitted in the Installment Purchase Agreement, the Revenue Fund, the Rate Stabilization Fund and other funds and accounts created thereunder for the payment of the Series 2024 Installment Payments and all other Parity Bonds and Contracts in accordance with the terms thereof and of the Indenture.

The term "Revenues" means all income, rents, rates, fees, charges and other moneys derived from the ownership of or operation of the Water System, including, without limiting the generality of the foregoing: (1) all in lieu charges (including investment earnings thereon) collected by or on behalf of the City; (2) all income, rents, rates, fees, charges, business interruption insurance proceeds or other moneys derived by the City from the sale, furnishing and supplying of the water or other services, facilities, and commodities sold, furnished or supplied through the facilities of or in the conduct or operation of the business of the Water System; (3) the earnings on and income derived from the investment of such income, rents, rates, fees, charges, proceeds or other moneys, including City reserves; and (4) deposits to the Revenue Fund from amounts on deposit in the Rate Stabilization Fund in accordance with the Installment Purchase Agreement; but <u>excluding</u> in all cases: (w) any Revenues transferred from the Revenue Fund to the Rate Stabilization Fund in accordance with the Installment Purchase Agreement; (x) all amounts reasonably anticipated to be reimbursed

to the City by the United States of America pursuant to Section 54AA of the Code (Section 1531 of Title I of Division B of the American Recovery and Reinvestment Act of 2009 (Pub. L. No. 111-5, 23 Stat. 115 (2009), enacted February 17, 2009), or any future similar program), to the extent that such amounts have been or will be deducted from the calculation of Debt Service; (y) customers' deposits or any other deposits or advances that are subject to refund until such deposits or advances have become the property of the City; and (z) proceeds of taxes or benefit assessments restricted by law to be used by the City to pay amounts due on bonds or other obligations hereafter incurred.

The term "Operation and Maintenance Costs" means: (1) costs spent or incurred for maintenance and operation of the Water System calculated in accordance with generally accepted accounting principles applicable to governmental agencies, including, but not limited to, the reasonable expenses of management and repair and other expenses that are necessary to maintain and preserve the Water System in good repair and working order, and including administrative costs of the City that are charged directly or apportioned to the Water System, including but not limited to salaries and wages of employees, payments to the Public Employees Retirement System, overhead, insurance, taxes (if any), fees of auditors, accountants, attorneys or engineers and insurance premiums, and including all other reasonable and necessary costs of the City or charges (other than debt service payments) required to be paid by it to comply with the terms of the Bonds or of the Installment Purchase Agreement or any Contract or of any resolution or indenture authorizing the issuance of any Parity Bonds or Contracts or of such Parity Bonds or Contracts; and (2) all payments under any contract for the purchase of water; but excluding in all cases depreciation, replacement and obsolescence charges or reserves therefor and amortization of intangibles or other bookkeeping entries of a similar nature.

Notwithstanding anything contained in the Installment Purchase Agreement, the City is not required to advance any moneys derived from any source of income other than the Revenues, the Revenue Fund and the Rate Stabilization Fund for the payment of amounts due under the Installment Purchase Agreement or for the performance of any agreements or covenants that are required to be performed by it contained therein. The City may, however, advance moneys for any such purpose so long as such moneys are derived from a source legally available for such purpose and may be legally used by the City for such purpose.

So long as the Insurer has not defaulted on any obligation under the Policy or the Reserve Surety Policy, the Series 2024 Installment Payments may only be accelerated with the written approval of the Insurer.

THE OBLIGATION OF THE CITY TO MAKE SERIES 2024 INSTALLMENT PAYMENTS PURSUANT TO THE INSTALLMENT PURCHASE AGREEMENT DOES NOT CONSTITUTE AN OBLIGATION FOR WHICH THE CITY IS OBLIGATED TO LEVY OR PLEDGE ANY FORM OF TAXATION OR FOR WHICH THE CITY HAS LEVIED OR PLEDGED ANY FORM OF TAXATION. THE OBLIGATION OF THE CITY TO MAKE THE SERIES 2024 INSTALLMENT PAYMENTS IS A SPECIAL LIMITED OBLIGATION OF THE CITY PAYABLE SOLELY FROM NET REVENUES OF THE CITY'S WATER SYSTEM AND DOES NOT CONSTITUTE A DEBT OF THE CITY OR OF THE STATE OR OF ANY POLITICAL SUBDIVISION THEREOF IN CONTRAVENTION OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION OR RESTRICTION.

Rate Covenant

The City will, to the fullest extent permitted by law, fix and prescribe, at the commencement of each fiscal year of the City ending June 30 (each, a "Fiscal Year"), rates and charges for the Water Service which are reasonably expected, at the commencement of each Fiscal Year, to be at least sufficient to yield during each Fiscal Year Net Revenues equal to 120% of the Debt Service and Policy Costs in such Fiscal Year. The City may make adjustments from time to time in such rates and charges and may make such classification thereof as it deems necessary, but will not reduce the rates and charges then in effect unless the Net Revenues from such reduced rates and charges will at all times be sufficient to meet the foregoing requirements.

So long as the City has complied with its obligations set forth in the prior paragraph, the failure of Net Revenues to meet the thresholds set forth in the prior paragraph will not constitute a default or an Event of Default under the Installment Purchase Agreement or the Indenture.

Reserve Fund

A Reserve Fund for the Bonds is established pursuant to the Indenture in an amount equal to the Reserve Requirement of $1,216,225.00.

The Insurer has made a commitment to issue, simultaneously with the initial execution and delivery of the Bonds, the Reserve Surety Policy in the amount of the Reserve Requirement for deposit in the Reserve Fund, effective as of the date of issuance of the Bonds. Under the terms of the Reserve Surety Policy, the Insurer will unconditionally and irrevocably guarantee to pay that portion of the scheduled payments of principal of and interest on the Bonds that becomes due for payment but shall be unpaid by reason of nonpayment by the Authority.

See Appendix B — "DEFINITIONS AND SUMMARY OF CERTAIN PROVISIONS OF THE INSTALLMENT PURCHASE AGREEMENT AND THE INDENTURE" under the caption "REVENUES, FUNDS AND ACCOUNTS; PAYMENT OF PRINCIPAL AND INTEREST—Reserve Fund" for further information with respect to the Reserve Surety Policy.

Rate Stabilization Fund

There has been established with the City a fund to be known as the "Rate Stabilization Fund." The City has agreed and covenanted in the Installment Purchase Agreement to maintain, so long as any Bonds remain outstanding, the Rate Stabilization Fund. There will be $0 on deposit in the Rate Stabilization Fund as of the date of the initial issuance of the Bonds. The City may deposit amounts into the Rate Stabilization Fund from time to time in its sole discretion.

Amounts in the Rate Stabilization Fund will be disbursed, allocated and applied by the City solely to the uses and purposes described in the Installment Purchase Agreement, and will be accounted for separately and apart from all other accounts, funds, money or other resources of the City.

The Rate Stabilization Fund and all amounts on deposit therein have been irrevocably pledged to the payment of the Bonds and Parity Bonds and Contracts as provided in the Installment Purchase Agreement; provided that amounts on deposit in the Rate Stabilization Fund may be apportioned for such purposes as are expressly permitted therein. The foregoing pledge constitutes a first lien on amounts on deposit in the Rate Stabilization Fund for the payment of Contracts and Bonds in accordance with the terms of the Installment Purchase Agreement.

The City may withdraw all or any portion of the amounts on deposit in the Rate Stabilization Fund from time to time and transfer such amounts to the Revenue Fund for application in accordance with the Installment Purchase Agreement. Amounts transferred from the Rate Stabilization Fund to the Revenue Fund pursuant to the Installment Purchase Agreement during or within 270 days after the end of a Fiscal Year may be taken into account as Revenues for purposes of the calculations under the additional debt test or the rate covenant in such Fiscal Year to the extent provided in the definition of "Revenues." See the captions "—Rate Covenant" and "—Additional Parity Bonds and Contracts."

Additional Parity Bonds and Contracts

The City may at any time issue or execute, as applicable, any Parity Bonds or Contracts, as the case may be, in accordance herewith; provided that:

(a) The Net Revenues for either the most recent audited Fiscal Year or a consecutive 12 month period within the 18 months preceding the date of adoption by the City Council of the City of the resolution authorizing the issuance of such Parity Bonds or the date of the execution of such Contract, as the case may be, as evidenced by both a calculation prepared by the City and a special report prepared by an Independent Certified Public Accountant or an Independent Financial Consultant on such calculation on file with the City, produce a sum equal to at least 120% of the Debt Service and Policy Costs for such Fiscal Year or consecutive 12 month period; and

(b) The Net Revenues for either the most recent audited Fiscal Year or a consecutive 12 month period within the 18 months preceding the date of adoption by the City Council of the City of the resolution authorizing the issuance of such Parity Bonds or the date of the execution of such Contract, as the case may be, including adjustments to give effect as of the first day of such Fiscal Year or consecutive 12 month period to increases or decreases in rates and charges for the Water Service approved and in effect as of the date of calculation, as evidenced by both a calculation prepared by the City and a special report prepared by an Independent Certified Public Accountant or an Independent Financial Consultant on such calculation on file with the City, produce a sum equal to at least 120% of: (i) the Debt Service for such Fiscal Year or consecutive 12 month period; plus (ii) the Debt Service which would have accrued on any then-outstanding Parity Bonds which were issued or any then-outstanding Contracts which were executed since the end of such audited Fiscal Year or consecutive 12 month period, assuming that such Parity Bonds or Contracts had been issued or executed, as applicable, on the first day of such audited Fiscal Year or consecutive 12 month period; plus (iii) the Debt Service which would have accrued on the proposed additional Parity Bonds or the proposed additional Contract, assuming that such proposed additional Parity Bonds or proposed additional Contract had been issued or executed, as applicable, on the first day of such audited Fiscal Year or consecutive 12 month period; plus (iv) Policy Costs.

Notwithstanding the foregoing, Parity Bonds issued or Contracts executed to refund outstanding Parity Bonds or to prepay outstanding Contracts may be delivered without satisfying the conditions set forth above if total Debt Service after such Parity Bonds are issued or Contracts executed is not greater than the total Debt Service which would have been payable prior to the issuance of such Parity Bonds or execution of such Contracts.

BOND INSURANCE

The information under this caption has been prepared by Build America Mutual Assurance Company for inclusion in this Official Statement. Neither the City nor the Underwriter has reviewed this information, nor do such entities make any representation with respect to the accuracy or completeness thereof or any information incorporated by reference. Reference is made to Appendix G for a specimen of the Policy.

Bond Insurance Policy

Concurrently with the issuance of the Bonds, Build America Mutual Assurance Company (the "Insurer") will issue its Municipal Bond Insurance Policy for the Bonds (the "Policy"). The Policy guarantees the scheduled payment of principal of and interest on the Bonds when due as set forth in the form of the Policy included as Appendix G to this Official Statement.

The Policy is not covered by any insurance security or guaranty fund established under New York, California, Connecticut or Florida insurance law.

Build America Mutual Assurance Company

The Insurer is a New York domiciled mutual insurance corporation and is licensed to conduct financial guaranty insurance business in all fifty states of the United States and the District of Columbia. the Insurer provides credit enhancement products solely to issuers in the U.S. public finance markets. The Insurer

will only insure municipal bonds, as defined in Section 6901 of the New York Insurance Law, which are most often issued by states, political subdivisions, integral parts of states or political subdivisions or entities otherwise eligible for the exclusion of income under section 115 of the U.S. Internal Revenue Code of 1986, as amended. No member of the Insurer is liable for the obligations of the Insurer.

The address of the principal executive offices of the Insurer is: 200 Liberty Street, 27th Floor, New York, New York 10281, its telephone number is: 212-235-2500, and its website is located at: www.buildamerica.com.

The Insurer is licensed and subject to regulation as a financial guaranty insurance corporation under the laws of the State of New York and in particular Articles 41 and 69 of the New York Insurance Law.

The Insurer's financial strength is rated "AA/Stable" by S&P Global Ratings, a business unit of Standard & Poor's Financial Services LLC ("S&P"). An explanation of the significance of the rating and current reports may be obtained from S&P at www.standardandpoors.com. The rating of the Insurer should be evaluated independently. The rating reflects S&P's current assessment of the creditworthiness of the Insurer and its ability to pay claims on its policies of insurance. The above rating is not a recommendation to buy, sell or hold the Bonds, and such rating is subject to revision or withdrawal at any time by S&P, including withdrawal initiated at the request of the Insurer in its sole discretion. Any downward revision or withdrawal of the above rating may have an adverse effect on the market price of the Bonds. The Insurer only guarantees scheduled principal and scheduled interest payments payable by the issuer of the Bonds on the date(s) when such amounts were initially scheduled to become due and payable (subject to and in accordance with the terms of the Policy), and the Insurer does not guarantee the market price or liquidity of the Bonds, nor does it guarantee that the rating on the Bonds will not be revised or withdrawn.

Capitalization of the Insurer. The Insurer's total admitted assets, total liabilities, and total capital and surplus, as of December 31, 2023 and as prepared in accordance with statutory accounting practices prescribed or permitted by the New York State Department of Financial Services were $500.0 million, $230.7 million and $269.3 million, respectively.

The Insurer is party to a first loss reinsurance treaty that provides first loss protection up to a maximum of 15% of the par amount outstanding for each policy issued by the Insurer, subject to certain limitations and restrictions.

The Insurer's most recent Statutory Annual Statement, which has been filed with the New York State Insurance Department and posted on the Insurer's website at www.buildamerica.com, is incorporated herein by reference and may be obtained, without charge, upon request to the Insurer at its address provided above (Attention: Finance Department). Future financial statements will similarly be made available when published.

The Insurer makes no representation regarding the Bonds or the advisability of investing in the Bonds. In addition, the Insurer has not independently verified, makes no representation regarding, and does not accept any responsibility for the accuracy or completeness of this Official Statement or any information or disclosure contained herein, or omitted herefrom, other than with respect to the accuracy of the information regarding the Insurer, supplied by the Insurer and presented under the heading "BOND INSURANCE."

BAM GreenStar Bonds

The Bonds have been designated BAM GreenStar Bonds because the Insurer has determined that the use of bond proceeds by the City as described in this Official Statement and in any additional information obtained by the Insurer aligns with one of the Green Bond Principals ("GBPs") developed by the International Capital Markets Association ("ICMA"). The GBPs were developed by the ICMA with the goal of establishing universally accepted guidelines for the issuance of green bonds, and one of the key requirements addresses the use of proceeds. The Insurer has been identified by the ICMA as an observer organization that is active in the

field of green and/or social or sustainability finance and is a Climate Bond Initiative approved verifier. The Credit Profile prepared by the Insurer for the Bonds will identify which of the following GBP categories applies to the Bonds:

- renewable energy
- energy efficiency
- pollution prevention and control
- environmentally sustainable management of living natural resources and land use
- terrestrial and aquatic biodiversity
- clean transportation
- climate change adaptation
- sustainable water and wastewater management
- green buildings.

Each of the GBPs correlates to one of the following UN Sustainable Development Goals which will also be included in the Credit Profile for the Bonds:

- clean water and sanitation
- affordable and clean energy
- sustainable cities and communities
- industry innovation and infrastructure
- responsible consumption and production
- climate action
- life below water
- life on land

The Authority, the City, and the Underwriter make no representation regarding the applicability of or suitability of the GreenStar designation. The term "GreenStar" is neither defined in, nor related to, the security documents relating to the Bonds. The GreenStar designation is solely for identification purposes and is not intended to provide or imply that the owners of the Bonds are entitled to any security other than that described in this official statement. The Authority and the City are under no contractual or other legal obligation to ensure compliance with any legal or other principles relating to "GreenStar" designation. The Authority and the City have made no commitment to provide ongoing reporting or information regarding the designation or compliance with the GBPs.

The BAM GreenStar designation is based upon an assessment by the Insurer at the time of the issuance of the Bonds and such designation by the Insurer reflects only the views of the Insurer. The Insurer does not charge a fee in connection with the designation, does not perform an audit and undertakes no duty of due diligence or independent verification of any information it receives. The designation is provided on an "AS IS" basis and is based on the Insurer's own investigation, studies, assumptions, and criteria using its reasonable best efforts. In issuing its GreenStar designation, the Insurer has assumed and relied upon the accuracy and completeness of the information made publicly available by the Issuer or that was otherwise made available to the Insurer. The Insurer makes no representation or warranty, express or implied, including, but not limited to, the accuracy, results, timeliness, completeness, merchantability or fitness for any particular purpose with respect to the designation. A complete description of BAM GreenStar, and its limitations and terms of use, are available on the Insurer's website https://buildamerica.com/greenstar and https://buildamerica.com/terms-of-use and incorporated herein by reference. The BAM GreenStar designation is determined solely by the Insurer; it has not been reviewed or approved by the issuer of or the underwriter for the Bonds, and the issuer and underwriter assume no responsibility for such designation.

The Insurer's GreenStar designation does not and is not intended to make any representation or give any assurance with respect to any other matter relating to the Bonds and is not a recommendation to any person to purchase, hold, or sell the Bonds. Such labeling does not address the market price, marketability or

suitability of these Bonds for a particular investor. There is no assurance that the designation will be retained for any given period of time or that the designation will not be revised, suspended, or withdrawn by the Insurer if, in its judgment, circumstances so warrant.

Additional Information Available from the Insurer.

Credit Insights Videos. For certain Insurer-insured issues, the Insurer produces and posts a brief Credit Insights video that provides a discussion of the obligor and some of the key factors the Insurer's analysts and credit committee considered when approving the credit for insurance. The Credit Insights videos are easily accessible on the Insurer's website at www.buildamerica.com/videos. (The preceding website address is provided for convenience of reference only. Information available at such address is not incorporated herein by reference.)

Credit Profiles. Prior to the pricing of bonds that the Insurer has been selected to insure, the Insurer may prepare a pre-sale Credit Profile for those bonds. These pre-sale Credit Profiles provide information about the sector designation (e.g. general obligation, sales tax); a preliminary summary of financial information and key ratios; and demographic and economic data relevant to the obligor, if available. Subsequent to closing, for any offering that includes bonds insured by the Insurer, any pre-sale Credit Profile will be updated and superseded by a final Credit Profile to include information about the gross par insured by CUSIP, maturity and coupon. The Insurer pre-sale and final Credit Profiles are easily accessible on the Insurer's website at www.buildamerica.com/credit-profiles. The Insurer will produce a Credit Profile for all bonds insured by the Insurer, whether or not a pre-sale Credit Profile has been prepared for such bonds. (The preceding website address is provided for convenience of reference only. Information available at such address is not incorporated herein by reference.)

Disclaimers. The Credit Profiles and the Credit Insights videos and the information contained therein are not recommendations to purchase, hold or sell securities or to make any investment decisions. Credit-related and other analyses and statements in the Credit Profiles and the Credit Insights videos are statements of opinion as of the date expressed, and the Insurer assumes no responsibility to update the content of such material. The Credit Profiles and Credit Insight videos are prepared by the Insurer; they have not been reviewed or approved by the issuer of or the underwriter for the Bonds, and the issuer and underwriter assume no responsibility for their content.

The Insurer receives compensation (an insurance premium) for the insurance that it is providing with respect to the Bonds. Neither the Insurer nor any affiliate of the Insurer has purchased, or committed to purchase, any of the Bonds, whether at the initial offering or otherwise.

THE CITY

General

The City was incorporated in 1916 and operates as a general law city. The City operates under a council-manager form of municipal government and is governed by a five-member City Council. The City is a full-service City, offering its residents a wide range of municipal services, including public safety, highways and streets, sanitation, water and sewer services, development and public infrastructure improvements, culture and leisure programming, and general government functions. The City encompasses approximately 7.73 square miles in the San Gabriel Valley in the County of Los Angeles (the "County"), about 8 miles east of downtown Los Angeles. The City is bounded by the City of Los Angeles to the west, the City of Alhambra to the north, the City of San Gabriel to the east and the City of Montebello to the South.

The City supplies potable water to approximately 11,066 single family residential customers, 1,530 multi-family residential customers, 798 commercial and industrial customers and 213 other customers. The

Water System serves approximately 95% of the residents and businesses within the City, with private water companies serving the remaining portion.

The City's main source of water is groundwater pumped from the Main San Gabriel Valley Basin (the "Main Basin"), which is a sub-basin of the San Gabriel Valley Basin. The City also purchases supplemental groundwater from the San Gabriel Valley Water Company ("SGVWC"). See the caption "THE WATER SYSTEM—Water Supply."

The Water System includes 12 groundwater wells in the Main Basin (of which eight are currently active, three are standby wells and one is inactive), approximately 136.6 miles of transmission and distribution pipe ranging in size from 2-inches to 36-inches in diameter, five primary pressure zones, eight closed sub-zones, 11 active service zone storage reservoirs (with a total storage capacity of approximately 15.8 million gallons), two settling tanks, 11 booster pump stations, 20 pressure reducing stations, one imported water supply connection with SGVWC and four emergency interconnections.

Land Use and Service Area

The Water System's service area is approximately seven square miles, and is primarily a residential community, with 78% of its land zoned for single and multiple family housing. The remaining portion of the City is made up of commercial, employment/technology, mixed uses, open space and public facilities. As of January 1, 2023, the estimated population of the City was approximately 59,288. Because the City is essentially at full build out, it is not expected that the City's population will increase significantly in the future.

The Water System provides retail water service to 95% of the City's residents and businesses within the City, with private water companies serving the remaining portion of the City. The Water System's service area generally coincides with the City's boundaries with four exceptions: (1) Mark Keppel High School, located north of Hellman Avenue and west of New Avenue, is outside the City limits but is served by the Water System; (2) in the northwest portion of the City, the area south of the Sheriff's Academy and west of Long Beach Freeway is served by California Water Services Company; (3) in the southwest portion of the City, the East Los Angeles Community College and adjacent areas generally south of Floral Drive and west of Gerhart Avenue are served by California Water Services Company; and (4) in the east portion of the City, the area east of Alisar Avenue and north of Portrero Grande Drive is served by SGVWC.

Principal employers in the City comprise a diverse group of industries, including healthcare centers and big-box retailers. As of June 30, 2023 the largest principal employers in the City included Garfield Medical Center, Southern California Gas Company, Costco, Monterey Park Hospital and Home Depot. Additionally, the City recently completed Phase I of The Market Place, the largest development in the City's history which includes nationally and locally recognized tenants such as Home Depot, In-N-Out, Chick-Fil-A and Starbucks. Two additional phases could allow for up to 140,000 square feet of commercial development. In April of 2021, a new 288 room Courtyard by Marriott hotel opened along the 10 freeway (the San Bernardino Freeway). Additionally, a new Holiday Inn and Suites development is underway in the City. The Holiday Inn and Suites will be a mixed-use development including hotel rooms, and 85 condominium units, and retail uses. The condominium units were completed in 2023 and are being sold to individual homebuyers. The hotel and retail developments are anticipated to be completed in Fiscal Year 2024-25.

The topography varies throughout the City. The northeast portion of the City is generally flat. There are four separate hilly areas separated by valleys that provide for the major thoroughfares such as Atlantic Boulevard, Monterey Pass Road, and the Long Beach Freeway. The highest elevation in the City is approximately 702 feet, located at the easterly end of Sombrero Drive (site of Sombrero Reservoir and Pump Station). The lowest elevation is about 260 feet at the southern border of the City along Pomona Boulevard.

Governance and Management

The City operates under a council-manager form of government. Council Members are elected by districts for four-year, overlapping terms of office. The Mayor, who is selected during each Council reorganization every nine and half months, presides over all Council meetings and is the ceremonial head of the City for all official functions. The current members of the City Council and the expiration dates of their respective terms are as follows:

CITY OF MONTEREY PARK
City Council

Name	*District*	*Term Expires*
Thomas Wong, *Mayor*	1	2026
Vinh T. Ngo, *Mayor Pro-Tem*	5	2026
Yvonne Yiu	2	2024
Henry Lo	4	2024
Jose Sanchez	3	2024

Source: City of Monterey Park.

The City Council appoints the City Manager who heads the executive branch of the government, implements City Council directives and policies and manages the administrative and operational functions through the various departmental heads, who are appointed by the City Manager.

Day-to-day management of the City is delegated to the City Manager, Inez Alvarez. Prior to being appointed to the position of City Manager by the City Council in November of 2023, Ms. Alvarez served as the Assistant City Manager of the City of Monterey Park and, prior to that, as the City's Director of Recreation and Community Services.

Amy Lee serves as the City's Treasurer. Ms. Lee was first elected as the City's Treasurer in 2022. Ms. Lee is also an attorney with over 20 years of experience. Ms. Lee received her law degree from Loyola Law School and is currently licensed to practice law in the State of California and is an active member of the California State Bar. Ms. Lee's law practice is based Monterey Park.

Martha Garcia serves as the City's Director of Finance. Ms. Garcia has over 34 years of experience in governmental accounting. For the first 26 years, Ms. Garcia worked for Kern County where she served the last four years as the Lead Accountant over the Human Services Department's Internal Audit Division. In February of 2016, Ms. Garcia was hired by the City of Tracy as its new Finance Division Manager, where she oversaw the day-to-day functions of the division. Ms. Garcia was hired as Director of Finance for the City of Monterey Park in February of 2020.

Shawn Igoe serves as the City's Director of Public Works. Mr. Igoe has been the City's Public Works Director since 2022 and provides oversight to the various Divisions within the Department, including Water, Engineering, Parks, Streets, Sewer and Fleet. Mr. Igoe previously worked for the cities of La Verne, Manhattan Beach and Monrovia. Over his 22-year career Mr. Igoe has held various positions such as Water Supervisor, Utilities Manager and Maintenance Manager. Mr. Igoe currently holds his State Water Resources Control Board, Water Distribution Grade D4 certification and Water Treatment Grade T3 certification.

Karl H. Berger is a partner with the law firm of Burke, Williams & Sorensen, LLP and serves as the City Attorney. Mr. Berger has served as the City Attorney since August 19, 2020. Mr. Berger has practiced law since 1995 and specializes in the field of public law, including conflicts of interest, open meeting laws, public works contracts, redevelopment and successor agencies, personnel matters, all aspects of land use and planning laws and CEQA.

Financial Policies

General. The City has adopted a comprehensive set of financial policies to serve as a guideline for financial matters as further described below.

General Management and Budget Policies. The City is required to adopt a balanced budget for its General Fund prior to the beginning of the Fiscal Year. A balanced budget means current revenues are equal to current expenditures. The City's long-term financial plan takes into account its capital improvement plan and financial forecast as part of its expenditure projections, revenue estimates and future debt position. The City is required to avoid budgetary procedures that finance current expenditures at the expense of meeting future obligations (e.g., postponing expenditures, accruing future year revenues or rolling over short-term debt).

Revenue Policy. The City has adopted a revenue policy under which it endeavors to maintain a diversified and stable revenue base to minimize the effects of economic fluctuations on revenue accumulation. Under the policy the City estimates revenue using objective, analytical processes and conservative projections are utilized in cases of assumption uncertainty. The estimated growth rates used to project revenues are based on analysis as adjusted for the City's experience and outlook as well as State economic conditions. The City funds all current expenditures from current revenues and avoids procedures that balance current budgets by postponing needed expenditures, accruing future revenues or rolling over short-term debt. The City identifies basic tax-provided services and establishes user fees and charges for services provided in excess of basic services and/or to non-taxpaying users.

Fund Balance Policy. The City's fund balance classification includes five components: nonspendable, restricted, committed, assigned, and unassigned. The City has adopted a fund balance policy (the "Fund Balance Policy") under which the unrestricted General Fund balance, including committed, assigned and unassigned must be maintained at a minimum level of two months of the General Fund regular revenues or operating expenditures. The City's maximum unrestricted fund balance may not exceed 50% of General Fund operating expenditures. The General Fund committed fund balance includes amounts for Potential Catastrophic Events and Economic Stabilization and the funding of the committed fund balance account is reviewed each year during the City's midyear fiscal review. The assigned fund balance for future capital projects captures accumulated, nonrecurring or unanticipated revenues or expenditures savings and is carried forward from year to year to provide resources for the City Council to fund future infrastructure and other onetime expenditure needs of the City. Under the Fund Balance Policy the City maintains an adequate reserve to fund annual paid and committed claims in the General Liability Fund and Workers' Compensation Fund, scheduled vehicle maintenance and replacement in the Auto Shop Fund, accrued leave liability in the Separation Benefit Fund and technology and telephone replace in the Technology/Data Processing Fund. The City targets a balance in the Enterprise Fund for working capital at a minimum of two months' annual operating expenses.

Debt Management Policy. The City has adopted a debt management policy (the "Debt Management Policy") in compliance with California Government Code Section 8855. The Debt Management Policy establishes guidelines and parameters for the effective governance, management and administration of debt and other financing obligation issued by the City and related entities with the goal of protecting and enhancing the viability of the General Fund and other associated operating funds to enable the City to continue to deliver top services to City residents. The Debt Management Policy is intended to improve the quality of decisions, assist with the determination of the structure of debt issuance, identify policy goals and demonstrate a commitment to long-term financial planning, including a multi-year capital plan. Under the Debt Management Policy, the City uses debt financing only for capital improvements or projects that cannot be financed from current revenues and the project's useful life or the estimated service life of the equipment must be equal or exceed the term of financing. Debt financing is not considered appropriate for any recurring purpose such as current operating and normal maintenance expenditures.

Pension Funding Policy. The City issued pension obligation bonds in 2021 for the purpose of paying the City's then existing unfunded actuarial liability to CalPERS; however, it is possible that the City may incur additional pension liabilities in subsequent years. The City has implemented a pension funding policy (the "Pension Funding Policy") which addresses future unfunded pension liabilities. The Pension Funding Policy establishes guidelines directing the City Council to contribute more than the required annual payment to CalPERS to reduce the accrual of interest, set up a timeline to payoff any new liabilities within a certain number of years and refinance the liability at a lower interest rate. For more information regarding the City's CalPERS plans, see the caption "WATER SYSTEM FINANCIAL INFORMATION—Employees' Retirement Plan—CalPERS."

Capital Improvement Program Policy. The City has adopted a capital improvement program policy (the "Capital Improvement Program Policy") under which the City utilizes a five-year capital improvement program to systematically plan, schedule and finance capital projects as determined by the City Council. The five-year program includes major ongoing maintenance and rehabilitation costs to existing infrastructure and facilities, as well as the cost of new facilities or capital improvements. The City's capital improvement plan identifies each proposed project, the year the project will start and the proposed method of financing. The City will actively pursue grant and other outside funding for all capital improvement projects. The City maintains all of its assets at a level adequate to protect the City's capital infrastructure and to minimize future maintenance and replacement costs. Whenever the City finances capital projects through the issuance of bonds, it must repay the bonds within a period not to exceed the expected useful life of the project. The City confines long-term borrowing to capital improvements or projects that cannot be financed from current revenues. For more information regarding future improvements to the Water System, see the caption "THE WATER SYSTEM—Future Water System Improvements."

The City also adheres to the following additional financial policies: Policy for Disclosures Procedures, Investment Policy and OPEB Policy.

Employees

As of June 30, 2023, the City had approximately 292 full-time equivalent employees, of which 6 worked exclusively for the Water System, 26 worked in the Public Works Department with responsibility for the Water System and other public works functions and 260 worked in general government services, including finance.

Confidential employees are represented by the Confidential Employees Association (the "CEA"). General miscellaneous employees, including those employees working exclusively for the Water System, are represented by the Monterey Park Service Employees' International Union (the "SEIU") Local 721. Managers, including managers in the Water Department, are represented by the Mid-Managers Association (the "MMA"). The City's labor agreements with CEA, SEIU, and MMA expire on June 30, 2025. The City has never experienced a strike, slowdown or work stoppage.

Budget Process

The City's budget preparations follow a three-phase approach that begins each year with the preparation of the midyear budget review report, which includes a comprehensive long-term financial plan and establishes preparatory guidelines for the budget. The Fiscal Year of the City begins on the first day of July of each year and ends on the 30th day of June of the following year (each a "Fiscal Year"). The City Manager presents the proposed budget to the City Council for review prior to the beginning of each Fiscal Year and the City Council holds public hearings to review and approve the proposed budget. The final adopted budget, reflecting the City Council's directions, is approved no later than June 30 of each year. The budgeting process generally spans an approximately four-month timeframe beginning in mid-February of each year.

Legal budgetary control for operating budgets is exercised at the department and fund level. The City is required to adopt a balanced budget for its General Fund at the beginning of the Fiscal Year. Formal budgetary integration and encumbrance accounting are employed as management control devices during the year for all funds.

The City Manager is responsible for preparing and submitting to the City Council the annual budget for the operations of the City for each Fiscal Year. The annual budget adopted by the City Council serves as a guideline for operations of the City. From the effective date of the budget, the date of formal adoption by the City Council, expenditure amounts as proposed are appropriated to departments and offices for the respective expenditure objects and purposes named or described. Budget expenditures are controlled at the fund and the department level. The City Manager is authorized to transfer appropriations between the accounts of any department within individual funds. Council approval is required only for transfers between funds, or an increase in total appropriations.

The City Manager presents a midyear fiscal (budget) review (the "Midyear Review") which provides a written analysis of the City's financial health. The Midyear Review is an update for significant events and charges occurring since the last update in the previous year. As part of the Midyear Review, all of the key assumptions underlying the current budget are reviewed and revised as necessary. Appropriated amounts are as originally adopted or as adjusted by the City Council throughout the year.

The budget is formally integrated into the accounting system and employed as a management control device during the year for all governmental funds. At Fiscal Year-end, unexpended and unencumbered budget appropriations lapse. Encumbrances outstanding at Fiscal Year-end are carried into the following Fiscal Year for continuing appropriation.

Under Article XIIIB of the California Constitution, the City is restricted as to the amount of annual appropriations, and if certain proceeds of taxes exceed allowed appropriations, the excess must either be refunded to the State Controller or refunded to the taxpayers through revised tax rate or revised fee schedules. For the Fiscal Year ended June 30, 2023, based on calculations by the City, proceeds of taxes did not exceed the appropriations limit.

The City Council adopted the budget for Fiscal Year 2023-24 on June 21, 2023.

City Insurance

The City is exposed to various risks of losses related to torts, theft of, damage to and destruction of assets, errors and omissions, and natural disasters. The City is partially self-insured for workers' compensation, general liability, and automobile liability. The City is fully self-insured for unemployment insurance claims (reimbursable account with Employment Development Department). The Workers' Compensation Internal Service Fund and the General Liability Internal Service Fund were established to account for the collection of premiums from various City departments related to the City's insurance and self-insurance programs.

The City retains the risk for the first $500,000 of each Workers' Compensation claim and is a member of PRISM, for coverage up to $5,000,000 per occurrence. The City has also purchased excess workers' compensation insurance up to statutory limits. The City retains the risk for the first $1,000,000 of each General Liability and Automobile Liability claim and claims that exceed the City's self-insurance limit are insured through PRISM for coverage up to $25 million per occurrence. The City also purchases insurance through PRISM for other risks of loss, including property loss, emergency vehicle physical damage, cyber, and special events. The City's property insurance currently includes flood and earthquake coverage (although such coverage is not required to be maintained by the Installment Purchase Agreement) and covers certain facilities in the Water System, but not, for example, underground pipelines.

PRISM is comprised of around 300 public entities through out the State of California. The comprehensive general liability insurance includes monetary damages for personal liability, property damage, and public officials' errors and omissions. PRISM excess insurance premiums are based on losses incurred by the insured, the risk pool entities, and current market for general liability coverages.

There have been no significant changes in insurance coverage as compared to Fiscal Year 2022-23 and the City has not paid out any settlement in excess of the applicable insurance coverage during the past three Fiscal Years. Estimates for liabilities have been accrued in the Workers' Compensation and General Liability Internal Service Funds. These funds also include an estimate for incurred but not reported claims.

At June 30, 2023 total estimated claims payable were as follows.

General Liability	$ 9,386,265
Workers' Compensation	14,509,962
Total	**$ 23,896,227**

Source: City of Monterey Park Audited Financial Statements for Fiscal Year 2022-23.

No assurance can be given as to the adequacy of the insurance maintained now or in the future by the City to fund necessary repairs or replacement of any portion of the Water System, and the City does not have any obligation under the Installment Purchase Agreement to maintain earthquake coverage or other coverage in the current coverage amounts. Significant damage to the Water System could affect the City's ability to generate sufficient Net Revenues to pay the Bonds. See the caption "CERTAIN RISK TO BONDHOLDERS—Natural Disasters."

The City has not settled any claims that exceeded its insurance coverage in the past three years.

See Appendix B under the caption "INSTALLMENT PURCHASE AGREEMENT—COVENANTS OF THE CITY—Insurance" for a description of insurance coverages that are required to be maintained while the Bonds are outstanding.

Outstanding Parity Obligations

The City has no outstanding obligations that are payable from Net Revenues of the Water System on a senior or parity basis to the Series 2024 Installment Payments.

Effective January 1, 2001, the City entered into an Enterprise Fund Installment Sale Agreement with the California Infrastructure and Economic Development Bank (the "2001 Installment Sale Agreement") pursuant to which the City was obligated to make payments from Net Revenues. The outstanding balance of the 2001 Installment Sale Agreement of $668,075.54 plus accrued interest was paid in full on March 12, 2024.

Outstanding Subordinate Obligations

On September 23, 2014, the City entered into that certain Master Lease Purchase Agreement dated September 23, 2014, by and between the City, as lessee, and Siemens Public Inc., as lessor (the "Siemens Lease"), the proceeds of which were used to finance various energy efficiency improvements and upgrades, including replacement water meters. The City pays approximately 85% of the Siemens Lease payments from Net Revenues; however the City's obligation to make payments on the Siemens Lease is not secured by a pledge of such Net Revenues. The City's obligation under the Siemens Lease matures in June 2030.

Effective March 1, 2021, the City entered into a Loan Agreement (the "2021 Loan Agreement") with San Gabriel Valley Municipal Water District pursuant to which the City is obligated to make annual payments of $400,000 from Revenues; repayment is currently expected to begin in Fiscal Year 2024-25 (see Table 14). The 2021 Loan Agreement does not bear interest so long as the City makes all required payments when due.

The City's obligation to make payments under the 2021 Loan Agreement is an unsecured obligation of the City payable from Revenues on a subordinate basis to the Series 2024 Installment Payments.

The City is permitted to incur additional obligations that are payable from Net Revenues on a parity basis with the Series 2024 Installment Payments in the future upon satisfaction of the conditions that are described under the caption "SECURITY FOR THE BONDS—Additional Parity Bonds and Contracts." Any Parity Contract entered into by the City must comply with the additional bonds test set forth in the Installment Purchase Agreement and described under the caption "SECURITY FOR THE BONDS—Additional Parity Bonds and Contracts." The City does not currently expect to issue or incur any Parity Bonds or Contracts in the next five years. See the caption "THE WATER SYSTEM—Future Water System Improvements."

Audited Financial Statements

A copy of the most recent audited financial statements of the City prepared by The Pun Group LLP, Santa Ana, California (the "Auditor") is set forth in Appendix A. The Auditor's letter dated February 15, 2024 is located at the beginning of the Financial Section therein. The Auditor has not undertaken to update the audited financial statements of the City or its report, or to take any action intended or likely to elicit information concerning the accuracy, completeness or fairness of the statements made in this Official Statement, and no opinion is expressed by the Auditor with respect to any event subsequent to its report dated December 30, 2023. See Appendix A — "CITY OF MONTEREY PARK COMPREHENSIVE AUDITED FINANCIAL REPORT FOR THE FISCAL YEAR ENDED JUNE 30, 2023."

The summary operating results that are contained under the caption "WATER SYSTEM FINANCIAL INFORMATION—Historical Operating Results and Debt Service Coverage" are derived from these financial statements and audited financial statements for prior Fiscal Years (excluding certain non-cash items and after certain other adjustments), and are qualified in their entirety by reference to such statements, including the notes thereto.

The City maintains its accounting records in accordance with Generally Accepted Accounting Principles ("GAAP") and the standards established by the Governmental Accounting Standards Board (the "GASB"). A complete set of financial statements is prepared annually for the City Council and City staff in a Annual Comprehensive Financial Report for the City.

The government-wide financial statements are designed to provide information of the City's financial activities in a manner similar to a private-sector company. Government-wide financial statements consist of the statement of net position and the statement of activities, which are prepared using the economic resources measurement focus and the accrual basis of accounting. These statements provide both short-term and long-term information about the City's financial position, which is helpful in assessing the City's economic condition at the end of the fiscal year.

The statement of net position presents all of the City's financial resources along with its capital assets and long-term obligations. The difference between the assets and the liabilities is reported as the net position.

The statement of activities reports the gross and net costs of various activities carried out by the City and how the City's net position changed during the fiscal year. This statement summarizes the cost of providing services by the City and includes all current year revenues and expenses.

Both government-wide financial statements distinguish functions of the City that are principally supported by taxes and intergovernmental revenues (i.e. governmental activities) from other functions that are intended to recover all or a significant portion of their costs through user fees and charges (i.e. business-type activities). The governmental activities of the City include general government, public safety, community development, culture and recreation, highways and streets, health, and debt service. The business-type

activities reflect the City's Water System operations, waste management activities, and sanitary sewer activities.

The government-wide financial statements include not only the City but also those legally separate entities for which the City is financially accountable. These entities include the Monterey Park Housing Authority and the Monterey Park Financing Authority. Financial information for these component units is reported as an integral part of the City.

The City accounts for the Water System in the Water Utility Enterprise Fund. The City's Water Utility Enterprise Fund is a proprietary fund used to account for operations that are financed and operated in a manner similar to private business enterprises and where the intent of the City is that the costs (expenses, including depreciation) of providing goods and services to the general public on a continuing basis be financed or recovered primarily through user charges. Proprietary funds distinguish operating revenues and expenses from nonoperating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the Water Utility Enterprise Fund, Refuse Enterprise Fund, Sewer Enterprise Fund, and of the government's internal service funds are charges to customers for sales and services. Operating expenses for enterprise funds and internal service funds include the cost of sales and services, on capital assets. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses.

Single Audit Report

As a recipient of federal funds, the City is required to undergo an audit in accordance with the Single Audit Act of 1996 and the U.S. Office of Management and Budget Circular A-133. In its Single Audit of Federally Assisted Grant Programs for Fiscal Year 2022-23 prepared by the Auditor and attached hereto as Appendix F (the "Single Audit Report"), the Auditor found certain deficiencies in internal control over compliance that the Auditor considered to be "significant deficiencies," as defined in the Auditor's letter dated March 28, 2024, which accompanies the Single Audit Report.

The Single Audit Report notes that, during the Fiscal Year 2022-23 audit, the Auditor noted the certain conditions that in resulted adjustments to the financial statements, including prior period adjustments (1) to correct the understated deferred outflow of pension amount at July 1, 2022 (Approximately $1.3 million), (2) to correct the beginning unavailable revenue and fund balance at July 1, 2022 of the Housing Special Revenue Fund (Approximately $1.19 million), (3) to reallocate the beginning balance of the pension related balances between government activities and business-type activities (Approximately $827,000), (4) to reallocated the beginning balance of the other postemployment benefits related balances between government activities and business-type activities (Approximately $1.2 million), and (5) to correct the allocation of interest payable on pension obligation bonds into internal service funds based on the bonds' allocation. In response to this finding, the City plans to implement a monthly reporting cycle which will include review of internal control over financial reporting on a monthly basis. If and when errors are detected, journal entries will be prepared monthly to correct the financial reports. The City also plans to implement ongoing training for finance department staff.

The Los Angeles County Safe, Clean Water Program Implementation Ordinance and the Transfer Agreement between the City and the Los Angeles County Flood Control District relating to the Safe, Clean Water Program requires the City to prepare an annual expenditure plan and annual report. The Auditor noted two instances in which the City's submission was late – the Annual Spending Plan for Fiscal Year 2022-23 was submitted six days late on April 7, 2022, and the Annual Progress/Expenditure Report for Fiscal Year 2022-23 was submitted approximately six weeks late on February 14, 2024. The Auditor noted that, without timely submitting the required annual spending plan and the annual reports, the City is not in compliance with the Safe Clean Water Program requirements and could potentially lose the funding. The City received approximately $727,939 in Fiscal Year 2020-21, approximately $737,121 in Fiscal Year 2021-22, and

approximately $738,669 in Fiscal Year 2022-23 under the Safe Clean Water Program. These amounts are required to be used for stormwater projects and related costs do not constitute Revenues of the Water System.

The City is required to comply with a System for Award Management ("SAM") in making subawards of federal funds. The Single Audit Report notes that for two out of five samples selected for testing, the City did not have documentation verifying the vendors against the SAM prior to entering into contracts with the vendors to ensure that they were not suspended or debarred from federally funded purchases. If the City does not verify whether vendors are suspended or debarred from working on federally funded projects, the City could contract with vendors that are prohibited from working on federally funded projects and potentially lose funding.

The Single Audit Report has been included herein in reliance upon the report of the Auditor. The Auditor has not undertaken to update the Single Audit Report, or to take any action intended or likely to elicit information concerning the accuracy, completeness or fairness of the statements made in this Official Statement, and no opinion is expressed by the Auditor with respect to any event subsequent to its report dated as of March 28, 2024, except for the Schedule of Expenditures of Federal Awards, which is dated as of February 15, 2024. See Appendix F — "CITY SINGLE AUDIT REPORT FOR THE YEAR ENDED JUNE 30, 2023".

THE WATER SYSTEM

General

The City supplies potable water to approximately 11,066 single family residential customers, 1,530 multi-family residential customers, 798 commercial and industrial customers and 213 other customers. See the caption "THE CITY—Land Use and Service Area."

The City's main source of water is groundwater pumped from the Main San Gabriel Valley Basin (the "Main Basin"), which is a sub-basin of the San Gabriel Valley Basin. The City also purchases supplemental groundwater from the San Gabriel Valley Water Company ("SGVWC"). See the caption "THE WATER SYSTEM—Water Supply."

The Water System includes 12 groundwater wells in the Main Basin (of which eight are currently active, three are standby wells and one is inactive), approximately 136.6 miles of transmission and distribution pipe ranging in size from 2-inches to 36-inches in diameter, five primary pressure zones, eight closed sub-zones, 11 active service zone storage reservoirs (with a total storage capacity of approximately 15.8 million gallons), two settling tanks, 11 booster pump stations, 20 pressure reducing stations, one imported water supply connection with SGVWC and four emergency interconnections.

Water Supply

The City's sources of water are groundwater pumped from the Main Basin through the City's eight active groundwater wells and local groundwater purchased from SGVWC. See the captions "—Historical Water System Supply" and "—Projected Water System Supply" for historical and projected information with respect to the City's sources of water supply.

Groundwater. The City's main source of water for the Water System is groundwater pumped from the Main Basin, which is a sub-basin of the San Gabriel Valley Basin pursuant to California Department of Water Resources ("DWR") Bulletin 118, Basin Number 4-013. Pursuant to the Sustainable Groundwater Management Act of 2014 ("SGMA"), the Main Basin was named as an adjudicated groundwater basin and is exempt from the requirements of developing a Groundwater Sustainability Plan and subsequently was designated a very-low- priority basin in DWR's 2019 SGMA Basin Prioritization report. In compliance with SGMA, the Main Basin Watermaster (as defined below) submits its Annual Report to DWR.

The Main Basin lies in the heart of the San Gabriel Valley and has an estimated total fresh water storage capacity of approximately 9.5 million acre-feet. The Main Basin is replenished by stream runoff from the adjacent mountains and hills, by rainfall directly on the surface, subsurface inflow from Raymond Basin and Puente Basin, return flow from water applied for overlying uses, and imported water replenishment. The Main Basin is bounded by the San Gabriel Mountains to the north, the San Rafael and Merced Hills on the west, the Puente Hills and the San Jose Hills on the south, and a low divide between the San Gabriel River system and the Upper Santa Ana River system on the east. Only the northerly portion of the City overlies the Main Basin and, therefore, all of the City's wells are located in the adjacent City of Rosemead directly overlying the Main Basin.

In the 1940s, the San Gabriel Valley experienced rapid urbanization and an increase in population that led to increased demand for water. By the 1950s, the Main Basin was put into a state of overdraft due to the increase in water consumption and periods of drought. The water production from the Main Basin exceeded the amount that was replaced. Downstream parties became especially concerned and legal action was initiated on their behalf, resulting in a court decision requiring the water uses in the area upstream of Whittier Narrows (the "Upper Area") to guarantee a source of water to water users of the area downstream of Whittier Narrows (the "Lower Area"). Whittier Narrows is a low gap between the Merced and Puente Hills, just northwest of the City of Whittier, through which the San Gabriel River and the Rio Hondo flow to the coastal plain of Los Angeles County.

Initially, the Upper San Gabriel Valley Municipal Water District was responsible for the Upper Area's obligations to the Lower Area. However, due to the fact that the Upper San Gabriel Valley Municipal Water District boundaries did not encompass the entire Main Basin, a complaint was filed that would adjudicate water rights in the Main Basin and bring all producers under control of one governing body. This led to the Main Basin Judgment in 1973.

The Long Beach Judgment, entered in September of 1965, divides the supply of the San Gabriel River system at Whittier Narrows, between San Gabriel Valley upstream and the coastal plain of Los Angeles County downstream. Under the Long Beach Judgment, the Lower Area is to receive a quantity of usable water annually from the San Gabriel River system comprised of usable surface flow, subsurface flow at Whittier Narrows and water exported to the Lower Area. A provision is made for the supply of make-up water by the Upper Area for years in which the guaranteed entitlement is not received by the Lower Area. The entitlement of the Lower Area varies annually, depending on the 10-year average annual rainfall in San Gabriel Valley for the 10 years ending in the entitlement year. The San Gabriel River Watermaster, a separate watermaster from the Main Basin Watermaster, assures compliance with the Long Beach Judgment.

Under the Main Basin Judgment, entered in January of 1973, all rights to the diversion of surface water and production of groundwater within the Main Basin and its relevant watershed were adjudicated. The judgment provides administration of the provisions of the judgment by the Main San Gabriel Basin Watermaster (the "Main Basin Watermaster"). The Main Basin Watermaster is a nine-member board which administers the water rights and manages the water quality and supply of the Main Basin. The Main Basin Watermaster operates under a formal set of rules and regulations that define the procedures by which the Main Basin is operated and managed. Water producers must obtain Main Basin Watermaster approval for constructing or modifying a well, constructing a groundwater treatment plant, increasing groundwater extraction, spreading water in the basin, and spreading and storing supplemental water under a cyclic storage agreement.

The Main Basin Judgment does not restrict the quantity of water which parties may extract from the Main Basin. Rather, the Main Basin Judgment provides a means for replacing all annual extractions in excess of a producer's annual right to extract water with supplemental imported water. Each year the Main Basin Watermaster reviews water supply conditions including local rainfall, groundwater levels, local stormwater runoff available for replenishment, imported water availability and the amount of imported water stored in the Main Basin for future demands and establishes an "Operating Safe Yield." The Operating Safe Yield is the

amount of groundwater that can safely be extracted for the succeeding fiscal year before more expensive imported water would need to be purchased to replenish the Main Basin for all production in excess of the water rights. Regardless of the Operating Safe Yield adopted there is never a restriction on the amount of water which may be pumped from the Main Basin, only the cost of producing the groundwater is impacted. The Main Basin Watermaster is not restricted as to when or how much untreated imported water be delivered to the Main Basin, only that it ultimately be delivered. In addition, the City has established an untreated imported water (cyclic) storage account in the Main Basin which the City may draw upon to offset its potential future production in excess of its water rights. In doing so, the City reduces its need to purchase untreated imported water in the future in the midst of a drought when imported water supplies may be limited.

Each water producer, including the City, is allocated its portion of the Operating Safe Yield. If a water producer extracts more than its allocated portion, it must pay a Replacement Water Assessment that is sufficient to purchase one acre-foot of supplemental water to be spread in the basin for each acre-foot of excess production. The City has prescriptive right to 3.39216 percent of the Operating Safe Yield. Over the last ten fiscal years, the average Operating Safe Yield has been an average of 150,000 acre-feet per year and therefore the City's average entitlement share over such period has been approximately 5,088.24 acre-feet per year.

The City is a sub-agency of San Gabriel Valley Municipal Water District ("San Gabriel District"), which is a wholesale water agency with responsibility for delivering supplemental water to the Main Basin on behalf of the City and the cities of Alhambra, Azusa and Sierra Madre. San Gabriel District has a contract with the State of California Department of Water Resources for the purchase of water from the State Water Project, which water San Gabriel District delivers directly to the spreading grounds in the Main Basin. When necessary to replenish the Main Basin, the Main Basin Watermaster purchases water from San Gabriel District for replenishment of the Main Basin.

See the captions "—Historical Water System Supply" and "—Projected Water System Supply" for more information with respect to the Water System's historical and projected water supply from local groundwater in the Main Basin.

Purchased Local Groundwater. The City can purchase local groundwater from SGVWC. The City has a 10-inch connection with SGVWC, with a capacity of approximately 4,000 gallons per minute (gpm). The City purchases local groundwater from SGVWC as a supplemental water supply source during periods when the City's own water system is down due to maintenance or emergency repair. Over the past five years, the City's annual water purchases from SGVWC have ranged from 10 acre-feet to 2000 acre-feet, as shown in Table 1. The City generally purchases water from SGVWC when several of the City's wells cannot operate either due to water contamination or maintenance. See the caption "THE WATER SYSTEM—Water Quality and Treatment—*City Water Treatment Facilities*" for a discussion of imported water purchases in Fiscal Years 2022-23 and 2023-24 during the design, construction and testing of the CGTS facility.

See the captions "—Historical Water System Supply" and "—Projected Water System Supply" for more information with respect to the Water System's historical and projected water supply from local groundwater purchased from SGVWC.

Emergency Connections. The City also has four interconnections with the City of Montebello, the Golden State Water Company, Metropolitan Water District of Southern California and the California Water Service Company for emergency purposes only. The City has not used such interconnections in the past.

Water Quality and Treatment

General. During the late 1970s and early 1980s significant groundwater contamination was discovered in the San Gabriel Valley Basin. The contamination was caused in part by past practices of local industries that had carelessly disposed of industrial solvents referred to as Volatile Organic Compounds ("VOCs") as well as by agricultural operations that infiltrated nitrates into the groundwater. Further

investigation revealed widespread VOC contamination significantly impacting the basin. This discovery led the United States Environmental Protection Agency (the "EPA") to place four portions of the San Gabriel Valley Basin, including the portion designated as the South El Monte Operable Unit (where all of the City's groundwater wells are located), on the National Priorities List under authority of Comprehensive Environmental Response, Compensation, and Liability Act of 1980 ("CERCLA"), also known as the Superfund program. CERCLA requires parties responsible for pollution to comply with the process of carrying out federal cleanup orders. Cleanup efforts were undertaken at the local, state, and federal level. See the caption "—*EPA Settlement*" below.

Local water agencies adopted a joint resolution in 1989 regarding water quality issues that stated Main Basin Watermaster should coordinate local activities aimed at preserving and restoring the quality of groundwater in the Main Basin. The joint resolution also called for a cleanup plan. In 1991, the Court granted Main Basin Watermaster the authority to control pumping for water quality purposes. Accordingly, Main Basin Watermaster added Section 28 to its Rules and Regulations regarding water quality management. The new responsibilities included development of a Five-Year Water Quality and Supply Plan, updating it annually, submitting it to the California Regional Water Quality Control Board, Los Angeles Region, and making it available for public review by November 1 of each year.

The Main Basin Watermaster prepares and annually updates the Five-Year Water Quality and Supply Plan in accordance with the requirements of the Section 28 Rules and Regulations. The objective is to coordinate groundwater-related activities so that both water supply and water quality in the Main Basin are protected and improved. Many important issues are detailed in the Five-Year Plan, including how Main Basin Watermaster plans to: monitor groundwater supply and quality; develop projections of future groundwater supply and quality; ensure adequate supplemental water is available for groundwater replenishment; review and cooperate on cleanup projects, and provide technical assistance to other agencies; assure that pumping does not lead to further degradation of water quality in the Main Basin; address Perchlorate, N-nitrosodimethylamine ("NDMA"), and other emerging contaminants in the Main Basin; develop a cleanup and water supply program consistent with the EPA's plans for its San Gabriel Valley Basin Superfund sites; and coordinate and manage the design, permitting, construction, and performance evaluation of the Baldwin Park Operable Unit cleanup and water supply plan.

The Main Basin Watermaster, in coordination with the Upper San Gabriel Valley Municipal Water District, has worked with state and federal regulators and local water companies to clean up water supplies. Section 28 of the Main Basin Watermaster's Rules and Regulations require all producers (including the City) to submit an application to 1) construct a new well, 2) modify an existing well, 3) destroy a well, or 4) construct a treatment facility. The Main Basin Watermaster prepares a report on the implications of the proposed activity. As a party to the Main Basin Judgment, the City reviews a copy of these reports and is provided the opportunity to submit comments on the proposed activity before the Main Basin Watermaster Board takes final action.

The San Gabriel Water Quality Authority ("WQA") was established by the State Legislature on February 11, 1993 to develop, finance and implement groundwater treatment programs in the San Gabriel Valley Basin, including the sub-basins such as the Main Basin. Section 406 of the act which created the WQA (the "WQA Act") requires the WQA "to develop and adopt a basinwide groundwater quality management and remediation plan" (which is referred to as the "Section 406 Plan") that is required to be consistent with the EPA's National Contingency Plan ("NCP") and Records of Decision ("ROD") and all requirements of the Los Angeles Regional Water Quality Control Board ("LARWQCB"). According to the WQA Act, the Section 406 Plan, which is incorporated into the City's Urban Water Management Plan, must include: characterization of basin contamination; a comprehensive cleanup plan; strategies for financing the design, construction, operation and maintenance of groundwater cleanup facilities; provision for a public information program; and coordination of activities with federal, state, and local entities.

WQA reviews and adopts the Section 406 Plan on an annual basis and as necessary, makes revisions according to changing regulatory, political and/or funding environments. In support of the Section 406 Plan, WQA also adopts an annual budget which includes all projects (actual or planned) WQA is facilitating through its participation during that time period. The budget identifies the various funding sources, and combinations thereof, to ensure full funding for each can be achieved.

City Water Treatment Facilities. The City has installed treatment facilities to meet all applicable standards for drinking water and the City operates three separate treatment facilities. In 2016, City commenced the design of a new Centralized Groundwater Treatment System (the "CGTS"), which ties together Wells No. 5, No. 9, No. 12, and No. 15 and utilizes an Ultraviolet/Advanced Oxidation Process (UV/AOP) and Liquid Phase Granular Activated Carbon ("LGAC") to treat VOC and PFAS/PFOA at these well sites. In late 2020, trace levels of PFAS were discovered, prompting the State Water Resources Control Board – Division of Drinking Water (DDW) to request the City to incorporate a PFAS/PFOA removal system into the CGTS. Responding to this additional concern, the City initiated the changes and updated the design and construction to include PFAS/PFOA removal in 2021. After approximately seven and a half years, the CGTS with the PFAS/PFOA removal component was completed in May 2023 with approval from DDW to operate the system.

Rigorous CGTS system testing, and water quality analysis were conducted to ensure the system's efficiency and attain the required permitting by DDW. During construction and testing of the CGTS modifications required to address the PGAS/PFOA treatment requirements, the City's regular production wells were unusable. During this time, the City was able to meet system demands by purchasing imported water through an interconnection with SGVMWC. This additional cost was significantly higher than well water, approximately $183,652 in Fiscal Year 2021-22, $1,028,170 in Fiscal Year 2022-23, and $1,840,160 in Fiscal Year 2023-24. See Tables 1, 9, 13 and 14. With the CGTS now online, the City does not expect to purchase imported water in the upcoming Fiscal Years. See Tables 9 and 14.

Wells No. 1, No. 10 and the Fern well flow to an LGAC treatment facility at the Delta Treatment Plant for VOC treatment. Production from Wells No. 12 and No. 15 are operated consistently with the South El Monte Operable Unit Record of Decision.

PFAS. In 2019, the State of California Water Resources Control Board's Division of Drinking Water (the "Division") lowered the Notification Levels (the "NLs") for Perfluorooctanoic acid ("PFOA") and Perfluorooctanesulfonic acid ("PFOS") to 5.1 and 6.5 parts per trillion ("PPT"), respectively. NLs are non-regulatory, precautionary health-based measures for concentrations of chemicals in drinking water that warrant notification and further monitoring and assessment. In 2020, the Division lowered the Response Level (the "RL") for PFOA and PFOS from 70 PPT, combined, to 10 and 40 PPT, respectively. RLs are non-regulatory, precautionary health-based measures that are set at higher levels than NLs and represent thresholds at which the Division recommends that water systems remove a water source from use or treat it.

In addition, on March 14, 2023, Maximum Contaminant Levels (MCL) of 4 PPT for PFOA and PFOS and cumulative limits for certain other chemicals which are described below were proposed by the EPA. On April 10, 2024 the EPA announced that the proposed MCLs would be enforceable rules.

PFOA and PFOS are fluorinated organic chemicals which are part of a family of synthetic compounds referred to as per- and polyfluoroalkyl substances ("PFAS"). PFAS are water and lipid resistant substances that were previously used in a variety of manufacturing processes and industrial applications. They are often present in water supplies which are impacted by wastewater treatment plant effluent or active or former military installations. Recent technological advances have enabled water agencies to detect PFAS compounds at very low concentrations.

In addition to PFOS and PFOA, the Division tasked the California Office of Environmental Health Hazard Assessment with evaluating and recommending NLs for the following additional PFAS compounds on

February 6, 2020: perfluorohexane sulfonic acid (known as PFHxS), perfluorobutane sulfonic acid (known as PFBS), perfluorohexanoic acid (known as PFHxA), perfluoroheptanoic acid (known as PFHpA), perfluorononanoic acid (known as PFNA), perfluorodecanoic acid (known as PFDA) and 4,8-dioxia-3H-perfluorononanoic acid (known as ADONA). There can be no assurance as to the timing of the release of such recommendations. The establishment of a Hazard Index (a tool that assesses the cumulative health effect) for aggregate levels of the foregoing compounds other than ADONA is also included in the EPA's March 14, 2023 regulatory proposal, which is described above.

The City is required to test its water supplies for PFAS and adopted PFAS testing in 2018. Water produced by the Water System meets all State and federal water quality standards. Further, the CGTS system described above provides a robust barrier to extract PFAS to a non-detect level.

The City does not anticipate that implementation of the lowered PFAS RL by the Division will have a material adverse effect on the operation of the Water System or the costs thereof. The projected operating results which are set forth under the caption "WATER SYSTEM FINANCIAL INFORMATION—Projected Operating Results and Debt Service Coverage" do not assume significant increases in water treatment or other Water System operating costs to meet State regulations relating to PFAS.

EPA Settlement. The City receives payments from the EPA pursuant to a settlement, under which the City receives reimbursement for costs incurred to treat water pumped from the City's wells (the "EPA Settlement"). See the caption "—Water Quality and Treatment—*General*." Pursuant to the EPA Settlement, the City received approximately $2.6 million in Fiscal Year 2019-20, approximately $1.855 million in Fiscal Year 2020-21, approximately $700,000 in Fiscal Year 2021-22, and approximately $7,000 in Fiscal Year 2022-23. The City expects to receive retroactive payments under the EPA Settlement for Fiscal Year 2022-23 from WQA in Fiscal Year 2023-24. The City's EPA Settlement Payments were historically made by WQA using payments received from EPA. EPA is currently negotiating an agreement for distribution of future settlement payments with the State Department of Toxic Substances Control ("DTSC"); once that agreement is finalized, the EPA Settlement payments will be made through DTSC instead of WQA. The City's assumptions regarding the amount and timing of future EPA Settlement payments are described in footnote 1 to Table 14; however, the City cannot provide any assurance that payments under the EPA Settlement will be made in the amounts or at the times described in this Official Statement.

PFAS Settlement. The City is a plaintiff to proposed class action settlements referred to as *In re Aqueous Film-Forming Foam ("AFFF") MDL No. 2873* (the "PFAS Settlements"), relating to groundwater contamination allegedly caused by the 3M Company and certain companies owned or controlled by the DuPont corporation. Pursuant to the PFAS Settlements, the City should receive payments totaling approximately $7.2 million over the next 10 years (after payment of contingency legal fees), with the first, and largest, payment to be made as soon as the summer of 2024. The litigation to which the settlement relates, which is commonly referred to as the *AFFF Multi-District Litigation* (the "MDL Litigation"), involves hundreds of cases related to Aqueous Film-Forming Foams (AFFF) and their alleged contamination of groundwater with harmful substances.

The PFAS Settlement involves only 3M and DuPont; other defendants to the MDL Litigation are not parties to the PFAS Settlements and the City could receive settlement payments or recovery of damages in connection with the cases pending against those parties in the future. However, the PFAS Settlements would resolve approximately 75% of the City's claims in the MDL Litigation. The PFAS settlements with DuPont and 3M have received final approval from the judge in the MDL Litigation. The City cannot guarantee that the City will receive the settlement payments in the amounts, or at the times, described above. Further, the City can provide no assurance that any other defendants in the MDL Litigation will enter into settlement agreements or that the City will receive any further payments as a result of the MDL Litigation. The projections set forth in Table 14 do not assume the receipt of settlement payments under the PFAS Settlements and the City can provide no assurance as to the amount and timing of any such payments.

Drought Declarations

State Orders. On January 17, 2014, the Governor declared a drought state of emergency (the "Declaration") with immediate effect. The Declaration included an order encouraging local urban water suppliers, including the City, to implement their local water shortage contingency plans; the City's plan is discussed under the subcaption "—*Water Shortage Contingency Plan*." On April 7, 2017, after significant improvement in water supply conditions across California, the Governor issued Executive Order B-40-17, which rescinded mandatory conservation measures for most California counties (including the County).

In 2018, the California Governor signed Senate Bill 606 and Assembly Bill 1668 into law. These bills relate to water conservation and drought planning and empower DWR and the State of California Water Resources Control Board to adopt long-term standards for the following: (i) indoor residential water use; (ii) outdoor residential water use; (iii) commercial, industrial and institutional water use for landscape irrigation; and (iv) water loss. The indoor water use standard has been defined as 55 gallons per person per day ("GPCD") until January 2025; the standard will decrease over time to 50 GPCD in January 2030. Standards for outdoor residential water use and commercial, industrial and institutional water use for landscape irrigation are still being developed. Urban water suppliers will be required to stay within annual water budgets, based on these standards, for their service areas.

The City is unable to predict the effect on the Water System of the implementation of Senate Bill 606 and Assembly Bill 1668 or any future legislation with respect to water conservation. However, the City is meeting and believes that it will continue to be able to meet the 55 GPCD standard for indoor water use, along with annual State-mandated water use efficiency standards, based on the City's current water demands and ongoing efforts to encourage conservation, as described below under the subcaption "—*Water Shortage Contingency Plan*." The City also has a tiered rate structure for residential customers that further promotes water use efficiency by charging a higher rate for water use in excess of maximum amounts within each tier. See the caption "—Water System Rates and Charges—*Current Rates and Charges*."

On October 19, 2021, the Governor declared a Statewide drought state of emergency and requested that all water users voluntarily reduce water use by 15%. On March 28, 2022, the Governor requested that all water users voluntarily reduce water use by 20%. These declarations encouraged water agencies to draw upon supplies other than groundwater and to implement their water shortage contingency plans and authorized the State Water Resources Control Board (the "SWRCB") to adopt regulations that prohibit wasteful water use (such as the use of potable water to wash paved surfaces or to irrigate landscaping during the two days following rainfall). Such regulations went into effect on June 10, 2022.

In order to achieve compliance with the SWRCB's June 10, 2022 regulations, the City is currently implementing Stage 2 of its water shortage contingency plan. The City believes that it has significant water supplies and storage and is well positioned to respond to both drought and regulatory requirements. At this time, the City does not foresee a water supply shortage. See the subcaption "—*Water Shortage Contingency Plan*." There can be no assurance that subsequent State declarations will not impose mandatory water use restrictions should dry conditions return in future years. The City notes that the State experienced significant precipitation in the winter and early spring of 2023.

Water Shortage Contingency Plan. On September 15, 2021, the City adopted Ordinance No. 2214, which added water conservation regulations to the City's municipal code. The City's water shortage contingency plan, which is referred to as the Water Conservation Plan and which meets State guidelines for such plans, calls for the City to respond to a water shortage in stages as follows:

- Stage 1: Declaring a Stage 1 Drought Emergency demonstrates the need to reduce the City's water demand by a maximum of 10% and includes voluntary water use restrictions, such as restricting watering outdoors without the use of drip irrigation or micro-spray systems to three times per week.

- Stage 2: Declaring a Stage 2 Drought Emergency demonstrates the need to reduce the City's water demand between 11% and 20% and includes mandatory water use restrictions, such as restricting watering outdoors without the use of drip irrigation or micro-spray systems to two times per week, prohibiting the installation of non-drip irrigation or micro-spray systems used in outdoor watering in new commercial and residential developments requesting water service and prohibiting the use of potable water to irrigate ornamental turf on public street medians.

- Stage 3: Declaring a Stage 3 Drought Emergency demonstrates the need to reduce the City's water demand between 21% and 30% and includes mandatory water use restrictions, such as restricting watering outdoors without the use of drip irrigation or micro-spray systems to one time per week, restricting the filling of swimming pools and hot stubs to not more than one time per week, restricting the use of potable water from fire hydrants to firefighting and emergency and public health related activities, prohibiting the installation of non-drip irrigation or micro-spray systems used in outdoor watering in new commercial and residential developments requesting water service, prohibiting the use of potable water to irrigate ornamental turf on public street medians and prohibiting the washing of vehicles unless performed at commercial car wash facilities.

- Stage 4: Declaring a Stage 4 Drought Emergency demonstrates the need to reduce the City's water demand between 31% and 40% and includes mandatory water use restrictions such as completely prohibiting watering outdoors without the use of drip irrigation or micro-spray systems in addition to the other water use restrictions applicable under Stage 3.

- Stage 5: Declaring a Stage 5 Drought Emergency demonstrates the need to reduce the City's water demand between 41% and 50% and includes the other water use restrictions described in the City's water contingency plan.

- Stage 6: Declaring a Stage 6 Drought Emergency demonstrates the need to reduce the City's water demand by more than 60% and includes the other water use restrictions described in the City's water contingency plan.

The City is empowered to enforce its water shortage contingency plan with successively increasing fines, the installation of flow restriction devices and the termination of water service.

The projected Water System operating results that are set forth under the caption "WATER SYSTEM FINANCIAL INFORMATION—Projected Operating Results and Debt Service Coverage" do not reflect the implementation of mandatory levels of the City's water contingency plan. The City does not currently expect that the implementation of the City's water contingency plan in the future will have a material adverse effect on its ability to pay the Series 2024 Installment Payments from Net Revenues. As discussed under the caption "—Water System Rates and Charges," the City's rate structure consists of variable and fixed rate components. Decreased water consumption is partially offset by a decrease in related variable costs, while fixed water charges largely cover the Water System's fixed operating and maintenance costs. In addition, the City has covenanted to set Water System rates and charges in an amount that it expects to be sufficient to produce Net Revenues of at least 120% of Debt Service, as further described under the caption "SECURITY FOR THE BONDS—Additional Parity Bonds and Contracts."

It is likely that a water shortage will arise again in the future. In such event legal issues exist as to whether different California Water Code provisions or State regulations will be invoked to manage the allocation of water. Any curtailment pursuant to State orders could necessitate an increase in the City's water rates to Water System customers. See the caption "CONSTITUTIONAL LIMITATIONS ON

APPROPRIATIONS AND CHARGES—Proposition 218" for a discussion of certain restrictions on the City's ability to raise water rates.

Historical Water System Supply

The following table shows sources of supply for the Water System for the last five Fiscal Years.

Table 1
City of Monterey Park
Historical Water Supply in Acre Feet

Fiscal Year Ending June 30	*Main Basin Groundwater*	*Imported Water*[(2)]	*Total*	*Percentage Increase/ (Decrease)*
2019	7,540	0	7,540	N/A
2020	7,448	10	7,584	3.1%
2021	7,578	25	7,288	(3.9)
2022[(1)]	7,063	144	6,884	(5.5)
2023[(1)]	4,069	2,000	6,069	(11.8)

(1) Declines in Fiscal Years 2021-22 and 2022-23 result from conservation measures imposed by the City and low water demand for irrigation resulting from unusually high precipitation.
(2) The City purchased imported water during the construction of the CGTS facility. See the caption "THE WATER SYSTEM—Water Quality and Treatment—*City Water Treatment Facilities*."
Source: The City.

Historical Water System Deliveries

Historical water deliveries reflect connections to the Water System as well as water demand, which can be affected by weather conditions, State mandates and other factors. The following table shows potable water deliveries to Water System customers for the last five Fiscal Years.

Table 2
City of Monterey Park
Historical Water System Deliveries in Acre Feet[(1)]

Fiscal Year Ending June 30	*Residential*	*Commercial*	*Institutional*	*Government*	*Total*	*Percentage Increase/ (Decrease)*
2019	4,678	1,754	15	153	6,447	N/A
2020	4,778	1,605	16	125	6,524	1.2%
2021	5,324	1,539	18	207	7,088	8.6
2022[(1)]	4,763	1,558	17	167	6,505	(8.2)
2023[(2)]	4,240	1,386	13	120	5,759	(11.5)

(1) Declines in Fiscal Year 2021-22 result from drought conservation measures imposed by the City.
(2) Declines in Fiscal Year 2022-23 result from low water demand for irrigation resulting from unusually high precipitation.
Source: The City.

Historical Water System Connections

The following table shows the number of connections to the Water System for the last five Fiscal Years.

Table 3
City of Monterey Park
Historical Water System Connections

Connection Type	*Fiscal Year 2018-19*	*Fiscal Year 2019-20*	*Fiscal Year 2010-21*	*Fiscal Year 2021-22*	*Fiscal Year 2022-23*
Residential	12,643	12,643	12,591	12,629	12,750
Commercial	879	874	877	875	875
Institutional	7	7	7	7	7
Government	105	107	110	112	112
TOTAL	13,634	13,631	13,585	13,623	13,744
Percentage Increase/(Decrease)	N/A	(0.02%)	(0.33%)	0.28%	0.89%

Source: The City.

Historical Water System Sales Revenues

Water System sales revenues reflect water deliveries as well as adopted rates and charges. See the captions "—Historical Water System Deliveries" and "—Water System Rates and Charges." The following table shows the sales revenues of the Water System for the last five Fiscal Years. Connection fees are not included in the below numbers.

Table 4
City of Monterey Park
Historical Water System Sales Revenues

Fiscal Year Ending June 30	*Residential*	*Commercial*	*Institutional*	*Government*	*Total*	*Percentage Increase/ (Decrease)*
2019	$12,466,517	$2,632,193	$33,717	$ 2,205	$15,134,633	N/A
2020[1]	11,387,381	1,947,216	32,373	329,205	13,696,176	(9.5%)
2021[2]	12,920,533	2,233,052	35,092	759,710	15,948,387	16.4
2022[3]	11,545,187	1,887,079	28,604	628,762	14,089,633	(11.7)
2023[4]	10,464,100	1,789,337	24,332	307,930	12,585,699	(10.7)

(1) Decline in Fiscal Year 2019-20 due to nonpayment during COVID-19 pandemic, during which the City was prohibited from, and did not, shut off water for nonpayment. In addition, in Fiscal Year 2019-20, the City decreased water rates to just under Fiscal Year 2017-18 levels. Revenues in Fiscal Year 2019-20 include approximately $2.6 million received under the EPA Settlement. See the caption "—Water Quality and Treatment—*EPA Settlement*."

(2) Revenues in Fiscal Year 2020-21 include approximately $1.855 million received from the federal government under the EPA Settlement. See the caption "—Water Quality and Treatment—*EPA Settlement*." Fiscal Year 2020-21 revenues also include approximately $577,276 from the State Water Resources Control Board under the American Rescue Plan Act.

(3) Declines in Fiscal Year 2021-22 result from drought conservation measures imposed by the City and a reduction in the amount received under the EPA Settlement. In Fiscal Year 2021-22 the City received approximately $700,000 under the EPA Settlement. See the caption "—Water Quality and Treatment—*EPA Settlement*."

(4) Declines in Fiscal Year 2022-23 result from low water demand for irrigation resulting from unusually high precipitation and a reduction in the amount received under the EPA Settlement: In Fiscal Year 2022-23 the City received approximately $7,000 under the EPA Settlement. The City expects to receive retroactive payments for Fiscal Year 2022-23 under the EPA Settlement in Fiscal Year 2023-24 but the amount and timing of such payments is unknown. See the caption "—Water Quality and Treatment—*EPA Settlement*." See Table 14 for assumptions relating to future payments under the EPA Settlement.

Source: The City.

Largest Water System Customers

The following table shows the largest Water System customers for the Fiscal Year ended June 30, 2023, as determined by annual payments.

Table 5
City of Monterey Park
Ten Largest Water System Customers

Water Customer	*Customer Type*	*Water Charges*[2]	*Percentage of Total Revenues*[2]
Garfield Medical Center[1]	Commercial	$ 112,800	0.70%
Atlantic Times Square II, LLC	Commercial	101,697	0.63
Monterey Park 3600 LLC	Commercial	100,915	0.63
Aespace America Inc	Commercial	83,717	0.52
Moon Valley Nursery of Ca, Inc.	Commercial	65,033	0.40
Garfield Estates	Multi-Family	61,449	0.38
Monterey Park Hospital	Commercial	55,599	0.35
Continental Homes	Multi-Family	51,443	0.32
Emerald Hills LLC	Commercial	45,441	0.28
Golden Age Village	Multi-Family	39,776	0.25
Total		$ 717,871	4.47%

(1) Reflects one property with multiple accounts.
(2) Based on the City's audited financial statements for the Fiscal Year ended June 30, 2023.
Source: City.

Water System Rates and Charges

General. The Water System's rates and charges are set by the City Council and are not subject to the jurisdiction of, or regulation by, the California Public Utilities Commission or any other regulatory body. The City is, however, required to comply with the notice, hearing and majority protest provisions of Article XIIID of the State Constitution, which is popularly known as Proposition 218, as to Water System rates and charges. See the caption "CONSTITUTIONAL LIMITATIONS ON APPROPRIATIONS AND CHARGES—Proposition 218" for further information with respect to Proposition 218.

The City Council determines the adequacy of the charge structure for water service in the service area after full consideration of expected operations, maintenance, capital costs and capital repayment obligations of the Water System. The City Council sets water rates and charges at a level that it determines is sufficient to pay all Operation and Maintenance Costs of the Water System, to make debt service payments and to maintain appropriate reserves for the Water System in compliance with the rate covenant set forth in the Installment Purchase Agreement.

The 2024 Project includes the replacement of all of the City's existing water meters, which are past their useful life. The existing meters are Single-jet AMR meters. The new meters are expected to use ultrasonic technology, which holds its accuracy longer than standard meters. Additionally, the proposed replacement meters will provide instant data to the City and water users, including notification of leaks, which will reduce water waste. See the caption "THE 2024 PROJECT" for a further discussion regarding the 2024 Project.

Adopted Water Rates and Charges. On December 20, 2023, the City adopted rates (the "Adopted Rate Plan") effective February 1, 2024 in accordance with the provisions of Proposition 218. The Adopted Rate Plan includes increases of up to 32% effective February 1, 2024, 8% effective July 1, 2024, 8% effective

July 1, 2025, 7% effective July 1, 2026 and 8% effective July 1, 2027. On February, 21, 2024, the City Council approved the implementation of water rates and charges consistent with the Adopted Rate Plan, as follows: increases of 28% effective March 1, 2024, 8% effective July 1, 2024, 7% effective July 1, 2025, 7% effective July 1, 2026 and 6% effective July 1, 2027. The water rates described in the following tables reflect the implementation of the City Council's February 21, 2024 direction. There can be no assurance that the City Council will not repeal or modify the rates that are set forth in the Adopted Rate Plan in the future or that the City's ratepayers will not approve an initiative to repeal or modify any increase in water rates and charges approved by the City Council.

The Adopted Rate Plan includes a monthly service charge and a water consumption charge. The water rates for the Adopted Rate Plan are set forth below:

Table 6
City of Monterey Park
Monthly Water Service Charge

	Monthly Service Charge				
Meter Size	***March 1, 2024***	***July 1, 2024***	***July 1, 2025***	***July 1, 2026***	***July 1, 2027***
5/8"	$ 19.48	$ 21.04	$ 22.51	$ 24.09	$ 25.53
3/4"	26.29	28.39	30.38	32.51	34.46
1"	39.91	43.10	46.12	49.34	52.30
1-1/2"	73.95	79.86	85.46	91.44	96.92
2"	114.80	123.98	132.66	141.95	150.47
3"	223.74	241.64	258.55	276.65	293.25
4"	346.29	373.99	400.17	428.19	453.88
6"	686.72	741.66	793.57	849.12	900.07
8"	1,095.23	1,182.85	1,265.65	1,354.25	1,435.50

Source: The City.

Table 7
City of Monterey Park
Monthly Water Consumption Rates Per Unit[1]

	Monthly Consumption Rate				
Water Use Type	***March 1, 2024***	***July 1, 2024***	***July 1, 2025***	***July 1, 2026***	***July 1, 2027***
Single Family Residential Tier 1 (0-10 units)	$3.17	$3.43	$3.67	$3.92	$4.16
Single Family Residential Tier 2 (11-16 units)	4.19	4.52	4.84	5.18	5.49
Single Family Residential Tier 3 (17 units and above)	7.92	8.55	9.15	9.79	10.38
All Other	3.95	4.27	4.57	4.89	5.18

[1] One unit equals 100 cubic feet or 748 gallons of water.
Source: The City.

Meter Installation Fees. The City charges a connection fee for water meter installation to customers for connecting to the Water System. Current average connection fees by meter size are as follows:

City of Monterey Park
Water System Connection Fees

Meter Size	
5/8"	$ 0.00
3/4" & /1" fire	3,026.00
1"	5,448.00
1½"	8,474.00
2"	13,619.00
3"	24,211.00
4"	41,159.00
6"	84,739.00
8"	156,767.00

Comparison to Nearby Service Providers. The table below sets forth a comparison of the City's typical water bill (monthly equivalent) for a single family residential user to those of certain nearby water purveyors. Information for agencies other than the City is as of calendar year 2023 where available, while information for the City is as of the date of this Official Statement.

Table 8
City of Monterey Park
Water Rate Comparison

Water Service Provider	***3/4" Meter Monthly Fixed Rate***[1]	***Rate per HCF***[1]	***Total Monthly Water Bill***[1]
City of Monterey Park (as of 3/1/2024)	$26.29	$3.17	$57.99
City of Alhambra	34.90	2.73	62.20
City of Whitter	65.84	2.08	86.64
San Gabriel Valley Water Company	27.14	4.35	70.64
City of El Monte	37.15	3.64	73.55
City of Pasadena	49.32	1.44	63.72

(1) Based on 10 HCF of water use and ¾" meter size. All rates reflect first tier usage only for agencies that have a tiered rate structure, including the City.
Source: The City.

Water System Collection Procedures

The City is currently transitioning from a bimonthly to a monthly billing cycle for Water System customers. The transition was completed for all customers by the end of February 2024. At that time, a consolidated bill which includes wastewater and other utility charges is sent to customers every month for services rendered in the prior month. All accounts that remain unpaid on the 34th day following the delivery of an invoice incur a penalty of the lesser of 10% of the amount due or $10, and a notice is mailed to the billing and service address requiring payment within 48 days. If payment is not received by the 83rd day following the original delivery of an invoice, a two weeks-notice of shutoff is posted at the service address and a final notice is mailed to the billing address. If payment is not received by the second week following the posting of the shutoff notice, service is shut off. Accounts that have service discontinued without an alternate payment plan are not reconnected without full payment of the delinquent bill and all penalties, including a tagging fee, a reinstatement fee, and certain other charges.

As of December 31, 2023, less than 3% of the Water System's outstanding billings were delinquent, which is slightly higher than historical averages of approximately 2.81%. In January 2022, all delinquent accounts were brought to a zero balance as a result of payments from the State Water Resources Control Board COVID-19 Coronavirus State and Local Fiscal Recovery Fund, in the total amount of $577,276. This figure reflects an aging report and reflects the total of all bills not paid during prior Fiscal Years, including amounts shown as delinquent relating to the COVID-19 outbreak (during which the City did not shut off water for delinquent accounts through June 2023) and delinquencies being paid over time under customer payment plans.

Future Water System Improvements

The City projects total capital improvements to the Water System of approximately $46 million during Fiscal Years 2023-24 through 2027-28, including carryover from Fiscal Year 2022-23, as reflected in the following table. Such capital improvements are expected to be financed using a combination of the Bond proceeds and Revenues remaining after the payment of Operation and Maintenance Costs and Series 2024 Installment Payments. The City does not currently expect to issue or incur any Parity Bonds or Contracts to finance improvements to the Water System in the next five years.

Future Water Improvement Projects	*Fiscal Year 2022-23 Carryover Balance*	*Fiscal Year 2023-24*	*Fiscal Year 2024-25*	*Fiscal Year 2025-26*	*Fiscal Year 2026-27*	*Fiscal Year 2027-28*	*Total*[*]
Mira Valle Water Project	-	-	$ 540,000	-	-	-	$ 540,000
Monterey Park Golf Course Water Main Extension	-	-	630,000	-	-	-	630,000
Russell Street Reservoir Rehabilitation[(1)]	$ 1,219,617	-	2,315,008	-	-	-	3,534,625
N. Atlantic Water Improvement[(1)]	1,678,928	-	545,922	-	-	-	2,224,850
Program Logic Controller Upgrade[(1)]	387,341	$ 612,659	-	-	-	-	1,000,000
Water Meter Replacements[(1)(2)]	4,946,388	-	4,000,000	-	-	-	8,946,388
Water Main Replacement - Northeast (Phase 4)[(1)]	-	-	2,400,000	-	-	-	2,400,000
Water Main Replacement - Northeast (Phase 5)	-	-	-	$ 2,700,000	-	-	2,700,000
De La Fuente St Mainline Replacement	-	-	-	6,000,000	-	-	6,000,000
Montechico Dr Mainline Replacement	-	-	-	1,300,000	-	-	1,300,000
Russell Booster Station[(1)]	-	-	-	2,800,000	-	-	2,800,000
Brockwell Ave Mainline Replacement	-	-	-	-	$ 5,500,000	-	5,500,000
Replace Delta Settling Tanks	-	-	-	-	2,700,000	-	2,700,000
East Graves Ave Mainline Replacement	-	-	-	-	-	$ 670,000	670,000
Brightwood Booster Station Rehab	-	-	-	-	-	1,900,000	1,900,000
Graylock Ave Mainline Replacement	-	-	-	-	-	3,000,000	3,000,000
Pipeline Seismic Upgrade		-	-	-	-	200,000	200,000
Total[*]	$ 8,232,274	$ 612,659	$10,430,930	$12,800,000	$ 8,200,000	$ 5,770,000	$ 46,045,863

[*] Totals may not sum due to rounding.
[(1)] Constitutes part of the 2024 Project. See the caption "THE 2024 PROJECT."
Source: The City.

Projected Water System Supply

The following table shows the sources of supply for the Water System projected by the City for the current and next four Fiscal Years.

Table 9
City of Monterey Park
Projected Water Supply in Acre Feet

Fiscal Year Ending June 30	*Main Basin Groundwater*	*Imported Water*[2]	*Total*	*Percentage Increase/ (Decrease)*
2024	4,574	2,000	6,574	8.3%[1]
2025	6,702	0	6,702	1.9
2026	6,833	0	6,833	2.0
2027	6,965	0	6,965	1.9
2028	7,101	0	7,101	2.0

(1) See Table 1.
(2) The CGTS facility is operational and the City does not expect to purchase imported water in Fiscal Years 2024-25 through 2027-28. See the caption "THE WATER SYSTEM—Water Quality and Treatment—*City Water Treatment Facilities*."
Source: The City.

Projected Water System Deliveries

The following table shows Water System deliveries projected by the City for the current and next four Fiscal Years. Water System deliveries can be affected by a number of factors, including connections to the Water System, State mandates and weather conditions. See the caption "—Projected Water System Connections" below.

Table 10
City of Monterey Park
Projected Water System Deliveries in Acre Feet

Fiscal Year Ending June 30	*Residential*	*Commercial*	*Institutional*	*Government*	*Total*	*Percentage Increase/ (Decrease)*
2024	4,598	1,503	14	130	6,245	8.4%
2025	4,809	1,588	16	155	6,568	5.2
2026	4,903	1,619	16	158	6,696	2.0
2027	4,997	1,651	17	161	6,826	1.9
2028	5,095	1,683	17	164	6,959	2.0

(1) See Table 2.
Source: The City.

Projected Water System Connections

The following table shows the number of retail connections to the Water System projected by the City for the current and next four Fiscal Years. The City is essentially built out and therefore the City does not anticipate a significant increase in future connections to the Water System during the projection period, as reflected in the following table.

Table 11
City of Monterey Park
Projected Water System Connections

Connection Type	*Fiscal Year 2023-24*	*Fiscal Year 2024-25*	*Fiscal Year 2025-26*	*Fiscal Year 2026-27*	*Fiscal Year 2027-28*
Residential	12,755	12,760	12,765	12,770	12,775
Commercial	876	877	878	879	880
Institutional	7	7	7	7	7
Government	112	112	112	112	112
Total	13,750	13,756	13,762	13,768	13,774
Percentage Increase/(Decrease)	0.0%[1]	0.0%	0.0%	0.0%	0.0%

[1] See Table 3.
Source: The City.

Projected Water System Sales Revenues

The following table shows the sales revenues of the Water System projected by the City for the current and next four Fiscal Years. The projections: (i) are based on the projected water deliveries that are described under the caption "—Projected Water System Deliveries;" and (ii) assume Water System rate increases in accordance with the Adopted Rate Plan, as described under the caption "—Water System Rates and Charges—General." See the caption "CONSTITUTIONAL LIMITATIONS ON APPROPRIATIONS AND CHARGES—Proposition 218."

Table 12
City of Monterey Park
Projected Water System Sales Revenues[1]

Fiscal Year Ending June 30	*Residential*	*Commercial*	*Institutional*	*Government*	*Total*	*Percentage Increase/ (Decrease)*
2024	$13,634,141	$2,860,932	$38,343	$745,689	$17,279,104	37.3%[2]
2025	16,171,679	3,583,327	58,539	886,394	$20,699,940	19.8
2026	17,358,787	3,931,240	63,001	914,748	$22,267,777	7.6
2027	18,692,584	4,259,185	67,813	938,571	$23,958,154	7.6
2028	19,944,952	4,513,872	72,330	1,014,177	$25,545,332	6.6

[1] Revenues from water sales in this table include estimated EPA Settlement payments of $1.5 million in Fiscal Year 2023-24 (including amounts owed but not paid in prior Fiscal Years) and $600,000 in each of Fiscal Years 2024-25 through 2027-28. See footnote 1 to Table 14.
[2] See Table 4.
Source: City.

WATER SYSTEM FINANCIAL INFORMATION

Available Cash

As of June 30, 2023, the Water System had approximately $15,955,496 in available cash and investments.

Management Discussion of Historic Operating Results and Debt Service Coverage

As discussed in Note 17 to the City's audited financial statements for Fiscal Year 2019-20, the City restated the net position of the business-type activities and major enterprise fund at July 1, 2019. The beginning net position of the business-type activities in the government-wide financial statements and of the Water Utility Enterprise Fund in the proprietary fund financial statements have been restated (decreased) by $413,040 to correct the duplicate reporting of a grant reimbursement receivable in the prior year. Table 13 reflects this restatement.

GASB Statement No. 34 requires consolidated government-wide statements with a single Statement of Net Assets and a single Statement of Activities. As a general rule, the assets and liabilities of internal service funds will be eliminated, for the most part, in the process of consolidation. Any remaining balances that are not eliminated normally will be reported in the appropriate business-type or governmental. In accordance with this procedure, the net position of the Water Fund was adjusted (decreased) to reflect the consolidation to the Internal Service Fund by the following amounts: $4,005,039 as of June 30, 2019, $5,105,729 as of June 30, 2020, $5,778,933 as of June 30, 2021, $6,415,914 as of June 30, 2022, and $6,829,215 as of as of June 30, 2023.

In the City's audited financial statement for the year ended June 30, 2023, the beginning net position of the Water Utility Enterprise Fund was restated to reallocate the deferred outflows and inflows of the City's pension and OPEB costs and liabilities, resulting in a net increase in the beginning net position of $1,523,021.

Historical Operating Results and Debt Service Coverage

The following table is a summary of operating results of the Water System for the last five Fiscal Years. These results have been derived from the audited financial statements of the City for each of the Fiscal Years reflected in the table, but exclude certain receipts which are not included as Revenues under the Installment Purchase Agreement and certain non-cash items and include certain other adjustments.

Table 13
City of Monterey Park
Historical Water System Operating Results and Debt Service Coverage
Fiscal Year Ended June 30

	Fiscal Year 2018-19	*Fiscal Year 2019-20*	*Fiscal Year 2020-21*	*Fiscal Year 2021-22*	*Fiscal Year 2022-23*[14]
Revenues					
Charges for Services[1]	$ 15,134,633	$ 13,696,176	$ 15,948,387	$ 14,089,633	$ 12,585,699[15]
Meter Installations[2]	116,691	95,264	139,336	141,629	166,426
Interest Income	448,388	414,414	18,680	9,787	650,145
Other[3]	1,806,647	2,260,426	1,410	4	-
Total Revenues	$ 17,506,359	$ 16,466,280	$ 16,107,813	$ 14,241,053	$ 13,402,270
Operation and Maintenance Costs					
Administration[4]	$ 3,789,425	$ 3,553,680	$ 3,349,317	$ 842,223	$ -
Commercial—Water[5]	951,425	1,061,068	1,209,198	1,326,338	-
Production—Water[6]	3,019,332	3,357,468	4,064,639	4,220,297	-
Distribution—Water[7]	733,727	816,467	875,651	2,386,203	-
Treatment Plant Operations[8]	3,808,671	3,592,854	4,119,961	2,768,689	-
Operation[9]	-	-	-	-	11,860,266[16]
Salaries and Benefits[10]	-	-	-	-	3,526,785
General and administrative[11]	-	-	-	-	1,155,284
Total Operation and Maintenance Costs	$ 12,302,580	$ 12,381,537	$ 13,618,766	$ 11,543,750	$ 16,542,335
Net Revenues	$ 5,203,779	$ 4,084,743	$ 2,489,047	$ 2,697,303	$ (3,140,065)
Debt Service					
2001 Installment Sale Agreement[12]	$ 113,572	$ 113,318	$ 113,053	$ 112,778	$ 112,491
Total Debt Service	$ 113,572	$ 113,318	$ 113,053	$ 112,778	$ 112,491
Debt Service Coverage	45.82x	36.05x	22.02x	23.92x	(27.91x)[17]
Remaining Net Revenues	$ 5,090,207	$ 3,971,425	$ 2,375,994	$ 2,584,525	$ (3,252,556)
Subordinate Debt Service					
Siemens Loan[13]	$ 626,450	$ 666,526	$ 683,882	$ 721,163	$ 761,199

(1) See the caption "THE WATER SYSTEM—Historical Water Sales Revenues" and Table 4. Fiscal Years 2020-21, 2021-22, and 2022-23 include amounts received under the EPA Settlement and payments from the State Water Resources Control Board pursuant to the American Rescue Plan Act. See Table 4 and the caption "—Water Quality and Treatment—*EPA Settlement*." EPA Settlement Amounts for Fiscal Years 2018-19 and 2019-20 are included in "Other." See footnote 3, below.

(2) Connection Fees. See the caption "THE WATER SYSTEM—Water System Rates and Charges."

(3) Amount for Fiscal Year 2018-19 includes $1,254,987 received under the EPA Settlement. Amount for Fiscal Year 2019-20 includes $1,413,909 received under the EPA Settlement. EPA Settlement Amounts for Fiscal Years 2020-21, 2021-22, and 2022-23 are shown in "Charges for Services." See footnote 1, above. Also see the caption "—Water Quality and Treatment—*EPA Settlement*."

(4) Provides the overall direction and administrative guidance for the Water Utility Division, including preparation of all required water quality and production reports. Reduction in Fiscal Year 2021-22 is due to accounting for Administration costs moving to the "Distribution—Water" category. Beginning in Fiscal Year 2022-23, Administration costs are reflected in the "General and Administrative" category.

(5) Provides coordination with the Management Services Department, provides for approximately 80,249 meter readings, billing, and collection of revenue from approximately 13,643 water meters. The City's consumers average 917 requests for service per month for routine problems including billing, leaks, water quality, general water service inquiries, backflow/cross-connection, and water conservation education.

(6) Provides for producing, treating, and delivering to the City's customers, potable water that meets or exceeds all water quality standards established by Federal and State regulatory agencies. The operation and inspection of 12 wells, 11 pumping stations, and 13 reservoirs (including two abandoned reservoirs) are provided by California Department of Public Health certified water treatment personnel to meet an average daily demand of approximately 8 million gallons of water.

(7) Provides for the installation of new service taps, renewed water service taps, repair of water mains and services as necessary, and the maintenance of water facilities. Within the distribution system there are 13,456 water accounts, 134 miles of distribution mains, approximately 1,063 fire hydrants, and 2,073 gate valves.

[Footnotes continue on following page.]

[Footnotes continue from previous page.]

(8) Provides for the costs associated with water remediation activities for the Dual Barrier treatment facility, which is operated for use by Well Nos. 9, 12, and 15 for removal of volatile organic compounds not removed by the Well No. 12 Air Stripper; as indicated by the Environmental Protection Agency's Interim Action Record of Decision (IROD) to help facilitate the removal of Perchlorate and Volatile Organic Compounds (VOC) in the groundwater from the San Gabriel Valley Water Basin; ground water remediation for Wells No. 1, No. 3, No. 10 and Fern Well for volatile organic compounds (VOC) and future contaminants that may be found in the system. This includes the operation and maintenance of the Granular Activated Carbon (GAC) treatment system for these wells. This treatment plant has a capacity of 4,500 gallons per minute and requires continual scheduled maintenance and monitoring; provides for the costs associated with ground water remediation for Well No. 5 for volatile organic compounds that may be found in the groundwater. Decrease in Fiscal Year 2021-22 reflects vacant Water System staff positions (a reduction of five full-time and one part-time Water System staff compared with Fiscal Year 2020-21).

(9) Operations and maintenance costs of the Water System, excluding salary and benefits and administration expenses. Includes the cost to purchase imported water in the amount of approximately $183,652 in Fiscal Year 2021-22, $1,028,170 in Fiscal Year 2022-23, and $1,840,160 in Fiscal Year 2023-24. See Table 1 and the caption "THE WATER SYSTEM—Water Quality and Treatment—City Water Treatment Facilities."

(10) Salary and benefits include the fully burdened direct cost for service of employees in the water division.

(11) Expenses of doing business not readily identified with a particular activity including City Manager, City Attorney, Finance, Human Resources, Risk Management, Technology, and City Clerk's functions.

(12) The 2001 Installment Sale Agreement was prepaid paid in full on March 12, 2024 and is no longer outstanding. See "THE CITY—No Outstanding Parity Obligations."

(13) Reflects approximately 85% of the annual Siemens Lease payment, which is allocated to the Water System and paid from Net Revenues on a subordinate basis to the Bonds. See "THE CITY—Outstanding Parity and Subordinate Obligations."

(14) The City retained the Auditor to prepare the City's audited financial statements for Fiscal Year 2022-23. The City's audited financial statements for the prior fiscal years reflected in this table were prepared by another auditor. The categorization of Operation and Maintenance Costs for Fiscal Year 2022-23 and in Table 14 reflect the categorization required by the Auditor for Fiscal Year 2022-23.

(15) The City's current utility billing system does not allow for historical reporting, only present day reporting. The accrual report for Fiscal Year 2022-23 was collected from the utility billing system in July of 2023, whereas in prior years the accrual report was collected in August. The City estimates that by collecting the accrual report one month earlier than in prior years, the Fiscal Year 2022-23 Revenues are understated by approximately $600,000.

(16) Operations costs for Fiscal Year 2022-23 include approximately $3,185,593 in one-time emergency repairs to the Monterey Pass Road water main and approximately $1,090,678 for costs of redesign and testing at the CGTS facility.

(17) The 2001 Installment Sale Agreement includes a covenant to set water rates and charges sufficient to produce Net Revenues of at least 120% of debt service in each Fiscal Year (the "2001 Rate Covenant"). The 2001 Rate Covenant was not met in Fiscal Year 2022-23. Fiscal Year 2022-23 debt service coverage would be increased to -18.72 times if Revenues for Fiscal Year were increased by $600,000 to account for the missed accrual described in footnote 15, above.

Source: The City.

Projected Operating Results and Debt Service Coverage

Estimated projected operating results for the Water System for the current and next four Fiscal Years, reflecting certain significant assumptions concerning future events and circumstances (including those set forth in the footnotes to the table), are set forth below. All of such assumptions are material in the development of the City's financial projections, and variations in the assumptions may produce substantially different financial results. Actual operating results achieved during the projection period may vary significantly from those presented in the forecast; such variations may be material and may have a material adverse impact on the Net Revenues available to pay the Series 2024 Installment Payments.

Table 14
City of Monterey Park
Projected Water System Operating Results and Debt Service Coverage
Fiscal Year Ending June 30

	Fiscal Year 2023-24	*Fiscal Year 2024-25*	*Fiscal Year 2025-26*	*Fiscal Year 2026-27*	*Fiscal Year 2027-28*
Revenues					
Charges for Services[1]	$ 17,279,104	$ 20,699,940	$ 22,267,777	$ 23,958,154	$ 25,545,332
Meter Installations[2]	103,000	106,090	109,273	112,551	115,927
Interest Income	60,477	36,834	29,741	28,687	26,668
Other[3]	3,090	3,183	3,278	3,377	3,478
Total Revenues	$ 17,445,671	$ 20,846,047	$ 22,410,069	$ 24,102,769	$ 25,691,405
Operation and Maintenance Costs					
Operation[4]	$ 12,104,281	$ 12,329,279	$ 12,997,390	$ 13,698,753	$ 14,436,327
Salaries and Benefits[5]	3,830,859	4,022,402	4,223,522	4,434,698	4,656,433
General and administrative[6]	1,286,000	1,324,580	1,364,317	1,405,247	1,447,404
Total Operation and Maintenance Costs	$ 17,221,140	$ 17,676,261	$ 18,585,229	$ 19,538,698	$ 20,540,164
Net Revenue	$ 224,531	$ 3,169,786	$ 3,824,840	$ 4,564,071	$ 5,151,241
Debt Service					
2001 Installment Sale Agreement[7]	$ 112,193	$ -	$ -	$ -	$ -
2024 Installment Purchase Agreement[8]	-	1,211,803	1,212,575	1,215,825	1,213,075
Total Debt Service	$ 112,193	$ 1,211,803	$ 1,212,575	$ 1,215,825	$ 1,213,075
Debt Service Coverage	2.00x	2.62x	3.15x	3.75x	4.25x
Remaining Net Revenues	$ 112,338	$ 1,957,983	$ 2,612,265	$ 3,348,246	$ 3,938,166
Subordinate Debt Service					
Siemens Loan[9]	$ 804,851	$ 850,949	$ 888,341	$ 928,551	$ 970,447
San Gabriel Valley WD Loan[10]	$ -	$ 400,000	$ 400,000	$ 400,000	$ 400,000

(1) See the caption "THE WATER SYSTEM—Projected Water Sales Revenues." Projected Charges for Service reflect water charges at rates in effect through February 29, 2024 and increased rates implemented at the direction of the City Council as of March 1, 2024, and assuming rate increases as described under the caption "THE WATER SYSTEM— Water System Rates and Charges—*Adopted Water Rates and Charges*." Amounts reflected in Charges for Service also include estimated EPA Settlement payments of $1.5 million in Fiscal Year 2023-24 (including amounts owed but not paid in prior Fiscal Years) and $600,000 in each of Fiscal Years 2024-25 through 2027-28. See the caption "—Water Quality and Treatment—*EPA Settlement*."

(2) Connection Fees. See the caption "THE WATER SYSTEM—Water System Rates and Charges."

(3) Other Revenues includes amounts estimated to be received from sales of surplus Water System equipment.

(4) Operations and maintenance costs of the Water System, excluding salary and benefits and administration expenses. Assumes an average annual increase in the cost of services and supplies of approximately 5.5%.

(5) Salary and benefits include the fully burdened direct cost for service of employees in the water division. Estimated cost of salaries and benefits is based on the active MOUs, with annual increases of approximately 5% to account for cost of living adjustments and step increases.

(6) Expenses of doing business not readily identified with a particular activity including City Manager, City Attorney, Finance, Human Resources, Risk Management, Technology, and City Clerk's functions.

(7) The $673,067.57 remaining balance of the 2001 Installment Sale Agreement was prepaid paid in full on March 12, 2024 and is no longer outstanding. See "THE CITY—No Outstanding Parity Obligations." The amount shown for Fiscal Year 2023-24 is the Fiscal Year debt service requirement and does not reflect the prepayment amount.

(8) Series 2024 Installment Payments under the Installment Purchase Agreement are pledged to payment of the Bonds. See the caption "SECURITY FOR THE BONDS."

(9) Reflects approximately 85% of the annual Siemens Lease payment, which is allocated to the Water System and paid from Net Revenues on a subordinate basis to the Bonds. See "THE CITY—Outstanding Parity and Subordinate Obligations."

(11) Payments under the 2021 Loan Agreement, which are paid from Net Revenues on a subordinate basis to the Bonds. Payments commence upon completion of testing of the CGTS facility financed through the 2021 Loan Agreement. The City currently estimates that payments under the 2021 Loan Agreement will commence in Fiscal Year 2024-25. See "THE CITY—Outstanding Parity and Subordinate Obligations."

Source: The City.

Employees' Retirement Plan – CalPERS

This caption contains certain information relating to CalPERS. The information is primarily derived from information produced by CalPERS, its independent accountants and actuaries. The City and the Underwriter have not independently verified the information provided by CalPERS and neither makes any representations nor expresses any opinion as to the accuracy of the information provided by CalPERS.

The annual comprehensive financial reports of CalPERS are available on its Internet website at www.calpers.ca.gov. The CalPERS website also contains CalPERS' most recent actuarial valuation reports and other information concerning benefits and other matters. Such information is not incorporated by reference herein. The City cannot guarantee the accuracy of such information. Actuarial assessments are forward-looking statements that reflect the judgment of the fiduciaries of the pension plans, and are based upon a variety of assumptions, one or more of which may not materialize or be changed in the future. Actuarial assessments will change with the future experience of the pension plans.

Plan Description. All qualified permanent and probationary employees are eligible to participate in the City's separate Safety (police and fire) and Miscellaneous (all other) Plans, agent multiple-employer defined benefit pension plans (the "Plans") administered by CalPERS. Benefit provisions under the Plans are established by State statute and City resolution. CalPERS issues publicly available reports that include a full description of the pension plans regarding benefit provisions, assumptions and membership information that can be found on the CalPERS website via http://www.calpers.ca.gov.

Water System Share of CalPERS Plan. Salary and benefit costs of the Water System include funding of retirement benefits for employees assigned to the Water System who, as City employees, participate in the City's Miscellaneous CalPERs Plan. City employees assigned to the Water System constitute approximately 2% of all City employees and payments made by the City to CalPERS from Revenues amounted to approximately $254,723.10 in Fiscal Year 2022-23, or approximately 3.84% of the City's total payments to CalPERS in 2022-23. The information under this caption "—Employees' Retirement Plan – CalPERS" describes the City's overall Safety and Miscellaneous CalPERS plans; however, only the portion of the Miscellaneous CalPERS plan attributable to City employees assigned to the Water System is payable from Revenues.

Benefit Provided. CalPERS provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. A classic CalPERS member or PEPRA Safety member becomes eligible for Service Requirement upon attainment of age 55 with at least 5 years of credited service. PEPRA miscellaneous members become eligible for service retirement upon attainment of age 62 with at least 5 years of service. The service retirement benefit is a monthly allowance equal to the product of the benefit factor, years of service, and final compensation. The final compensation is the monthly average of the member's highest 36 or 12 consecutive months' full-time equivalent monthly pay. Retirement benefits for classic miscellaneous employees are calculated as 2% to 2.7% of the average final 12 months of compensation. Retirement benefits for PEPRA miscellaneous employees are calculated as 2% of the average final 36 months compensation. Retirement benefits for classic safety employees are calculated as 3% of the average final 12 months compensation. Retirement benefits for PEPRA safety employees are calculated as 2.7% of the average final 36 months of compensation.

A participant is eligible for non-industrial disability retirement if he or she becomes disabled and has at least 5 years of credited service. There is no special age requirement. The standard non-industrial disability retirement benefit is a monthly allowance equal to 1.8 percent of final compensation, multiplied by service.

Industrial disability benefits are not offered to miscellaneous employees. The City provides industrial disability retirement benefit to safety employees. The industrial disability retirement benefit is a monthly allowance equal to 50 percent of final compensation.

An employee's beneficiary may receive the basic death benefit if the employee dies while actively employed. The employee must be actively employed with the City to be eligible for this benefit. An employee's survivor who is eligible for any other pre-retirement death benefit may choose to receive that death benefit instead of this basic death benefit. The basic death benefit is a lump sum in the amount of the employee's accumulated contributions, where interest is currently credited at 7.15 percent per year, plus a lump sum in the amount of one month's salary for each completed year of current service, up to a maximum of six months' salary. For purposes of this benefit, one month's salary is defined as the member's average monthly full-time rate of compensation during the 12 months preceding death.

Upon the death of a retiree, a one-time lump sum payment of $5,000 will be made to the retiree's designated survivor(s), or to the retiree's estate.

Benefit terms provide for annual cost-of-living adjustments to each employee's retirement allowance. Beginning the second calendar year after the year of retirement, retirement and survivor allowances will be annually adjusted on a compound basis by 2 percent.

As of June 30, 2021, the valuation date, the following employees were covered by the benefit terms.

	Plans	
	Miscellaneous	***Safety***
Active employees	177	120
Transferred and terminated employees	354	103
Retired employees and beneficiaries	359	251
Total	**890**	**484**

Source: City Audited Financial Statements for Fiscal Year 2022-23.

Contributions. Section 20814(c) of the California Public Employees' Retirement Law requires that the employer contribution rates for all public employers are determined on an annual basis by the actuary and will be effective on the July 1 following notice of a change in the rate. The total plan contributions are determined through CalPERS' annual actuarial valuation process. The actuarially determined rate is the estimated amount necessary to finance the costs of benefits earned by employees during the year, with an additional amount to finance any unfunded accrued liability. The City is required to contribute the difference between the actuarially determined rate and the contribution rate of employees. City contribution rates may change if plan contracts are amended. Payments made by the employer to satisfy contribution requirements that are identified by the pension plan terms as plan member contributions requirements are classified as plan member contributions. The liability for governmental activities is primarily liquidated from the General Fund and the liability for business-type activities is liquidated from the applicable enterprise funds.

Funding Policy. Required employer and employee contributions are determined by CalPERS based upon various actuarial assumptions which are revised annually. The City currently funds the normal pension costs, which are determined by CalPERS using the Entry Age Normal Cost Method, as well as an amortization of the City's unfunded accrued liability.

Beginning with Fiscal Year 2017-18, CalPERS collects employer contributions towards the unfunded liability as a dollar amount instead of the prior method of using a contribution rate. The City funded such amounts in Fiscal Years 2017-18 through 2022-23 and currently expects to do so in Fiscal Year 2023-24. Pursuant to the various Memorandums of Understanding ("MOUs") with the City's employee bargaining units, employees who participate in CalPERS pay 100% of their required employee contributions. The following tables show the City's contribution rates, as determined by CalPERS for Fiscal Years 2017-18 to 2024-25.

On February 16, 2021, the City issued $106,335,000 of pension obligation bonds which was used to pay the City's total unfunded liability to CalPERS as of such date. The information contained in this Official

Statemen reflects the issuance of such pension obligation bonds as additional discretionary payments by the City.

Table 15
City of Monterey Park
CalPERS Contribution Rates
Fiscal Year 2017-18 to 2023-24

Miscellaneous Plan of the City of Monterey Park

Fiscal Year	*Employer Normal Cost*	*Unfunded Liability Contribution*	*Additional Discretionary Payments*
2017–18	10.028%	$ 2,317,801	--
2018–19	10.286	2,661,702	$ 603,700
2019–20	10.841	3,025,584	757,873
2020–21	11.772	3,299,865	41,146,631[1]
2021–22	11.140	3,652,874	--
2022–23	10.700	181,144	--
2023–24	12.290	0	--
2024–25	12.250	393,664	--

(1) On February 16, 2021, the City issued $106,335,000 of pension obligation bonds which was used to pay the City's total unfunded liability to CalPERS as of such date.
Source: CalPERS Miscellaneous Plan for the City of Monterey Park Annual Valuation Report as of June 30, 2022.

Safety Plan of the City of Monterey Park

Fiscal Year	*Employer Normal Cost*	*Unfunded Liability Contribution*	*Additional Discretionary Payments*
2017–18	17.181%	$ 2,591,114	--
2018–19	17.823	3,214,037	--
2019–20	18.883	3,931,364	--
2020–21	19.821	4,473,666	$64,398,586[1]
2021–22	19.800	4,825,723	--
2022–23	19.440	13,209	--
2023–24	20.870	0	--
2024–25	20.800	347,780	--

(1) On February 16, 2021, the City issued $106,335,000 of pension obligation bonds which was used to pay the City's total unfunded liability to CalPERS as of such date.
Source: CalPERS Safety Plan for the City of Monterey Park Annual Valuation Report as of June 30, 2022.

The required employer contributions for Fiscal Year 2024-25 were determined as part of the June 30, 2022, actuarial valuations using the entry age actuarial cost method. See "—*CalPERS Plan Actuarial Methods*" below for a description of CalPERS actuarial assumptions.

Funded Status. The following tables show the recent history of the actuarial accrued liability, the market value of assets, the funded ratio and the annual covered payroll for the City's Miscellaneous Plan and Safety Plan.

Table 16
City of Monterey Park
CalPERS Plans Funded Status

Miscellaneous Plan of the City of Monterey Park

Valuation Date	*Accrued Liability*	*Market Value of Assets*	*Unfunded Accrued Liability*	*Funded Ratio*	*Annual Covered Payroll*
06/30/13	$102,009,772	$ 71,523,485	$ 30,486,287	70.1%	$10,396,777
06/30/14	111,609,312	82,816,954	28,792,358	74.2	11,080,205
06/30/15	116,598,083	83,637,470	32,960,613	71.7	11,618,402
06/30/16	122,973,430	83,051,483	39,921,947	67.5	11,402,975
06/30/17	130,214,252	91,567,275	38,646,977	70.3	10,934,885
06/30/18	141,096,398	98,551,511	42,544,887	69.8	11,795,003
06/30/19	146,994,150	103,674,249	43,319,901	70.5	11,795,682
06/30/20	151,561,504	107,269,345	44,292,162	70.8	11,980,271
06/30/21	158,220,722	173,696,550	(15,475,828)[1]	109.8	11,331,367
06/30/22	165,179,985	155,048,385	10,131,600	93.9	10,893,283

[1] On February 16, 2021, the City issued $106,335,000 of pension obligation bonds which was used to pay the City's total unfunded liability to CalPERS as of such date.
Source: CalPERS Miscellaneous Plan for the City of Monterey Park Annual Valuation Report as of June 30, 2022.

Safety Plan of the City of Monterey Park

Valuation Date	*Accrued Liability*	*Market Value of Assets*	*Unfunded Accrued Liability*	*Funded Ratio*	*Annual Covered Payroll*
06/30/13	$159,897,765	$122,234,753	$37,663,012	76.4%	$11,077,952
06/30/14	174,578,515	139,395,546	35,182,969	79.8	11,205,479
06/30/15	181,456,621	138,488,204	42,968,417	76.3	11,258,518
06/30/16	189,787,783	135,246,032	54,541,751	71.3	11,502,280
06/30/17	203,696,957	146,662,354	57,034,603	72.0	12,055,535
06/30/18	220,781,074	154,992,334	65,788,740	70.2	13,043,559
06/30/19	227,241,185	161,913,577	65,327,608	71.3	13,075,259
06/30/20	235,646,817	166,504,712	69,142,105	70.7	12,488,188
06/30/21	247,337,027	272,109,279	(24,772,252)[1]	110.0	13,634,310
06/30/22	257,419,187	244,546,890	12,872,297	95.0	14,278,731

[1] On February 16, 2021, the City issued $106,335,000 of pension obligation bonds which was used to pay the City's total unfunded liability to CalPERS as of such date.
Source: CalPERS Safety Plan for the City of Monterey Park Annual Valuation Report as of June 30, 2022.

CalPERS Plan Actuarial Methods. The staff actuaries at CalPERS prepare annually an actuarial valuation which is typically delivered in the time period from July through October of each year (thus, the actuarial valuation dated July 2023 (the most recent valuation provided to the City) covered CalPERS' Fiscal Year ended June 30, 2022). The actuarial valuations express the City's required contribution which the City must contribute in the fiscal year immediately following the fiscal year in which the actuarial valuation is prepared (thus, the City's contribution requirement derived from the actuarial valuation as of June 30, 2022 affects the City's Fiscal Year 2024-25 required contribution). CalPERS rules require the City to implement the actuary's recommended rates.

The annual actuarially required contribution rates consist of two components: the normal cost and the unfunded accrued liability ("UAL"). The normal cost represents the actuarial present value of benefits that CalPERS will fund under the CalPERS plans that are attributed to the current year, and the accrued liability (the "AAL") represents the actuarial present value of benefits that CalPERS will fund that are attributed to past years. The UAL represents an estimate of the actuarial shortfall between actuarial value of assets on deposit at CalPERS and the present value of the benefits that CalPERS will pay under the CalPERS plans to retirees and active employees upon their retirement. The UAL is based on several assumptions such as, among others, the expected rate of investment return, average life expectancy, average age of retirement, inflation, salary increases and occurrences of disabilities. In addition, the UAL includes certain actuarial adjustments such as, among others, the actuarial practice of smoothing losses and gains over multiple years (which is described in more detail below). As a result, the UAL may be considered an estimate of the unfunded actuarial present value of the benefits that CalPERS will pay under the CalPERS plans to retirees and active employees upon their retirement and not as a fixed expression of the liability the City owes to CalPERS under its CalPERS plans.

The CalPERS Chief Actuary considers various factors in determining the assumptions to be used in preparing the actuarial report. Demographic assumptions are based on a study of the actual history of retirement, rates of termination/separation of employment, years of life expectancy after retirement, disability, and other factors. This experience study is generally done once every four years. The most recent experience study was completed in 2021 in connection with the preparation of actuarial recommendations by the CalPERS Chief Actuary.

On June 25, 2012, the Governmental Accounting Standards Board approved GASB Statement No. 68 ("GASB 68") with respect to pension accounting and financial reporting standards for state and local governments and pension plans. GASB 68 states that, for pensions within the scope of the statement, a cost-sharing employer that does not have a special funding situation is required to recognize a net pension liability, deferred outflows of resources, deferred inflows of resources related to pensions, and pension expense based on its proportionate share of the net pension liability for benefits provided through the pension plan. While the new accounting standards change financial statement reporting requirements, they do not impact funding policies of the pension systems. On November 25, 2013 the Governmental Accounting Standards Board issued GASB Statement No. 71, which amended GASB 68 to require that, at transition, a government recognize a beginning deferred outflow of resources for its pension contributions, if any, made subsequent to the measurement date of the beginning net pension liability. The audited financial statements of the City for Fiscal Year 2021-22 attached hereto as Appendix A reflects the application of the GASB 68 and GASB 71. GASB 68 is a change in accounting reporting standards but it does not change the City's CalPERS plan funding obligations.

Net Pension Liability. The City's net pension liability for each Plan is measured as the total pension liability, less the pension plan's fiduciary net position. The net pension liability of each of the Plans is measured as of June 30, 2022, using an annual actuarial valuation as of June 30, 2021 rolled forward to June 30, 2022 using standard update procedures. A summary of principal assumptions and methods used to determine the net pension liability is shown below.

Actuarial Cost Method	Entry-Age Normal in accordance with the requirement of GASB Statement No. 68
Actuarial Assumptions:	
Discount Rate	6.9%
Inflation	2.3%
Salary Increases	Varies by entry age and service.
Mortality Rate Table	The mortality table was developed based on CalPERS-specific data. The probabilities of mortality are based on the 2021 CalPERS Experience Study for the period from 2001 to 2019. Pre-retirement and Post-retirement mortality rates include generational mortality improvement using 80% of Scale MP-2020 published by the Society of Actuaries. For more details on this table, please refer to the CalPERS Experience Study and Review of Actuarial Assumptions report from November 2021 that can be found on the CalPERS website.
Post Retirement Benefit Increase	Contract COLA up to 2.3% until Purchasing Power Protection Allowance Floor on Purchasing Power applies, 2.3% thereafter.

Source: City of Monterey Park Audited Financial Statements for Fiscal Year 2022-23.

The discount rate used to measure the total pension liability was 6.9 percent. The projection of cash flows used to determine the discount rate assumed that contributions from plan members will be made at the current member contribution rates and that contributions from employers will be made at statutorily required rates, actuarially determined. Based on those assumptions, the Plan's fiduciary net position was projected to be available to make all projected future benefit payments of current plan members. Therefore, the long-term expected rate of return on plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. In determining the long-term expected rate of return, CalPERS took into account both short-term and long-term market return expectations. Using historical returns of all of the funds' asset classes, expected compound (geometric) returns were calculated over the next 20 years using a building-block approach. The expected rate of return was then adjusted to account for assumed administrative expenses of 10 basis points.

Asset Class[1]	*Assumed Asset Allocation*	*Real Return Years 1 – 10*[1] [2]
Global Equity - Cap-weighted	30.00%	4.54%
Global Equity - Non-cap-weighted	12.00	3.84
Private Equity	13.00	7.28
Treasury	5.00	0.27
Mortgage-backed Securities	5.00	0.50
Investment Grade Corporates	10.00	1.56
High Yield	5.00	2.27
Emerging Market Debt	5.00	2.48
Private Debt	5.00	3.57
Real Assets	15.00	3.21
Leverage	(5.00)	(0.59)
Total	**100.00%**	

(1) An expected inflation of 2.30% used for this period.
(2) Figures are based on the 2021 Asset Liability Management study.
Source: City of Monterey Park Audited Financial Statements for Fiscal Year 2022-23.

The following tables show the changes in net pension liability recognized over the measurement period ended June 30, 2022.

Miscellaneous Plan

	Increase (Decrease)		
	Total Pension Liability (a)	*Plan Fiduciary Net Position (b)*	*Net Pension Liability (Asset) (c) = (a) - (b)*
Balance at June 30, 2021 (Valuation Date)	**$ 153,625,934**	**$ 173,704,489**	**$ (20,078,555)**
Changes Recognized for the Measurement Period:			
Service cost	2,277,310	--	2,277,310
Interest on the total pension liability	10,590,605	--	10,590,605
Changes of Assumptions	4,675,002	--	4,675,002
Differences between expected and actual experience	(1,948,123)	--	(1,948,123)
Contributions from the employer	--	1,281,326	(1,281,326)
Contributions from employees	--	1,068,666	(1,068,666)
Net investment income	--	(12,885,155)	12,885,155
Benefit payments, including refunds of employee contributions	(8,008,871)	(8,008,871)	--
Administrative expenses	--	(108,208)	108,208
Net Changes during July 1, 2021 to June 30, 2022	**$ 7,585,923**	**$ (18,652,242)**	**$ 26,238,165**
Balance at June 30, 2022 (Measurement Date)	**$ 161,211,857**	**$ 155,052,247**	**$ $6,159,610**

(1) On February 16, 2021, the City issued $106,335,000 of pension obligation bonds which was used to pay the City's total unfunded liability to CalPERS as of such date.
Source: City of Monterey Park Audited Financial Statements for Fiscal Year 2022-23.

Safety Plan

	Increase (Decrease)		
	Total Pension Liability (a)	***Plan Fiduciary Net Position (b)***	***Net Pension Liability (Asset) (c) = (a) - (b)***
Balance at June 30, 2021 (Valuation Date)	**$ 240,619,835**	**$ 272,121,603**	**$ (31,501,768)**
Changes Recognized for the Measurement Period:			
Service cost	4,273,500	--	4,273,500
Interest on the total pension liability	16,606,680	--	16,606,680
Changes of assumptions	6,196,586	--	6,196,586
Differences between expected and actual experience	(2,515,151)	--	(2,515,151)
Contributions from the employer	--	2,584,424[(1)]	(2,584,424)
Contributions from employees	--	1,804,252	(1,804,252)
Net investment income	--	(20,264,806)	20,264,806
Benefit payments, including refunds of employee contributions	(11,523,017)	(11,523,017)	--
Administrative expenses	--	(169,516)	169,516
Net Changes during July 1, 2021 to June 30, 2022	**$ 13,038,598**	**$ (27,568,663)**	**$ 40,607,261**
Balance at June 30, 2022 (Measurement Date)	**$ 253,658,433**	**$ 244,552,940**	**$ 9,105,493**

(1) On February 16, 2021, the City issued $106,335,000 of pension obligation bonds which was used to pay the City's total unfunded liability to CalPERS as of such date.

Source: City of Monterey Park Audited Financial Statements for Fiscal Year 2022-23.

The following table presents the net pension liability of the Plan as of June 30, 2021, calculated using the discount rate of 7.15%, as well as what the net pension liability would be if it were calculated using a discount rate that is 1 percentage-point lower (6.15%) or 1 percentage-point higher (8.15%) than the current rate.

	Miscellaneous	***Safety***
1% Decrease	5.9%	5.9%
Net Pension Liability	$ 27,218,134	$ 43,682,176
Current Discount Rate	6.9%	6.9%
Net Pension Liability	$ 6,159,610	$ 9,105,493
1% Increase	7.9%	7.9%
Net Pension Liability	$ (11,216,859)	$ (19,251,003)

Source: City of Monterey Park Audited Financial Statements for Fiscal Year 2022-23.

For the year ended June 30, 2023, the City recognized pension expense of $2,605,499 and $3,131,548, for the Miscellaneous and Safety plan, respectively.

For additional information relating to the City's CalPERS plans, including certain actuarial assumptions of CalPERS and deferred outflows and deferred inflows of resources related to the CalPERS Plans, see Note 10 to the City's financial statements set forth in Appendix A.

Employees' Retirement Plan – Massachusetts Mutual Retirement Plan (MMRP)

Plan Description. Certain miscellaneous employees are covered by a retirement plan through the Massachusetts Mutual Life Insurance Company ("MMRP"), a single-employer pension plan. All miscellaneous employees who were employed prior to April 1, 1976 participated in the MMRP. Miscellaneous employees under the age of 55 joined CalPERS on and after April 1, 1976. However, these employees still remain vested under the MMRP and are eligible to receive retirement benefits at the time of

retirement. Miscellaneous employees over the age of 55 (on or before April 1, 1976) could not participate in CalPERS and remain wholly in the MMRP. The City does not issue a publicly available financial report for the MMRP.

Benefits Provided. The MMRP was amended in 1976 to provide equivalent retirement benefits to all miscellaneous employees, whether totally vested in CalPERS, totally vested in the MMRP or partially vested in both plans. Eligibility requirements for the MMRP are the same as those for CalPERS.

Employee Covered by Benefit Terms. MMRP is a closed plan. As of June 30, 2022, there are 38 individuals in the plan, all of whom are no longer employed by the City or are currently participating in CalPERS.

Contributions. MMRP is a contributory plan deriving funds from employee contributions as well as from employer contributions and earnings from investments. Employer contributions were based upon the actuarial methods and assumptions and there were no current year employee contributions required.

Net Pension Liability. For the measurement period ended June 30, 2023, the total MMRP pension liability was determined by rolling forward the June 30, 2021 total pension liability to June 30, 2023 based on actual benefit payments. The total MMRP pension liability was based on the following actuarial methods and assumptions.

Contribution Policy	City contributes full ADC
Actuarial Assumptions:	
Discount Rate	3.65% at June 30, 2023 based on the Bond Buyer 20-bond Index at 6/30/23
	3.54% at June 30, 2022 based on the Bond Buyer 20-bond Index at 6/30/22
Long-Term Expected Rate of Return on Assets	3.00% at June 30, 2023 (55% confidence level)
	3.00% at June 30, 2022 (55% confidence level)
Municipal Bond Rate	3.65% at June 30, 2023 (Bond Buyer 20 Index)
	3.54% at June 30, 2022 (Bond Buyer 20 Index)
General Inflation	2.50% annually
Investment Rate of Return	7.65%
Mortality	CalPERS 1997-2015 Experience Study
Mortality Improvement	Mortality projected fully generational with Scale MP-2021
Cost of Living Adjustment/PPPA	2.00%
Asset Fair Market Value	Fair value factor of 89.274% as of 6/30/2023 supplied by the City

Source: City of Monterey Park Audited Financial Statements for Fiscal Year 2022-23.

Plan assets are currently invested in Mass Mutual general investment account. Expected long term return on assets was 3.25%% for June 30, 2023 valuation and rounded to nearest 0.25%.

The following table shows the changes in net pension liability recognized over the measurement period ended June 30, 2022.

	Increase (Decrease)		
	Total Pension Liability (a)	***Plan Fiduciary Net Position (b)***	***Net Pension Liability (Asset) (c) = (a) - (b)***
Balance at June 30, 2021	**$ 4,361,041**	**$ 3,988,776**	**$ 372,265**
Changes Recognized for the Measurement Period:			
Service cost	--	--	--
Interest on the total pension liability	147,660	--	147,660
Changes in benefit terms	--	--	--
Changes in assumptions	(32,713)	--	(32,713)
Differences between expected and actual experience	--	--	--
Plan to plan resource movement	--	--	--
Contributions from the employer	--	--	--
Contributions from employees	--	--	--
Net investment income	--	66,372	(66,372)
Benefit payments, including refunds	(379,706)	(379,706)	--
Administrative Expense	--	(10,140)	10,140
Net Changes during July 1, 2022 to June 30, 2023	**$ (264,759)**	**$ (323,474)**	**$ 58,715**
Balance at June 30, 2023 (Measurement Date)	**$ 4,096,282**	**$ 3,665,302**	**$ 430,980**

Source: City of Monterey Park Audited Financial Statements for Fiscal Year 2022-23.

The following table presents the net pension liability of the MMRP as of the June 30, 2023 measurement date, calculated using the discount rate of 3.65%, as well as what the net pension liability would be if it were calculated using a discount rate that is 1 percentage-point lower (2.65%) or 1 percentage-point higher (4.65%) than the current rate.

1% Decrease	2.65%
Net Pension Liability	$749,599
Current Discount Rate	3.65%
Net Pension Liability	$430,980
1% Increase	4.65%
Net Pension Liability	$156,655

Source: City of Monterey Park Audited Financial Statements for Fiscal Year 2022-23.

For additional information relating to the City's MMRP plan, including deferred outflows and deferred inflows of resources relating to the plan, see Note 10 to the City's financial statements set forth in Appendix A.

Employees' Retirement Plan – Defined Contribution Pension Plan.

A defined contribution pension plan provides pension benefits in return for services rendered, provides an individual account for each participant, and specifies how contributions to the individual's account are to be determined instead of specifying the amount of benefits the individual is to receive. Under a defined contribution pension plan, the benefits a participant will receive depend solely on the amount contributed to the participant's account and the returns earned on investments of the contributions. Part-time, nonbenefited, nonpersable employees of the City must participate in the plan. During the year ended June 30, 2023, 108 part-time employees participated in the plan. All contributions to the plan vest immediately. An employee who leaves the City is entitled to all contributions, including contributions made by the City, and earnings

applied to the individual's account through the date of separation, less legally required income tax withholding. Participants that become full-time employees and enter the CalPERS retirement plan will have the amount in their individual accounts transferred from this plan into a Section 457, deferred compensation plan, subject to all the rules governing Section 457 plans, including substantial penalties for withdrawal prior to the age of normal retirement. Contribution levels into the deferred compensation plan were established by City Council resolution at 4% and 3.5% for the City and nonbenefited, nonpersable part-time employees, respectively. During the year, the City contributed $31,818 to the plan.

Other Post-Employment Benefits

Defined Benefit Plan Description. The City provides postretirement medical insurance benefits, in accordance with contractual provisions of the various Memoranda of Understanding with the City's recognized employee organizations, to all vested employees who retire with CalPERS pension benefits immediately upon termination of employment from the City (the "OPEB Plan"). The City has established a California Employers' Retiree Benefit Trust (the "CERBT"), an agent-multi-employer trust for which CalPERS serves as trustee. Eligible retirees and dependents may elect lifetime coverage through the City's healthcare plans. The City makes contributions towards the retiree's premium up to specified caps that vary depending on bargaining unit and whether the participant has more or less than 20 years of service. Retirees pay the portion of premium not paid by the City. In addition to the direct City contribution, retirees also receive pre-65 benefits that are subsidized as they are eligible to receive coverage based on blended (active and retiree) premium rates instead of normally higher retiree rates (implied subsidy). Members are eligible for the following benefits.

	General	***Management***	***Safety***
Benefit Types Provided	Medical Only	Medical Only	Medical Only
Duration of Benefits	Lifetime	Lifetime	Lifetime
Minimum Age	50	50	50
Dependent Coverage	Yes	Yes	Yes
Required Years of Service	5 Years	5 Years	5 Years
City Contribution %	100%	100%	100%
City Cap:			
Calendar Year 2021	$340-$435 per month	$355-$1,375	$346-$650
Calendar Year 2022	$340-$435 per month	$355-$1,375	$346-$650

Source: City of Monterey Park Audited Financial Statements for Fiscal Year 2022-23.

Employees Covered. As of June 30, 2022, the following current and former employees are covered by the benefit terms under the plan.

Inactive employees or beneficiaries currently receiving benefits	236
Inactive employees or beneficiaries entitled to but not yet receiving benefits	60
Active employees	236
Total	**532**

Source: City of Monterey Park Audited Financial Statements for Fiscal Year 2022-23.

Water System Share of OPEB Plan. Salary and benefit costs of the Water System include funding of other post-employment benefits for employees assigned to the Water System who, as City employees, participate in the City's OPEB Plan. City employees assigned to the Water System constitute approximately 0.07% of all City employees and payments made by the City pursuant to the OPEB Plan from Revenues amounted to approximately $79,621 in Fiscal year 2022-23, or approximately 0.08% of the City's total OPEB Plan payments in 2022-23. The information under this caption "—Other Post-Employment Benefits" describes the City's overall OPEB Plan; however, only the portion of the OPEB Plan attributable to City employees assigned to the Water System is payable from Revenues.

Contributions. The contribution requirements are established and amended by the City. Employer contributions are determined through an annual actuarial valuation process. The actuarially determined rate is the estimated amount necessary to finance the costs of benefits earned by employees during the year, with an additional amount to finance any unfunded accrued liability.

For Fiscal Year 2022-23, the City's contributions to the plan included $1,000,000 to the irrevocable CERBT, an implied subsidy of $304,000, $17,344 in administrative expenses and $1,286,464 in cash benefit payments, resulting in total contributions of $2,607,808. The contributions to the OPEB Plan are generally made from the General Fund.

Funding Policy. There is no statutory requirement for the City to prefund its OPEB Plan obligation and the City has not prefunded its OPEB Plan obligation. The contribution requirements are established and amended by the City. The contribution is based on pay-as-you-go financing requirements.

Governmental Accounting Standards Board published Statement No. 45 ("GASB 45"), requiring governmental agencies that fund post-employment benefits on a pay-as-you-go basis, such as the City, to account for and report the outstanding obligations and commitments related to such post-employment benefits in essentially the same manner as for pensions.

In June 2015, GASB published Statement No. 75 ("GASB 75"), which replaced the requirements under GASB No. 45. The provisions in GASB 75 became effective for Fiscal Years beginning after June 15, 2017. The primary objective of GASB 75 is to improve accounting and financial reporting by state and local governments for postemployment benefits other than pensions (i.e. OPEB). GASB 75 requires that most changes in the net OPEB liability be included in OPEB expense in the period of the change. GASB 75 also requires certain descriptive information to be included in the notes to a public agency's audited financial statements as well as additional supplementary information such as sources of changes in net OPEB liability and the components of the net OPEB liability. The City implemented GASB 75 with its audited financial statements for Fiscal Year 2019-20.

Actuarial Assumptions. For the measurement period ended June 30, 2021, the City's total OPEB liability was determined in a June 30, 2021 actuarial accounting valuation. A summary of the principal assumptions and methods used to determine the net OPEB liability is shown below.

Actuarial Valuation Date	June 30, 2021
Contribution Policy	Pre-funded through CERBT with Strategy 1 asset allocation.
Actuarial Assumptions:	
Discount Rate and Long-Term Expected Rate of Return on Assets	6.25% at June 30, 2022 and June 30, 2021 Expected City contributions projected to keep sufficient plan assets to pay all benefits from trust
Inflation	2.50% annually
Salary Increase	Aggregate - 2.75% annually, Merit - CalPERS 2000-2019 Experience Study
Mortality, Retirement, Disability, Termination	CalPERS 2000-2019 experience study
Medical Trend	Non-Medicare - 6.50% for 2023, decreasing to an ultimate rate of 3.75% in 2076 Medicare (Non-Kaiser) - 5.65% for 2023, decreasing to an ultimate rate of 3.75% in 2076 Medicare (Kaiser) - 4.60% for 2023, decreasing to an ultimate rate of 3.75% in 2076
PEMHCA Minimum Increases	4.00% annually
Cap Increases	All except Executive Management, CM and Elected Officials: 0% until the end of current MOU, 5% every 3 years thereafter Executive Management, CM and Elected Officials: 5% per year
Participation at Retirement	Tier 1: 90% PEMHCA Minimum Only: 80%

Source: City of Monterey Park Audited Financial Statements for Fiscal Year 2022-23.

The discount rate used to measure the total OPEB liability was 6.25%. The projection of cash flows used to determine the discount rate assumed that the City's contributions will be made at rates equal to the actuarially determined contribution rates. Based on those assumptions, the OPEB plan's fiduciary net position was projected to be available to make all projected OPEB payments for current active and inactive employees and beneficiaries. Therefore, the long-term expected rate of return on OPEB plan investments was applied to all periods of projected benefit payments to determine the total OPEB liability.

Changes in the Net OPEB Liability. The changes in the net OPEB liability for the measurement period ending June 30, 2021 are as follows.

	Increase (Decrease)		
	Total OPEB Liability	***Plan Fiduciary Net Position***	***Net OPEB Liability (Asset)***
Balance at June 30, 2021 (Measurement Date)	**$ 32,884,222**	**$ 13,189,701**	**$ 19,694,521**
Changes in the Year:			
Service cost	757,555	--	757,555
Interest on the total OPEB liability	2,050,988	--	2,050,988
Contributions - employer	--	2,667,920	(2,667,920)
Net investment income	--	(1,924,920)	1,924,920
Administrative expenses	--	(19,451)	19,451
Benefit payments	(1,651,920)	(1,651,920)	--
Net Changes during July 1, 2021 to June 30, 2022	**$ 1,156,623**	**$ (928,371)**	**$ 2,084,994**
Balance at June 30, 2022 (Measurement Date)	**$ 34,040,845**	**$ 12,261,330**	**$ 21,779,515**

Source: City of Monterey Park Audited Financial Statements for Fiscal Year 2022-23.

The following tables present the total OPEB liability of the City, as well as what the City's total OPEB liability would be if it were calculated using a discount rate that is 1-percentage point lower or 1-percentage point higher than the current discount rate.

	1% Decrease (5.25%)	***Discount Rate (6.25%)***	***1% Increase (7.25%)***
Net OPEB Liability	$26,392,956	$21,779,515	$17,995,425

Source: City of Monterey Park Audited Financial Statements for Fiscal Year 2022-23.

The following presents the total OPEB liability of the City, as well as what the City's total OPEB liability would be if it were calculated using healthcare cost trend rates that are 1-percentage point lower.

	1% Decrease	***Current Trend***	***1% Increase***
Net OPEB Liability	$19,722,148	$21,779,515	$24,014,143

Source: City of Monterey Park Audited Financial Statements for Fiscal Year 2022-23.

For additional information relating to the City's OPEB Plan, including deferred outflows and resources and deferred inflows of resources related to the OPEB Plan, see Note 12 to the City's financial statements set forth in Appendix A.

CONSTITUTIONAL LIMITATIONS ON APPROPRIATIONS AND CHARGES

Article XIIIB

Article XIIIB of the State Constitution limits the annual appropriations of the State and of any city, county, school district, authority, special district or other political subdivision of the State to the level of appropriations of the particular governmental entity for the prior fiscal year, as adjusted for changes in the cost of living and population. The "base year" for establishing such appropriation limit is the 1978-79 State fiscal year and the limit is to be adjusted annually to reflect changes in population and consumer prices. Adjustments in the appropriations limit of an entity may also be made if: (a) the financial responsibility for a service is transferred to another public entity or to a private entity; (b) the financial source for the provision of services is transferred from taxes to other revenues; or (c) the voters of the entity approve a change in the limit for a period of time not to exceed four years.

Appropriations that are subject to Article XIIIB generally include the proceeds of taxes levied by or for the State or other entity of local government, exclusive of certain State subventions, refunds of taxes and benefit payments from retirement, unemployment, insurance and disability insurance funds. "Proceeds of taxes" include, but are not limited to, all tax revenues and the proceeds to an entity of government from: (i) regulatory licenses, user charges, and user fees (but only to the extent that such proceeds exceed the cost reasonably borne by the entity in providing the service or regulation); and (ii) the investment of tax revenues. Article XIIIB includes a requirement that if an entity's revenues in any year exceed the amounts that are permitted to be spent, the excess would have to be returned by revising tax rates or fee schedules over the subsequent two years.

Certain expenditures are excluded from the appropriations limit, including payments of indebtedness that were existing or legally authorized as of January 1, 1979, or of bonded indebtedness thereafter approved by the voters, and payments that are required to comply with court or federal mandates which without discretion require an expenditure for additional services or which unavoidably make the provision of existing services more costly.

The City is of the opinion that its charges for Water Service do not exceed the costs that it reasonably bears in providing such service and therefore are not subject to the limits of Article XIIIB. See the caption "SECURITY FOR THE BONDS—Rate Covenant" for a description of the City's covenant to set rates and charges for the Water Service.

Proposition 218

General. An initiative measure entitled the "Right to Vote on Taxes Act" ("Proposition 218") was approved by the voters of the State at the November 5, 1996 general election. Proposition 218 added Articles XIIIC and XIIID to the State Constitution. According to the "Title and Summary" of Proposition 218 prepared by the State Attorney General, Proposition 218 limits "the authority of local governments to impose taxes and property-related assessments, fees and charges."

Article XIIID. Article XIIID defines the terms "fee" and "charge" to mean "any levy other than an ad valorem tax, a special tax or an assessment, imposed by an agency upon a parcel or upon a person as an incident of property ownership, including user fees or charges for a property-related service." A "property-related service" is defined as "a public service having a direct relationship to property ownership." Article XIIID further provides that reliance by an agency on any parcel map (including an assessor's parcel map) may be considered a significant factor in determining whether a fee or charge is imposed as an incident of property ownership.

Article XIIID requires that any agency which imposes or increases any property-related fee or charge must provide written notice thereof to the record owner of each identified parcel upon which such fee or

charge is to be imposed and must conduct a public hearing with respect thereto. The proposed fee or charge may not be imposed or increased if a majority of owners of the identified parcels file written protests against it. As a result, because fees for water service are a "fee" or "charge" as defined in Article XIIID, the local government's ability to increase such fees or charges may be limited by a majority protest.

In addition, Article XIIID includes a number of limitations that are applicable to existing fees and charges, including provisions to the effect that: (a) revenues that are derived from the fee or charge may not exceed the funds which are required to provide the property-related service; (b) such revenues may not be used for any purpose other than that for which the fee or charge was imposed; (c) the amount of a fee or charge that is imposed upon any parcel or person as an incident of property ownership may not exceed the proportional cost of the service attributable to the parcel; and (d) no such fee or charge may be imposed for a service unless that service is actually used by, or immediately available to, the owner of the property in question. Property-related fees or charges based on potential or future use of a service are not permitted.

Based upon the California Court of Appeal decision in *Howard Jarvis Taxpayers Association v. City of Los Angeles*, 85 Cal. App. 4th 79 (2000), which was denied review by the State Supreme Court, it was generally believed that Article XIIID did not apply to charges for water and wastewater services that are "primarily based on the amount consumed" (i.e., metered water or wastewater rates), which had been held to be commodity charges related to consumption of the service, not property ownership. The State Supreme Court ruled in *Bighorn-Desert View Water Agency v. Verjil*, 39 Cal. 4th 205 (2006) (the "Bighorn Case"), however, that fees for ongoing water service through an existing connection were property-related fees and charges. The State Supreme Court specifically disapproved the holding in *Howard Jarvis Taxpayers Association v. City of Los Angeles* that metered water rates are not subject to Proposition 218. The City complies with the notice, hearing and protest procedures in Article XIIID, as further explained by the State Supreme Court in the *Bighorn* Case, with respect to water rate increases.

On April 20, 2015, the California Court of Appeal, Fourth District, issued an opinion in *Capistrano Taxpayers Association, Inc. v. City of San Juan Capistrano*, 235 Cal. App. 4th 1493 (2015) (the "SJC Case") upholding tiered water rates under Proposition 218 provided that the tiers correspond to the actual cost of furnishing service at a given level of usage, including the capital costs of improvements to provide additional increments of water. The opinion included a finding that the City of San Juan Capistrano did not make any attempt to calculate the actual costs of providing water at various tier levels. The City's current residential water rate structure includes tiered rates based on usage. The City has reviewed the *SJC* Case decision and does not expect the decision to affect its rate structure. The City believes that its current water rates comply with the requirements of Proposition 218 because they are tied to the cost of service and capital improvements, and expects that any future water rate increases will comply with Proposition 218's procedural and substantive requirements to the extent applicable thereto.

Article XIIIC. Article XIIIC provides that the initiative power may not be prohibited or otherwise limited in matters of reducing or repealing any local tax, assessment, fee or charge and that the power of initiative to affect local taxes, assessments, fees and charges is applicable to all local governments. Article XIIIC does not define the terms "local tax," "assessment," "fee" or "charge," so it was unclear whether the definitions set forth in Article XIIID referred to above are applicable to Article XIIIC. Moreover, the provisions of Article XIIIC are not expressly limited to local taxes, assessments, fees and charges imposed after November 6, 1996. On July 24, 2006, the State Supreme Court held in the *Bighorn* Case that the provisions of Article XIIIC applied to rates and fees charged for domestic water use. In the decision, the State Supreme Court noted that the decision did not address whether an initiative to reduce fees and charges could override statutory rate setting obligations.

On August 3, 2020, the State Supreme Court issued an opinion in *Wilde v. City of Dunsmuir* (2020) 9 Cal.5th 1105, holding that taxpayers do not have the right under Proposition 218 to challenge water rates by referendum, and the City does not believe that Article XIIIC grants to the voters within the City the power (whether by initiative under Article XIIIC or otherwise, or by referendum, which is not authorized under

Article XIIIC) to repeal or reduce rates and charges for the Water Service in a manner that would interfere with the contractual obligations of the City or the obligation of the City to maintain and operate the Water System. However, there can be no assurance as to the availability of particular remedies adequate to protect the Beneficial Owners of the Bonds. Remedies that are available to Beneficial Owners of the Bonds in the event of a default by the City are dependent upon judicial actions which are often subject to discretion and delay and could prove both expensive and time-consuming to obtain. So long as the Bonds are held in book-entry form, DTC (or its nominee) will be the sole registered owner of the Bonds and the rights and remedies of the Bond Owners will be exercised through the procedures of DTC.

Proposition 26

On November 2, 2010, voters in the State approved Proposition 26. Proposition 26 amends Article XIIIC of the State Constitution to expand the definition of "tax" to include "any levy, charge, or exaction of any kind imposed by a local government" except the following: (a) a charge imposed for a specific benefit conferred or privilege granted directly to the payor that is not provided to those not charged, and which does not exceed the reasonable costs to the local government of conferring the benefit or granting the privilege; (b) a charge imposed for a specific government service or product provided directly to the payor that is not provided to those not charged, and which does not exceed the reasonable costs to the local government of providing the service or product; (c) a charge imposed for the reasonable regulatory costs to a local government for issuing licenses and permits, performing investigations, inspections, and audits, enforcing agricultural marketing orders, and the administrative enforcement and adjudication thereof; (d) a charge imposed for entrance to or use of local government property, or the purchase, rental or lease of local government property; (e) a fine, penalty or other monetary charge imposed by the judicial branch of government or a local government as a result of a violation of law; (f) a charge imposed as a condition of property development; and (g) assessments and property-related fees imposed in accordance with the provisions of Article XIIID. Proposition 26 applies to charges imposed or increased after November 2, 2010 and provides that the local government bears the burden of proving by a preponderance of the evidence that a levy, charge, or other exaction is not a tax, that the amount is no more than necessary to cover the reasonable costs of the governmental activity, and that the manner in which those costs are allocated to a payor bear a fair or reasonable relationship to the payor's burdens on, or benefits received from, the governmental activity. The City believes that its water rates and charges meet the exception that is described in clause (g) above and are not taxes under Proposition 26.

Future Initiatives

Articles XIIIB, XIIIC and XIIID and Proposition 26 were adopted as measures that qualified for the ballot pursuant to the State's initiative process. From time to time other initiatives could be proposed and adopted affecting the City's water rates and charges or ability to increase Revenues. See the caption "CERTAIN RISKS TO BONDHOLDERS—Initiative Measure Relating to Water Revenues" for information regarding an initiative measure expected to appear on the November 2024 Statewide ballot, which would amend Article XIIIC and apply retroactively to January 1, 2022. If such retroactivity is upheld, the amendments contained in Initiative 1935 would apply to the City's most recent water rate increases, which were adopted on December 6, 2023 after a noticed public hearing in compliance with Article XIIIC. The City was aware of Initiative 1935 when it went through the process prescribed by Proposition 218 and believes that its current water rates were adopted in compliance with Article XIIIC, as it would be amended if Initiative 1935 is approved by the voters.

CERTAIN RISKS TO BONDHOLDERS

The following information, in addition to the other matters that are described in this Official Statement, should be considered by prospective investors in evaluating the Bonds. However, the following does not purport to be comprehensive, definitive or an exhaustive listing of risks and other considerations that may be relevant to making an investment decision with respect to the Bonds. In addition, the order in which

the following information is presented is not intended to reflect the relative importance of any such risks. If any risk factor materializes to a sufficient degree, it alone could delay or preclude payment of principal of or interest on the Bonds.

Limited Obligations

The obligation of the City to pay the Series 2024 Installment Payments is a limited obligation of the City and is not secured by a legal or equitable pledge or charge or lien upon any property of the City or any of its income or receipts, except Revenues of the Water System. The obligation of the City to pay the Series 2024 Installment Payments does not constitute an obligation of the City to levy or pledge any form of taxation or for which the City has levied or pledged any form of taxation.

Accuracy of Assumptions

To estimate the Net Revenues available to pay the Series 2024 Installment Payments, the City has made certain assumptions with regard to various matters, including but not limited to future development within the City and increases in revenues resulting therefrom, the rates and charges to be imposed in future years, the expenses associated with operating the Water System and the interest rate at which funds will be invested. The City believes these assumptions to be reasonable, but to the extent that any of such assumptions fail to materialize, the Net Revenues available to pay the Series 2024 Installment Payments will, in all likelihood, be less than those projected herein. The City may choose, however, to maintain compliance with the rate covenant that is set forth in the Indenture in part by means of contributions from the Rate Stabilization Fund or other available reserves or resources. In such event, Net Revenues may generate amounts which are less than 120% of Debt Service in any given Fiscal Year. See the captions "SECURITY FOR THE BONDS—Rate Covenant," "SECURITY FOR THE BONDS—Rate Stabilization Fund" and "WATER SYSTEM FINANCIAL INFORMATION—Projected Water System Operating Results and Debt Service Coverage."

Water System Demand

There can be no assurance that the demand for Water Service will occur as described in this Official Statement. Water deliveries and Revenues declined significantly in Fiscal Year 2021-22 due to drought conservation measures and in Fiscal Year 2022-23 due to unusually high precipitation levels. Additional future decreases in demand could require an increase in rates or charges in order to comply with the rate covenant. See the caption "SECURITY FOR THE BONDS—Rate Covenant." Demand for Water Service could be reduced or may not occur as projected by the City as a result of reduced levels of development in the City's service area, hydrological conditions, an economic downturn, voluntary conservation efforts or mandatory State conservation orders in response to drought conditions and other factors.

System Expenses

There can be no assurance that the City's expenses will be consistent with the descriptions in this Official Statement. Operation and Maintenance Costs may vary with labor costs (including costs related to pension liabilities and the costs of retaining qualified personnel with the proper certifications to operate Water System treatment and other facilities), water treatment costs, energy costs, regulatory compliance costs, increased imported water purchase costs (including as a result of drought restrictions) and other factors.

Increases in Operation and Maintenance Costs could require an increase in rates or charges in order to comply with the rate covenant. See the caption "SECURITY FOR THE BONDS—Rate Covenant." Rate increases are subject to the provisions of Proposition 218 and there can be no assurance that the City will be able to increase rates as needed to address increases in Water System expenses. See the caption "—Rate-Setting Process under Proposition 218."

Limited Recourse on Default

If the City defaults on its obligation to pay the Series 2024 Installment Payments, the Trustee, as assignee of the Authority, has the right to declare the total unpaid principal amount of the Series 2024 Installment Payments, together with the accrued interest thereon, to be immediately due and payable. However, in the event of a default and such acceleration, there can be no assurance that the City will have sufficient funds to pay such accelerated amounts from Net Revenues.

Rate-Setting Process under Proposition 218

Proposition 218, which added Articles XIIIC and XIIID to the State Constitution, affects the City's ability to maintain existing Water System rates and impose rate increases, and no assurance can be given that future proposals to increase Water System rates will not encounter majority protest opposition or be challenged by initiative action authorized under Proposition 218. In the event that future proposed Water System rate increases cannot be imposed as a result of majority protest or initiative, the City might thereafter be unable to generate Net Revenues in the amounts required by the Installment Purchase Agreement to pay the Series 2024 Installment Payments. The City believes that its current Water System rates approved by the City Council were effected in accordance with the public hearing and majority protest provisions of Proposition 218. See the caption "CONSTITUTIONAL LIMITATIONS ON APPROPRIATIONS AND CHARGES—Proposition 218." The City also believes its current rates were adopted in compliance with the provision of Article XIIIC, as it would be amended if Initiative 1935 is approved by the voters in November 2024. See "—Initiative Measure Relating to Water Revenues."

Statutory and Regulatory Compliance

Laws and regulations governing treatment and delivery of water are enacted and promulgated by federal, State and local government agencies. Compliance with these laws and regulations is and will continue to be costly, and, as more stringent standards are developed, such costs will likely increase.

Claims against the Water System for failure to comply with applicable laws and regulations could be significant. Such claims may be payable from assets of the Water System and constitute Operation and Maintenance Costs, or from other legally available sources. In addition to claims by private parties, changes in the scope and standards for municipal water systems such as that operated by the City may also lead to administrative orders issued by federal or State regulators. Future compliance with such orders can also impose substantial additional costs on the City. No assurance can be given that the cost of compliance with such laws, regulations and orders would not adversely affect the ability of the City to generate Net Revenues in amounts that are sufficient to pay the Bonds.

Natural Disasters

The occurrence of any natural disaster in the City, including, without limitation, earthquake, wildfire, drought, high winds, landslide or flood, could have an adverse material impact on the economy within the City and the revenues available for the payment of the Bonds and result in substantial damage to and interference with the operations of the Water System.

Significant earthquake faults are located in the region surrounding the City. The Installment Purchase Agreement does not require the City to maintain earthquake insurance; however, the City currently maintains earthquake coverage as part of its property insurance coverage.

The City maintains liability insurance for the Water System and property casualty insurance (for losses other than from seismic events) for certain portions of the Water System. See the caption "THE CITY—City Insurance." However, there can be no assurance that specific losses will be covered by insurance or, if covered, that claims will be paid in full by the applicable insurers. Furthermore, significant portions of

the Water System, including underground pipelines, are not covered by property casualty insurance. Damage to such portions of the Water System as a result of natural disasters would result in uninsured losses to the City.

Limitations on Remedies

The ability of the City to comply with its covenants under the Installment Purchase Agreement and to generate Net Revenues in amounts that are sufficient to pay the Series 2024 Installment Payments may be adversely affected by actions and events that are outside of the control of the City and may be adversely affected by actions taken (or not taken) by voters, property owners, taxpayers or persons obligated to pay assessments, fees and charges. See the caption "CONSTITUTIONAL LIMITATIONS ON APPROPRIATIONS AND CHARGES—Proposition 218." Furthermore, the remedies that are available to the owners of the Bonds upon the occurrence of an event of default under the Indenture are in many respects dependent upon judicial actions, which are often subject to discretion and delay and could prove both expensive and time-consuming to obtain.

In addition, usual equity principles may limit the specific enforcement under State law of certain remedies, as may the exercise by the United States of America of the powers delegated to it by the federal Constitution and the reasonable and necessary exercise, in certain exceptional situations, of the police power inherent in the sovereignty of the State and its governmental bodies in the interest of serving a significant and legitimate public purpose. Bankruptcy, insolvency, reorganization, arrangement, fraudulent conveyance, moratorium proceedings and other laws relating to or affecting creditors' rights, or the exercise of powers by the federal or State government, if initiated, could subject the Beneficial Owners of the Bonds to judicial discretion and interpretation of their rights in bankruptcy or otherwise, and consequently may entail risks of delay, limitations or modification of their rights. Remedies may be limited because the Water System serves an essential public purpose.

The opinion to be delivered by Bond Counsel concurrently with the issuance of the Bonds will be subject to such limitations and the various other legal opinions to be delivered concurrently with the issuance of the Bonds will be similarly qualified. See Appendix C. In the event that the City fails to comply with its covenants under the Installment Purchase Agreement or fails to pay the Series 2024 Installment Payments, which secure the payments of principal of and interest on the Bonds, there can be no assurance of the availability of remedies adequate to protect the interest of the holders of the Bonds.

Loss of Tax Exemption

In order to maintain the exclusion from gross income for federal income tax purposes of the interest on the Bonds, the Authority and the City have covenanted in the Indenture and the Installment Purchase Agreement, respectively, to comply with the applicable requirements of the Internal Revenue Code of 1986, as amended (the "Code"), and not to take any action or fail to take any action if such action or failure to take such action would adversely affect the exclusion from gross income of interest on the Bonds thereunder. Interest on the Bonds could become includable in gross income for purposes of federal income taxation retroactive to the date of issuance of such Bonds as a result of acts or omissions of the Authority or the City in violation of this or other covenants in the Indenture or the Installment Purchase Agreement. The Bonds are not subject to redemption or any increase in interest rates should an event of taxability occur and will remain outstanding until maturity or prior redemption in accordance with the provisions contained in the Indenture. See the caption "TAX MATTERS."

Secondary Market

There can be no guarantee that there will be a secondary market for the Bonds or, if a secondary market exists, that the Bonds can be sold for any particular price. Occasionally, because of general market conditions or because of adverse history or economic prospects connected with a particular issue, secondary

marketing practices are suspended or terminated. Additionally, prices of issues for which a market is being made will depend upon then prevailing circumstances. Such prices could be substantially different from the original purchase price.

Parity Obligations

The Installment Purchase Agreement permits the City to enter into Parity Bonds and Contracts payable from Net Revenues on a parity with the Series 2024 Installment Payments, which secure the Bonds, subject to the terms and conditions set forth therein. The entry into of Parity Bonds and Contracts could result in reduced Net Revenues available to pay the Series 2024 Installment Payments. The City has covenanted to set Water System rates and charges in an amount expected to produce Net Revenues of at least 120% of Debt Service, as further described under the caption "SECURITY FOR THE BONDS—Additional Parity Bonds and Contracts."

Climate Change

The State has historically been susceptible to wildfires and hydrologic variability. As greenhouse gas emissions continue to accumulate in the atmosphere as a result of economic activity, climate change is expected to intensify, increasing the frequency, severity and timing of extreme weather events such as coastal storm surges, drought, wildfires, floods and heat waves, and raising sea levels. The future fiscal impact of climate change on the City is difficult to predict, but it could be significant and it could have a material adverse effect on the Water System's finances by requiring greater expenditures to counteract the effects of climate change, by changing the business and activities of Water System customers or by increasing the cost or decreasing the availability of water supplies from the Main Basin and SGVWC. See the captions "—System Expenses" and "THE WATER SYSTEM—Drought Declarations." The City Council approved a Sustainability Plan to reduce greenhouse gas (GHG) emissions and addressing challenges associated with climate change on April 17, 2024.

Cyber Security

The City relies on computers and technology to conduct its operations. The City and its departments face cyber threats from time to time including, but not limited to, hacking, viruses, malware and other forms of technology attacks. Recently, there have been significant cyber security incidents affecting municipal agencies, including a ransomware attack targeting Los Angeles Unified School District, a freeze affecting computer systems of the City of Atlanta, an attack on the City of Baltimore's 911 system, an attack targeting the State of California Department of Finance, an attack on the Colorado Department of Transportation's computers, an attack that resulted in the temporary closure of the Port of Los Angeles' largest terminal and an attack on a water treatment facility in Oldsmar, Florida.

The City owns and operates its own enterprise class data network serving the municipal city government and its operations. The City has retained information technology professionals to support, maintain and protect these operations locally in a purpose-built and physically secure environment. This network and its operations are governed by and in compliance with all applicable governmental regulations as well as the City's own administrative regulations. Within the City's operations and guidance is an active cyber-security program designed to protect from, and to quickly identify and mitigate, a multitude of complex security threats. In 2021, the City implemented procedures that include annual cybersecurity audits. While no network is completely immune from all possible compromise, the City exercises its due diligence in protecting the data it possesses and the systems it operates. To date, there have been no significant cyber-attacks on the City's computers and technologies.

While the City is routinely maintaining its technology systems and continuously implementing new information security controls, no assurances can be given that the City's security and operational control measures will be successful in guarding against all cyber threats and attacks. The results of any attack on the

City's computer and technology could negatively impact the City's operations, and the costs related to such attacks could be substantial.

Rate Covenant Not a Guarantee

The Series 2024 Installment Payments, which secure the Bonds, are payable from Net Revenues of the Water System. See the caption "SECURITY FOR THE BONDS." The City's ability to pay the Series 2024 Installment Payments depends on its ability to generate Net Revenues at the levels required by the Installment Purchase Agreement. Although the City has covenanted in the Installment Purchase Agreement to impose rates and charges as more particularly described under the caption "SECURITY FOR THE BONDS—Rate Covenant," and although the City expects that sufficient Revenues will be generated through the imposition and collection of such rates and charges, there is no assurance that the imposition and collection of such rates and charges will result in the generation of Net Revenues in amounts that are sufficient to pay the Series 2024 Installment Payments. Among other matters, the availability of and demand for water and changes in law and government regulations could adversely affect the amount of Revenues realized by the City. The failure to generate sufficient Revenues to pay the Series 2024 Installment Payments does not constitute a default or Event of Default under the Installment Purchase Agreement or the Indenture, provided that the City has set rates and charges at levels that it reasonably expects will generate sufficient Revenues at the beginning of each Fiscal Year.

Initiative Measure Relating to Water Revenues

On February 1, 2023, the California Secretary of State announced that a ballot initiative, designated as Initiative 1935 and known as the "Taxpayer Protection and Government Accountability Act," had received the required number of signatures to appear on the November 5, 2024 ballot.

If approved by a majority of voters casting a ballot at the November 5, 2024 Statewide election, Initiative 1935 would make numerous significant changes to Articles XIII, XIIIA, XIIIC and XIIID of the California Constitution to further limit the authority of local governments, and electors via the initiative process, to adopt and impose taxes and fees. See the caption "CONSTITUTIONAL LIMITATIONS ON APPROPRIATIONS AND CHARGES." The full text of Initiative 1935 may be viewed at the website of the California Attorney General.

Among other things:

- Initiative 1935 would amend Article XIIIC to state that every levy, charge or exaction of any kind imposed by local law is either a "tax" or an "exempt charge," and would amend the definition of "tax" added to Article XIIIC by Proposition 26 to state that "every levy, charge, or exaction of any kind imposed by a local law that is not an exempt charge" constitutes a tax. Initiative 1935 narrows the definition of "exempt charge" to mean a "reasonable charge for a specific government service or product provided directly to the payor that is not provided to those not charged, and which does not exceed the *actual costs* [as opposed to the reasonable costs] of providing the service or product to the payor." "Exempt charges" also encompass existing exceptions from the definition of "tax" added to Article XIIIC by Proposition 26. "Actual costs" is defined in Initiative 1935 to mean "the minimum amount necessary to reimburse the government for the cost of providing the service or product to the payor … where the amount charged is not used by the government for any purpose other than reimbursing that cost. In computing "actual cost" the maximum amount that may be imposed is the actual cost less all other sources of revenue including, but not limited to taxes, other exempt charges, grants, and state or federal funds received to provide such service or product." Initiative 1935 would retain an exemption from the definition of "tax" for assessments, fees or charges which are subject to Article XIIID.

- Initiative 1935 would amend Article XIIIC to state that only the governing body of a local government, or an elector acting pursuant to the initiative power, has the authority to impose an exempt

charge, and that exempt charges must be imposed by an ordinance specifying the type of exempt charge and the amount or rate of the exempt charge to be imposed, and passed by the governing body, other than for certain exempt charges imposed for a specific health care service. In addition, Initiative 1935 would amend Article XIIIC to prohibit any amendment to a municipal charter which provides for the imposition, extension or increase of a tax or exempt charge from being submitted to or approved by the electors.

- Initiative 1935 would amend Article XIIIC to require the title, summary and ballot label or questions for a measure providing for the imposition of a tax to include: (a) the type and amount or rate of the tax; (b) the duration of the tax; and (c) the proposed use of the revenue derived from the tax; and (d) if the proposed tax is a general tax, the phrase "for general government use." In addition, no advisory measure may appear on the same ballot that would indicate that the revenue from the general tax will, could or should be used for specific purposes.

- Initiative 1935 would amend Article XIIIC to require that any special tax, whether proposed by the governing body or by an elector, be approved by a two-thirds vote of the electorate.

- Initiative 1935 would amend Article XIIIC to state that the local government bears the burden of proving by *clear and convincing evidence* (as opposed to a preponderance of the evidence) that: (a) a levy, charge or exaction is an exempt charge and not a tax; and (b) the amount of the exempt charge is reasonable and that the amount charged does not exceed the actual cost of providing the service or product to the payor.

- Initiative 1935 would amend Article XIIIC to state that any tax or exempt charge adopted after January 1, 2022, but prior to the effective date of Initiative 1935, which was not adopted in compliance with the requirements thereof, will be void 12 months after the effective date of Initiative 1935, if adopted, unless the tax or exempt charge is reenacted in compliance with the provisions of Initiative 1935.

The City cannot predict whether Initiative 1935 will be approved by a majority of voters casting a ballot at the November 5, 2024 Statewide election. The City believes its water rates, adopted in December 2023, were adopted in compliance with and will comply with Initiative 1935; however, if Initiative 1935 is approved, the City cannot provide any assurances as to the effect of the implementation or judicial interpretations of Initiative 1935 on the finances of the State or the City.

THE AUTHORITY

The Monterey Park Financing Authority was formed pursuant to the provisions of Articles 1 and 4 of Chapter 5 of Division 7 of Title 1 of the California Government Code and a Joint Exercise of Powers Agreement, dated as of June 16, 2021 (the "Joint Powers Agreement"), by and between the City and the Monterey Park Housing Authority (the "Housing Authority"). The Authority was formed for the purpose of assisting in the financing and refinancing of capital improvement projects of the City and related entities and to finance working capital for the City by exercising the powers referred to in the Joint Powers Agreement, including the power to issue bonds to pay the costs of public improvements. Neither the City nor the Housing Authority is responsible for repayment of the obligations of the other. The Authority is governed by a five-member board whose members are the same as the City Council. The Authority has no employees and all staff work is done by City staff or by consultants to the Authority.

APPROVAL OF LEGAL PROCEEDINGS

The valid, legal and binding nature of the Bonds is subject to the approval of Stradling Yocca Carlson & Rauth LLP, Newport Beach, California, acting as Bond Counsel. The form of such legal opinion is set forth in Appendix C, and such legal opinion will be attached to each Bond. Certain matters will be passed upon for the City and the Authority by Karl H. Berger of Burke, Williams & Sorensen, LLP, as City Attorney and General Counsel to the Authority, and by Stradling Yocca Carlson & Rauth LLP, as Disclosure Counsel, for the Underwriter by its counsel, Kutak Rock LLP, Irvine, California, and for the Trustee by its counsel.

LITIGATION

The City

At the time of delivery of and payment for the Bonds, the City will certify that there is no action, suit, proceeding, inquiry or investigation, at law or in equity, before or by any court, regulatory agency, public board or body, pending or, to the knowledge of the City, threatened against the City affecting the existence of the City or the titles of its directors or officers to their respective offices or seeking to restrain or to enjoin the sale or delivery of the Bonds or the application of the proceeds thereof in accordance with the Installment Purchase Agreement and the Indenture, or that could have a material adverse effect on the City's ability to pay the Series 2024 Installment Payments, in any way contesting or affecting the validity or enforceability of the Bonds, the Indenture, the Installment Purchase Agreement or any action of the City contemplated by any of said documents, in any way contesting the completeness or accuracy of this Official Statement or any amendment or supplement thereto or contesting the powers of the City or its authority with respect to the Bonds or any action of the City contemplated by any of said documents, nor to the knowledge of the City, is there any basis therefor.

The Authority

At the time of delivery of and payment for the Bonds, the Authority will certify that there is no action, suit, proceeding, inquiry or investigation, at law or in equity, before or by any court, regulatory agency, public board or body, pending or, to the knowledge of the Authority, threatened against the Authority affecting the existence of the Authority or the titles of its directors or officers to their respective offices or seeking to restrain or to enjoin the sale or delivery of the Bonds or the application of the proceeds thereof in accordance with the Installment Purchase Agreement and the Indenture, or that could have a material adverse effect on the Authority's ability to pay the Bonds, in any way contesting or affecting the validity or enforceability of the Bonds, the Indenture, the Installment Purchase Agreement or any action of the Authority contemplated by any of said documents, in any way contesting the completeness or accuracy of this Official Statement or any amendment or supplement thereto or contesting the powers of the Authority or its authority with respect to the Bonds or any action of the Authority contemplated by any of said documents, nor to the knowledge of the Authority, is there any basis therefor.

TAX MATTERS

In the opinion of Stradling Yocca Carlson & Rauth LLP, Newport Beach, California, Bond Counsel ("Bond Counsel"), under existing statutes, regulations, rulings and judicial decisions, and assuming the accuracy of certain representations and compliance with certain covenants and requirements described herein, interest (and original issue discount) on the Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of calculating the federal alternative minimum tax imposed on individuals. However, it should be noted that for tax years beginning after December 31, 2022, with respect to applicable corporations as defined in Section 59(k) of the Code, generally certain corporations with more than $1,000,000,000 of average annual adjusted financial statement income, interest (and original issue discount) on the Bonds might be taken into account in determining adjusted financial statement income for purposes of computing the alternative minimum tax imposed by Section 55 of the Code on such corporations.

In the further opinion of Bond Counsel, interest (and original issue discount) on the Bonds is exempt from State of California personal income tax.

Bond Counsel's opinion as to the exclusion from gross income for federal income tax purposes of interest (and original issue discount) on the Bonds is based upon certain representations of fact and certifications made by the Authority, the City and others and is subject to the condition that the Authority and the City comply with all requirements of the Code that must be satisfied subsequent to the issuance of the

Bonds to assure that interest (and original issue discount) on the Bonds will not become includable in gross income for federal income tax purposes. Failure to comply with such requirements of the Code might cause interest (and original issue discount) on the Bonds to be included in gross income for federal income tax purposes retroactive to the date of issuance of the Bonds. The Authority and the City have covenanted to comply with all such requirements.

In the opinion of Bond Counsel, the difference between the issue price of a Bond (the first price at which a substantial amount of the Bonds of the same series and maturity is to be sold to the public) and the stated redemption price at maturity with respect to such Bond constitutes original issue discount. Original issue discount accrues under a constant yield method, and original issue discount will accrue to a Bond Owner before receipt of cash attributable to such excludable income. The amount of original issue discount deemed received by the Bond Owner will increase the Bond Owner's basis in the Bond.

The amount by which a Bond Owner's original basis for determining loss on sale or exchange in the applicable Bond (generally, the purchase price) exceeds the amount payable on maturity (or on an earlier call date) constitutes amortizable bond premium, which must be amortized under Section 171 of the Code; such amortizable bond premium reduces the Bond Owner's basis in the applicable Bond (and the amount of tax-exempt interest received with respect to the Bonds), and is not deductible for federal income tax purposes. The basis reduction as a result of the amortization of bond premium may result in a Bond Owner realizing a taxable gain when a Bond is sold by the Owner for an amount equal to or less (under certain circumstances) than the original cost of the Bond to the Owner. Purchasers of the Bonds should consult their own tax advisors as to the treatment, computation and collateral consequences of amortizable bond premium.

The Internal Revenue Service (the "IRS") has initiated an expanded program for the auditing of tax-exempt bond issues, including both random and targeted audits. It is possible that the Bonds will be selected for audit by the IRS. It is also possible that the market value of the Bonds might be affected as a result of such an audit of the Bonds (or by an audit of similar municipal obligations). No assurance can be given that in the course of an audit, as a result of an audit, or otherwise, Congress or the IRS might not change the Code (or interpretation thereof) subsequent to the issuance of the Bonds to the extent that it adversely affects the exclusion from gross income of interest on the Bonds or their market value.

SUBSEQUENT TO THE ISSUANCE OF THE BONDS, THERE MIGHT BE FEDERAL, STATE OR LOCAL STATUTORY CHANGES (OR JUDICIAL OR REGULATORY CHANGES TO OR INTERPRETATIONS OF FEDERAL, STATE OR LOCAL LAW) THAT AFFECT THE FEDERAL, STATE OR LOCAL TAX TREATMENT OF THE BONDS, INCLUDING THE IMPOSITION OF ADDITIONAL FEDERAL INCOME OR STATE TAXES ON OWNERS OF TAX-EXEMPT STATE OR LOCAL OBLIGATIONS, SUCH AS THE BONDS. THESE CHANGES COULD ADVERSELY AFFECT THE MARKET VALUE OR LIQUIDITY OF THE BONDS. NO ASSURANCE CAN BE GIVEN THAT SUBSEQUENT TO THE ISSUANCE OF THE BONDS STATUTORY CHANGES WILL NOT BE INTRODUCED OR ENACTED OR JUDICIAL OR REGULATORY INTERPRETATIONS WILL NOT OCCUR HAVING THE EFFECTS DESCRIBED ABOVE. BEFORE PURCHASING ANY OF THE BONDS, ALL POTENTIAL PURCHASERS SHOULD CONSULT THEIR TAX ADVISORS REGARDING POSSIBLE STATUTORY CHANGES OR JUDICIAL OR REGULATORY CHANGES OR INTERPRETATIONS, AND THEIR COLLATERAL TAX CONSEQUENCES RELATING TO THE BONDS.

Bond Counsel's opinions may be affected by actions taken (or not taken) or events occurring (or not occurring) after the date hereof. Bond Counsel has not undertaken to determine, or to inform any person, whether any such actions or events are taken or do occur. The Indenture and the Tax Certificate relating to the Bonds permit certain actions to be taken or to be omitted if a favorable opinion of Bond Counsel is provided with respect thereto. Bond Counsel expresses no opinion as to the effect on the exclusion from gross income of interest (and original issue discount) for federal income tax purposes with respect to any Bond if any such action is taken or omitted based upon the advice of counsel other than Stradling Yocca Carlson & Rauth LLP.

Although Bond Counsel has rendered an opinion that interest (and original issue discount) on the Bonds is excluded from gross income for federal income tax purposes provided that the Authority and the City continue to comply with certain requirements of the Code, the ownership of the Bonds and the accrual or receipt of interest (and original issue discount) on the Bonds may otherwise affect the tax liability of certain persons. Bond Counsel expresses no opinion regarding any such tax consequences. Accordingly, before purchasing any of the Bonds, all potential purchasers should consult their tax advisors with respect to collateral tax consequences relating to the Bonds.

Should interest (and original issue discount) on the Bonds become includable in gross income for federal income tax purposes, the Bonds are not subject to early redemption and will remain outstanding until maturity or until redeemed in accordance with the Indenture.

A copy of the proposed form of opinion of Bond Counsel is set forth in Appendix C.

CONTINUING DISCLOSURE

The City has covenanted in its continuing disclosure certificate (the "Continuing Disclosure Certificate") for the benefit of the Owners and Beneficial Owners of the Bonds to provide certain financial information and other operating data on an annual basis no later than nine months after the end of the City's Fiscal Year (currently March 31 based on the City's fiscal year end of June 30), commencing March 31, 2025, and to provide notice of certain enumerated events as required by Securities and Exchange Commission Rule 15c2-12(b)(5) under the Securities Exchange Act of 1934, as amended (the "Rule"). The specific nature of the information to be contained in the annual report and the list of enumerated events notice of which must be provided by the City are summarized under the caption APPENDIX E — "FORM OF CONTINUING DISCLOSURE CERTIFICATE." These covenants have been made in order to assist the Underwriters in complying with the Rule.

Although the City has covenanted in the Continuing Disclosure Certificate to provide notice of rating changes with respect to the Bonds, information relating to rating changes may be publicly available from the rating agencies prior to such information being provided to the City and prior to the date by which the City is obligated to file a notice of rating change. Owners of the Bonds are directed to the rating agencies and official media outlets for the most current rating information with respect to the Bonds.

The City believes that it and its affiliated entities are currently in compliance with their respective outstanding continuing disclosure undertakings. However, certain continuing disclosure filings and notices during the past five years were made after the required filing date. On March 16, 2021, the City entered into an Equipment Lease Purchase Agreement in the principal amount of $2,682,200 and failed to file a notice of incurrence of financial obligation within 10 business days. The City filed such notice on October 7, 2021.

In connection with the City's continuing disclosure undertaking for the City's Taxable Pension Obligation Bonds, Series 2021, the City timely filed unaudited financial statements for Fiscal Year 2021-22 on March 31, 2023 and filed audited financial statements on May 9, 2023, in compliance with the City's continuing disclosure undertaking.

In connection with the City's Taxable Pension Obligation Bonds, Series 2004, the City filed its audited financial statements for Fiscal Years 2018-19, 2020-21, 2021-22, and 2022-23 between one and 103 days after the filing deadline set forth in the continuing disclosure undertaking.

Except as set forth in the previous paragraph, the City and its affiliated entities have not failed to comply in all material respects with their respective prior continuing disclosure undertakings in the last five years. The City has adopted a written Policy for Disclosure Procedures and has engaged Urban Futures, Inc. as Dissemination Agent (the "Dissemination Agent") to ensure compliance with its continuing disclosure undertakings.

RATINGS

The Authority expects that S&P Global Ratings, a business unit of Standard & Poor's Financial Services LLC ("S&P") will assign the Bonds the rating of "AA" based upon the delivery of the Policy by the Insurer at the time of issuance of the Bonds. S&P has assigned the 2024A Bonds the rating "A-" without regard to the delivery of the Policy. A rating is not a recommendation to buy, sell or hold securities. Future events could have an adverse impact on the rating of the Bonds, and there is no assurance that any credit rating that is given to the Bonds will be maintained for any period of time or that a rating may not be qualified, downgraded, lowered or withdrawn entirely by S&P if, in the judgment of S&P, circumstances so warrant. Any such qualification, downgrade, lowering or withdrawal of a rating may have an adverse effect on the market price of the Bonds. The rating reflects only the views of S&P (which views and criteria could change at any time), and an explanation of the significance of such rating may be obtained from S&P. Generally, a rating agency bases its ratings on the information and materials furnished to it (which may include information and material from the City that is not included in this Official Statement) and on investigations, studies and assumptions of its own.

The City has covenanted in the Continuing Disclosure Certificate to file notices of any rating changes on the Bonds with EMMA. See the caption "CONTINUING DISCLOSURE" and Appendix E. Notwithstanding such covenant, information relating to rating changes on the Bonds may be publicly available from the rating agencies prior to the time that such information is provided to the City and prior to the date by which the City is obligated to file a notice of rating change. Purchasers of the Bonds are directed to the rating agencies and their respective websites and official media outlets for the most current ratings with respect to the Bonds after the initial issuance of the Bonds.

In providing a rating on the Bonds, S&P may have performed independent calculations of coverage ratios using its own internal formulas and methodology, which may not reflect the provisions of the Indenture. The City and the Authority make no representations as to any such calculations, and such calculations should not be construed as a representation by the City or the Authority as to past or future compliance with any financial covenants, the availability of particular revenues for the payment of debt service or for any other purpose.

MUNICIPAL ADVISOR

The City has retained Urban Futures, Inc., Walnut Creek, California (the "Municipal Advisor"), as its municipal advisor in connection with the sale of the Bonds. The Municipal Advisor is not obligated to undertake, and has not undertaken to make, an independent verification or to assume any responsibility for the accuracy, completeness or fairness of the information contained herein. The Municipal Advisor is an independent advisory firm and is not engaged in the business of underwriting, trading or distributing municipal or other public securities.

UNDERWRITING

The Bonds are being purchased by Samuel A. Ramirez & Co., Inc. (the "Underwriter") pursuant to a purchase agreement, dated the date hereof, by and among the Authority, the City and the Underwriter. The Underwriter will purchase the Bonds from the Authority at an aggregate purchase price of $20,873,537.20, representing the principal amount of the Bonds, plus $550,948.50 of net original issue premium and less $232,411.30 of Underwriter's discount.

The initial public offering prices stated on the inside front cover of this Official Statement may be changed from time to time by the Underwriter. The Underwriter may offer and sell the Bonds to certain dealers (including dealers depositing Bonds into investment trusts), dealer banks, banks acting as agents and others at prices lower than said public offering prices.

FINANCIAL INTERESTS

The fees being paid to the Underwriter, Bond and Disclosure Counsel, Municipal Advisor, and counsel to the Underwriter are contingent upon the issuance and delivery of the Bonds. From time to time, Bond and Disclosure Counsel represents the Underwriter on matters unrelated to the Bonds.

MISCELLANEOUS

Insofar as any statements made in this Official Statement involve matters of opinion or of estimates, whether or not expressly stated, they are set forth as such and not as representations of fact. No representation is made that any of such statements made will be realized. Neither this Official Statement nor any statement which may have been made verbally or in writing is to be construed as a contract with the Owners of the Bonds.

The execution and delivery of this Official Statement have been duly authorized by the Authority and the City.

MONTEREY PARK FINANCING AUTHORITY

By: /s/ Inez Alvarez
Executive Director

CITY OF MONTEREY PARK

By: /s/ Inez Alvarez
City Manager

APPENDIX A

CITY OF MONTEREY PARK
COMPREHENSIVE AUDITED FINANCIAL REPORT
FOR THE FISCAL YEAR ENDED JUNE 30, 2023

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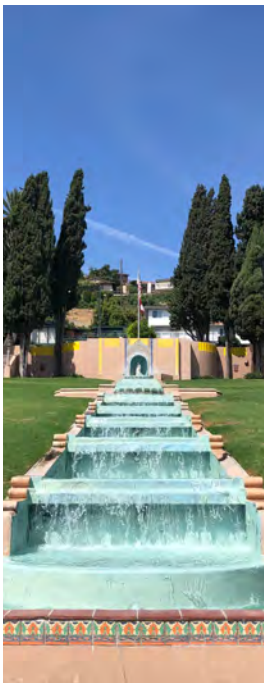
City of Monterey Park
California

Annual Comprehensive Financial Report Year Ended June 30, 2023



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City of Monterey Park, California

ANNUAL COMPREHENSIVE FINANCIAL REPORT

Year ended June 30, 2023

Prepared by the Finance Department

Martha Garcia
Director of Finance

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City of Monterey Park
Annual Comprehensive Financial Report
For the Year Ended June 30, 2023
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MONTEREY PARK CITY OFFICIALS

CITY COUNCIL

Jose Sanchez, Mayor
Thomas Wong, Mayor Pro Tem

Vinh Ngo	**Yvonne Yiu**	**Henry Lo**
Council Member	**Council Member**	**Council Member**

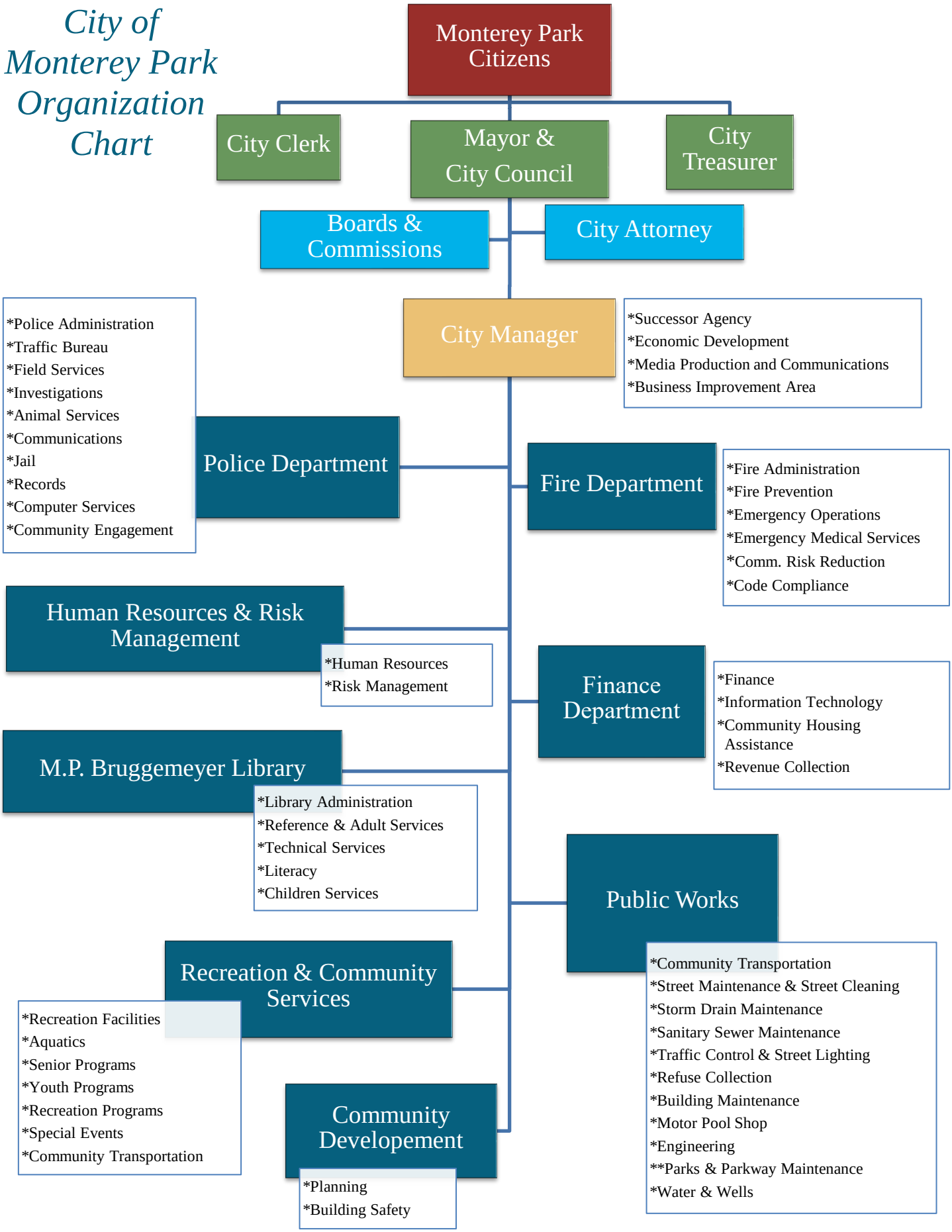
ELECTED OFFICIALS

Maychelle Yee, City Clerk
Amy Lee, City Treasurer

EXECUTIVE TEAM

Inez Alvarez……City Manager
Diana Garcia……Assistant City Manager
Karl H. Berger……City Attorney
Scott Wiese……Police Chief
Matt Hallock……Fire Chief
Martha Garcia……Director of Finance
Christine Tomikawa……Director of Human Resources/Risk Management
Shawn Igoe……Director of Public Works/City Engineer
Jessica Serrano……Director of Community Development
Robert Aguirre……Director of Recreation/Community Services
Kristin Olivarez-Becerra……City Librarian

City of Monterey Park Organization Chart



CITY OF MONTEREY PARK

320 West Newmark Avenue • Monterey Park • California 91754-2896
www.montereypark.ca.gov

City Council
Henry Lo
Vinh Ngo
Jose Sanchez
Thomas Wong
Yvonne Yiu

City Clerk
Maychelle Yee

City Treasurer
Amy Lee

February 15, 2024

To the Honorable Mayor, Members of the City Council and the Citizens of the City of Monterey Park,

California State law requires that all general-purpose local governments publish within six months of the close of each fiscal year a complete set of financial statements presented in conformity with generally accepted accounting principles (GAAP), as promulgated by the Government Accounting Standards Board (GASB) and audited in accordance with generally accepted auditing standards by a firm of licensed certified public accountants. Pursuant to that, we hereby submit, for your information and review, the Annual Comprehensive Financial Report (ACFR) for the City of Monterey Park, California, for the fiscal year ending June 30, 2023.

This report consists of management's representations concerning the finances of the City of Monterey Park. Consequently, management assumes full responsibility for the completeness and reliability of all the information presented in this report. To provide a reasonable basis for making these representations, management has established an internal control system that is designed to protect City assets and to ensure that the accounting records provide a reliable basis for the preparation of the financial statements. Because the cost of internal control should not exceed anticipated benefits, the objective is to provide reasonable, rather than absolute, assurance that the financial statements will be free of any material misstatements. As management, we assert that, to the best of our knowledge and belief, this financial report is complete and reliable in all material respects.

The City's financial statements have been audited by The Pun Group LLP, a fully licensed and qualified public accounting firm that performs audits of the State and local governments within the State of California. The goal of the independent audit was to provide reasonable assurance that the financial statements of the City of Monterey Park for the fiscal year ending June 30, 2023, fairly state the City's financial position. The independent audit involves examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements; assessing the accounting principles used and significant estimates made by management; and evaluating the overall financial statement presentation. The independent auditors concluded, based upon the audit, that there was a reasonable basis for rendering an unmodified opinion that the City of Monterey Park's 2022-23 financial statements are fairly presented in conformity with generally accepted accounting principles (GAAP). The independent auditors' report is presented as the first component of the financial section of this report.

Management Discussion & Analysis

A narrative introduction, overview, and analysis accompany the basic financial statements in the form of Management's Discussion and Analysis (MD&A). This letter of transmittal is designed to complement MD&A and should be read in conjunction with it. The City's MD&A immediately follows the independent auditor's report in the financial section of the ACFR.

Profile of the City of Monterey Park

The City of Monterey Park was incorporated in 1916 as a general law city. The name of "Monterey Park" was taken from old government maps that described the oak-covered inclines that made up the area as Monterey Hills. The City operates under the council-manager form of municipal government. The City Council consists of five members representing each of the five districts, and each serves a term of four years. The City Clerk and the City Treasurer are also elected by the citizens. Monterey Park Ordinance 2096 imposes term limits of no more than two consecutive terms on all elected officials. The City Council appoints the City Manager, who has the responsibilities of overseeing City services and operations. In addition to governing the City, the City Council serves as the governing board of the Successor Agency of the Former Redevelopment Agency, the Monterey Park Financing Authority, the Housing Authority, and the Geologic Hazard Abatement District. The financial information of these component units has been included with the City. Please see Note 1 to Financial Statements for discussion of the component units.

Monterey Park is a full-service City, offering its residents a wide range of municipal services, including public safety, streets, sanitation, water and sewer services, development and public infrastructure improvements, culture and leisure programming, and general government functions. The City strives to provide high-quality public services that emphasize organizational efficiency, infrastructure investment, and economic development. In 2017, the City was listed as one of the top three best places to live in America by the Money Magazine.

Local Economic Condition

Monterey Park is located six miles east of Los Angeles at the western gateway to the San Gabriel Valley. It encompasses an area of 7.73 square miles with a population of approximately 61,000. Monterey Park is primarily a residential community, with 78% of its land zoned for single and multiple family housing. In 2023, the median sales price of detached single-family homes in Monterey Park was $901,818. This median sales price was 0.7% below the 2022 median sales price of $908,500. The number of detached single-family home sales for 2023 was less than 2022, which is consistent with what is seen in most areas of California. This decline is due to high interest rates.

Current economic conditions of high inflation, high interest rates and an overall decrease in consumer confidence have resulted in tax revenue slowdowns. Consumer spending in discretionary areas, such as general consumer goods, the City's largest business sector, experienced decreases. This category includes sub-sectors such as family apparel, discount stores, shoes stores, and other specialty stores. Restaurants have been the bright spot as consumers continued to enjoy the ability to be outside by pushing the sector to an increase in revenue. Food & drugs experienced a slight uptick due to inflationary impacts on grocery stores and other grocery-related items. The City's share of the countywide use tax pool decreased 1.5% when compared to the same period in the prior year.

Through the Federal American Rescue Plan (ARPA), the City was allocated $15 million for COVID-19 pandemic recovery efforts. The first lump sum was received in June 2021 and the second and final lump sum was received in June 2022. The City uses ARPA funds towards governmental services including rehiring part-time and full-time staff to pre- pandemic levels, and investing in public safety and cyber security.

Financial Overview and Policies

In FY 2022-23, the City implemented Governmental Accounting Standards Board (GASB) 96. This Statement provides guidance on the accounting and financial reporting for subscription-based information technology arrangements (SBITAs) for governments. This Statement (1) defines a SBITA; (2) establishes that a SBITA results in a right-to-use subscription asset—an intangible asset—and a corresponding subscription liability; (3) provides the capitalization criteria for outlays other than subscription payments, including implementation costs of a SBITA; and (4) requires note disclosures regarding a SBITA. To the extent relevant, the standards for SBITAs are based on the standards established in Statement No. 87, Leases, as amended.

The City continues the reporting requirement per GASB Statement No. 68 and 71, for pension liabilities. The City also continues the reporting for GASB Statement No. 75, Accounting and Financial Reporting for Postemployment Benefits Other Than Pensions, for other postemployment benefits liabilities on the face of the *Statement of Net Position*. Excluding all postemployment benefits (pensions and OPEB) liabilities, the City's end of year financial condition for 2022-23 displayed a positive operating position due to the City's conservative financial planning and management.

As the City's development projects continue to expand and move forward that will generate a large number of new jobs and tax revenues for the City.

The annual budget serves as the foundation for the City's financial planning and control. The City starts its budget process in January. The budget development is based on the City's five-year citywide goals:

- Create a cleaner and more attractive City
- Enhance community and neighborhood development
- Ensure quality customer service
- Focus on Redevelopment
- Improve and develop the City's infrastructure
- Improve services through the effective use of technology
- Practice sound fiscal management
- Live within our means while investing in the future
- Invest in the City's employees through development and recognition`

These goals serve as the guidelines to identify community priorities and effectively align resources to achieve

our mission. The City Manager presents the proposed budget to the City Council for review prior to the beginning of each fiscal year and the City Council holds public hearings to review and approve the proposed budget. The final adopted budget, reflecting the City Council's directions, is published no later than June 30.

Legal budgetary control for operating budgets is exercised at the department and fund level. The City is required to adopt a balanced budget for its General Fund at the beginning of the fiscal year.

Formal budgetary integration and encumbrance accounting are employed as management control devices during the year for all funds.

The 2022-23 Adopted Budget includes a conservative fiscal spending plan and reflects $28 million for infrastructure and capital improvements, specifically water, sewer, street projects and public safety equipment. The City continues improving efficiencies by aligning closely related programs to achieve long-term financial stability.

Major Accomplishments

The City of Monterey Park's major accomplishments during the Fiscal Year 2022-23, which displayed significant financial impacts, included:

- Monterey Park Public Safety responded to the January 21, 2023, Mass Shooting Incident. City staff produced, created, and disseminated website alerts, social media, video messaging and news releases regarding the shooting incident.

- Public safety departments and City staff collaborated to maintain safety and keep the public aware and informed of the visits by Vice President Kamala Harris and President Joe Biden to Monterey Park.

- Conducted a General and Special Election in November 2022 to fill three City Council positions in District Nos. 1, 3, 5; a City Clerk position; a City Treasurer position; and a general tax proposition, Measure MP.

- Implemented a process for digital signature to facilitate organizational effectiveness and efficiency to reduce paper waste.

- Implemented a robust disaster recovery plan, removed all Windows 7 and older computers off the network, upgraded City Wi-Fi from 200Mbps to 1Gbps, and increased cyber security position of entire City IT infrastructure. Installed Citywide cameras to all city owned property.

- Conducted a citywide classification and compensation study and completed negotiations with one sworn bargaining unit.

- Planning Division spearheaded a community-wide campaign called “Going Green”, which involves all City Departments and will be rooted in the community to develop and implement strategies which will help mitigate climate change and adapt to climate change that is already occurring. Staff connected with over 1,000 constituents during outreach related to the campaign, through a survey, community workshops, and city events, among others.

- Built the Police Department’s Business Watch, Town Hall meetings, Citizens Academy, social media, and virtual engagement programs to proactively engage with the community through dialogue, collaboration, community

input, panel discussions; and worked with community leaders to better understand the needs and concerns of the community.

- Received and assessed the completed 5-year Caltrans California Road System analysis. This comprehensive report is now incorporated into our Local Road Safety Plan. Road safety improvements are now being implemented based on this report. Four of the top seven recommendations have been completed.

- Completed street resurfacing and rehabilitation improvements at various locations throughout the City as recommended by the Pavement Management Study.

- Initiated an emergency water main replacement of the catastrophic failing of the 12" water main line at Monterey Pass Road. The upgrade improved water reliability for the one-mile segment in the commercial district.

Gann Spending Limitation

Article XIIIB of the California Constitution, which was adopted in 1979 and amended in 1990 by Proposition 111, establishes a limit on government spending. The limit is calculated based on a government's 1978-79 appropriations adjusted each year by the change in California per capita income or the change in nonresidential assessed valuation combined with the change in city or county population. The City's 2022-23 appropriations limit was $105.6 million and the City's actual appropriation subject to the limit was 52% below the legal limit. Based on the past trend and projected future growth, the City believes its appropriations will continue to remain within the legal limit.

Debt Administration

The primary objective of the City's debt administration is to maintain its accessibility to capital market at the lowest possible cost; i.e. interest cost, without endangering its ability to finance essential services. The City uses debt financing only for capital improvements or projects that cannot be financed from current revenues. The City has been successful in obtaining financing for various infrastructure improvements, such as pension obligations, Police 911 computer system, water treatment plants, and citywide smart meters/energy retrofit project.

Cash Management

While the City monitors its cash balance daily and invests temporarily idle funds in accordance with the Government Code and the City's Investment Policy, there is potential to further enhance our returns and cash management. The City's investment and cash management is handled through the pooling of various City funds to maximize safe and efficient investment operations. Investment earnings are distributed based on average cash balance. The Finance staff carries out the daily investment operations. At June 30, 2023, the City's investment balances, including amounts held by fiscal agent, were $75.1 million.

The City periodically submits its Investment Policy to the Municipal Treasurers Association of United States and Canada for certification to ensure the Policy meets the criteria established by the Association's Investment Policy Certification Program. The City's Investment Policy was recertified for the Certificate of Excellence Award.

Risk Management

Monterey Park is self-insured for general liability and workers' compensation. The City has acquired excess coverage for both under a Joint Power Authority Agreement (JPA) with Public Risk Innovation Solutions and Management (PRISM). PRISM is a member-directed risk sharing pool of public agencies committed to providing risk coverage programs and risk management services, which drive member stability, efficiency, and best practices. To finance risk management, the City maintains internal service funds for general liability and workers' compensation insurances. The claims payable includes incurred-but-not-reported claims. However, the claim values consider the indemnity and expense exposures and are based on known facts at the time of evaluation. The City does not warranty the ultimate values of incurred-but-not-reported claims, which could be significantly different from the final settlement. The City actively administers various risk management programs including employee accident prevention training, claims review, and safety meetings to reduce the City's exposure to loss.

Awards and Acknowledgements

The Government Finance Officers Association of the United States and Canada (GFOA) awards a Certificate of Achievement for Excellence in Financial Reporting. The City of Monterey Park was awarded the Certificate of Achievement by GFOA for its Annual Comprehensive Financial Report (ACFR) for the fiscal year ended June 30, 2022. This was the 34th consecutive year the City received this award. The Certificate of Achievement is a prestigious national award recognizing conformance with the highest standards for the preparation of state and local government financial reports. In order to be awarded a Certificate of Achievement, a government unit must publish an easily readable and efficiently organized annual comprehensive financial report, whose contents conform to program standards. Such a report must satisfy both generally accepted accounting principles and applicable legal requirements.

The Certificate of Achievement for Excellence in Financial Reporting is valid for a period of one year. We believe the City's Fiscal Year 2022-23 ACFR will continue to conform to the Certificate of Achievement Program's requirements, and we are submitting it to the GFOA for award consideration. In addition, the City's Budget has received awards for excellence in budgeting from both the Government Finance Officers Association of the United States and Canada (GFOA) and California Society of Municipal Finance Officers Association (CSMFO).

We would like to express our sincere appreciation to the entire Finance Department staff whose efficient and dedicated services have made this timely preparation of this report possible. We would also like to thank the Mayor and City Council for their unfailing support of excellence in financial reporting and fiscal integrity. The accomplishments and values for this community which are presented in this report are a testament to the leadership of the City Council and the dedication of all City employees.

Respectfully submitted,

Inez Alvarez
City Manager

Martha Garcia
Director of Finance

Government Finance Officers Association

Certificate of Achievement for Excellence in Financial Reporting

Presented to

City of Monterey Park
California

For its Annual Comprehensive
Financial Report
For the Fiscal Year Ended

June 30, 2022

Christopher P. Morrill

Executive Director/CEO

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THE PUN GROUP
ACCOUNTANTS & ADVISORS

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INDEPENDENT AUDITORS' REPORT

To the Honorable Mayor and Members of the City Council
of the City of Monterey Park
Monterey Park, California

Report on the Audit of the Financial Statements

Opinions

We have audited the financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City of Monterey Park, California (the "City"), as of and for the year ended June 30, 2023, and the related notes to the financial statements, which collectively comprise the City's basic financial statements as listed in the table of contents.

In our opinion, the accompanying financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, business-type activities, each major fund, and the aggregate remaining fund information of the City, as of June 30, 2023, and the respective changes in financial position, and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America ("GAAS") and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States (*"Government Auditing Standards"*). Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the City, and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Emphasis of Matter

Prior Period Adjustments

As discussed in Note 18 to the basic financial statements, net pension liabilities and net OPEB liabilities and related deferred outflows of resources and deferred inflows of resources were reallocated from business-type activities to governmental activities in amounts of $827,918 and $1,210,777, respectively, and corrections were made to lease receivable in the governmental activities in the amount of $45,951 and pension related deferred outflows of resources for in the governmental activities in the amount of $1,319,564. Accordingly, beginning net position as of July 1, 2022, of the governmental activities and business-type activities were restated to reflect the correction of these errors. Our opinions are not modified with respect to these matters.

Implementation of New GASB Pronouncements

As discussed in Note 1 and Note 18 to the basic financial statements, the City implemented Governmental Accounting Standards Board ("GASB") Statement No. 96, *Subscription Based Information Technology Arrangements* during the year. The implementation of GASB Statement No. 96 requires the City to record right to use-subscription assets and corresponding subscription liabilities. As a result of the implementation, the City reported restatements of its net position. Our opinion is not modified with respect to this matter.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the City's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and *Government Auditing Standards*, we:

- exercise professional judgment and maintain professional skepticism throughout the audit.

- identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.

- obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control. Accordingly, no such opinion is expressed.

- evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.

- conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the City's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the Management's Discussion and Analysis, Budgetary Comparison Schedules, the Schedules of Changes in Net Pension Liability and Related Ratios, and the Schedules of Contributions - Pensions, the Schedule of Changes in Net OPEB Liability and Related Ratios and Schedule of Contributions - OPEB, be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with GAAS, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the City's basic financial statements. The Combining and Individual Fund Financial Statements are presented for purposes of additional analysis and are not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with GAAS. In our opinion, the Combining and Individual Fund Financial Statements are fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Information

Management is responsible for the other information included in the annual report. The other information comprises the Introductory and Statistical Sections but does not include the basic financial statements and our auditors' report thereon. Our opinions on the basic financial statements do not cover the other information, and we do not express an opinion or any form of assurance thereon.

In connection with our audit of the basic financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the basic financial statements, or the other information otherwise appears to be materially misstated. If, based on the work performed, we conclude that an uncorrected material misstatement of the other information exists, we are required to describe it in our report.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated February 15, 2024, on our consideration of City's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of City's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering City's internal control over financial reporting and compliance.

The Pun Group, LLP

Santa Ana, California
February 15, 2024

Introduction

The Management Discussion and Analysis provides a narrative introduction, analysis, and overview that will assist in understanding of the City's financial statements. This analysis should be read in conjunction with the City's financial statements as of June 30, 2023, the transmittal letter, and notes to the basic financial statements.

Government-wide Financial Statements

The government-wide financial statements are designed to provide information of the City's financial activities in a manner similar to a private-sector company. Government-wide financial statements consist of the statement of net position and the statement of activities, which are prepared using the economic resources measurement focus and the accrual basis of accounting. These statements provide both short-term and long-term information about the City's financial position, which is helpful in assessing the City's economic condition at the end of the fiscal year.

The statement of net position presents all of the City's financial resources along with its capital assets and long-term obligations. The difference between the assets and the liabilities is reported as the net position.

The statement of activities reports the gross and net costs of various activities carried out by the City and how the City's net position changed during the fiscal year. This statement summarizes the cost of providing services by the City and includes all current year revenues and expenses.

Both government-wide financial statements distinguish functions of the City that are principally supported by taxes and intergovernmental revenues (i.e. governmental activities) from other functions that are intended to recover all or a significant portion of their costs through user fees and charges (i.e. business-type activities). The governmental activities of the City include general government, public safety, community development, culture and recreation, highways and streets, health, and debt service. The business-type activities reflect the City's water system operations, waste management activities, and sanitary sewer activities.

The government-wide financial statements include not only the City but also those legally separate entities for which the City is financially accountable. These entities include the Monterey Park Housing Authority and the Monterey Park Public Financing Authority. Financial information for these component units is reported as an integral part of the City. Please refer to Note Number 1A of the Notes to the Basic Financial Statements.

Fund Financial Statements

A fund is a grouping of related accounts used to control resources that have been segregated for specific activities or objectives. The City uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements. All of the funds of the City can be divided into three categories: governmental funds, proprietary funds, and fiduciary funds.

Governmental Funds

Governmental funds are used to account for essentially the same governmental activities in the government-wide financial statements. However, unlike the government-wide financial statements, governmental fund financial statements focus on near-term inflows and outflows of expendable resources, as well as on balances of expendable resources available at the end of the fiscal year. Governmental funds are accounted for using the modified accrual basis of accounting, which provides a detailed view of the City's current financial resources and the City's ability to meet its current expenditure needs. Such information may be useful in evaluating a government's near-term financing requirements.

Because the focus of governmental funds is narrower than that of the government-wide financial statements, it is useful to compare the information presented for governmental funds with similar information presented for governmental activities in the government-wide financial statements. By doing so, readers may better understand the long-term impact of the government's near-term financing decisions. Both the governmental fund balance sheet and the governmental fund statement of revenues, expenditures, and changes in fund balances provide a reconciliation to facilitate this comparison between governmental funds and government-wide activities.

The City maintains 19 individual governmental funds. Information is presented separately in the governmental fund balance sheet and in the governmental fund statement of revenues, expenditures, and changes in fund balances for General Fund, Special Revenue Grants Fund, Special Revenue Retirement/Pension Liability Fund, and Special Revenue Housing Fund, which are reported as major funds. Information for the other 15 governmental funds is combined into a single column under Nonmajor Special Revenue Governmental Funds. Data for the nonmajor governmental funds is provided in the combining statements in this report.

The City adopts an annual appropriated budget for its governmental funds. Budgeted expenditures are controlled at the fund level. Budgetary comparison statements have been provided to demonstrate compliance with this budget. Please refer to the Notes to Required Supplementary Information.

Proprietary Funds

Proprietary funds use the accrual basis of accounting, which is the same method used by private businesses. Proprietary fund financial statements provide the same type of information as the government-wide financial statements, only in more detail.

The City maintains two different types of proprietary funds: enterprise funds and internal service funds. The enterprise funds are used to report the same functions presented as business-type activities in the government-wide financial statements. The City uses enterprise funds to account for the operations for its water system, waste management activities, and sanitary sewer activities. Internal service funds are used to accumulate and allocate costs internally among the City's various functions, which include vehicle operation, workers compensation insurance, retiree medical benefits, general liability insurance, separation benefits, and technology development. Because the internal service operations benefit both governmental and business-type functions, they have been proportionally allocated and included within the governmental and business-like activities in the government-wide financial statements. Individual fund data for the internal service funds is provided in the form of combining statements in this report.

Fiduciary Funds

Fiduciary funds are used to account for activities when the City acts as a trust or fiduciary to hold resources for the benefit of parties outside the government. Fiduciary funds are not reflected in the government-wide financial statements because the resources of those funds are not available to support the City's programs.

Notes to the Basic Financial Statements

The notes to the basic financial statements provide additional information that is essential for a full understanding of the data provided in the government-wide and fund financial statements.

Required Supplementary Information

The required supplementary information further explains and supports the information in the financial statements. This section includes the schedules of the City's funding for its employee pension program, other post-employment benefits program, and the budgetary comparison for the General Fund, Special Revenue Grants Fund, Special Revenue Retirement/Pension Liability Fund, and the Special Revenue Housing Fund.

Other Supplementary Information

Other supplementary information includes combining and individual budgetary comparison schedules for Nonmajor Governmental Funds, and combining statements for Agency Funds and Internal Service Funds.

Financial Highlights

- Total 2022-23 net position increased by $4.8 million from 2021-22, which is the net of the $11.6 million increase in governmental activities and the $6.8 decrease in business-type activities. The $11.6 million increase in governmental activities was attributed to an overall increase in revenue including interest income, property taxes and sales tax revenue from Measure MP. The $6.8 decrease in business-type activities was attributed to operational and Capital Improvement Project costs exceeding revenue received across all enterprise funds.

- As of June 30, 2023, the City's assets and deferred outflow of resources exceeded its liabilities and deferred inflow of resources by $50.5 million, of which $111 million was related to the net investment in capital assets, $41.3 million was restricted for special revenues, and a negative $101.8 million was unrestricted.

- At the 2022-23 year-end, the General Fund total fund balance was $28.5 million, a $0.5 million decrease from the prior year. The decrease was related to capital outlay projects.

- The City kept the residential trash rates at the same level as 2021-22. However, the service contract cost for the trash provider was adjusted by CPI, per the contractual agreement.

- The City continued to serve as the Successor Agency for its former Redevelopment Agency, and reported the former RDA assets and liabilities in the Fiduciary Fund as a Private Purpose Trust Fund.

Government-wide Financial Analysis

The net position of the City is derived from the total assets and deferred outflows of resources less its liabilities and deferred inflows of resources at the end of a reporting period. It serves as an indicator of a government's financial position at a certain point in time. As of June 30, 2023, the City's combined assets (governmental and business-type activities) totaled $258.8 million, down $47.4 million from last year. The decrease was primarily attributed to $49 million decrease in net pension assets. The City's total deferred outflow of resources increased $33.6 million, from $6 million to $39.6 million. The increase was due to the City's pension plans. The City's liabilities totaled $240.2 million, up $17.4 million from last year. The City's total deferred inflow of resources decreased $37.1 million, from $44.8 million to $7.7 million. The decrease was related to the City's pension plans and other post-employment benefits. As a result, the City's combined net position totaled $50.5 million, up $4.8 million from last year.

Net position consists of three categories: net investment in capital assets, restricted fund balances, and an unrestricted fund balance. The largest portion of the City's net position, approximately $111 million, is the City's investment in capital assets, including land, buildings, equipment, and infrastructure net of accumulated depreciation and related debt for acquiring these capital assets. Since the capital assets are used to provide services to citizens, they are not available to fund the City's day-to-day activities.

The City's restricted net position totaled $41.3 million at June 30, 2023. These are assets subject to external restrictions, constitutional provisions, or enabling legislation that limit how these assets may be used. The restricted net position includes primarily grants, retirement/pension funds, and various nonmajor special revenue funds. The unrestricted net position is available for use by the City for any legal purpose. As of June 30, 2023, the City's total unrestricted net position was a negative $101.8 million.

Statement of Net Position
For Fiscal Years Ended June 30, 2023 and June 30, 2022
(In thousands)

	Governmental Activities		*Business-type Activities*		*Total*	
	6/30/2023	*6/30/2022*	*6/30/2023*	*6/30/2022*	*6/30/2023*	*6/30/2022*
Assets:						
Current	*$ 106,976*	*$ 106,619*	*$ 20,640*	*$ 30,665*	*$ 127,616*	*$ 137,284*
Non Current						
Capital Assets	*75,924*	*66,474*	*53,594*	*47,601*	*129,518*	*$ 114,075*
Other	*1,675*	*51,912*	*-*	*2,637*	*1,675*	*$ 54,549*
Total Assets:	*184,575*	*225,005*	*74,234*	*80,903*	*258,809*	*$ 305,908*
Deferred Outflow of Resources	*36,708*	*5,397*	*2,910*	*592*	*39,618*	*$ 5,989*
Liabilities:						
Current	*36,369*	*28,063*	*6,402*	*5,015*	*42,771*	*$ 33,078*
Long-Term	*178,258*	*172,362*	*19,173*	*16,033*	*197,431*	*188,395*
Total Liablilities	*214,627*	*200,425*	*25,575*	*21,048*	*240,202*	*$ 221,473*
Deferred Inflow of Resources	*6,979*	*41,931*	*763*	*2,851*	*7,742*	*$ 44,782*
Net Position:						
Net Investment in Capital Assets	*68,652*	*60,290*	*42,384*	*35,741*	*111,036*	*$ 96,031*
Restricted	*41,268*	*52,853*	*-*	*2,637*	*41,268*	*55,490*
Unrestricted	*(110,243)*	*(125,097)*	*8,423*	*19,218*	*(101,820)*	*(105,879)*
Total Net Position	*$ (323)*	*$ (11,954)*	*$ 50,807*	*$ 57,596*	*$ 50,484*	*$ 45,642*

****Fiscal Year End 6.30.2022 figures were restated, see note 18***

Statement of Activities
For Fiscal Years Ended June 30, 2023 and June 30, 2022
(In thousands)

	Governmental Activities		Business-type Activities		Total	
	6/30/2023	6/30/2022	6/30/2023	6/30/2022	6/30/2023	6/30/2022
Revenues						
Program Revenues:						
Charges for Services	$ 11,840	$ 12,031	$ 23,125	$ 24,327	$ 34,965	$ 36,358
Operating Grants & Contributions	19,676	14,676	-	-	19,676	14,676
Captial Grants & Contributions	773	-	-	881	773	881
General Revenues:						
Taxes	52,704	46,432	-	-	52,704	46,432
Revenues from Use of Money and Property	1,355	(1,859)	558	-	1,913	(1,859)
Other	1,183	1,445	-	-	1,183	1,445
Total Revenues:	$ 87,531	$ 72,725	$ 23,683	$ 25,208	$ 111,214	$ 97,933
Expenses:						
General Government	13,258	5,717	-	-	13,258	5,717
Public Safety	40,065	32,975	-	-	40,065	32,975
Comm. Development	7,570	7,545	-	-	7,570	7,545
Culture & Recreation	4,437	7,250	-	-	4,437	7,250
Highway & Streets	6,953	5,301	-	-	6,953	5,301
Health	293	234	-	-	293	234
Interest & Fiscal Charges	3,803	3,717	-	-	3,803	3,717
Water/Refuse/Sewer	-	-	29,993	22,009	29,993	22,009
Total Expenses:	$ 76,379	$ 62,739	$ 29,993	$ 22,009	$ 106,372	$ 84,748
Transfers	479	474	(479)	(474)	-	-
Changes in Net Position	11,631	10,460	(6,789)	2,725	4,843	13,185
Net Position July 1	(11,954)	(22,414)	57,595	54,870	45,641	32,456
Net Position June 30	$ (324)	$ (11,954)	$ 50,806	$ 57,595	$ 50,484	$ 45,641

Fiscal Year End 6.30.2022 figures were restated, see note 18

Governmental Activities Financial Analysis

Overall governmental activities increased the City's net position by $11.6 million. The increase in net position was due primarily to the implementation of the ¾ cent sales tax Measure MP.

Governmental Funds

The City uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements. The focus of the City's governmental funds is to provide information on near-term inflows and outflows during the fiscal year and balances of spendable resources at the end of the fiscal year. Such information is useful in assessing the City's financing requirements to meet the current needs. Unassigned fund balance may serve as a useful measure of the City's net resources available for appropriation.

As of June 30, 2023, the City's governmental funds reported a combined ending fund balance of $69.5 million, a decrease of $4.7 million from the prior year. The fund balance categories of the governmental funds show $77,450 as nonspendable, $41 million as restricted, $10.4 million as committed, $18 million as assigned, and negative $493 as unassigned. *(Please refer to Note 16 of the Notes to Basic Financial Statements for detailed breakdown.)*

There are five major funds in the governmental funds: General Fund, Special Revenue Grants Fund, Special Revenue Retirement/Pension Liability Fund, Special Revenue Housing Fund, and the Capital Projects Street Fund.

The General Fund is the main operating fund of the City, which accounts for the majority of the police, fire, recreation, parks maintenance, public works, library, community development, and general administrative services. General Fund revenues and transfers in for 2022-23 totaled $61.5 million, an increase of $12.5 million from 2021-22. The increase was primarily due to improved economic conditions and additional revenue received from voter-approved ¾ cent sales Measure MP. Total 2022-23 general fund expenditures and transfers out were $62 million, reflecting an increase of $12.9 million from 2021-22. As of June 30, 2023, the total fund balance of the General Fund was $28.5 million, a decrease of $0.5 million from last year.

The Special Revenue Grants Fund reports the activities of various grants that the City received from Federal, State, and County agencies. Unspent grant funds are accumulated for expenditures in future years. Total grants received for governmental activities and transfers in for 2022-23 were $8.2 million, up $4 million from last year. Total 2022-23 grant funded expenditures and transfers out were $8.7 million, reflecting an increase of $4.5 million from 2021-22. Total fund balance of the Special Revenue Grants Fund as of June 30, 2023 was $.7 million a decrease of $.5 million from last year.

Special Revenue Retirement/Pension Liability Fund accounts for revenue received from the voter-approved property tax levied to provide for employee retirement costs. Total revenues and transfers for 2022-23 were approximately $12.9 million, an increase of $1.1 million over 2021-22. Total expenditures for 2022-23 were $10.8 million, up $1.9 million from 2021-22. The increase in expenditures was due to an additional payment of the Unfunded Accrued Liability (UAL). The total fund balance in the Retirement/Pension Liability Fund as of June 30, 2023 was $4.7 million, all of which is restricted for employee retirement costs.

The Special Revenue Housing Fund accounts for housing activities. The City assumed the responsibility of the housing assets and functions after the dissolution of the City's Redevelopment Agency. Total revenues for 2022-23 were $36,007. There were no housing expenditures for 2022-23. As of June 30, 2023, the fund balance of the Special Revenue Housing Fund was $3.7 million.

Capital Projects Street Fund accounts for revenue received from Series 2021 bond proceeds to provide for street improvements. There were no revenues for 2022-23. Total expenditures for 2022-23 were $8.3 million. As of June 30, 2023, the fund balance of the Capital Projects Street Fund was $12.1 million.

Nonmajor Governmental Funds account for various activities including street maintenance, transportation, air quality improvement, lighting and landscaping district, public safety activity, and development impact improvements. Total revenues and transfers-in for 2022-23 were $12 million, up $3.5 million from 2021-22. Total expenditures and transfers-out for 2022-23 were $10 million, an increase of $1.6 million over 2021-22. As of June 30, 2023, the fund balance of the Nonmajor Governmental Funds totaled $17.5 million, up $0.5 million from 2021-22.

Business-type Activities Financial Analysis

The business-type activities reflect the City's water system, which includes water operation and water treatment, waste management activities and sanitary sewer activities.

Total 2022-23 water revenues were $13.4 million, down $0.8 million from 2021-22. The decrease in water revenues was primarily due to increased conservation measures throughout the community. Water operating expenses were $18 million, up $4 million from 2021-22. The increase was primarily due to the purchase of water, and the increased costs for the water production and water treatment operations. The net position for the Water Fund was $47.3 million, down $5.4 million from the previous year at June 30, 2023.

Refuse Fund revenues for 2022-23 were at $7 million, up $0.2 million from the previous year. Operating expenditures were $7.7 million, up $1.1 million from last year. The net position for the Refuse Fund was $0.4 million at June 30, 2023, a decrease of $0.7 million from the prior year.

Sewer Fund revenues were $3.3 million, up $0.1 million from last year. Operating expenditures were $3.4 million, up $1.1 million from last year. The increase was primarily due to increased operational costs. The net position for the Sewer Fund increased to $11.0 million, a decrease of $58,237 from the prior year.

General Fund Budgetary Highlights

The originally adopted General Fund budget for this fiscal year was $50.5 million. The final amended budget of $50.5 million reflecting City Council approved amendments throughout the year.

The budget amendments included additional funds for minimum wage mandates, service costs, negotiated salary and benefit increases with all full-time employee units and addition of staff.

Overall, actual revenues in the General Fund were higher than the budgeted revenues. The increase was $5.9 million. Primarily due to increased tax revenue $5 million higher than budgeted. Revenue from licenses and permits was higher than budgeted by $109 thousand. Revenue from fines and forfeitures and investment income were lower by $57 thousand and $67 thousand, respectively. Actual expenses in the General Fund were under budget in all the major categories, except for public safety, community development, capital outlay and debt service. General government was under budget $0.3 million, and culture and recreation was under budget $0.1 million. These were due to the City's cost control measures in response to the revenue drop and unclear economic outlook. Public Safety, however, was over budget by $0.4 million, community development was over by $5 million, capital outlay was under budget by $ 0.2 million and debt service was over by $0.2 million. These reflected the City's commitment and reallocation of resources from non-urgent services to crucial and necessary services. Overall, actual expenditures were $4.7 million more than budgeted. Most of the capital outlay budget that was not spent will be rolled over into the 2023-24 budget.

Capital Asset Administration

The City's capital assets, net of accumulated depreciation, for its governmental and business-type activities as of June 30, 2023, totaled $129.5 million, an increase of $14.7 million from prior year. The capital assets include land, buildings, improvements, machinery and equipment, parks, roads, traffic lights, and traffic signals. *(Readers desiring more detailed information on capital asset activity should refer to Note 7 of the Notes to the Basic Financial Statements.)*

Capital Assets Net of Depreciation
For Fiscal Years Ended June 30, 2023 and June 30, 2022
(In thousands)

	Governmental Activities			*Business-type Activities*			*Total*		
	6/30/2023	*6/30/2022*	*	*6/30/2023*	*6/30/2022*	*	*6/30/2023*	*6/30/2022*	
Land	*$ 8,465*	*$ 8,465*		*$ 500*	*$ 500*		*$ 8,965*	*$ 8,965*	
Buildings	*13,638*	*14,231*		*127*	*132*		*13,765*	*14,363*	
Improvements	*20,682*	*20,500*		*28,415*	*29,792*		*49,097*	*50,292*	
Construction in Progress	*13,997*	*4,669*		*21,050*	*14,313*		*35,047*	*18,982*	
Equipment	*5,850*	*4,593*		*972*	*229*		*6,822*	*4,823*	
Infrastructure	*12,345*	*13,919*		*2,507*	*2,632*		*14,852*	*16,551*	
Leased Assets	*74*	*98*		*2*	*3*		*76*	*101*	
Subscription Assets	*872*	*1,471*		*21*	*28*		*893*	*1,500*	
	$ 75,924	*$ 67,945*	*	*$ 53,594*	*$ 47,630*		*$ 128,648*	*$ 113,975*	

*Fiscal Year End 6/30/2022 was restated, see Note 7

Major capital asset additions during the fiscal year included the following:

- Continued IT software and hardware upgrades for enhanced cybersecurity
- Sewer Improvements at North Atlantic
- Continued Groundwater Treatment System improvements
- Continued street and sidewalk improvements
- Continued traffic signal upgrades at Garvey/Alhambra intersection
- Citywide cameras
- Monterey Pass Road Mainline Improvements
- Edison Trails Playground Equipment

Debt Administration

As of June 30, 2023, the City's long-term debt decreased by $5.9 million from the prior year at $182.3 million to $176.4 million was due primarily to the City's Pension Obligation Bonds and Capital Leases. *(Please refer to number 8 of the Notes to the Basic Financial Statements for detailed information.)*

State statutes limit the amount of general obligation debt a governmental entity may issue to 15% of its total assessed valuation. The current debt limitation for the City is $1.21 billion.

Long-term Debt
For Fiscal Years Ended June 30, 2023 and June 30, 2022
(In thousands)

	Governmental Activities		*Business-type Activities*		*Total*	
	6/30/2023	*6/30/2022*	*6/30/2023*	*6/30/2022*	*6/30/2023*	*6/30/2022*
Capital Leases	*$ 4,242*	*$ 4,969*	*$ 6,646*	*$ 7,310*	*$ 10,888*	*$ 12,279*
SGVMWD Loan	*-*	*-*	*4,000*	*4,000*	*4,000*	*4,000*
Lease Liablility	*74*	*96*	*2*	*3*	*76*	*99*
Subscription Payable	*725*	*1,397*	*9*	*12*	*734*	*1,409*
Section 108 Loan	*-*	*539*	*-*	*-*	*-*	*539*
Pension Obligation Bonds	*105,185*	*109,267*	*5,085*	*5,282*	*110,270*	*114,549*
Sales Tax Revenue Bonds	*17,280*	*17,585*	*-*	*-*	*17,280*	*17,585*
Premium	*3,058*	*3,167*	*-*	*-*	*3,058*	*3,167*
Compensated Absences	*5,309*	*5,212*	*263*	*224*	*5,572*	*5,436*
Insurance Assessments Payable	*654*	*818*	*-*	*-*	*654*	*818*
Claims and Judgements	*23,896*	*22,443*	*-*	*-*	*23,896*	*22,443*
	$ 160,423	*$ 165,493*	*$ 16,005*	*$ 16,831*	*$ 176,428*	*$ 182,324*

****Fiscal Year End 6.30.2022 figures were restated, see note 18***

Economic Factors and Next Year's Budget

- The City's total assessed valuation is $8.8 billion, up 8.6%, or $560 million, from 2021-22.

- The fiscal year 2022-23 City Budget is balanced. The City is conservative in projecting future revenues. The City's spending plan follows the City Council's direction in maintaining excellent community service, enhancing organizational efficiency, and funding much needed infrastructure and capital improvements. The City will conclude labor negotiations with the remaining miscellaneous bargaining units. Any potential salary and benefit contract adjustments will be considered during the mid-year budget process.

- Steady household spending, despite historically low unemployment, has shielded the economy from recession, a unique situation even as inflation exceeded Federal Reserve targets and interest rates on loans and credit cards rose. In California, sales tax performance for fiscal year 2022-23 grew by 2.1%, but it lags far behind the double-digit growth seen during the pandemic recovery. Looking ahead, households face tight budgets, and various industries grapple with challenges like labor costs, inventory issues, and competition. Spending generating sales taxes is expected to dip slightly in fiscal year 2023-24, with limited expansion anticipated in the following year.

- On the November 8, 2022, voters adopted Measure MP which authorizes a ¾ cent transactions and use (sales) tax. The measure was adopted based upon a 58.14% voter approval. Businesses began to collect this tax April 1, 2023. It generated $1.3 million in FY2022-2023.

- The Federal American Rescue Plan (ARPA) funds allocated to the City for COVID-19 pandemic recovery efforts continue to subsidize the General Fund.

- The Courtyard by Marriott transient occupancy tax (TOT) revenue is anticipated to continue to do well.

- The City will be completing a Proposition 218 water and sewer rate study in FY 2023-24.

Requests for Information

This financial report is designed to provide a general overview of the City's finances for all interested persons and organizations. The report is published on the City's official website. Questions concerning any of the information provided in this report, or requests for additional financial information, should be addressed to ***City of Monterey Park, Finance Department, 320 West Newmark Avenue, Monterey Park, CA 91754.***

BASIC FINANCIAL STATEMENTS

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GOVERNMENT-WIDE FINANCIAL STATEMENTS

City of Monterey Park
Statement of Net Position
June 30, 2023

	Primary Government		
	Governmental Activities	Business-Type Activities	Total
ASSETS			
Current assets:			
Cash and investments	$ 70,588,584	$ 23,178,607	$ 93,767,191
Cash and investments with fiscal agent	19,298,152	-	19,298,152
Accounts receivable	6,471,758	5,187,167	11,658,925
Receivable from Successor Agency	137,342	-	137,342
Prepaid items	77,450	-	77,450
Interest receivable	260,449	170,807	431,256
Lease receivable - due within one year	298,353	-	298,353
Loans receivable	1,947,808	-	1,947,808
Internal balance	7,896,263	(7,896,263)	-
Total current assets	106,976,159	20,640,318	127,616,477
Noncurrent assets:			
Receivable from Successor Agency	758,967	-	758,967
Lease receivable - due in more than one year	916,522	-	916,522
Capital assets - nondepreciable	22,462,426	21,549,771	44,012,197
Capital assets - depreciable and amortization, net	53,461,512	32,044,321	85,505,833
Total capital assets	75,923,938	53,594,092	129,518,030
Total noncurrent assets	77,599,427	53,594,092	131,193,519
Total assets	184,575,586	74,234,410	258,809,996
DEFERRED OUTFLOWS OF RESOURCES			
Pension related	33,605,277	2,274,750	35,880,027
OPEB related	3,102,548	635,461	3,738,009
Total deferred outflows of resources	36,707,825	2,910,211	39,618,036

See accompanying Notes to the Basic Financial Statements

City of Monterey Park
Statement of Net Position (Continued)
June 30, 2023

	Governmental Activities	Primary Government Business-Type Activities	Total
LIABILITIES			
Current liabilities:			
Accounts payable	$ 11,551,387	$ 3,711,097	$ 15,262,484
Accrued payroll and benefits	1,117,308	58,256	1,175,564
Retention payable	972,734	552,679	1,525,413
Deposits payable	390,571	472,032	862,603
Interest payable	306,745	25,892	332,637
Due to other governmental agencies	761,585	-	761,585
Unearned revenues	6,377,287	-	6,377,287
Long-term liabilities - due within one year	14,891,227	1,582,165	16,473,392
Total current liabilities	36,368,844	6,402,121	42,770,965
Noncurrent liabilities:			
Long-term liabilities - due in more than one year	145,532,395	14,423,057	159,955,452
Aggregate net pension liabilities	14,648,950	1,047,133	15,696,083
Net OPEB liabilities	18,076,998	3,702,517	21,779,515
Total noncurrent liabilities	178,258,343	19,172,707	197,431,050
Total liabilities	214,627,187	25,574,828	240,202,015
DEFERRED INFLOWS OF RESOURCES			
Lease-related items	1,378,304	-	1,378,304
Pension-related items	2,778,864	185,017	2,963,881
OPEB-related items	2,821,774	577,954	3,399,728
Total deferred inflows of resources	6,978,942	762,971	7,741,913
NET POSITION			
Net investment in capital assets	68,652,436	42,383,764	111,036,200
Restricted for:			
Grants	744,046	-	744,046
Retirement/pension	4,695,755	-	4,695,755
Housing	3,885,246	-	3,885,246
Public safety	1,711,079	-	1,711,079
Community development	204,355	-	204,355
Culture and recreation	1,114,503	-	1,114,503
Highways and streets	28,348,465	-	28,348,465
Debt service	564,038	-	564,038
Total restricted	41,267,487	-	41,267,487
Unrestricted (deficit)	(110,242,641)	8,423,058	(101,819,583)
Total net position (deficit)	$ (322,718)	$ 50,806,822	$ 50,484,104

See accompanying Notes to the Basic Financial Statements

City of Monterey Park
Statement of Activities
For the Year Ended June 30, 2023

		Program Revenues		
	Expenses	Charges for Services	Operating Grants and Contributions	Capital Grants and Contributions
Functions/Programs				
Governmental Activities:				
General government	$ 13,258,409	$ 2,656,843	$ 111,978	$ -
Public safety	40,064,832	2,993,687	8,721,706	24,412
Community development	7,570,239	510,301	447,363	-
Culture and recreation	4,436,619	3,009,094	574,207	9,750
Highway and streets	6,952,909	2,670,460	9,640,135	738,669
Health	292,969	-	180,226	-
Interest and fiscal charges	3,803,497	-	-	-
Total Governmental Activities	76,379,474	11,840,385	19,675,615	772,831
Business-Type Activities:				
Water utility	18,647,640	12,752,125	-	-
Refuse	7,797,114	7,041,047	-	-
Sewer	3,547,895	3,331,412	-	-
Total Business-Type Activities	29,992,649	23,124,584	-	-
Total Primary Government	$ 106,372,123	$ 34,964,969	$ 19,675,615	$ 772,831

See accompanying Notes to the Basic Financial Statements

City of Monterey Park
Statement of Activities (Continued)
For the Year Ended June 30, 2023

	Net (Expense) Revenue and Changes in Net Position		
	Governmental Activities	Business-Type Activities	Total
Functions/Programs			
Governmental Activities:			
General government	$ (10,489,588)	$ -	$ (10,489,588)
Public safety	(28,325,027)	-	(28,325,027)
Community development	(6,612,575)	-	(6,612,575)
Culture and recreation	(843,568)	-	(843,568)
Highway and streets	6,096,355	-	6,096,355
Health	(112,743)	-	(112,743)
Interest and fiscal charges	(3,803,497)	-	(3,803,497)
Total Governmental Activities	(44,090,643)	-	(44,090,643)
Business-Type Activities:			
Water utility	-	(5,895,515)	(5,895,515)
Refuse	-	(756,067)	(756,067)
Sewer	-	(216,483)	(216,483)
Total Business-Type Activities	-	(6,868,065)	(6,868,065)
Total Primary Government	(44,090,643)	(6,868,065)	(50,958,708)
General Revenues:			
Taxes:			
Property taxes	31,571,303	-	31,571,303
Special assessment	1,035,312	-	1,035,312
Sales taxes	11,640,655	-	11,640,655
Utility user taxes	3,799,736	-	3,799,736
Franchise taxes	1,230,330	-	1,230,330
Business license taxes	713,015	-	713,015
Transient occupancy taxes	2,653,156	-	2,653,156
Vehicle in-lieu taxes (Unrestricted, Intergovernmental)	62,585	-	62,585
Revenues from use of money and property	1,354,512	558,250	1,912,762
Other	1,182,587	-	1,182,587
Total General Revenues	55,243,191	558,250	55,801,441
Transfers	479,141	(479,141)	-
Changes in Net Position	11,631,689	(6,788,956)	4,842,733
Net Position (Deficit) - Beginning, as restated (Note 18)	(11,954,407)	57,595,778	45,641,371
Net Position (Deficit) - Ending	$ (322,718)	$ 50,806,822	$ 50,484,104

See accompanying Notes to the Basic Financial Statements

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FUND FINANCIAL STATEMENTS

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GOVERNMENTAL FUND FINANCIAL STATEMENTS

City of Monterey Park
Balance Sheet
Governmental Funds
June 30, 2023

	Major Funds			
		Special Revenue Funds		
	General	Grants	Retirement/ Pension Liability	Housing
ASSETS				
Cash and investments	$ 28,487,640	$ 7,410,100	$ 4,306,141	$ 1,590,235
Cash and investments with fiscal agents	6,076	-	211,460	-
Receivables:				
Accounts	5,266,736	119,675	179,792	-
Interest	146,659	8,899	-	8,124
Loans and notes	-	761,585	-	1,186,223
Due from other funds	1,601,998	-	-	-
Lease receivable	1,214,875	-	-	-
Prepaid items	77,450	-	-	-
Receivable from Successor Agency	-	-	-	896,309
Total assets	$ 36,801,434	$ 8,300,259	$ 4,697,393	$ 3,680,891
LIABILITIES, DEFERRED INFLOWS OF RESOURCES, AND FUND BALANCES				
Liabilities:				
Accounts payable and accrued liabilities	4,089,660	344,802	1,638	-
Accured payroll	1,034,158	31,524	-	-
Retention payable	553,573	4,977	-	-
Deposit payable	390,571	-	-	-
Unearned revenue	-	6,377,287	-	-
Due to other funds	-	30,913	-	-
Due to other governmental agencies	-	761,585	-	-
Total liabilities	6,067,962	7,551,088	1,638	-
Deferred inflows of resources:				
Related to leases	1,378,304	-	-	-
Unavailable revenues	901,947	5,125	-	-
Total deferred inflows of resources	2,280,251	5,125	-	-
Fund balances:				
Nonspendable	77,450	-	-	-
Restricted	-	744,046	4,695,755	3,680,891
Committed	10,226,927	-	-	-
Assigned	18,029,418	-	-	-
Unassigned (deficit)	119,426	-	-	-
Total fund balances	28,453,221	744,046	4,695,755	3,680,891
Total liabilities, deferred inflows of resources, and fund balances	$ 36,801,434	$ 8,300,259	$ 4,697,393	$ 3,680,891

See accompanying Notes to the Basic Financial Statements

City of Monterey Park
Balance Sheet (Continued)
Governmental Funds
June 30, 2023

	Major Funds		
	Capital Projects Street Fund	Nonmajor Governmental Funds	Total Governmental Funds
ASSETS			
Cash and investments	$ -	$ 19,295,086	$ 61,089,202
Cash and investments with fiscal agents	18,515,956	564,038	19,297,530
Receivables:			
Accounts	-	890,053	6,456,256
Interest	-	96,767	260,449
Loans and notes	-	-	1,947,808
Due from other funds	-	-	1,601,998
Lease receivable	-	-	1,214,875
Prepaid items	-	-	77,450
Receivable from Successor Agency	-	-	896,309
Total assets	$ 18,515,956	$ 20,845,944	$ 92,841,877
LIABILITIES, DEFERRED INFLOWS OF RESOURCES, AND FUND BALANCES			
Liabilities:			
Accounts payable and accrued liabilities	$ 5,220,187	$ 561,639	$ 10,217,926
Accured payroll	-	24,109	1,089,791
Retention payable	368,705	45,479	972,734
Deposit payable	-	-	390,571
Unearned revenue	-	-	6,377,287
Due to other funds	779,347	387,510	1,197,770
Due to other governmental agencies	-	-	761,585
Total liabilities	6,368,239	1,018,737	21,007,664
Deferred inflows of resources:			
Related to leases	-	-	1,378,304
Unavailable revenues	-	-	907,072
Total deferred inflows of resources	-	-	2,285,376
Fund balances:			
Nonspendable	-	-	77,450
Restricted	12,147,717	19,794,723	41,063,132
Committed	-	152,403	10,379,330
Assigned	-	-	18,029,418
Unassigned (deficit)	-	(119,919)	(493)
Total fund balances	12,147,717	19,827,207	69,548,837
Total liabilities, deferred inflows of resources, and fund balances	$ 18,515,956	$ 20,845,944	$ 92,841,877

See accompanying Notes to the Basic Financial Statements

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City of Monterey Park
Reconciliation of the Governmental Funds Balance Sheet to the Government-Wide Statement of Net Position
June 30, 2023

Total Fund Balances - Total Governmental Funds			$ 69,548,837
Amounts reported for governmental activities in the Statement of Net Position were reported differently because:			
Capital assets used in governmental activities were not current financial resources. Therefore, they were not reported in the Governmental Funds Balance Sheet.			
Nondepreciable, net of $1,635,459 reported in the Internal Service Fund	$	20,826,967	
Depreciable/amortizable, net of $1,377,602 reported in the Internal Service Fund		52,083,910	72,910,877
Long-term liabilities are not due and payable in the current period and accordingly are not reported as fund liabilities. All liabilities, both current and long-term, are reported in the Statement of Net Position:			
Bonds payable	$	(122,465,192)	
Premium on bonds payable		(3,057,713)	
Loans payable, net of $(1,002,198) reported in Internal Service Fund		(3,239,735)	
Interest payable		(306,745)	
Lease liabilities, net of $(24,525) reported in the Internal Service Funds		(49,805)	
Subscription liabilities, net of $(122,953) reported in the Internal Service Funds		(601,833)	
Compensated absences, net of $(151,791) reported in the Internal Service Funds		(5,157,593)	(134,878,616)
Net pension liabilities and the related deferred outflows of resources and deferred inflows of resources are not due and payable in the current period or not available for current expenditures and are not reported in the governmental fund financial statements:			
Pension related deferred outflows of resources, net of $1,338,089 reported in the Internal Service Funds	$	32,267,188	
Aggregate net pension liability, net of $(615,960) reported in the Internal Service Funds		(14,032,990)	
Pension related deferred inflows of resources,net of $(108,834) reported in the Internal Service Funds		(2,670,030)	15,564,168
Net OPEB liabilities and the related deferred outflows of resources and deferred inflows of resources are not due and payable in the current period or not available for current expenditures and are not reported in the governmental fund financial statements:			
Deferred outflows of resources, net of $(373,800) reported in the Internal Service Funds	$	2,728,748	
Net OPEB liability, net of $(2,177,950) reported in the Internal Service Funds		(15,899,048)	
Deferred inflows of resources, net of $(339,974) reported in the Internal Service Funds		(2,481,800)	(15,652,100)
Revenue reported as unavailable revenue in the governmental funds when it is not received soon enough after year-end to be considered available. The availability criteria does not apply to the Government-Wide Financial Statements and, therefore, the revenue is recognized when eligibility requirements are met and earned.			907,072
Internal Service Funds were used by management to charge the costs of certain activities, such as insurance and equipment replacement to individual funds. The assets and liabilities of the Internal Service Funds were included in the governmental activities in the Government-Wide Statement of Net Position, net of the portion of net deficit allocated to business-type activities of $(7,896,263).			(8,722,956)
Net Position (Deficit) of Governmental Activities			$ (322,718)

See accompanying Notes to the Basic Financial Statements

City of Monterey Park
Statement of Revenues, Expenditures, and Changes in Fund Balances
Governmental Funds
For the Year Ended June 30, 2023

	Major Funds			
		Special Revenue Funds		
	General Fund	Grants	Retirement/ Pension Liability	Housing
Revenues:				
Taxes	$ 42,160,583	$ 165,270	$ 8,797,182	$ -
Intergovernmental	275,444	7,900,440	-	-
Charges for services	9,499,865	-	-	-
Licenses and permits	2,533,406	-	-	-
Fines and forfeitures	318,112	-	-	-
Investment income	1,006,690	126,283	176,742	36,007
Miscellaneous	635,492	58,360	145,152	-
Total revenues	56,429,592	8,250,353	9,119,076	36,007
Expenditures:				
Current:				
General government	9,479,899	2,086,352	558,784	-
Public safety	31,313,417	3,845,974	2,944,940	-
Community development	7,246,617	182,187	88,173	-
Culture and recreation	1,458,740	1,222,060	54,496	-
Highways and street	2,903,671	48,250	57,402	-
Health	-	-	-	-
Captial outlay	406,195	791,423	-	-
Debt service:				
Principal retirement	849,624	545,907	4,082,698	-
Interest and fiscal charges	88,925	6,696	3,032,004	-
Total expenditures	53,747,088	8,728,849	10,818,497	-
Revenues over (under) expenditures	2,682,504	(478,496)	(1,699,421)	36,007
Other financing sources (uses):				
Issurnace of subscription liabilities	25,811	-	-	-
Transfers in	5,153,633	-	3,829,401	-
Transfers out	(8,328,041)	-	-	-
Total other financing sources (uses)	(3,148,597)	-	3,829,401	-
Net Change in Fund Balances	(466,093)	(478,496)	2,129,980	36,007
Fund balances:				
Beginning of year, as restated (Note 18)	28,919,314	1,222,542	2,565,775	3,644,884
End of year	$ 28,453,221	$ 744,046	$ 4,695,755	$ 3,680,891

See accompanying Notes to the Basic Financial Statements

City of Monterey Park
Statement of Revenues, Expenditures, and Changes in Fund Balances (Continued)
Governmental Funds
For the Year Ended June 30, 2023

	Major Funds		
	Capital Projects Street Fund	Nonmajor Governmental Funds	Total Governmental Funds
Revenues:			
Taxes	$ -	$ 7,186,722	$ 58,309,757
Intergovernmental	-	4,457,295	12,633,179
Charges for services	-	456,660	9,956,525
Licenses and permits	-	-	2,533,406
Fines and forfeitures	-	2,947	321,059
Investment income	-	1,015,410	2,361,132
Miscellaneous	-	-	839,004
Total revenues	-	13,119,034	86,954,062
Expenditures:			
Current:			
General government	-	6,949	12,131,984
Public safety	-	1,053,264	39,157,595
Community development	-	28,876	7,545,853
Culture and recreation	-	1,203,467	3,938,763
Highways and street	-	5,052,058	8,061,381
Health	-	292,969	292,969
Captial outlay	8,306,129	1,908,476	11,412,223
Debt service:			
Principal retirement	-	317,323	5,795,552
Interest and fiscal charges	-	749,087	3,876,712
Total expenditures	8,306,129	10,612,469	92,213,032
Revenues over (under) expenditures	(8,306,129)	2,506,565	(5,258,970)
Other financing sources (uses):			
Issurnace of subscription liabilities	-	41,090	66,901
Transfers in	-	1,053,450	10,036,484
Transfers out	-	(1,229,302)	(9,557,343)
Total other financing sources (uses)	-	(134,762)	546,042
Net Change in Fund Balances	(8,306,129)	2,371,803	(4,712,928)
Fund balances:			
Beginning of year, as restated (Note 18)	20,453,846	17,455,404	74,261,765
End of year	$ 12,147,717	$ 19,827,207	$ 69,548,837

See accompanying Notes to the Basic Financial Statements

City of Monterey Park
Reconciliation of the Governmental Funds Statement of Revenues, Expenditures, and Changes in Fund Balances to the Government-Wide Statement of Activities
For the Year Ended June 30, 2023

Net Change in Fund Balances - Total Governmental Funds			$ (4,712,928)
Governmental activities in the Statement of Activities were reported differently because:			
Capital assets used in governmental activities are not financial resources and therefore are not reported in governmental funds.			
Capital outlay, net of $209,701 in the Internal Service Funds	$ 14,179,923		
Depreciation and amortization, net of $996,286 in the Internal Service Fundss	(5,415,073)		8,764,850
Net change in revenues that was considered unavailable in the governmental funds. These items have been reported as revenue in the Statement of Activities.			577,960
Proceeds from the issuance of subscription liabilities is not a revenue in the Statement of Activities, but is reported as a liability on the Government-Wide Statement of Net Position.			(66,901)
Principal repayment on long-term debt is not an expense in the Statement of Activities, but is considered an expenditure in governmental funds.			
Bonds payable	$ 887,074		
Loans payable, net of $379,204 reported in the Internal Service Funds	4,387,698		
Lease liabilities, net of $31,296 reported in the Internal Service Funds	18,656		
Subscription liabilities, net of $236,957 reported in the Internal Service Funds	502,124		5,795,552
Interest accrued on long-term debt is reported in the Statement of Activities, but does not require the use of current financial resources. Therefore, accrued interest is not reported as an expenditure in governmental funds. This amount represents the change in accrued interest from the prior year.			5,793
Amortization of bond premium was recognized in interest expense on the Government-Wide Statement of Activities, but did not require the use of current financial resources. Therefore amortization of bond discount was not reported as an expenditure in the governmental funds.			109,204
Compensated absences were reported in the Government-Wide Statement of Activities, but they did not require the use of current financial resources. Therefore, compensated absences were not reported as expenditures in the governmental funds, net of $(19,674) reported in the Internal Service Funds			(77,429)
Certain pension expenses reported in the Statement of Activities do not require the use of current financial resources and, therefore, are not reported as expenditures in governmental funds.			(1,339,109)
Certain other postemployement benefits expenses reported in the Statement of Activities do not require the use of current financial resources and, therefore, are not reported as expenditures in governmental funds.			4,599,560
Internal Service Funds are used by management to charge the costs of certain activities, such as insurance and equipment replacement, to individual funds. The net revenue of the Internal Service Funds is reported in governmental activities. This amount excludes $(579,296) charged to the business-type activities.			(2,024,863)
Change in Net Position of Governmental Activities			$ 11,631,689

See accompanying Notes to the Basic Financial Statements

PROPRIETARY FUND FINANCIAL STATEMENTS

City of Monterey Park
Statement of Net Position
Proprietary Funds
June 30, 2023

	Business-Type Activities				Governmental Activities
	Enterprise Funds				Internal
	Water Utility	Refuse	Sewer	Total	Service Funds
ASSETS					
Current assets:					
Cash and investments	$ 15,955,496	$ 434,502	$ 6,788,609	$ 23,178,607	$ 9,499,382
Cash and investments with fiscal agent	-	-	-	-	622
Accounts receivable	3,886,440	878,626	422,101	5,187,167	15,502
Interest receivable	139,359	-	31,448	170,807	-
Total current assets	19,981,295	1,313,128	7,242,158	28,536,581	9,515,506
Noncurrent assets:					
Capital assets:					
Nondepreciable	19,769,174	-	1,780,597	21,549,771	1,635,459
Depreciable and amortizable, net	28,451,436	47,918	3,544,967	32,044,321	1,377,602
Total noncurrent assets	48,220,610	47,918	5,325,564	53,594,092	3,013,061
Total assets	68,201,905	1,361,046	12,567,722	82,130,673	12,528,567
DEFERRED OUTFLOWS OF RESOURCES					
Pension related	1,605,706	133,809	535,235	2,274,750	1,338,089
OPEB related	448,561	37,380	149,520	635,461	373,800
Total deferred outflows of resources	$ 2,054,267	$ 171,189	$ 684,755	$ 2,910,211	$ 1,711,889

See accompanying Notes to the Basic Financial Statements

City of Monterey Park
Statement of Net Position (Continued)
Proprietary Funds
June 30, 2023

	Business-Type Activities				Governmental Activities
	Enterprise Funds				Internal
	Water Utility	Refuse	Sewer	Total	Service Funds
LIABILITIES					
Current liabilities:					
Accounts payable	$ 3,627,325	$ 6,255	$ 77,517	$ 3,711,097	$ 1,333,461
Accrued liabilities	40,517	4,436	13,303	58,256	27,517
Retention payable	436,503	-	116,176	552,679	-
Interest payable	22,870	1,538	1,484	25,892	-
Deposit payable	472,032	-	-	472,032	-
Due to other funds	-	-	-	-	404,228
Loans payable, due within one year	1,127,507	-	-	1,127,507	391,393
Bonds payable, due within one year	139,914	30,635	29,568	200,117	-
Insurance assessment payable, due within one year	-	-	-	-	163,514
Leases liabilities, due within one year	649	-	-	649	12,488
Subscription liabilities, due within one year	2,914	-	-	2,914	79,856
Compensated absences, due within one year	192,633	16,165	42,180	250,978	144,982
Claims payable, due within one year	-	-	-	-	3,865,253
Total current liabilities	6,062,864	59,029	280,228	6,402,121	6,422,692
Noncurrent liabilities:					
Loans payable, due more than one year	9,518,803	-	-	9,518,803	610,805
Bonds payable, due more than one year	3,415,191	747,771	721,729	4,884,691	-
Insurance assessment payable, due more than one year	-	-	-	-	490,543
Leases liabilities, due more than one year	1,460	-	-	1,460	12,037
Subscription liabilities, due more than one year	6,316	-	-	6,316	43,097
Compensated absences, due more than one year	9,047	759	1,981	11,787	6,809
Claims payable, due more than one year	-	-	-	-	20,030,974
Net pension liability	739,153	61,596	246,384	1,047,133	615,960
Net OPEB liability	2,613,541	217,795	871,181	3,702,517	2,177,950
Total noncurrent liabilities	16,303,511	1,027,921	1,841,275	19,172,707	23,988,175
Total liabilities	22,366,375	1,086,950	2,121,503	25,574,828	30,410,867
DEFERRED INFLOW OF RESOURCES					
Pension related	130,601	10,883	43,533	185,017	108,834
OPEB related	407,968	33,997	135,989	577,954	339,974
Total deferred inflows of resources	538,569	44,880	179,522	762,971	448,808
NET POSITION					
Net investment in capital assets	37,126,458	47,918	5,209,388	42,383,764	1,863,385
Restricted	-	-	-	-	622
Unrestricted (deficit)	10,224,770	352,487	5,742,064	16,319,321	(18,483,226)
Total net position (deficit)	$ 47,351,228	$ 400,405	$ 10,951,452	$ 58,703,085	$ (16,619,219)
Adjustment to reflect the consolidation of internal service funds activities to related enterprise funds	(6,829,215)	(949,337)	(117,711)	(7,896,263)	
Net position (deficit) of business-type activities	$ 40,522,013	$ (548,932)	$ 10,833,741	$ 50,806,822	

See accompanying Notes to the Basic Financial Statements

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City of Monterey Park
Statement of Revenues, Expenses, and Changes in Net Position
Proprietary Funds
For the Year Ended June 30, 2023

	Business-Type Activities				Governmental Activities
	Enterprise Funds				Internal
	Water Utility	Refuse	Sewer	Total	Service
OPERATING REVENUES:					
Charges for services	$ 12,585,699	$ 7,041,047	$ 3,331,412	$ 22,958,158	$ 14,813,970
Meter installations	166,426	-	-	166,426	-
Miscellaneous	-	-	-	-	166,095
Total operating revenues	12,752,125	7,041,047	3,331,412	23,124,584	14,980,065
OPERATING EXPENSES:					
Operation	11,860,266	7,070,660	2,065,827	20,996,753	-
Salaries and Benefits	3,526,785	364,486	1,083,798	4,975,069	5,339,240
General and administrative	1,155,284	303,284	32,694	1,491,262	-
Depreciation and amortization expense	1,692,004	10,400	247,865	1,950,269	996,286
Materials and supplies	-	-	-	-	2,590,242
Insurance and claims	-	-	-	-	8,616,674
Total operating expenses	18,234,339	7,748,830	3,430,184	29,413,353	17,542,442
OPERATING (LOSS)	(5,482,214)	(707,783)	(98,772)	(6,288,769)	(2,562,377)
NONOPERATING REVENUES (EXPENSES):					
Investment earnings	650,145	154	159,288	809,587	-
Interest expense	(243,663)	(3,873)	(3,801)	(251,337)	(41,782)
Total nonoperating income (loss)	406,482	(3,719)	155,487	558,250	(41,782)
NET INCOME (LOSS) BEFORE TRANSFERS	(5,075,732)	(711,502)	56,715	(5,730,519)	(2,604,159)
TRANSFERS:					
Transfers out	(330,177)	(34,012)	(114,952)	(479,141)	-
Total transfers	(330,177)	(34,012)	(114,952)	(479,141)	-
CHANGES IN NET POSITION	(5,405,909)	(745,514)	(58,237)	(6,209,660)	(2,604,159)
NET POSITION (DEFICIT):					
Beginning of the year, as restated (Note 18)	52,757,137	1,145,919	11,009,689	64,912,745	(14,015,060)
End of the year	$ 47,351,228	$ 400,405	$ 10,951,452	$ 58,703,085	$ (16,619,219)
Change in Net Position	$ (5,405,909)	$ (745,514)	$ (58,237)	$ (6,209,660)	
Adjustment to Reflect the Consolidation of Internal Service Fund Activities to Related Enterprise Fund	(413,301)	(48,284)	(117,711)	(579,296)	
Changes in Net Position of Business-type Activities	$ (5,819,210)	$ (793,798)	$ (175,948)	$ (6,788,956)	

See accompanying Notes to the Basic Financial Statements

City of Monterey Park
Statement of Cash Flows
Proprietary Funds
For the Year Ended June 30, 2023

	Business-Type Activities				Governmental Activities
	Enterprise Funds				Internal
	Water Utility	Refuse	Sewer	Total	Service Fund
CASH FLOWS FROM OPERATING ACTIVITIES					
Cash received from customers and users	$ 13,537,828	$ 6,944,311	$ 3,307,670	$ 23,789,809	$ 14,980,065
Cash paid to suppliers for goods and services	(12,008,493)	(7,400,508)	(2,028,344)	(21,437,345)	(2,602,048)
Cash paid to employees for services	(2,021,301)	(220,373)	(754,762)	(2,996,436)	(3,132,052)
Cash paid for insurance claims	-	-	-	-	(6,972,616)
Net cash provided by (used in) operating activities	(491,966)	(676,570)	524,564	(643,972)	2,273,349
CASH FLOWS FROM NONCAPITAL FINANCING ACTIVITIES:					
Cash recevied from other funds	-	-	-	-	193,993
Principal paid on pension obligation bonds	(135,961)	(14,006)	(47,335)	(197,302)	-
Interest paid on pension obligation bonds	(194,216)	(20,006)	(24,083)	(238,305)	-
Net cash provided by (used in) noncapital financing activities	(330,177)	(34,012)	(71,418)	(435,607)	193,993
CASH FLOWS FROM CAPITAL AND RELATED FINANCING ACTIVITIES:					
Acquisition of capital assets	(5,510,419)	(42,760)	(2,300,595)	(7,853,774)	(209,701)
Principal paid	(604,399)	(34,077)	(29,152)	(667,628)	(810,971)
Interest paid	(444,929)	(18)	(47,290)	(492,237)	(41,782)
Net cash (used in) capital and related financing activities	(6,559,747)	(76,855)	(2,377,037)	(9,013,639)	(1,062,454)
CASH FLOWS FROM INVESTING ACTIVITIES:					
Interest received	538,622	1,278	136,198	676,098	-
Net cash provided by investing activities	538,622	1,278	136,198	676,098	-
Net change in cash and cash equivalents	(6,843,268)	(786,159)	(1,787,693)	(9,417,120)	1,404,888
CASH AND CASH EQUIVALENTS:					
Beginning of year	22,798,764	1,220,661	8,576,302	32,595,727	8,095,116
End of year	$ 15,955,496	$ 434,502	$ 6,788,609	$ 23,178,607	$ 9,500,004
CASH AND CASH EQUIVALENTS:					
Cash and investments	$ 15,955,496	$ 434,502	$ 6,788,609	$ 23,178,607	$ 9,499,382
Cash and investments with fiscal agent	-	-	-	-	622
Total cash and cash equivalents	$ 15,955,496	$ 434,502	$ 6,788,609	$ 23,178,607	$ 9,500,004

See accompanying Notes to the Basic Financial Statements

City of Monterey Park
Statement of Cash Flows (Continued)
Proprietary Funds
For the Year Ended June 30, 2023

	Enterprise Funds				Internal
	Water Utility	Refuse	Refuse	Sewer	Service Fund
Reconciliation of operating (loss) to net cash provided by (used in) operating activities:					
Operating (loss)	$ (5,482,214)	$ (707,783)	$ (98,772)	(6,288,769)	$ (2,562,377)
Adjustments to reconcile to net cash provided by Operating activities:					
Depreciation/Amortization	1,692,004	10,400	247,865	1,950,269	996,286
Changes in assets and liabilities:					
(Increase) decrease in accounts receivables	778,204	(96,736)	(23,742)	657,726	-
(Increase) decrease in deferred outflows -pension related	(1,377,681)	(112,168)	(461,734)	(1,951,583)	(1,276,992)
(Increase) decrease in deferred outflows - OPEB related	(249,534)	(22,440)	(82,822)	(354,796)	(296,697)
Increase (decrease) in accounts payable	1,007,057	(26,564)	70,177	1,050,670	1,178,731
Increase (decrease) in accrued liabilities	9,537	1,316	1,501	12,354	(4,975)
Increase (decrease) in deposits payable	7,499	-	-	7,499	-
Increase (decrease) in compensated absences	143,802	1,115	(106,209)	38,708	19,674
Increase (decrease) in claims payable	-	-	-	-	1,453,521
Increase (decrease) in net pension liability	4,208,727	390,884	1,364,760	5,964,371	1,545,596
Increase (decrease) in total OPEB liability	1,144,330	107,506	378,818	1,630,654	1,608,778
Increase (decrease) in deferred inflows - pension related	(2,307,105)	(220,473)	(742,232)	(3,269,810)	(544,326)
Increase (decrease) in deferred inflows - OPEB related	(66,592)	(1,627)	(23,046)	(91,265)	156,130
Net cash provided by (used in) operating activities	$ (491,966)	$ (676,570)	$ 524,564	$ (643,972)	$ 2,273,349
NONCASH ITEMS:					
Acquisition of right to use lease assets	$ -	$ -	$ -	$ -	$ (95,424)
Issuance of lease and subscription liabilities	$ -	$ -	$ -	$ -	$ 95,424

See accompanying Notes to the Basic Financial Statements

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FIDUCIARY FUND FINANCIAL STATEMENTS

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City of Monterey Park
Statement of Fiduciary Net Position
Fiduciary Fund
June 30, 2023

	Private-Purpose Trust Fund
ASSETS	
Current assets:	
Cash and investments	$ 171,640
Cash and investments with fiscal agent	1,925,722
Total assets	2,097,362
LIABILITIES	
Current liabilities:	
Accounts payable	52
Accured liabilities	2,084
Interest payable	122,821
Advances from City of Monterey Park, due within one year	137,342
Long term debt, due within one year	2,231,391
Total current liabilities	2,493,690
Noncurrent liabilities	
Advances from City of Monterey Park, due in more than one year	758,967
Long-term debt, due in more than one year	94,175,675
Total Noncurrent liabilities	94,934,642
NET POSITION (DEFICIT)	
Restricted for:	
Successor Agency	$ (95,330,970)

See accompanying Notes to the Basic Financial Statements

City of Monterey Park
Statement of Change in Fiduciary Net Position
Fiduciary Fund
For the Year Ended June 30, 2023

	Private-Purpose Trust Fund
ADDITIONS	
Redevelopment property tax trust fund	$ 2,547,790
Investment income	25,447
Total additions	2,573,237
DEDUCTIONS	
Administration	190,002
Interest expense and fiscal charges	5,894,715
Total deductions	6,084,717
CHANGE IN NET POSITION	(3,511,480)
NET POSITION (DEFICIT)	
Beginning of year	(91,819,490)
End of year	$ (95,330,970)

See accompanying Notes to the Basic Financial Statements

NOTES TO THE BASIC FINANCIAL STATEMENTS

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City of Monterey Park
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For the Year Ended June 30, 2023

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Note 1 – Summary of Significant Accounting Policies

The basic financial statements of the City of Monterey Park, California, (the "City") have been prepared in conformity with accounting principles generally accepted in the United States of America ("U.S. GAAP") as applied to governmental agencies. The Governmental Accounting Standards Board ("GASB") is the accepted standard setting body for establishing governmental accounting and financial reporting principles. The following is a summary of the City's significant policies:

A. Description of the Reporting Entity

The City was incorporated May 29, 1916 under the general laws of the State of California and enjoys all the rights and privileges pertaining to General Law cities. The City is governed by an elected five-member City Council. As required by generally accepted accounting principles in the United States of America, the financial statements include the financial activities of the City (the primary government), the Monterey Park Public Financing Authority (the "Financing Authority"), and the Monterey Park Housing Authority (the "Housing Authority"). Although the Financing Authority and Housing Authority are legally separate from the City, they have been "blended" as though they are part of the City because the component units' governing body are substantially the same as the City's and there is a financial benefit or burden relationship between the City and the component units; management of the City has operational responsibilities for the component units; and/or the component units provide services entirely, or almost entirely, to the City or otherwise exclusively, or almost exclusively, benefits the City, even though they do not provide services directly to it.

Blended Component Units

The Monterey Park Public Financing Authority

The Financing Authority was organized in May 1989 under a joint exercise of power agreement to provide for the financing of public capital improvements for the City and the former Redevelopment Agency of Monterey Park. The members of the City Council act as the governing board of the Financing Authority and there is a financial benefit or burden relationship between the City and the Financing Authority. The Financing Authority does not issue separate financial statements.

The Monterey Park Housing Authority

The Housing Authority was established in September 1992 to provide affordable housing within the City. The members of the City Council act as the governing board of the Housing Authority and there is a financial benefit or burden relationship between the City and the Housing Authority. The Housing Authority does not issue separate financial statements.

B. Basis of Accounting and Measurement Focus

Government-Wide Financial Statements

The City Government–Wide Financial Statements include a Statement of Net Position and a Statement of Activities and Changes in Net Position. These statements present summaries of governmental and business-type activities for the City, the primary government, accompanied by a total column. Fiduciary activities of the City are not included in these statements.

Note 1 – Summary of Significant Accounting Policies (Continued)

B. Basis of Accounting and Measurement Focus (Continued)

Government-Wide Financial Statements (Continued)

Fiduciary activities of the City are not included in these statements.

These financial statements are presented on an *"economic resources"* measurement focus and the accrual basis of accounting. Accordingly, all of the City's assets and liabilities, including capital assets, as well as infrastructure assets, and long-term liabilities, are included in the accompanying Statement of Net Position. The Statement of Activities presents changes in Net Position. Under the accrual basis of accounting, revenues are recognized in the period in which they are earned while expenses are recognized in the period in which the liability is incurred.

Certain types of transactions are reported as program revenues for the City in three categories:

- Charges for services
- Operating grants and contributions
- Capital grants and contributions

Certain eliminations have been made as prescribed by GASB Statement No. 34 in regard to interfund activities, payables and receivables. All internal balances in the Statement of Net Position have been eliminated except those representing balances between the governmental activities and the business-type activities, which are presented as internal balances and eliminated in the total primary government column. However, those transactions between governmental and business-type activities have not been eliminated. The following interfund activities have been eliminated:

- Due to/from other funds
- Advances to/from other funds
- Transfers in/out

The accounts of the City are organized on the basis of funds, each of which is considered a separate accounting entity. The operations of each fund are accounted for by providing a separate set of self-balancing accounts that comprise its assets, liabilities, fund equity, revenues and expenditures or expenses, as appropriate. Fund accounting segregates funds according to their intended purpose and is used to aid management in demonstrating compliance with finance-related legal and contractual provisions. The minimum number of funds is maintained in accordance with legal and managerial requirements.

Governmental Fund Financial Statements

Governmental Fund Financial Statements include a Balance Sheet and a Statement of Revenues, Expenditures and Changes in Fund Balances for all major governmental funds and nonmajor funds aggregated. An accompanying schedule is presented to reconcile and explain the differences between fund balance as presented in these statements to the net position presented in the Government-Wide Financial Statements. The City has presented all major funds that met the applicable criteria.

All governmental funds are accounted for on a spending or *"current financial resources"* measurement focus and the modified accrual basis of accounting. Accordingly, only current assets and current liabilities are included on the Balance Sheet. The Statement of Revenues, Expenditures and Changes in Fund Balances presents increases (revenues and other financing sources) and decreases (expenditures and other financing uses) in net current assets. Under the modified accrual basis of accounting, revenues are recognized in the accounting period in which they become both measurable and available to finance expenditures of the current period.

Note 1 – Summary of Significant Accounting Policies (Continued)

B. Basis of Accounting and Measurement Focus (Continued)

Governmental Fund Financial Statements (Continued)

Revenues are recognized as soon as they are both "measurable" and "available". Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the City considers revenues to be available if they are collected within 60 days of the end of the current fiscal period. The primary revenue sources, which have been treated as susceptible to accrual by the City, are property tax, sales tax, intergovernmental revenues and other taxes. Expenditures are recorded in the accounting period in which the related fund liability is incurred.

The City reports the following major governmental funds:

General Fund – This fund is used to account for resources traditionally associated with governments which are not required by law or sound financial management to be accounted for in another fund.

Special Revenue Grants Fund - This fund has been established to account for the grants requiring segregated fund accounting. Financing is provided by federal, state and county agencies.

Special Revenue Retirement/Pension Liability Fund – This fund was established to account for revenue received from voter-approved property tax levied to provide for employee retirement costs, as established pursuant to Monterey Park Municipal Code Section 2.40.060 and to account for the financial resources provided by the City in anticipation of estimated increases in retirement costs.

Special Revenue Housing Fund – This fund is used to account for housing activities for the City and revenue received from housing loan repayments and rental income.

Capital Projects Streets Fund – This fund is used to account for funds accumulated for street related capital projects.

Proprietary Funds Financial Statements

Proprietary Funds Financial Statements include a Statement of Net Position, a Statement of Revenues, Expenses and Changes in Fund Net Position, and a Statement of Cash Flows for each major Proprietary Fund.

A separate column representing internal service funds is also presented in these statements. However, internal service balances and activities have been combined with the governmental and business-type activities in the Government-Wide Financial Statements. The City's internal service funds include three individual funds which provide services directly to other City funds. These areas of service include Separation Benefits, General Liability, Workers' Compensation, Shop, Information Technology, and Fringe Benefits.

Proprietary funds are accounted for using the *"economic resources"* measurement focus and the accrual basis of accounting. Accordingly, all assets and liabilities (whether current or noncurrent) are included on the Statement of Net Position. The Statement of Revenues, Expenses and Changes in Net Position presents increases (revenues) and decreases (expenses) in total net position. Under the accrual basis of accounting, revenues are recognized in the period in which they are earned while expenses are recognized in the period in which the liability is incurred. In these funds, receivables have been recorded as revenue and provisions have been made for uncollectible amounts.

Note 1 – Summary of Significant Accounting Policies (Continued)

B. Basis of Accounting and Measurement Focus (Continued)

Operating revenues in the proprietary funds are those revenues that are generated from the primary operations of the fund. All other revenues are reported as nonoperating revenues. Operating expenses are those expenses that are essential to the primary operations of the fund. All other expenses are reported as nonoperating expenses.

The City reports the following major enterprise funds:

The Water Utility Enterprise Fund is used to account for operations that are financed and operated in a manner similar to private business enterprises and where the intent of the City is that the costs (expenses, including depreciation) of providing goods services to the general public on a continuing basis be financed or recovered primarily through user charges. The City accounts for its water utility in this fund.

The Refuse Enterprise Fund is used to account for receipts and expenditures relating to waste management activities including refuse collection, disposal and reduction.

The Sewer Enterprise Fund is used to account for receipts and expenses for construction and improvement to deficient sanitary mains identified in the Sewer Master Plan.

Additionally, the City reports the following proprietary fund types:

Internal Service Funds

The *Internal Service Funds* are utilized to finance and account for activities involved in rendering services to departments within the City. Costs of services are accumulated in these funds and charged to user departments as such costs are incurred. The City maintains six internal service funds for separation benefits, general liability claims, workers' compensation claims, auto shop operations, technology development, and fringe benefits.

Fiduciary Fund Financial Statements

Fiduciary fund financial statements include a Statement of Fiduciary Net Position. The City maintains a fiduciary fund (private–purpose trust fund) for the Successor Agency to the former Community Development Agency. Private-purpose trust funds include a Statement of Net Position and a Statement of Changes in Fiduciary Net Position. the private purpose trust funds are accounted for on the full accrual basis of accounting where the assets associated with the activity are controlled by the City and the assets are not derived 1) solely from the government's own-source revenues or 2) from government-mandated nonexchange transactions or voluntary nonexchange transactions.

C. Cash and Investments

The City pools its available cash for investment purposes. Highly liquid market investments with maturities of one year or less at time of purchase are stated at amortized cost. All other investments are stated at fair value.

U.S. GAAP defines fair value, establishes a framework for measuring fair value and establishes disclosures about fair value measurement. Investments, unless otherwise specified, recorded at fair value in the financial statements, are categorized based upon the level of judgment associated with the inputs used to measure their fair value.

Note 1 – Summary of Significant Accounting Policies (Continued)

C. Cash and Investment (Continued)

The three levels of the fair value measurement hierarchy are described below:

Level 1 – Inputs are unadjusted, quoted prices for identical assets and liabilities in active markets at the measurement date.

Level 2 – Inputs, other than quoted prices included in Level 1, that are observable for the assets and liabilities through corroboration with market data at the measurement date.

Level 3 – Unobservable inputs that reflect management's best estimate of what market participants would use in pricing the assets and liabilities at the measurement date.

The statement of cash flows requires presentation of "cash and cash equivalents". For this purpose, the City considers all proprietary fund pooled cash and investments as "cash and cash equivalents", as such funds are available to the various funds as needed.

Certain disclosure requirements, if applicable, for Deposits and Investment Risks in the following areas:

- Interest Rate Risk
- Credit Risk
  - Overall
  - Custodial Credit Risk
  - Concentration of Credit Risk

In addition, other disclosures are specified including use of certain methods to present deposits and investments, highly sensitive investments, credit quality at year-end and other disclosures.

D. Accounts Receivable and Due from Other Governments

All accounts and due from other governments are shown net of any allowance for uncollectible accounts, if applicable, and estimated refunds due.

E. Loans and Notes Receivable

The accompanying financial statements reflect the recording of certain loans and notes receivable that represent loans made to various parties for homebuyer and rehabilitation loan programs. Where reasonably estimable, an allowance for doubtful accounts has been recorded to reflect management's best estimate of probable losses associated with nonrepayment. An estimate of any additional potential losses associated with nonrepayment cannot be reasonably estimated at this time.

F. Prepaid Items

Prepaid items are payments made to vendors for services that will benefit periods beyond the fiscal year ended using consumption method.

Note 1 – Summary of Significant Accounting Policies (Continued)

G. Leases

Lessor

The City is a lessor for leases of buildings and land and recognizes leases receivable and deferred inflows of resources in the financial statements. Variable payments based on future performance or usage of the underlying asset are not included in the measurement of the lease receivable.

At the commencement of a lease, the lease receivable is measured at the present value of payments expected to be received during the lease term. Subsequently, the lease receivable is reduced by the principal portion of lease payments received. The deferred inflows of resources are initially measured as the initial amount of the lease receivable, adjusted for lease payments received at or before the lease commencement date. Subsequently, the deferred inflows of resources are recognized as revenue over the life of the lease term in a systematic and rational method.

Key estimates and judgments include how the City determines (1) the discount rate it uses to discount the expected lease receipts to present value, (2) lease term, and (3) lease receipts.

- The City uses the average of the LAIF rate and the incremental borrowing rate (IBR) provided by the City's financial institution for existing leases or the current rate at the time a new lease is executed.
- The lease term includes the noncancelable period of the lease plus any option periods that are likely to be exercised.
- Lease receipts included in the measurement of the lease receivable is composed of fixed payments from the lessee.

The City monitors changes in circumstances that would require a remeasurement of its lease and will remeasure the lease receivable and deferred inflows of resources if certain changes occur that are expected to significantly affect the amount of the lease receivable.

Lessee

The City has a policy to recognize a lease liability and a right-to-use asset (lease asset) in the financial statements with an initial, individual value of $5,000 or more with a lease term greater than one year. Variable payments based on future performance or usage of the underlying assets are not included in the measurement of the lease liability.

At the commencement of a lease, the lease liability is measured at the present value of payments expected to be made during the lease term. Subsequently, the lease liability is reduced by the principal portion of lease payments made.

Lease assets are recorded at the amount of the initial measurement of the lease liabilities and modified by any lease payments made to the lessor at or before the commencement of the lease term, less any lease incentives received from the lessor at or before the commencement of the lease term along with any initial direct costs that are ancillary charges necessary to place the lease assets into service. Lease assets are amortized using the straight–line method over the shorter of the lease term or the useful life of the underlying asset, unless the lease contains a purchase option that the State has determined is reasonably certain of being exercised. In this case, the lease asset is amortized over the useful life of the underlying asset.

Note 1 – Summary of Significant Accounting Policies (Continued)

G. Leases (Continued)

Key estimates and judgments related to leases include how the City determines (1) the discount rate it uses to discount the expected lease payments to present value, (2) lease term, and (3) lease payments.

- The City uses the interest rate charged by the lessor as the discount rate. When the interest rate charged by the lessor is not provided, the City generally uses its estimated incremental borrowing rate as the discount rate for leases.
- The lease term includes the noncancelable period of the lease, plus any option periods that are reasonably certain to be exercised.
- Lease payments included in the measurement of the lease liability are composed of fixed payments and purchase option price that the City is reasonably certain to exercise. The City monitors changes in circumstances that would require a remeasurement of a lease and will remeasure any lease asset and liability if certain changes occur that are expected to significantly affect the amount of the lease liability.

Lease assets are reported as right-to-use along with other capital assets and lease liabilities are reported as long-term liabilities on the statement of net position.

H. Capital Assets

Capital assets, which include property, plant, equipment, and infrastructure assets (roads, sidewalks, drainage systems, lighting systems, etc.), are reported in the applicable governmental or business-type activities columns in the government-wide financial statements. These assets are valued at historical cost or estimated historical cost if purchased or constructed. Donated capital assets are valued at their acquisition value. Leased assets, which include equipment, follow the same capitalization thresholds as capital assets. Leased assets are recorded at the amount of the initial measurement of the lease liabilities and modified by any lease payments made to the lessor at or before the commencement of the lease term.

The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend the life of assets are not capitalized. Major outlays for capital assets and improvements are capitalized as projects are constructed. The capitalization threshold for property, plant and equipment is $5,000 and for infrastructure assets is $200,000. Depreciation is recorded in the government-wide financial statements on a straight-line basis over the useful life of the depreciable assets.

Depreciation is charged to operations, using a straight-line method based on the following average useful lives of the assets:

Buildings	40 to 50 years
Improvements	10 to 50 years
Equipment	5-20 years
Water Meters	20 years
Water Mains	40 to 75 years
Water Hydrants	40 years
Wells	40 years
Other Water Equipment	5 to 40 years

Note 1 – Summary of Significant Accounting Policies (Continued)

H. Capital Assets (Continued)

Infrastructure:	
Roadway	25 years
Bridge	40 years
Sewer System	50 years
Streetlight	20 years
Traffic Signal	20 years

I. Subscription-Based Information Technology Arrangements (SBITAs)

The City has a policy to recognize a subscription liability and a right-to-use subscription asset (subscription asset) in the financial statements. The City recognizes subscription liabilities with an initial, individual value of $5,000 or more with a subscription term greater than one year. Variable payments based on future performance of the City, usage of the underlying IT asset, or number of user seats are not included in the measurement of the subscription liability, rather, those variable payments are recognized as outflows of resources (expenses) in the period the obligation for those payments is incurred.

At the commencement of a SBITA, the City initially measures the subscription liability at the present value of payments expected to be made during the subscription term. Subsequently, the subscription liability is reduced by the principal portion of subscription payments made.

Subscription assets are recorded at the amount of the initial measurement of the subscription liabilities, less any payments made to the SBITA vendor before the commencement of the subscription term, and capitalizable initial implementation cost, less any incentives received from the SBITA vendor at or before the commencement of the subscription term.

- Preliminary Project Stage: Outlays are expensed as incurred.
- Initial Implementation Stage: Outlays are capitalized as an addition to the subscription asset.

Upon adoption, the City elected to exclude the capitalizable outlays associated with the initial implementation stage and the operation and additional implementation stage that were incurred prior to the implementation of this Statement in the measurement of subscription assets as of July 1, 2022.

Subscription assets are reported within capital assets and subscription liabilities are reported with long-term liabilities on the statement of net position. Subscription assets are amortized using the straight-line method over the shorter of the subscription term or the useful life of the underlying IT asset, unless the subscription contains a purchase option that the City has determined is reasonably certain of being exercised. In this case, the subscription asset is amortized over the useful life of the underlying IT asset.

Key estimates and judgments related to SBITA include how the City determines (1) the discount rate it uses to discount the expected subscription payments to present value, (2) subscription term, and (3) subscription payments.

- The City uses the interest rate charged by the SBITA vendor as the discount rate. When the interest rate charged by the SBITA vendor is not provided, the City generally uses its estimated incremental borrowing rate as the discount rate for SBITA.

Note 1 – Summary of Significant Accounting Policies (Continued)

I. Subscription-Based Information Technology Arrangements (SBITAs) (Continued)

- The subscription term includes the noncancellable period of the SBITA. Subscription payments included in the measurement of the subscription liability are composed of fixed payments and purchase option price that the City is reasonably certain to exercise.

J. Deferred Outflows/Inflows of Resources

The statement of financial position reports separate sections for deferred outflows of resources and deferred inflows of resources, when applicable.

Deferred Outflows of Resources represent a consumption of net assets that applies to future periods. The City reports pension contribution after measurement date and deferred loss related to pension, OPEB, debt refunding in this category.

Deferred Inflows of Resources represent an acquisition of net assets that applies to future periods. The City reports unavailable revenues and deferred gain related to pension and OPEB in this category.

K. Unearned and Unavailable Revenue

Unearned revenue is reported for transactions for which revenue has not yet been earned. Typical transactions recorded as unearned revenues are prepaid charges for services.

In the governmental fund financial statements, unavailable revenue is reported when transactions have not yet met the revenue recognition criteria based on the modified accrual basis of accounting. The City reports unavailable revenue when an asset is reported in governmental fund financial statements but the revenue is not available.

L. Compensated Absences

The cost of earned but unused vacation and sick leave, for which the City has a future obligation to pay, is recognized in the government-wide financial statements. A liability for these amounts is reported in governmental funds only if they become due and payable as a result of employee resignations or retirements.

M. Net Pension Liability

For purposes of measuring the net pension liability, deferred outflows and inflows of resources related to pensions, and pension expense, information about the fiduciary net position and additions to/deductions from the fiduciary net position have been determined on the same basis as they are reported by the plans. For this purpose, benefit payments (including refunds of employee contributions) are recognized when currently due and payable in accordance with the benefit terms. Investments are reported at fair value.

The following timeframes are used for pension reporting:

	CalPERS	MMRP
Valuation Date	June 30, 2021	June 30, 2021
Measurement Date	June 30, 2022	June 30, 2023
Measurement Period	July 1, 2021 to June 30, 2022	July 1, 2022 to June 30, 2023

Note 1 – Summary of Significant Accounting Policies (Continued)

M. Net Pension Liability (Continued)

Gains and losses related to changes in total pension liability and fiduciary net position are recognized in pension expense systematically over time. The first amortized amounts are recognized in pension expense for the year the gain or loss occurs. The remaining amounts are categorized as deferred outflows and deferred inflows of resources related to pensions and are to be recognized in future pension expense. The amortization period differs depending on the source of the gain or loss. The difference between projected and actual earnings is amortized straight-line over 5 years. All other amounts are amortized straight-line over the average expected remaining service lives of all members that are provided with benefits (active, inactive, and retired) as of the beginning of the measurement period.

N. Other Postemployment Benefits Liability

For purposes of measuring the net OPEB liability and deferred outflows/inflows of resources related to OPEB, and OPEB expense, information about the fiduciary net position of the City's California Public Employees Medical and Hospital Care Act (PEMCHA) plans (OPEB Plans) and additions to/deductions from the OPEB Plans' fiduciary net position have been determined on the same basis as they are reported by PEMCHA. For this purpose, the City's OPEB Plan recognizes benefit payments when due and payable in accordance with the benefit terms. Investments are reported at fair value.

Generally accepted accounting principles require that the reported results must pertain to liability and asset information within certain defined timeframes. For this report, the following timeframes are used:

Valuation Date	June 30, 2021
Measurement Date	June 30, 2022
Measurement Period	July 1, 2021 to June 30, 2022

Gains and losses related to changes in total OPEB liability and fiduciary net position are recognized in OPEB expense systematically over time. The first amortized amounts are recognized in OPEB expense for the year the gain or loss occurs. The remaining amounts are categorized as deferred outflows and deferred inflows of resources related to OPEB and are to be recognized in future pension expense. The amortization period differs depending on the source of the gain or loss. The difference between projected and actual earnings is amortized straight-line over five years. All other amounts are amortized straight-line over the average expected remaining service lives of all members that are provided with benefits (active, inactive, and retired) as of the beginning of the measurement period.

O. Claims Payable

The accrual for workers' compensation and general liability claims is based upon past experience which has been modified for current trends and information. While the ultimate amount of losses incurred through June 30, 2023 is dependent on future developments, based on information from the plan administrators, City management believes that the aggregate accrual is adequate to cover such losses, including amounts for incurred but not reported claims.

P. Net Position

In the government-wide financial statements and proprietary fund financial statements, net position is classified as follows:

Net Investment in Capital Assets – This component of net position consists of capital assets, net of accumulated depreciation and amortization and related deferred charges on refunding, reduced by the outstanding balances of debt that are attributable to the acquisition, construction, or improvement of those items, including retention payable, net of unspent debt proceeds.

Note 1 – Summary of Significant Accounting Policies (Continued)

P. Net Position (Continued)

Restricted – This component of net position consists of restricted assets reduced by liabilities and deferred inflows of resources related to those assets. Separate line items are used to distinguish among major categories of restrictions and are further displayed as expendable or nonexpendable based on the nature of the restriction.

Unrestricted – This component of net position is the amount of the assets, deferred outflows of resources, liabilities, and deferred inflows of resources that are not included in the determination of net investment in capital assets or the restricted component of net position.

When expenses are incurred for purposes for which both restricted and unrestricted components of net position are available, the City's policy is to apply the restricted component of net position first, then the unrestricted component of net position as needed.

Q. Fund Balances

In the governmental fund financial statements, fund balances are classified as follows:

Nonspendable fund balance includes amounts that cannot be spent because they are either (a) not in spendable form or (b) legally or contractually required to be maintained intact. The City's nonspendable fund balance represents prepaid items, and loans receivable unless the proceeds from the collection of those loans receivable is restricted, committed, or assigned.

Restricted fund balance encompass the portion of net fund resources subject to externally enforceable legal restrictions. This includes externally imposed restrictions by creditors, such as through debt covenants, grantors, contributors, laws or regulations of other governments, as well as restrictions imposed by law through constitutional provisions or enabling legislation.

Committed fund balance This amount indicates the portion of fund balances which can only be used for specific purposes pursuant to formal resolution of the City Council. The City Council is considered the highest authority for the City. Adoption of a resolution by the City Council is required to commit resources or to rescind the commitment.

Assigned fund balance consists of funds that are set aside for specific purposes by the City's highest level of decision-making authority or a body or official that has been given the authority to assign funds. The City Manager is authorized by the City Council by resolution to determine and define the amount of assigned fund balances.

Unassigned fund balance is the residual classification for the City's fund balance and includes all spendable amounts not contained in the other classifications. This category also provides the resources necessary to meet unexpected expenditures and revenue shortfalls. The General Fund is the only fund that reports a positive unassigned fund balance amount.

When expenditures are incurred for purposes where only unrestricted fund balances are available, the City uses the unrestricted resources in the following order, except for instances wherein an ordinance specifies the fund balance:

- Restricted
- Committed
- Assigned
- Unassigned

Note 1 – Summary of Significant Accounting Policies (Continued)

R. Property Taxes

Under California law, property taxes are assessed and collected by the counties at 1% of assessed value plus other increases approved by the voters. Property taxes collected go into a pool and are then allocated to the cities based on a predetermined formula. The City accrues only those taxes which are received from the County of Los Angeles within 60 days after year-end.

Lien Date:	Janurary 1
Levy Date:	July 1 to June 30
Due Dates:	November 1 and Feburary 1
Delinquent Dates:	December 11 and April 11

S. Use of Estimates

The preparation of financial statements in accordance with U.S. GAAP requires management to make estimates and assumptions that affect certain reported amounts and disclosure. Accordingly actual results could differ from those estimates.

T. Implementation of New GASB Pronouncements

During fiscal year ended June 30, 2023, the City has implemented the following new GASB Pronouncements:

GASB Statement No. 96 In May 2020, GASB issued Statement No. 96, Subscription-Based Information Technology Arrangements (GASB Statement No. 96), to provide guidance on the accounting and financial reporting for subscription based information technology arrangements (SBITAs) for government end users (governments). This Statement (1) defines a SBITA; (2) establishes that a SBITA results in a right-to-use subscription asset- -an intangible asset and a corresponding subscription liability: (3) provides the capitalization criteria for outlays other than subscription payments, including implementation costs of a SBITA; and (4) requires note disclosures regarding a SBITA. See restatement at Note 18 for the implementation of GASB Statement No 96.

GASB Statement No. 99 - In April 2022, the GASB issued Statement No. 99, Omnibus 2022. The objectives of this Statement are to enhance comparability in accounting and financial reporting and to improve the consistency of authoritative literature by addressing (1) practice issues that have been identified during implementation and application of certain GASB Statements and (2) accounting and financial reporting for financial guarantees. The Statement is effective immediately for the requirements related to extension of the use of LIBOR, accounting for SNAP distributions, disclosures of nonmonetary transactions, pledges of future revenues by pledging governments, clarification of certain provisions in Statement 34, as amended, and terminology updates related to Statement 53 and Statement 63. The Statement is effective for fiscal year years beginning after June 15, 2022 for requirements related to leases, PPPs, and SBITAS. Implementation of this Statement did not have a significant effect on the City’s financial statements for the fiscal year ended June 30, 2023.

Note 2 – Cash and Investments

The City maintains a cash and investment pool, which includes cash balances and authorized investments of all funds.

	Government-Wide Statement of Net Position			Statement of Fiduciary Net Position	
	Governmental Activities	Business-type Activities	Total		Total
Cash and investments	$ 70,588,584	$ 23,178,607	$ 93,767,191	$ 171,640	$ 93,938,831
Cash and investment with fiscal agent	19,298,152	-	19,298,152	1,925,722	21,223,874
Total cash and investments	$ 89,886,736	$ 23,178,607	$ 113,065,343	$ 2,097,362	$ 115,162,705

Cash and investments at June 30, 2023 consisted of the following:

Cash and cash equivalents:	
Petty cash	$ 28,550
Demand deposits with financial institutions	2,988,858
Time certificates of deposit	256,025
Total cash and cash equivalents	3,273,433
Investments:	
Local Agency Investment Fund	35,843,032
Negotiable Certificates of Deposit	7,380,544
Los Angeles County Treasury Pool	41,634,594
Money Market Mutual Fund	5,807,228
Investments with Fiscal Agent:	
Money Market Mutual Fund	21,223,874
Total investments	111,889,272
Total cash and investments	$ 115,162,705

A. Demand Deposits

The carrying amount of the City's demand deposits were $2,988,858 at June 30, 2023. Bank balances before reconciling items were $4,533,598 at that date, the total amount of which was insured or collateralized with securities held by the pledging financial institutions in the City's name as discussed below.

The California Government Code requires California banks and savings and loan associations to secure the City's cash deposits by pledging securities as collateral. This Code states that collateral pledged in this manner shall have the effect of perfecting a security interest in such collateral superior to those of a general creditor. Thus, collateral for cash deposits is considered to be held in the City's name.

The market value of pledged securities must equal at least 110% of the City's cash deposits. California law also allows institutions to secure City deposits by pledging first trust deed mortgage notes having a value of 150% of the City's total cash deposits. The City may waive collateral requirements for cash deposits, which are fully insured up to $250,000 by the Federal Deposit Insurance Corporation ("FDIC"). The City has not waived the collateralization requirements.

Note 2 – Cash and Investments (Continued)

A. Demand Deposits (Continued)

The City follows the practice of pooling cash and investments of all funds except for funds required to be held by outside fiscal agents under the provisions of bond indentures. Interest income earned on pooled cash and investments is allocated quarterly to the General Fund and certain designated Special Revenue Funds based on the month-end cash and investment balances. Proceeds obtained from long-term debt issuances including construction, lease payment and reserve fund balances are held by the City or by fiscal agents on behalf of the City and invested in the City's name. Interest income on proceeds of debt is credited directly to the related fund, as defined by the Bond Indenture.

Tax allocation bonds reserve balances held by fiscal agents were transferred to the Successor Agency from the Former Monterey Park Redevelopment Agency and were reported in the Fiduciary Fund.

B. Investments Authorized by the California Government Code and the City's Investment Policy

The table below identifies the investment types that are authorized by the City's investment policy and the California Government Code. The table also identifies certain provisions of the California Government Code (or the City's investment policy, if more restrictive) that address interest rate risk, credit risk, and concentration of credit risk. This table does not address investments of debt proceeds held by bond trustee that are governed by the provisions of debt agreements of the City, rather than the general provisions of the California Government Code or the City's investment policy.

Authorized Investment Type	Maximum Maturity	Maximum Percentage of Portfolio	Maximum Investment in One Issuer
Local Agency Bonds	5 years	None	None
U.S. Treasury Obligation	5 years	None	None
U.S. Government Sponsored Agency Securities	5 years	None	None
State Obligations - CA and Others	5 years	None	None
Collateralized Bank Deposits	5 years	None	None
Medium Term Notes issued by corporations	5 years	30%	"A" or better ranking by nationally recognized rating service; U.S. domiciled corporations or licensed depository
Local Agency Investment Fund (LAIF)	N/A	None	None
Negotiable Certificates of Deposit	5 years	30%	None
	Maximum	Maximum Percentage of	Maximum Investment in One
Los Angeles County Pooled Investment Fund	None	10% of LACPIF pool balance	None
Banker's Acceptances	180 days	40% of portfolio (no more than 30% in any once commercial bank)	"A" or higher rating for issuer's debt within U.S. corporations and have assets in excess of $500 million.
Commercial Paper	270 days	10%	None
Repurchase Agreement	Not allowable	Not allowable	Not allowable
Financial Futures & Financial option contracts	5 years	30%	None
Reverse Repurchase Agreements & Securities Lending Agreements	Not allowable	Not allowable	Not allowable
Mortgage Pass-Through Securities	5 years	20%	"A" or better ranking by nationally recognized rating service
Money Market Mutual Funds	5 years	20%	Highest ranking by not less than 2 largest rating services, have an SEC registered investment advisor with 5+ years experience, assets under management >$500 million

Note 2 – Cash and Investments (Continued)

C. Investments Authorized by Debt Agreement

In addition to the investment types listed above, the City may also invest funds in money market mutual funds in accordance with bond indentures.

D. Investment in Local Agency Investment Fund (LAIF)

The City is a participant in LAIF which is regulated by California Government Code Section 16429 under the oversight of the Treasurer of the State of California. As of June 30, 2023, the City had $35,843,032 invested in LAIF. LAIF determines fair value on its investment portfolio based on market quotations for those securities where market quotations are readily available and based on amortized cost or best estimate for those securities where market value is not readily available. LAIF is reported at amortized cost, which approximates fair value.

E. Fair Value Measurements

At June 30, 2023, investments are reported at fair value. The following table presents the fair value measurement of investments on a recurring basis and the levels within GASB 72 fair value hierarchy in which the fair value measurements fall at June 30, 2023:

Primary Government	Total	Level 2	Uncategorized
Negotiable Certificates of Deposit	$ 7,380,544	$ 7,380,544	$ -
Local Agency Investment Fund	35,843,032	-	35,843,032
Los Angeles County Treasury Pool	41,634,594	-	41,634,594
Money Market Mutual Funds	27,031,102	-	27,031,102
Total Investments	$ 111,889,272	$ 7,380,544	$ 104,508,728

F. Disclosures Relating to Interest Rate Risk

Interest rate risk is the risk that changes in market interest rates will adversely affect the fair value of an investment. Generally, the longer the maturity of an investment, the greater the sensitivity of its fair value to changes in market interest rates. One of the ways that the City manages its exposure to interest rate risk is by purchasing a combination of shorter term and longer-term investments and by timing cash flows from maturities so that a portion of the portfolio is maturing or coming close to maturity evenly over time as necessary to provide the cash flow and liquidity needed for operations. Information about the sensitivity of the fair values of the City's investments to market interest rate fluctuations is as follows:

		Remaining Maturity (in Months)		
Investment Type	Total	12 Months or less	25-36	More than 36 Months
Negotiable Certificates of Deposit	$ 7,380,544	$ 740,000	$ 6,395,544	$ 245,000
Local Agency Investment Fund	35,843,032	35,843,032	-	-
Los Angeles County Treasury Pool	41,634,594	41,634,594	-	-
Money Market Mutual Funds	27,031,102	27,031,102	-	-
Total	$ 111,889,272	$ 105,248,728	$ 6,395,544	$ 245,000

Note 2 – Cash and Investments (Continued)

G. Disclosures Relating to Credit Risk

Generally, credit risk is the risk that an issuer of an investment will not fulfill its obligation to the holder of the investment. This is measured by the assignment of a rating by a nationally recognized statistical rating organization. Presented below is the minimum rating required by (where applicable) the California Government Code, the City's investment policy or debt agreements, and the actual rating by Standard & Poor's as of year-end for each investment type.

Investment Type	Total	Minimum Legal Rating
Negotiable Certificates of Deposit	$ 7,380,544	N/A
Local Agency Investment Fund	35,843,032	N/A
Los Angeles County Treasury Pool	41,634,594	N/A
Money Market Mutual Funds	27,031,102	AAA
Total	$ 111,889,272	

H. Concentration of Credit Risk

The investment policy of the City contains no limitations on the amount that can be invested in any one issuer beyond that stipulated by the California Government Code. There are no investments in any one issuer (other than U.S. Treasury securities, mutual funds and external investment pools) that represent 5% or more of total City investments.

I. Custodial Credit Risk

The Custodial credit risk for deposits is the risk that, in the event of the failure of a depository financial institution, a government will not be able to recover deposits or will not be able to recover collateral securities that are in the possession of a third party. The custodial credit risk for investments is the risk that, in the event of the failure of the counterparty to a transaction, a government will not be able to recover the value of investment or collateral securities that are in the possession of the third party. At June 30, 2023, none of the City's deposits or investments were exposed to custodial credit risk.

Note 3 – Loans Receivable

Loans receivables of the City as of June 30, 2023, were

Residential Rehabilitation (CDBG)	$ 48,015
SERA Program	4,322
Pacific Housing Loan	267,295
Pacific Bridge Loan	441,953
First Time Home Buyer Program	41,695
Critical Maintenance (Housing)	42,771
Critical Maintenance (Grants)	1,278,923
Abajo del Sol Loan (Grants)	2,252,905
LINC Community Development (Housing)	2,537,498
LINC Community Development (Grants)	1,019,411
Low/Mod Housing Deferred Loans	1,186,222
Subtotal	9,121,010
Less:Allowance for uncollectible loans	(7,173,202)
Total Loans Receivable	$ 1,947,808

Note 3 – Loans Receivable (Continued)

Residential Rehabilitation – The City provided low interest financing for the rehabilitation of residential sites within the City through the Community Development Block Grant program. The amount of outstanding loan balance at June 30, 2023, is $48,015 and has been recorded as notes receivable in the Special Revenue Grants Fund.

SERA Program – The City participated in the State Earthquake Rehabilitation Assistance (SERA) program to assist residents with the application and loan processes for residential repairs and rehabilitation following the October 1987 Whittier-Narrows earthquake. The outstanding balance of loans placed through the program is $4,322 at June 30, 2023, and has been recorded as notes receivable in the Special Revenue Grants Fund with an offset of allowance for uncollectible notes in the fund level financial statement and in the government-wide statements.

Pacific Housing Loan – On July 21, 2004, the City entered into an agreement to provide a loan to Pacific Housing Development Corporation for the purpose of construction and renovation of an affordable housing facility for persons with developmental disabilities. The loan, funded in April 2005, consists of a permanent residual receipts loan in the amount of $175,000 and a subordinated construction loan in the amount of $225,000. The subordinated construction loan has been paid off by Pacific Housing in 2008-09. Other remaining amounts bear interest at the rate of 3% per annum until paid. The loan was funded by use of Federal HOME Program funds and is reported in the Special Revenue Grants Fund. At June 30, 2023, outstanding principal and interest are $175,000 and $92,295, respectively.

Pacific Bridge Loan – In 1995, the former Redevelopment Agency entered into a thirty- year loan agreement with Pacific Bridge Housing Corporation for the purpose of construction and renovation of a disabled adult affordable housing facility. In the agreement the former Redevelopment Agency agreed to loan to Pacific Bridge Housing Corporation up to the maximum sum of $240,478 bearing interest at the rate of 3% per annum until paid. Principal and interest payments are due in annual installments commencing upon February 15 of the first full calendar year following the date of the initial occupancy of the facility and continuing annually thereafter on each successive February 15 through and including the date which is thirty (30) years after the Repayment Commencement Date. The amount of such annual installments payable by Borrower is based on the Annual Residential Receipt Installments as described in the agreement. During 1996-97, the loan was funded by the use of federal HOME Program funds, and is reported in the Special Revenue Grants Fund. At June 30, 2023, outstanding principal and interest are $240,478 and $201,475, respectively.

First Time Homebuyers – Beginning 1996-97, the City provided second mortgage loans through the First-Time Homebuyer Program to assist qualified first-time homebuyers to purchase residences. All second loans will be fixed at an interest rate of five percent (5%) and for a term of thirty (30) years. If the buyer retains the property for thirty (30) years, both principal and interest will be forgiven. The loans were transferred from the former Redevelopment Agency's Housing Capital Projects Fund to the City's Special Revenue Housing Fund on February 1, 2012 due to the dissolution of the former Redevelopment Agency. At June 30, 2023, $41,695 is the amount of outstanding loan balances with an offset of allowance for uncollectible notes in the fund level financial statement and in the government-wide statements.

Critical Maintenance – Beginning in 1997-98, the City offered low interest rate loans through the Critical Maintenance Loan Program to assist low and moderate income homeowners for essential or emergency repairs. At June 30, 2023, the loans outstanding totaled $1,321,694. Of this amount, $42,771 is funded by the former Redevelopment Agency's Housing Capital Projects Fund and $1,278,923 is funded by the Federal HOME Program Grants Fund. The outstanding loan balance of $42,771 was transferred from the former Redevelopment Agency's Housing Set Aside Fund to the City's Special Revenue Housing Fund and has been reported as loans receivable. The outstanding balances were offset with allowance for uncollectible in the fund level financial statements and in the government-wide financial statements.

Note 3 – Loans Receivable (Continued)

Abajo del Sol – In 1998, the Housing Authority and the Abajo del Sol, Limited Partnership had entered into a housing development agreement. Under the agreement, the Authority provided to the Developer a $1.2 million loan bearing interest at the rate of 5.1% per annum for the construction of 60 units of affordable housing for senior citizens. On or before March 15th of each year, the Borrower shall pay lender an amount equal to the applicable percentage of the Net Cash Flow attributable to the prior calendar year. The loan is funded by the Federal HOME Program Grants Fund. At June 30, 2023, outstanding principal and interest being recorded as notes receivable are $1,187,344 and $1,065,561, respectively, in the Special Revenue Grants Fund with an offset of allowance for uncollectible notes in the fund level financial statement and in the government-wide statements.

LINC Community Development – In 2015, the Monterey Park Successor Housing Agency and City entered into a housing development agreement with LINC Community Development Corporation (LINC). Under the agreement, the Monterey Park Successor Housing Agency sold 5 properties to the developer in exchange for a $2,080,000 loan bearing compound interest at the rate of 2.41% per annum for 5 units of affordable rental housings. At June 30, 2023, outstanding principal and interest being recorded as notes receivable are $2,080,000 and $457,498, respectively, in the Housing Fund with an offset of allowance for uncollectible notes in the fund level financial statement and in the government-wide statements. The properties were purchased with former Redevelopment Agency's Housing Set Aside fund. As a result, the loan was reported in the City's Special Revenue Housing Fund and with an offset of allowance for uncollectible notes in the fund level financial statements and in the government-wide statements. As part of the development agreement, the City also sold one of the City's parking lots to the LINC for development of a 6-unit affordable rental housing. The City also used the Federal HOME Program Grants Fund to provide construction loan bearing simple interest at the rate of 3% per annum. As of June 30, 2023, $1,019,411 has been funded and is reported as loans receivables in the Special Revenue Grants Fund with an offset of allowance for uncollectible notes in the fund level financial statement and in the government-wide statements.

Low/Mod Housing Deferred Loans – State law requires redevelopment agencies to set aside 20% of their tax increment revenues for low/mod housing. In 1997, the former Redevelopment Agency approved a plan to set aside future tax increment revenue in addition to the regular 20% set aside requirements. The former Redevelopment Agency was dissolved on February 1, 2012. This commitment became a liability to the Successor Agency due to the City's Special Revenue Housing Fund. A summary of the repayment plan is presented below:

Year ending June 30,	Amount
2024-2029	$ 500,000
2030-2034	450,000
2035-2039	236,222
Total	$ 1,186,222

Note 4 – Leases Receivable

The City leases various types of property including land, and buildings. Leases receivable consist of agreements with other entities for the "right–to–use" the underlying assets at various locations owned by the City. The remaining terms of the agreements range from 1 to 38 years. The interest rates used calculated the net present value of the lease receivable ranged from 0.19% to 1.71%.

For the fiscal year ended June 30, 2023, the City recognized $306,747 in lease revenue and $17,931 in interest revenue, and the outstanding net present value of the lease receivable amount is $1,214,875.

Note 4 – Leases Receivable (Continued)

At June 30, 2023, the required payments for these leases, including interest, are:

Year Ending June 30,	Principal	Interest	Total
2024	$ 298,353	$ 15,165	$ 313,518
2025	256,763	12,434	269,197
2026	145,081	9,930	155,011
2027	125,301	7,799	133,100
2028	75,193	3,557	78,750
2029 - 2033	35,407	25,597	61,004
2034 - 2038	43,537	22,348	65,885
2039 - 2043	48,682	18,422	67,104
2044 - 2048	52,977	14,128	67,105
2049 - 2053	57,650	9,455	67,105
2054 - 2058	62,735	4,370	67,105
2059	13,196	225	13,421
Total	$ 1,214,875	$ 143,430	$ 1,358,305

Note 5 – Interfund Transactions

A. Due to/from Other Funds

The following is a summary of due to and due from other funds as of June 30, 2023:

	Due to Other Funds				
Due From Other Funds	Grant Funds	Street Capital Projects Fund	Internal Service Funds	Nonmajor Governmental Funds	**Total**
General Fund	$ 30,913	$ 779,347	$ 404,228	$ 387,510	$ 1,601,998

The interfund balances resulted from borrowing of cash for temporary purposes. For Street Capital Project Fund, the drawdown from fiscal agent fund in subsequent year will pay back General Fund. For Nonmajor Gov Fund and Grant Fund, balances are expected to be reimbursed when received fund from Granting Agency. For Technology Internal Service Fund, City intends to balance fund by reallocating the expenditures.

Note 5 – Interfund Transactions (Continued)

B. Transfers

During the year ended June 30, 2023, the City had the following transfers:

	Transfers Out					
Transfers In	General Fund	Nonmajor Governmental Funds	Water Utility Enterprise Fund	Refuse Enterprise Fund	Sewer Enterprise Fund	Total
General Fund	$ 5,153,633	$ -	$ -	$ -	$ -	$ 5,153,633
Retirement	3,172,408	177,852	330,177	34,012	114,952	3,829,401
Nonmajor Governmental Funds	2,000	1,051,450	-	-	-	1,053,450
Total	$ 8,328,041	$ 1,229,302	$ 330,177	$ 34,012	$ 114,952	$ 10,036,484

General Fund support of certain capital projects, pension and OPEB contribution, and other administration of General Fund.

Other Governmental Funds transfers to the Retirement Fund to support fringe benefit costs.

Enterprise Funds transfers to the Retirement Fund to support fringe benefit costs.

Note 6 – Receivables From Successor Agency

In 2009, the State passed legislation in taking away redevelopment funds from local Agencies as part of an effort to address its budget deficit. Furthermore, SB 68 was signed into law which allowed agencies to use accumulated housing funds to pay for the State required Supplemental Educational Revenue Augmentation Funds (SERAF) payments. On August 4, 2010, the former Redevelopment Agency passed two resolutions, RA 661 and 662, authorizing the Takeaway Loan to be made from the former Redevelopment Agency Capital Projects Fund (Housing Set Aside Fund) to the former Redevelopment Agency Debt Service Fund (Atlantic-Garvey and Merged Project Areas), in an amount of $1,459,258 and $1,142,640, respectively, without interest.

On May 4, 2011, the former Redevelopment Agency passed two resolutions, RA 682 and 683, authorizing additional Takeaway Loans to be made from the Redevelopment Agency Capital Projects Fund (Housing Set Aside Fund) to the Redevelopment Agency Debt Service Fund (Atlantic-Garvey and Merged Project Areas), in an amount of $300,436 and $235,249, respectively. The interest is accumulated at LAIF rate.

On February 1, 2012, $2,617,203 was transferred from the former Redevelopment Agency Debt Service Fund to the Successor Agency due to the dissolution of the former Redevelopment Agency.

The Receivable from Successor Agency balance at June 30, 2023, amounted to $896,309. This loan will be paid back to the Special Revenue Housing Fund according to a specific formula through the Recognized Obligation Payment Schedule distribution per the State of California Department of Finance (“DOF”).

Note 7 – Capital Assets

Governmental Activities

The following is a summary of changes in capital assets for the governmental activities for the year ended June 30, 2023:

	Balance July 1, 2022 (As restated)	Additions	Deletions	Transfers	Balance June 30, 2023
Capital assets, not being depreciated/amortized					
Land	$ 8,465,051	$ -	$ -	$ -	$ 8,465,051
Construction in progress	4,668,763	11,816,303	-	(2,487,691)	13,997,375
Total capital assets not being depreciated/amortized	13,133,814	11,816,303	-	(2,487,691)	22,462,426
Capital assets, being depreciated					
Building and improvements	30,391,663	-	-	-	30,391,663
Improvement	28,501,442	-	-	1,084,166	29,585,608
Equipment and furniture	30,903,878	2,418,001	(124,609)	1,403,525	34,600,795
Infrastructure	39,271,505	-	-	-	39,271,505
Total capital assets being depreciated	129,068,488	2,418,001	(124,609)	2,487,691	133,849,571
Accumulated depreciation:					
Buildings	(16,160,927)	(592,933)	-	-	(16,753,860)
Improvements	(8,001,964)	(901,780)	-	-	(8,903,744)
Equipment	(26,310,405)	(2,564,513)	124,609	-	(28,750,309)
Infrastructure	(25,352,593)	(1,573,861)		-	(26,926,454)
Total accumulated depreciation	(75,825,889)	(5,633,087)	124,609	-	(81,334,367)
Total capital assets being depreciated, net	53,242,599	(3,215,086)	-	2,487,691	52,515,204
Right to use assets, being amortized					
Lease assets - machinery, equipment and vehicles	145,316	28,523	(37,686)	-	136,153
Subscription assets	1,471,256	126,797	-	-	1,598,053
Total right to use lease assets, being amortized	1,616,572	155,320	(37,686)	-	1,734,206
Accumulated amortization:					
Lease assets - machinery, equipment and vehicles	(47,312)	(52,381)	37,686	-	(62,007)
Subscription assets	-	(725,891)	-	-	(725,891)
Total accumulated amortization	(47,312)	(778,272)	37,686	-	(787,898)
Total right to use assets, being amortized, net	1,569,260	(622,952)	-	-	946,308
Total capital assets, net	$ 67,945,673	$ 7,978,265	$ -	$ -	$ 75,923,938

Depreciation and amortization expense was charged to functions/programs of governmental activities for the year ended June 30, 2023 as follows:

General government	$ 866,411
Public safety	2,382,632
Community services	54,151
Recreation	1,462,070
Highway and streets	649,809
Internal service	996,286
Total depreciation and amortization expense	$ 6,411,359

Note 7 – Capital Assets (Continued)

Business-Type Activities

The following is a summary of changes in capital assets for the business-type activities for the year ended June 30, 2023:

	Balance July 1, 2022 (As restated)	Additions	Deletions	Transfers	Balance June 30, 2023
Capital assets, not being depreciated/amortized					
Land	$ 499,975	$ -	$ -	$ -	$ 499,975
Construction in progress	14,312,747	7,239,512	-	(502,463)	21,049,796
Total capital assets not being depreciated/amortized	14,812,722	7,239,512	-	(502,463)	21,549,771
Capital assets, being depreciated					
Building and improvements	285,050	-	-	-	285,050
Improvement	59,388,553	49,291	-	178,731	59,616,575
Equipment and furniture	3,690,041	626,098	-	323,732	4,639,871
Infrastructure	12,043,370	-	-	-	12,043,370
Total capital assets being depreciated	75,407,014	675,389	-	502,463	76,584,866
Accumulated depreciation:					
Buildings	(152,811)	(4,841)	-	-	(157,652)
Improvements	(29,597,019)	(1,604,914)	-	-	(31,201,933)
Equipment	(3,460,649)	(207,438)	-	-	(3,668,087)
Infrastructure	(9,411,105)	(125,190)	-	-	(9,536,295)
Total accumulated depreciation	(42,621,584)	(1,942,383)	-	-	(44,563,967)
Total capital assets being depreciated, net	32,785,430	(1,266,994)	-	502,463	32,020,899
Right to use assets, being amortized					
Lease assets - machinery, equipment and vehicles	3,537	-	(312)	-	3,225
Subscription assets	28,356	-	-	-	28,356
Total right to use lease assets, being amortized	31,893	-	(312)	-	31,581
Accumulated amortization:					
Lease assets - machinery, equipment and vehicles	(585)	(797)	312	-	(1,070)
Subscription assets	-	(7,089)	-	-	(7,089)
Total accumulated amortization	(585)	(7,886)	312	-	(8,159)
Total right to use assets, being amortized, net	31,308	(7,886)	-	-	23,422
Total capital assets, net	$ 47,629,460	$ 5,964,632	$ -	$ -	$ 53,594,092

Depreciation and amortization expense was charged to the Enterprise funds as follows:

Water	$ 1,692,004
Refuse	10,400
Sewer	247,865
Total depreciation and amortization expense	$ 1,950,269

Note 8 – Long-Term Liabilities

A. Governmental Activities

The following is a summary of changes in the City's long-term liabilities for the fiscal year ended June 30, 2023:

	Balance July 1, 2022 (As restated)	Additions	Deletions	Balance June 30, 2023	Classification: Due within One Year	Classification: Due in more than One Year
Public offering:						
2004 Taxable Pension Obligation Bonds	$ 11,345,000	$ -	$ (425,000)	$ 10,920,000	$ 410,000	$ 10,510,000
2021 Taxable Pension Obligation Bonds	97,922,890	-	(3,657,698)	94,265,192	3,709,883	90,555,309
2022 Sales Tax Revenue Bonds	17,585,000	-	(305,000)	17,280,000	320,000	16,960,000
Premium	3,166,917	-	(109,204)	3,057,713	-	3,057,713
Total Public offerings	130,019,807	-	(4,496,902)	125,522,905	4,439,883	121,083,022
Direct borrowings:						
Financing purchase	4,969,211	-	(727,278)	4,241,933	756,473	3,485,460
HUD Section 108 Loan payable	539,000	-	(539,000)	-	-	-
Total direct borrowings:	5,508,211	-	(1,266,278)	4,241,933	756,473	3,485,460
Other long-term liabilities						
Lease liabilities	95,759	28,523	(49,952)	74,330	27,914	46,416
Subscription liabilities	1,396,966	66,901	(739,081)	724,786	566,987	157,799
Claims payable (Note 13)	22,442,706	5,089,000	(3,635,479)	23,896,227	3,865,253	20,030,974
Insurance assessment payable (Note 13)	817,571	-	(163,514)	654,057	163,514	490,543
Compensated absences	5,212,281	5,620,169	(5,523,066)	5,309,384	5,071,203	238,181
Total long-term liabilities	$ 165,493,301	$ 10,804,593	$ (15,874,272)	$ 160,423,622	$ 14,891,227	$ 145,532,395

2004 Taxable Pension Obligation Bonds

On June 29, 2004, the City pursuant to an Agreement with the California Statewide Communities Development Authority, issued $17,405,000 in Taxable Pension Obligation Bonds, 2004 Series A-1. These Bonds were issued to fund the unfunded liabilities of the City's Safety Plan to the California Public Employees' Retirement System (CALPERS). The City is contractually obligated to appropriate and make payments to CALPERS arising as a result of retirement benefits accruing to members of CALPERS. The City's obligation includes, among others, the requirement to amortize the unfunded accrued actuarial liability over a multi-year period. On June 29, 2004, the City contributed $17,012,841 of the bond proceeds to CALPERS to fund a portion of the unfunded liability for the Safety Plan that provides retirement benefits to the City's sworn Police Officers and Firefighters.

Bond interest is payable semi-annually on June 1 and December 1 commencing December 1, 2004. The rate of interest varies from 4.510% to 6.076% per annum. Principal is payable in annual installments ranging from $25,000 to $1,350,000 commencing on June 1, 2009 and ending on June 1, 2034. On or before August 1st of each year, the City is required to deposit with the trustee the amount equal to the next year's debt service payment in lieu of a reserve requirement.

Note 8 – Long-Term Liabilities (Continued)

A. Governmental Activities (Continued)

2004 Taxable Pension Obligation Bonds (Continued)

Optional Redemption: The bonds maturing on or before June 1, 2016 were not subject to optional redemption. The bonds maturing on June 1, 2024 and on June 1, 2034 are subject to optional redemption prior to maturity at the option of the Authority, in whole or in part on any date at a redemption price equal to the greater of (1) 100% of principal to be redeemed or (2) present value of the remaining debt service discounted at Treasury Rate plus 10.0 basis points for the 2024 Term Bonds or plus 12.5 basis points for the 2034 Term Bonds. Bonds will be selected for redemption on a pro rata basis for both the optional and mandatory sinking fund redemption. The outstanding balance of the 2004 Taxable Pension Obligation Bonds was $10,920,000 at June 30, 2023.

The annual debt service requirements to maturity for the Refunding Lease Revenue Bonds 2013 Series are as follows:

Year ending June 30,	Principal	Interest	Total
2024	$ 410,000	$ 662,761	$ 1,072,761
2025	795,000	638,588	1,433,588
2026	845,000	590,283	1,435,283
2027	895,000	538,941	1,433,941
2028	950,000	484,561	1,434,561
2029-2033	5,675,000	1,485,582	7,160,582
2034	1,350,000	82,026	1,432,026
Total	$ 10,920,000	$ 4,482,742	$ 15,402,742

2021 Taxable Pension Obligation Bonds

On February 16, 2021, the City issued $106,335,000 in Taxable Pension Obligation Bonds, 2021 Series A. These Bonds were issued to fund the unfunded liabilities of the City's Miscellaneous and Safety Plans to the California Public Employees' Retirement System (CALPERS). The City is contractually obligated to appropriate and make payments to CALPERS arising as a result of retirement benefits accruing to members of CALPERS. The City's obligation includes, among others, the requirement to amortize the unfunded accrued actuarial liability over a multi-year period. On February 16, 2021, the City contributed $105,545,217 ($41,146,631 to the Miscellaneous Plan and $64,398,586 to the Safety Plan) of the bond proceeds to CALPERS to fund a portion of the unfunded liability for the Miscellaneous and Safety Plans that provides retirement benefits to the City's eligible employees. This transaction and future debt service requirements on the bonds are being shared between the City's General Fund and enterprise funds.

Bond interest is payable semi-annually on June 1 and December 1 commencing December 1, 2021. The rate of interest varies from 0.213% to 3.021% per annum. Principal is payable in annual installments ranging from $3,130,000 to $7,135,000 commencing on June 1, 2022 and ending on June 1, 2043. On or before August 1st of each year, the City is required to deposit with the trustee the amount sufficient to pay debt service on the bonds, the 2004 Bonds and any additional bonds and refunding obligations as may be issued on a parity basis in accordance with the Trust Agreement.

Note 8 – Long-Term Liabilities (Continued)

A. Governmental Activities (Continued)

2021 Taxable Pension Obligation Bonds (Continued)

Optional Redemption: The bonds maturing on or before June 1, 2032 may be redeemed at the option of the City from any source of funds on any date on or after June 1, 2031 in whole or in part at a redemption price equal to the principal amount to be redeemed, together with accrued interest to the date of redemption, without premium. The bonds are also subject to redemption prior to June 1, 2031 at the option of the City, in whole or in part, at any time, at a redemption price equal to the greater of: (1) 100% of principal amount to be redeemed or (2).the sum, calculated by the City, of the present value of the remaining scheduled payments of principal and interest on the bonds to be redeemed discounted to the date of redemption on a semiannual basis at a Treasury Rate plus 15 basis points, plus accrued and unpaid interest on the bonds being redeemed to the date fixed for redemption.

The outstanding balance of the 2021 Taxable Pension Obligation Bonds was $99,350,000 at June 30, 2023, of which $94,265,192 is reported in governmental type activities and $5,084,808 is reported in business-type activities.

	Governmental Activties		Business-type Activities		Total		
Year Ending June 30,	Principal	Interest	Principal	Interest	Principal	Interest	Total
2024	$ 3,709,883	$ 2,235,047	$ 200,117	$ 120,562	3,910,000	2,355,609	6,265,609
2025	3,392,029	2,211,823	182,971	119,309	3,575,000	2,331,132	5,906,132
2026	3,420,493	2,181,736	184,507	117,686	3,605,000	2,299,422	5,904,422
2027	3,458,446	2,144,555	186,554	115,681	3,645,000	2,260,236	5,905,236
2028	3,510,631	2,095,099	189,369	113,013	3,700,000	2,208,112	5,908,112
2029-2033	18,530,440	9,500,604	999,560	512,477	19,530,000	10,013,081	29,543,081
2034-2038	26,334,478	7,144,840	1,420,522	385,404	27,755,000	7,530,244	35,285,244
2039-2043	31,908,792	2,949,651	1,721,208	159,109	33,630,000	3,108,760	36,738,760
Total	$ 94,265,192	$ 30,463,355	$ 5,084,808	$ 1,643,241	$ 99,350,000	$ 32,106,596	$ 131,456,596

2022 Sales Tax Revenue Bonds

On October 1, 2022, the Monterey Park Financing Authority issued $17,750,000 Monterey Park Financing Authority Sales Tax Revenue Bonds. The proceeds were used to finance certain public capital improvements in the City, including, but not limited to, rehabilitating, constructing, enlarging, improving, and/or equipping City streets, sidewalks, gutters, curbs and ramps, streetlights, and street signs. Interest on the bonds is payable semi-annually each June 1 and December 1, beginning June 1, 2022. Principal matures each June 1 beginning 2022 and maturing in 2051. Interest rates on the bonds vary between 4.00% and 5.00%. The principal balance outstanding at June 30, 2023 was $17,280,000.

Future debt service payments are as follows:

Year ending June 30,	Principal	Interest	Total
2024	$ 320,000	$ 731,200	$ 1,051,200
2025	335,000	715,200	1,050,200
2026	350,000	698,450	1,048,450
2027	370,000	680,950	1,050,950
2028	385,000	662,450	1,047,450
2029-2033	2,240,000	3,003,250	5,243,250
2034-2038	2,810,000	2,439,800	5,249,800
2039-2043	3,410,000	1,831,800	5,241,800
2044-2048	4,145,000	1,093,400	5,238,400
2049-2051	2,915,000	236,200	3,151,200
Total	$ 17,280,000	$ 12,092,700	$ 29,372,700

Note 8 – Long-Term Liabilities (Continued)

A. Governmental Activities (Continued)

Finance Purchase Loans

Siemens Loan

On September 23, 2014, the City and Siemens Public, Inc. entered into a finance-purchase agreement for an amount of $10,511,901. The City used the monies for energy efficiency improvements throughout city parks, facilities and infrastructure. The term of the agreement is 15 years, commencing on September 23, 2014 through June 23, 2030, at an interest rate of 2.80%. Principal and interest payments are due quarterly in amounts ranging from $140,217 to $325,545 over the term of the agreement. The transactions are shared by the General Fund and the Water Utility Enterprise Fund. At June 30, 2023, the outstanding balance for the agreement was $6,937,805 of which $1,040,673 is reported in governmental type activities and $5,897,132 is reported in business-type activities. The annual debt service requirements on the agreement are as follows:

	Governmental Activties		Business-type Activities		Total		
Year Ending June 30,	Principal	Interest	Principal	Interest	Principal	Interest	Total
2024	$ 114,071	$ 27,948	$ 646,403	$ 158,372	$ 760,474	$ 186,320	$ 946,794
2025	125,533	24,634	711,354	139,595	836,887	164,229	1,001,116
2026	135,754	21,013	769,269	119,072	905,023	140,085	1,045,108
2027	146,765	17,097	831,670	96,881	978,435	113,978	1,092,413
2028	158,389	12,866	897,540	72,907	1,055,929	85,773	1,141,702
2029-2030	360,161	11,595	2,040,896	65,732	2,401,057	77,327	2,478,384
Total	$ 1,040,673	$ 115,153	$ 5,897,132	$ 652,559	$ 6,937,805	$ 767,712	$ 7,705,517

Motorola Loan

On March 16, 2021, the City and Motorola Solutions, Inc. entered into a finance-purchase agreement for police radios, dispatch consoles and station equipment in the amount of $2,682,300. The term of the agreement is ten years through April 2, 2031, at an interest rate of 2.58%. Annual principal and interest payments of $307,745 are due April 1st of each year commencing in 2022. At June 30, 2023, the outstanding balance for the agreement was $2,199,063. The annual debt service requirements on the agreement are as follows:

Year ending June 30,	Principal	Interest	Total
2024	$ 251,009	$ 56,736	$ 307,745
2025	257,485	50,260	307,745
2026	264,128	43,617	307,745
2027	270,942	36,802	307,744
2028	277,933	29,812	307,745
2029-2031	877,566	45,667	923,233
Total	$ 2,199,063	$ 262,894	$ 2,461,957

Note 8 – Long-Term Liabilities (Continued)

A. Governmental Activities (Continued)

Finance Purchase Loans (Continued)

Fire Engine Loan

On September 28, 2018, the City and Banc of America Public Capital Corporation entered into a finance-purchase agreement for fire engine in the amount of $2,618,000. The term of the agreement is 8 years at an interest rate of 4.0702%. Principal and interest payments totaling $210,129 are due quarterly over the term of the agreement. At June 30, 2023, the outstanding balance for the agreement was $1,002,197. The annual debt service requirements on the agreement are as follows:

Year ending June 30,	Principal	Interest	Total
2024	$ 391,393	$ 28,864	$ 420,257
2025	403,974	16,283	420,257
2026	206,830	3,298	210,128
Total	$ 1,002,197	$ 48,445	$ 1,050,642

HUD Section 108 Loan Program

In August 2002, the City participated in the U.S. Department of Housing and Urban Development (HUD) Section 108 Loan Guarantee Program and received note proceeds of $6,500,000. The City uses the proceeds for the development of the Market Place project. The annual debt service payments are funded through the City's Community Development Block Grant funds. On May 28, 2015, the City participated in the HUD refinancing program and refinanced the Section 108 Loan for a fixed rate note (Series 2015 A Certificates). Interest payments are made semiannually on August 1 and February 1. Principal payments are made on August 1 of each year and continue until August 2022. The HUD Section 108 Loan was paid off in fiscal year 2023.

Lease Liabilities

The City has entered into leases for equipment and vehicle uses. The terms of the agreements are between 19 months and 60 months with a range of an implicit rate from 0.2108% to 4.3318%. Principal and interest to maturity are as follows:

Year ending June 30,	Principal	Interest	Total
2024	$ 27,914	$ 1,054	$ 28,968
2025	26,512	524	27,036
2026	17,068	90	17,158
2027	2,836	6	2,842
Total	$ 74,330	$ 1,674	$ 76,004

Note 8 – Long-Term Liabilities (Continued)

A. Governmental Activities (Continued)

Subscription Liabilities

The City has entered into subscriptions for information technology arrangements. The terms of the arrangements range from 24 to 78 months with an implicit rate of 3.00%. Principal and interest to maturity are as follows:

Year ending June 30,	Principal	Interest	Total
2024	$ 566,987	$ 13,930	$ 580,917
2025	113,060	3,139	116,199
2026	44,739	758	45,497
Total	$ 724,786	$ 17,827	$ 742,613

B. Business-Type Activities

The following is a summary of changes in long-term liabilities for business-type activities for the year ended June 30, 2023:

	Balance July 1, 2022 (As restated)	Additions	Deletions	Balance June 30, 2023	Classification: Due within One Year	Classification: Due in more than One Year
Public offereing;						
2021 Taxable Pension Obligation Bonds	$ 5,282,110	$ -	$ (197,302)	$ 5,084,808	$ 200,117	$ 4,884,691
Direct borrowings:						
Finance purchase loans	7,310,035	-	(663,725)	6,646,310	727,507	5,918,803
SGVMWD Loan	4,000,000	-	-	4,000,000	400,000	3,600,000
Total direct borrowings:	11,310,035	-	(663,725)	10,646,310	1,127,507	9,518,803
Lease liabilities	2,888	-	(779)	2,109	649	1,460
Subscription liabilities	12,354	-	(3,124)	9,230	2,914	6,316
Compensated absences	224,057	353,183	(314,475)	262,765	250,978	11,787
Total long-term liabilities	$ 16,831,444	$ 353,183	$ (1,179,405)	$ 16,005,222	$ 1,582,165	$ 14,423,057

La Loma Highland Loan

On January 1, 2001, the City and California Infrastructure and Economic Development Bank entered into a finance-purchase agreement for an amount of $2,000,000. The City used the monies for facility improvements. The term of the agreement is thirty years through August 1, 2030, at an interest rate of 4.07%. Semiannual principal and interest payments of ranging from $50,450 to $120,953 are due February 1st and August 1st of each year. The annual debt service requirements on the agreement are as follows:

Year ending June 30,	Principal	Interest	Total
2024	$ 81,104	$ 28,841	$ 109,945
2025	84,405	25,473	109,878
2026	87,841	21,968	109,809
2027	91,416	18,320	109,736
2028	95,136	14,524	109,660
2029-2031	309,276	19,216	328,492
Total	$ 749,178	$ 128,342	$ 877,520

Note 8 – Long-Term Liabilities (Continued)

B. Business-Type Activities (Continued)

SGVMWD Loan

On March 1, 2021, the City and the San Gabriel Valley Municipal Water District entered into a loan agreement for an amount of $4,000,000. The City used the monies to cover costs related to planning, design, construction and construction administration incurred by the City in financing projects for the benefit of the City. The term of the agreement is ten years commencing on the later of date the Notice of the Completion of the Project signed by the City or 90 days after the first disbursement of the Loan proceeds with no interest bearing. As of June 30, 2023, the projects are still in progress, and the outstanding balance of the loan was $4,000,000.

Lease Liabilities

The City has entered into leases for equipment and vehicle uses. The terms of the agreements are between 19 months and 60 months with a range of an implicit rate from 0.2108% to 4.3318%. Principal and interest to maturity are as follows:

Year ending June 30,	Principal	Interest	Total
2024	$ 649	$ 1,054	$ 1,703
2025	653	524	1,177
2026	657	90	747
2027	150	6	156
Total	$ 2,109	$ 1,674	$ 3,783

Subscription Liabilities

The City has entered into subscriptions for information technology arrangements. The terms of the arrangements range from 24 to 78 months with a implicit rate of 3.00%. Principal and interest to maturity are as follows:

Year ending June 30,	Principal	Interest	Total
2024	$ 2,914	$ 210	$ 3,124
2025	3,074	144	3,218
2026	3,242	74	3,316
Total	$ 9,230	$ 428	$ 9,658

Note 8 – Long-Term Liabilities (Continued)

C. Fiduciary Activities

The following is a summary of changes in the City's long-term liabilities for fiduciary activities for the fiscal year ended June 30, 2023:

	Balance July 01, 2022	Additions	Deletions	Balance June 30, 2023	Classification: Due within One Year	Classification: Due in more than One Year
Public offering:						
Tax Allocation Refunding Bond - 2013A	$ 6,025,000	$ -	$ (1,175,000)	$ 4,850,000	$ 1,165,000	$ 3,685,000
Tax Allocation Refunding Bond - 2013B	3,840,000		(480,000)	3,360,000	505,000	2,855,000
Premium	440,774	-	(93,417)	347,357	-	347,357
Direct borrowings:						
SERAF Loan (Note 6)	1,033,651	-	(137,342)	896,309	137,342	758,967
Tax Increment deferred loan- Atlantic/Garvey Project	14,785,058	1,034,954	-	15,820,012	-	15,820,012
Tax Increment deferred loan- Merged Project	66,833,659	4,570,924	(561,108)	70,843,475	561,391	70,282,084
Low Mod Housing Payable	1,186,222	-	-	1,186,222	-	1,186,222
Total long-term liabilities	$ 94,144,364	$ 5,605,878	$ (2,446,867)	$ 97,303,375	$ 2,368,733	$ 94,934,642

Tax Allocation Refunding Bond, Series 2013A (Atlantic-Garvey Redevelopment Project No. 1)

On December 1, 2013, the County of Los Angeles Redevelopment Refunding Authority assisted the Successor Agency to issue the $13,835,000 Tax Allocation Refunding Bond, Series 2013A, for the Atlantic-Garvey Redevelopment Project No. 1. These Bonds were issued to redeem the outstanding 2002 Tax Allocation Revenue Bonds. The Bonds are secured by a pledge of the tax revenues from the Project area with interest rates ranging from 3.0% to 5.0%. Interest payments are payable semiannually on September 1 and March 1. Principal payments are made on September 1 of each year and continue until the year 2026.

Optional Redemption: The Bonds maturing on or before September 1, 2024, are not subject to optional redemption prior to maturity. The Bonds maturing on and after September 1, 2024, are subject to optional redemption on any date on and after September 1, 2023, in integral multiples of $5,000, from any available source of funds, at the times, at a redemption price equal to the principal amount of the Bonds to be redeemed, together with accrued interest thereon to the date fixed for redemption, without premium.

The Bonds are secured by a first and prior lien on tax increment revenues, excluding any portion of revenues that are required to be deposited to the Rebate Fund. Annual principal and interest payments on the Bonds are expected to require less than 90% of net revenues. The amount of principal outstanding at June 30, 2023 is $4,850,000. The net tax increment revenue is collected and withheld by the County of Los Angeles due to the dissolution of the former Redevelopment Agency.

Note 8 – Long-Term Liabilities (Continued)

C. Fiduciary Activities (Continued)

The annual debt service requirements on the Tax Allocation Refunding Bond, Series 2013A (Atlantic-Garvey Redevelopment Project No. 1) are as follows:

Year ending June 30,	Principal	Interest	Total
2024	$ 1,165,000	$ 184,256	$ 1,349,256
2025	1,220,000	130,731	1,350,731
2026	1,210,000	80,619	1,290,619
2027	1,255,000	27,453	1,282,453
	$ 4,850,000	$ 423,059	$ 5,273,059

Tax Allocation Refunding Bond, Series 2013B (Merged Redevelopment Project Area)

On December 1, 2013, the County of Los Angeles Redevelopment Refunding Authority assisted the Successor Agency to issue this $7,080,000 Tax Allocation Refunding Bond, Series 2013B, for the Merged Redevelopment Project No. 1. These Bonds were issued to redeem the outstanding 1998 Tax Allocation Revenue Bonds. The Bonds are secured by a pledge of the tax revenues from the Project area with interest rates ranging from 3.0% to 5.0%. Interest payments are payable semiannually on September 1 and March 1 Principal payments are made on September 1 of each year and continue until the year 2028.

Optional Redemption: The Bonds maturing on or before September 1, 2024, are not subject to optional redemption prior to maturity. The Bonds maturing on and after September 1, 2024, are subject to optional redemption on any date on and after September 1, 2023, in integral multiples of $5,000, from any available source of funds, at the times, at a redemption price equal to the principal amount of the Bonds to be redeemed, together with accrued interest thereon to the date fixed for redemption, without premium.

The Bonds are secured by a first and prior lien on tax increment revenues, excluding any portion of revenues that are required to be deposited to the Rebate Fund. Annual principal and interest payments on the bonds are expected to require less than 90% of net revenues. The amount of principal outstanding at June 30, 2023 was $3,360,000. The net tax increment revenue is collected and withheld by the County of Los Angeles due to the dissolution of the former Redevelopment Agency.

Tax Allocation Refunding Bond, Series 2013B (Merged Redevelopment Project Area) (Continued) The annual debt services requirement on the Tax Allocation Refunding Bond, Series 2013B (Merged Redevelopment Project Area) are as follows:

Year ending June 30,	Principal	Interest	Total
2024	$ 505,000	$ 142,456	$ 647,456
2025	530,000	119,231	649,231
2026	545,000	97,050	642,050
2027	565,000	73,109	638,109
2028	595,000	45,875	640,875
2029	620,000	15,500	635,500
Total	$ 3,360,000	$ 493,221	$ 3,853,221

Note 8 – Long-Term Liabilities (Continued)

C. Fiduciary Activities (Continued)

Tax Increment Deferred Loan (Atlantic/Garvey Project)

On August 20, 1987, the former Redevelopment Agency entered into an agreement for reimbursement of tax increment funds with the County of Los Angeles (the County). In the Agreement, the County agreed to loan its portion of the tax increment revenues received from the amended area (88 Annex) to the former Redevelopment Agency at a 7% compound interest rate, beginning fiscal year 1989-90. The percentage distribution from the basic tax levy for the 88 Annex areas for the County and the former Redevelopment Agency is 43.7% and 56.3% respectively. The former Redevelopment Agency will commence repayment of this loan annually beginning with the fiscal year in which the former Redevelopment Agency's share of tax increment revenues (excluding Housing Fund contributions) from the 88 Annex areas exceeds $800,000. The outstanding balance of the Tax Increment Deferred Loan (Atlantic/Garvey Project) was $15,820,012 at June 30, 2023.

The former Redevelopment Agency and the County Taxing Entities (the County of Los Angeles, the Los Angeles County Flood Control District, and the Los Angeles County Office of Education) entered into four agreements for reimbursement of the tax increment deferred amounts. In the Agreements, the County Taxing Entities agreed to loan their portions of the tax increment revenues received from the Southeast Project area, Freeway `99 Annex area, Central Commercial Project area, and Merged Monterey Pass Road area to the former Redevelopment Agency at specified interest rates ranging from 0% to 7%. The percentage distribution from the basic tax levy and the repayment schedule of the deferred loans are also based on a specified formula for each taxing entity. The outstanding balance of the Tax Increment Deferred Loan (Merged Project) was $70,843,475 at June 30, 2023.

Low/Mod Housing Deferred Loans

State law required former redevelopment agencies to set aside 20% of their tax increment revenues for low/mod housing. In 1997, the former Redevelopment Agency approved a plan to set aside future tax increment revenue in addition to the regular 20% set aside requirements. On February 1, 2012, the commitment was transferred to the Successor Agency due to the dissolution of the former Redevelopment Agency and was approved by the DOF as a payable to the City's Special Revenue Housing Fund. A summary of the repayment plan is presented below:

Year ending June 30,	Principal
2024	$ -
2025	100,000
2026	100,000
2027	100,000
2028	100,000
2029 - 2033	500,000
2034 - 2038	250,000
2039	36,222
Total	$ 1,186,222

Note 9 – Due To Other Governmental Agencies

In the Special Revenue Grants Fund, an amount equal to the total outstanding balance of the identified loans receivable for the CDBG Residential Rehabilitation Program in the amount of $48,015, State Earthquake Rehabilitation Assistance (SERA) Program in the amount of $4,322, the Pacific Housing Corporation loan in the amount of $267,295, and the Pacific Bridge Loan in the amount of $441,953, described in Note 3 at June 30, 2023, have been recorded as Due to Other Governmental Agencies. As these notes are repaid, the repayment proceeds must be returned to the applicable government agency.

Residential Rehabilitation (CDBG)	$	48,015
SERA Program		4,322
Pacific Housing Loan		267,295
Pacific Bridge Loan		441,953
Total due to other governmental agencies	$	761,585

Note 10 – Defined Benefit Pension Plans

California Public Employees' Retirement System Plan

A. General Information about the Pension Plans

Plan Description

All qualified permanent and probationary employees are eligible to participate in the City's separate Safety (police and fire) and Miscellaneous (all other) Plans, agent multiple-employer defined benefit pension plans administered by the California Public Employees' Retirement System (CalPERS). Benefit provisions under the Plans are established by State statute and City resolution. CalPERS issues publicly available reports that include a full description of the pension plans regarding benefit provisions, assumptions and membership information that can be found on the CalPERS website.

Benefit Provided

CalPERS provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. A classic CalPERS member or PEPRA Safety member becomes eligible for Service Retirement upon attainment of age 55 with at least 5 years of credited service. PEPRA miscellaneous members become eligible for service retirement upon attainment of age 62 with at least 5 years of service. The service retirement benefit is a monthly allowance equal to the product of the benefit factor, years of service, and final compensation. The final compensation is the monthly average of the member's highest 36 or 12 consecutive months' full-time equivalent monthly pay.

Retirement benefits for classic miscellaneous employees are calculated as 2% to 2.7% of the average final 12 months compensation. Retirement benefits for PEPRA miscellaneous employees are calculated as 2% of the average final 36 months compensation. Retirement benefits for classic safety employees are calculated as 3% of the average final 12 months compensation. Retirement benefits for PEPRA safety employees are calculated as 2.7% of the average final 36 months compensation.

Participant is eligible for non-industrial disability retirement if becomes disabled and has at least 5 years of credited service. There is no special age requirement. The standard non-industrial disability retirement benefit is a monthly allowance equal to 1.8% of final compensation, multiplied by service.

Note 10 – Defined Benefit Pension Plans (Continued)

California Public Employees' Retirement System Plan (Continued)

A. General Information about the Pension Plans (Continued)

Benefit Provided (Continued)

Industrial disability benefits are not offered to miscellaneous employees. The City provides industrial disability retirement benefit to safety employees. The industrial disability retirement benefit is a monthly allowance equal to 50% of final compensation.

An employee's beneficiary may receive the basic death benefit if the employee dies while actively employed. The employee must be actively employed with the City to be eligible for this benefit. An employee's survivor who is eligible for any other pre- retirement death benefit may choose to receive that death benefit instead of this basic death benefit. The basic death benefit is a lump sum in the amount of the employee's accumulated contributions, where interest is credited annually at the greater of 6% or the prevailing discount rate through the date of death, plus a lump sum in the amount of one month's salary for each completed year of current service, up to a maximum of six months' salary. For purposes of this benefit, one month's salary is defined as the member's average monthly full-time rate of compensation during the 12 months preceding death. Upon the death of a retiree, a one-time lump sum payment of $5,000 will be made to the retiree's designated survivor(s), or to the retiree's estate.

Benefit terms provide for annual cost-of-living adjustments to each employee's retirement allowance. Beginning the second calendar year after the year of retirement, retirement and survivor allowances will be annually adjusted on a compound basis by 2%.

Employees Covered by Benefit Terms

At June 30, 2021, the valuation date, the following employees were covered by the benefit terms:

	Miscellaneous	Safety
Active employees	177	120
Transferred and terminated employees	354	103
Retired Employees and Beneficiaries	359	261
Total	890	484

Contributions

Section 20814(C) of the California Public Employees' Retirement Law (PERL) requires that the employer contribution rates for all public employers be determined on an annual basis by the actuary and shall be effective on the July 1 following notice of a change in the rate. Funding contributions for both Plans are determined annually on an actuarial basis as of June 30 by CalPERS. The actuarially determined rate is the estimated amount necessary to finance the costs of benefits earned by employees during the year, with additional amount to finance any unfunded accrued liability. The City is required to contribute the difference between the actuarially determined rate and the contribution rate of employees. For the year ended June 30, 2023, the employer contributions for the miscellaneous plan and the safety plan, were $1,430,911 and $2,647,296, respectively.

Note 10 – Defined Benefit Pension Plans (Continued)

California Public Employees' Retirement System Plan (Continued)

B. Net Pension Liability

The June 30, 2021 valuation was rolled forward to determine the June 30, 2022, measurement date total pension liability, based on following actuarial methods and assumptions:

Actuarial Cost Method	Entry Age Normal in
Actuarial Assumptions:	
Discount Rate	6.90%
Inflation	2.30%
Salary Increases	Varies by Entry Age and Service
Mortality Rate Table[1]	Derived using CalPERS' Membership Data for all Funds. .
Post Retirement Benefit Increase	The lesser of contract COLA or 2.30% until Purchasing Power Protection Allowance floor on purchasing power applies, 2.30% thereafter

[1] The mortality table was developed based on CalPERS-specific data. The probabilities of mortality are based on the 2021 CalPERS Experience Study for the period from 2001 to 2019. Pre-retirement and Post-retirement mortality rates include generational mortality improvement using 80% of Scale MP-2020 published by the Society of Actuaries. For more details on this table, please refer to the CalPERS Experience Study and Review of Actuarial Assumptions report from Novermber 2021 that can be found on the CalPERS website.

Change of Assumptions

Effective with the June 30, 2021 valuation date (2022 measurement date), the accounting discount rate was reduced from 7.15% to 6.90%. In determining the long-term expected rate of return, CalPERS took into account long-term market return expectations as well as the expected pension fund cash flows. Projected returns for all asset classes are estimated, combined with risk estimates, and are used to project compound (geometric) returns over the long term. The discount rate used to discount liabilities was informed by the long-term projected portfolio return. In addition, demographic assumptions and the inflation rate assumption were changed in accordance with the 2021 CalPERS Experience Study and Review of Actuarial Assumptions.

Long-term Expected Rate of Return

The long-term expected rate of return on pension plan investments was determined using a building-block method in which expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class.

In determining the long-term expected rate of return, CalPERS took into account both short-term and long-term market return expectations. Using historical returns of all of the funds' asset classes, expected compound (geometric) returns were calculated over the next 20 years using a building-block approach. The expected rate of return was then adjusted to account for assumed administrative expenses of 10 basis points.

Note 10 – Defined Benefit Pension Plans (Continued)

California Public Employees' Retirement System Plan (Continued)

B. Net Pension Liability (Continued)

Long-term Expected Rate of Return (Continued)

The expected real rates of return by asset class are as follows:

Asset Class[1]	Assumed Asset Allocation	Real Return Years 1 - 10[1, 2]
Global Equity - Cap-weighted	30.00%	4.54%
Global Equity - Non-cap-weighted	12.00%	3.84%
Private Equity	13.00%	7.28%
Treasury	5.00%	0.27%
Mortgage-backed Securities	5.00%	0.50%
Investment Grade Corporates	10.00%	1.56%
High Yield	5.00%	2.27%
Emerging Market Debt	5.00%	2.48%
Private Debt	5.00%	3.57%
Real Assets	15.00%	3.21%
Leverage	-5.00%	-0.59%
	100.00%	

[1] An expected inflation of 2.30% used for this period.

[2] Figures are based on the 2021 Asset Liability Management study.

Discount Rate

The discount rate used to measure the total pension liability was 6.90%. The projection of cash flows used to determine the discount rate assumed that contributions from plan members will be made at the current member contribution rates and that contributions from employers will be made at statutorily required rates, actuarially determined. Based on those assumptions, the Plan's fiduciary net position was projected to be available to make all projected future benefit payments of current plan members. Therefore, the long-term expected rate of return on plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Note 10 – Defined Benefit Pension Plans (Continued)

California Public Employees' Retirement System Plan (Continued)

C. Changes in the Net Pension Liability

The following tables show the changes in net pension liability for the City's miscellaneous and safety plans recognized over the measurement period.

Miscellaneous Plan

	Increase (Decrease)		
	Total Pension Liability (a)	**Plan Fiduciary Net Position (b)**	**Net Pension Liability/(Asset) (c) = (a) - (b)**
Balance at June 30, 2021 (Valuation Date)	$ 153,625,934	$ 173,704,489	$ (20,078,555)
Changes Recognized for the Measurement Period:			
Service Cost	2,277,310	-	2,277,310
Interest on the total pension liability	10,590,605	-	10,590,605
Changes of benefit terms	-	-	-
Changes of assumptions	4,675,002	-	4,675,002
Difference between expected and actual experience	(1,948,123)	-	(1,948,123)
Plan to plan resource movement	-	-	-
Contributions from the employer	-	1,281,326	(1,281,326)
Contributions from employees	-	1,068,666	(1,068,666)
Net investment income	-	(12,885,155)	12,885,155
Benefit payments, including refunds of employee contributions	(8,008,871)	(8,008,871)	-
Administrative expenses	-	(108,208)	108,208
Other Miscellaneous Income/(Expense)		-	-
Net Changes during July 1, 2021 to June 30, 2022	7,585,923	(18,652,242)	26,238,165
Balance at June 30, 2022 (Measurement Date)	$ 161,211,857	$ 155,052,247	$ 6,159,610

Note 10 – Defined Benefit Pension Plans (Continued)

California Public Employees' Retirement System Plan (Continued)

C. Changes in the Net Pension Liability (Continued)

Safety	Increase (Decrease)		
	Total Pension Liability (a)	Plan Fiduciary Net Position (b)	Net Pension Liability/(Asset) (c) = (a) - (b)
Balance at June 30, 2021 (Valuation Date)	$ 240,619,835	$ 272,121,603	$ (31,501,768)
Changes Recognized for the Measurement Period:			
Service Cost	4,273,500	-	4,273,500
Interest on the total pension liability	16,606,680	-	16,606,680
Changes of benefit terms	-	-	-
Changes of assumptions	6,196,586	-	6,196,586
Difference between expected and actual experience	(2,515,151)	-	(2,515,151)
Plan to plan resource movement	-	-	-
Contributions from the employer	-	2,584,424	(2,584,424)
Contributions from employees	-	1,804,252	(1,804,252)
Net investment income	-	(20,264,806)	20,264,806
Benefit payments, including refunds of employee contributions	(11,523,017)	(11,523,017)	-
Administrative expenses	-	(169,516)	169,516
Other Miscellaneous Income/(Expense)		-	-
Net Changes during July 1, 2021 to June 30, 2022	13,038,598	(27,568,663)	40,607,261
Balance at June 30, 2022 (Measurement Date)	$ 253,658,433	$ 244,552,940	$ 9,105,493

Sensitivity of the Net Pension Liability to Changes in the Discount Rate

The following presents the net pension liability of the City for all Plans, calculated using the discount rate for each Plan, as well as what the City's net pension liability would be if it were calculated using a discount rate that is one percentage point lower or one percentage point higher than the current rate:

	Plan's Net Pension Liability/(Asset)		
	Discount Rate - 1% (5.9%)	Current Discount Rate (6.9%)	Discount Rate + 1% (7.9%)
Miscellaneous Plan	$ 27,218,134	$ 6,159,610	$ (11,216,859)
Safety Plan	$ 43,682,176	$ 9,105,493	$ (19,251,003)

Pension Plans Fiduciary Net Position

Detailed information about each pension plan's fiduciary net position is available in the separately issued CalPERS financial reports.

Note 10 – Defined Benefit Pension Plans (Continued)

California Public Employees' Retirement System Plan (Continued)

D. Pension Expenses and Deferred Outflows/Inflows of Resources Related to Pensions

For the year ended June 30, 2023, the City recognized pension expense of $2,605,499 and $3,131,548, for the Miscellaneous and Safety plan, respectively. At June 30, 2023, the City reported deferred outflows of resources and deferred inflows of resources related to the pension plan from the following sources:

Miscellaneous Plan

	Deferred outflows of Resources	Deferred inflows of Resources
Contribution made after the measurement date	$ 1,430,911	$ -
Changes of assumptions	2,448,811	-
Difference between expected and actual experience	-	(1,088,337)
Net difference between projected and actual earning on pension plan investments	9,501,153	-
Total	$ 13,380,875	$ (1,088,337)

Safety Plan

	Deferred outflows of Resources	Deferred inflows of Resources
Contribution made after the measurement date	$ 2,647,296	$ -
Changes of assumptions	4,059,832	-
Difference between expected and actual experience	-	(1,875,544)
Net difference between projected and actual earnings on pension plan investments	15,160,824	-
Total	$ 21,867,952	$ (1,875,544)

The amounts above are net of outflows and inflows recognized in the 2021-2022 measurement period expense. The expected average remaining service lifetime ("EARSL") is calculated by dividing the total future service years by the total number of plan participants (active, inactive, and retired). The EARSL for the Miscellaneous Plan and Safety Plan for the 2021-22 measurement period is 2.1, and 2.9 years, which was obtained by dividing the total service years of 1,891 and 1,411 (the sum of remaining service lifetimes of the active employees) by 890 and 484 (the total number of participants: active, inactive, and retired), respectively.

The $1,430,911 and $2,647,296 for the Miscellaneous and Safety Plans, respectively, reported as deferred outflows of resources related to contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ending June 30, 2024. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to the pension plan will be recognized as pension expense as follows:

Measurement Period Ending June 30	Deferred Outflows/(Inflows) of Resources: Miscellaneous Plan	Deferred Outflows/(Inflows) of Resources: Safety Plan
2023	$ 2,951,763	$ 3,846,919
2024	1,761,577	3,781,061
2025	1,217,546	1,960,083
2026	4,930,741	7,757,049
2027	-	-
Thereafter	-	-
	$ 10,861,627	$ 17,345,112

Note 10 – Defined Benefit Pension Plans (Continued)

Massachusetts Mutual Retirement Plan - Defined Benefit Plan

E. General Information about the Pension Plans

Plan Description

Certain miscellaneous employees are covered by a retirement plan through the Massachusetts Mutual Life Insurance Company (MMRP), a single-employer defined benefit pension plan. All miscellaneous employees who were employed prior to April 1, 1976 participated in the MMRP. Miscellaneous employees under the age of 55 joined CalPERS on and after April 1, 1976. However, these employees still remain vested under the MMRP and are eligible to receive retirement benefits at the time of retirement. Miscellaneous employees over the age of 55 (on or before April 1, 1976) could not participate in CalPERS and remain wholly in the MMRP. The City does not issue a publicly available financial report for the MMRP.

Benefits Provided

The MMRP was amended in 1976 to provide equivalent retirement benefits to all miscellaneous employees, whether totally vested in CalPERS, totally vested in the MMRP or partially vested in both plans. Eligibility requirements for the MMRP are the same as those for CalPERS.

Employee Covered by Benefit Terms

MMRP is a closed plan. As of the measurement date, June 30, 2023, there are 33 individuals in the plan, 32 inactive receiving benefits and inactive not receiving benefits, all of whom are no longer employed by the City or are currently participating in PERS. The City's payroll for employees covered by the MMRP was zero for the measurement period July 1, 2022 to June 30, 2023.

Contributions

MMRP is a contributory plan deriving funds from employer contributions and earnings from investments. Employer contributions were based upon the actuarial methods and assumptions. For the current year, the City did not make contributions to the MMRP.

F. Net Pension Liability

Actuarial Methods and Assumptions Used to Determine Total Pension Liability

For the measurement period ended June 30, 2023, the total pension liability was determined by rolling forward the June 30, 2021 total pension liability to June 30, 2023, based on actual benefit payments.

Note 10 – Defined Benefit Pension Plans (Continued)

Massachusetts Mutual Retirement Plan - Defined Benefit Plan (Continued)

F. Net Pension Liability (Continued)

Actuarial Methods and Assumptions Used to Determine Total Pension Liability (Continued)

The total pension liability was based on the following actuarial methods and assumptions:

Contribution Policy	City contributes full ADC
Actuarial Assumptions:	
Discount Rate	3.65% at June 30, 2023 based on the Bond Buyer 20-bond Index at 6/30/23
	3.54% at June 30, 2022 based on the Bond Buyer 20-bond Index at 6/30/22
Long-Term Expected Rate of Return on Assets	3.00% at June 30, 2023 (55% confidence level)
	3.00% at June 30, 2022 (55% confidence level)
Municipal Bond Rate	3.65% at June 30, 2023 (Bond Buyer 20 Index)
	3.54% at June 30, 2022 (Bond Buyer 20 Index)
General Inflation	2.50% annually
Investment Rate of Return	7.65%
Mortality	CalPERS 1997-2015 Experience Study
Mortality Improvement	Mortality projected fully generational with Scale MP-2021
Cost of Living Adjustment/PPPA	2.00%
Asset Fair Market Value	Fair value factor of 89.274% as of 6/30/2023 supplied by the City

Long-term Expected Rate of Return

The expected real rates of return by asset class and by geometric means are as follows:

Asset Class	Target Allocation	Expected Real Rate of Return
Fixed Income	95.4%*	0.78%
Global Equity	0.90%	4.56%
REITs	0.10%	3.91%
Cash	3.60%	-0.50%
	4.60%	

Assumed Long-Term Rate of Inflation: 2.5%
Expected Long-Term Net Rate of Return, Rounded:3.25%
Discount Rate used in the 6/30/2021 valuation 3.00%
(55% confidence level)
*Includes 1.4% “other invested assets” in Empower General Investment Account.

Note 10 – Defined Benefit Pension Plans (Continued)

Massachusetts Mutual Retirement Plan - Defined Benefit Plan (Continued)

G. Changes in the Net Pension Liability

The following table shows the changes in net pension liability recognized over the measurement period.

Empower Plan	Increase (Decrease)		
	Total Pension Liability (a)	Plan Fiduciary Net Position (b)	Net Pension Liability/(Asset) (c) = (a) - (b)
Balance at June 30, 2022	$ 4,361,041	$ 3,988,776	$ 372,265
Changes Recognized for the Measurement Period:			
Service Cost	-	-	-
Interest on the total pension liability	147,660	-	147,660
Changes of benefit terms	-	-	-
Changes of assumptions	(32,713)	-	(32,713)
Difference between expected and actual experience	-	-	-
Plan to plan resource movement	-	-	-
Contributions from the employer	-	-	-
Contributions from employees	-	-	-
Net investment income	-	66,372	(66,372)
Benefit payments, including refunds of employee contributions	(379,706)	(379,706)	-
Administrative expenses	-	(10,140)	10,140
Net Changes during July 1, 2022 to June 30, 2023	(264,759)	(323,474)	58,715
Balance at June 30, 2023 (Measurement Date)	$ 4,096,282	$ 3,665,302	$ 430,980

Sensitivity of the Net Pension Liability to Changes in the Discount Rate

The following presents the net pension liability of the Plan as of the measurement date, calculated using the discount rate of 3.65%, as well as what the net pension liability would be if it were calculated using a discount rate that is 1 percentage point lower (2.65%) or 1 percentage point higher (4.65%) than the current rate:

	Plan's Net Pension Liability/(Asset)		
	Discount Rate - 1% (2.65%)	Current Discount Rate (3.65%)	Discount Rate + 1% (4.65%)
Net Pension Liablity	$ 749,599	$ 430,980	$ 156,655

Note 10 – Defined Benefit Pension Plans (Continued)

Massachusetts Mutual Retirement Plan - Defined Benefit Plan (Continued)

H. Pension Expense and Deferred Outflows/Deferred Inflows of Resources Related to Pensions

For the measurement period ending June 30, 2023, the City incurred a pension expense/(income) of $163,995 for MMRP. As of measurement date of June 30, 2023, the City has deferred outflows and deferred inflows of resources related to pensions as follows:

Empower plan	Deferred outflows of Resources	Deferred inflows of Resources
Net difference between projected and actual earning on pension plan investments	$ 631,200	$ -

Amounts reported as deferred outflows and deferred inflows of resources related to pensions will be recognized in future pension expense as follows:

Measurement Period Ending June 30	Deferred Outflows/(Inflows) of Resources
2024	$ 171,268
2025	216,268
2026	234,268
2027	9,396
2028	-
Thereafter	-
	$ 631,200

Note 11 – Defined Contribution Pension Plans - Monterey Park Part-Time Retirement Plan

During the 1991-1992 fiscal year, the City established the Monterey Park Part-Time Retirement Plan, a defined contribution retirement plan, for all non benefited, part- time employees in accordance with Internal Revenue Code Section 457, to conform to Section 3121(b)(7)(F) of the Internal Revenue Code added by the Omnibus Budget Reconciliation Act of 1990. The plan is administered by Empower Inc. The plan was established by the authority of the City Council who retains the authority to amend the plan.

A defined contribution pension plan provides pension benefits in return for services rendered, provides an individual account for each participant, and specifies how contributions to the individual's account are to be determined instead of specifying the amount of benefits the individual is to receive. Under a defined contribution pension plan, the benefits a participant will receive depend solely on the amount contributed to the participant's account and the returns earned on investments of the contributions. Part-time, non benefited, nonpersable employees of the City must participate in the plan. During the year ended June 30, 2023, 108 part-time employees participated in the plan. All contributions to the plan vest immediately. An employee who leaves the City is entitled to all contributions, including contributions made by the City, and earnings applied to the individual's account through the date of separation, less legally required income tax withholding. Participants that become full-time employees and enter the CalPERS retirement plan will have the amount in their individual accounts transferred from this plan into a Section 457, Deferred Compensation Plan, subject to all the rules governing Section 457 plans, including substantial penalties for withdrawal prior to the age of normal retirement. Contribution levels into the deferred compensation plan were established by City Council resolution at 4% and 3.5% for the City and non benefited, nonpersable part-time employees, respectively. During the year, the City contributed $31,818 to the plan.

Note 12 – Other Postemployment Healthcare Plan

A. Plan Description

In addition to the pension benefits, the City provides postretirement medical insurance benefits, through an agent multiple-employer OPEB plan in accordance with contractual provisions of the various Memoranda of Understanding with the City's recognized employee organizations, to all vested employees who retire with CalPERS pension benefits immediately upon termination of employment from the City. The City has established a California Retiree Benefit Trust (CERBT), an agent-multiple employer trust which CalPERS serves as trustee. Eligible retirees and dependents may elect lifetime coverage through the City's healthcare plans. The City makes contributions towards the retiree's premium up to specified caps that vary depending on bargaining unit and whether the participant has more or less than 20 years of service. Retirees pay the portion of premium not paid by the City. In addition to the direct City paid contribution, retirees also receive pre-65 benefits that are subsidized as they are eligible to receive coverage based on blended (active and retiree) premium rates instead of normally higher retiree rates (implied subsidy). For those retirees who are eligible for Medicare, the City contributes toward Medicare supplemental insurance coverage. Upon retirement, vested full-time employees may, at their own cost, convert group life insurance coverage to individual life insurance coverage. Post-employment benefits for employees that separate for reasons other than retirement are limited to those required under the provisions of COBRA and require no contribution by the City.

Members are eligible for the following benefits:

	General	Management	Safety
Benefit Types Provided	Medical Only	Medical Only	Medical Only
Duration of Benefits	Lifetime	Lifetime	Lifetime
Minimum Age	50	50	50
Dependent Coverage	Yes	Yes	Yes
Required Years of Service	5 Years	5 Years	5 Years
City Contribution %	100%	100%	100%
City Cap:			
Calendar Year 2021	$340-$435 per mont	$355-$1,375	$346-$650
Calendar Year 2022	$340-$435 per mont	$355-$1,375	$346-$650

Employees Covered

At the measurement date of June 30, 2022, the following current and former employees were covered by the benefit terms under the plan:

Active plan members	236
Inactivies entitled to but not yet receiving benefits	60
Retirees	236
Total	532

Note 12 – Other Postemployment Healthcare Plan (Continued)

A. Plan Description (Continued)

Contributions

The contribution requirements are established and amended by the City. Employer contributions are determined through an annual actuarial valuation process. The actuarially determined rate is the estimated amount necessary to finance the costs of benefits earned by employees during the year, with an additional amount to finance any unfunded accrued liability. For the current year, the City's contributions to the plan included $1,000,000 to the irrevocable CERBT, an implied subsidy of $304,000, $17,344 in administrative expenses, and $1,286,464 in cash benefit payments, resulting in total contributions of $2,607,808. The contributions to the OPEB plan are generally made from the general fund.

B. Total OPEB Liability

For the measurement period ended June 30, 2022, the City's total OPEB liability was determined in a June 30, 2021 actuarial accounting valuation. A summary of the principal assumptions and methods used to determine the net OPEB liability is shown below.

Actuarial Assumptions

The total OPEB liability in the June 30, 2021 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement, unless otherwise specified:

Actuarial Valuation Date	June 30, 2021
Contribution Policy	Pre-funded through CERBT with the Strategy 1 asset allocation
Discount Rate and Long-Term Expected Rate of Return on Assets	6.25% at June 30, 2022 and June 30, 2021 Expected City contributions projected to keep sufficient plan assets to pay all benefits from trust
Inflation	2.5% annually
Salary Increase	Aggregate - 2.75% annually, Merit - CalPERS 2000-2019 Experience Study
Mortality, Retirement, Termination, and Disability	CalPERS 2000-2019 Experience Study
Mortality Improvement Scale	Mortality projected fully generational with Scale MP-2021
Medical Trend	Non-Medicare - 6.50% for 2023, decreasing to an ultimate rate of 3.75% in 2076 Medicare (Non-Kaiser) - 5.65% for 2023, decreasing to an ultimate rate of 3.75% in 2076 Medicare (Kaiser) - 4.60% for 2023, decreasing to an ultimate rate of 3.75% in 2076
PEMHCA Minimum Increases	4.00% annually
Cap Increases	All except Executive Management, CM and Elected Officials: 0% until the end of current MOU, 5% every 3 years thereafter Executive Management, CM and Elected Officials: 5% per year
Participation at Retirement	Tier 1: 90% PEMHCA Minimum Only: 80%

Note 12 – Other Postemployment Healthcare Plan (Continued)

B. Total OPEB Liability (Continued)

The long-term expected rate of return on OPEB plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of OPEB plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long- term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of the arithmetic real rates of return for each major asset class are summarized in the following table.

Asset Class[1]	Target Allocation CERBT-Strategy 1	Expected Real Rate of Return
Global Equity	49.00%	4.56%
Fixed Income	23.00%	1.56%
TIPS	5.00%	-0.08%
Commodities	3.00%	1.22%
REITs	20.00%	4.06%
	100.00%	

Assumed Long-Term Rate of Inflation: 2.5%
Expected Long-Term Net Rate of Return, Rounded:6.25%

Discount Rate

The discount rate used to measure the total OPEB liability was 6.25%. The projection of cash flows used to determine the discount rate assumed that the City's contributions will be made at rates equal to the actuarially determined contribution rates. Based on those assumptions, the OPEB plan's fiduciary net position was projected to be available to make all projected OPEB payments for current active and inactive employees and beneficiaries. Therefore, the long-term expected rate of return on OPEB plan investments was applied to all periods of projected benefit payments to determine the total OPEB liability.

C. Changes in total OPEB Liability

The change in net OPEB liability are as follows:

	Total OPEB Liability	Fiduciary Net Position	NetOPEB Liability
Balance at June 30, 2021	$ 32,884,222	$ 13,189,701	$ 19,694,521
Changes Recognized for the Measurement Period:			
Service Cost	757,555	-	757,555
Interest on the total OPEB liability	2,050,988	-	2,050,988
Contributions from the employer	-	2,667,920	(2,667,920)
Net investment income	-	(1,924,920)	1,924,920
Administrative expenses	-	(19,451)	19,451
Benefit payments	(1,651,920)	(1,651,920)	-
Net Changes during July 1, 2021 to June 30, 2022	1,156,623	(928,371)	2,084,994
Balance at June 30, 2022 (Measurement Date)	$ 34,040,845	$ 12,261,330	$ 21,779,515

Note 12 – Other Postemployment Healthcare Plan (Continued)

C. Changes in total OPEB Liability (Continued)

Change of Assumptions

Discount rate was updated based on current capital market assumptions. Demographic assumptions were updated to CalPERS 2000-2019 Experience Study. Mortality improvement scale was updated to Scale MP-2021. Medical trend rate for Kaiser Senior Advantage was decreased. Participation at retirement was updated for Tier I based on current experience.

Change of Benefit Terms

There were no changes of benefit terms.

Sensitivity of the Net OPEB Liability to Changes in the Discount Rate

The following presents the net OPEB liability of the City, calculated using the discount rate for the Plan, as well as what the City's net OPEB liability would be if it were calculated using a discount rate that is one percentage point lower or one percentage point higher than the current rate:

Discount Rate		
Discount Rate - 1% (5.25%)	Current Discount Rate (6.25%)	Discount Rate + 1% (7.25%)
$ 26,392,956	$ 21,779,515	$ 17,995,425

The following presents the net OPEB liability of the City, as well as what the City's net OPEB liability would be if it were calculated using healthcare cost trend rates that are one percentage point lower or one percentage point higher) than the current healthcare cost trend rates:

Healthcare Trend Rate		
-1% Decrease	Current Rates	1% Increase
$ 19,722,148	$ 21,779,515	$ 24,014,143

D. OPEB Expense and Deferred Outflows/Inflows of Resources Related to OPEB

For the year ended June 30, 2023, the City recognized OPEB expense of $661,053. At June 30, 2023, the City reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

	Deferred outflows of Resources	Deferredinflows of Resources
Difference between expected and actual experience	$ -	$ (2,903,624)
Changes of assumptions	-	(496,104)
Net difference between projected and actual earnings on plan investments	1,130,201	-
Employer contributions made subsequent to the measurement date	2,607,808	-
Total	$ 3,738,009	$ (3,399,728)

The expected average remaining service lifetime ("EARSL") for OPEB for the 2021-22 measurement period is 3,146.1 years, which was obtained by the average of the EARSL of 6.1 years times 530 covered participants.

Note 12 – Other Postemployment Healthcare Plan (Continued)

D. OPEB Expense and Deferred Outflows/Inflows of Resources Related to OPEB (Continued)

$2,607,808 reported as deferred outflows of resources related to contributions subsequent to the measurement date will be recognized as a reduction of the total OPEB liability in the year ending June 30, 2024. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to OPEB will be recognized as OPEB expense as follows:

Year Ending June 30	Deferred Outflows/ (Inflows) of Resources
2024	$ (1,299,320)
2025	(861,732)
2026	(257,163)
2027	148,688
	$ (2,269,527)

Note 13 – Risk Management

The City is exposed to various risks of loss related to torts; theft of, damage to, and destruction of assets; errors and omissions; and natural disasters. These risks are handled as described below.

The City is partially self-insured for Workers' Compensation, General Liability and Automobile Liability. The City is fully self-insured for unemployment insurance claims (reimbursable account with Employment Development Department). The Workers' Compensation Internal Service Fund and the General Liability Internal Service Fund were established to account for the collection of premiums from various City departments related to the City's insurance and self-insurance programs.

The City retains the risk for the first $500,000 of each Workers' Compensation claim and is a member of the Independent Cities Risk Management Authority for coverage up to $5,000,000 per occurrence. Excess workers' compensation insurance has also been purchased up to statutory limits. The City retains the risk for the first $300,000 of each General Liability and Auto Liability claim and is a member of the Independent Cities Risk Management Authority for coverage up to $20 million per occurrence. The City also purchases commercial insurance for other risks of loss, including property loss, emergency vehicle physical damage and special events.

The Independent Cities Risk Management Authority ("ICRMA") is comprised of 21 Southern California cities, and each member city has a representative on the governing board. The comprehensive general liability insurance includes monetary damages for personal liability, property damage and public officials' errors and omissions. Deposits made to the ICRMA are based on losses incurred by the insured, and rebates are possible if the losses are minimal.

On November 17, 2016, the ICRMA Board approved an assessment on the member cities to fund deficits in its Liability Program for the fiscal years ended 2004, and 2012 through 2015. The City's share of this assessment was determined to be $1,635,143 and is due and payable in equal installments of $163,514 over the next ten years. This insurance assessment liability is recorded in the General Liability Internal Service Fund. At June 30, 2023, the assessment liability balance was $654,057.

Note 13 – Risk Management (Continued)

There have been no significant changes in insurance coverage as compared to last year and the City has not experienced settlements in excess of insurance coverage during the past three fiscal years. Estimates for liabilities have been accrued in the Workers' Compensation and General Liability Internal Service Funds. These funds also include an estimate for incurred but not reported claims. At June 30, 2023, total estimated General Liability and Workers' Compensation claims payable were $9,386,265 and $14,509,962, respectively.

The claims liabilities are reported in the Statement of Net Position in the Government-Wide Financial Statements and in the Statement of Revenues, Expenses and Changes in Net Position in the Proprietary Fund Statements in the Internal Service Funds.

A reconciliation of changes in the aggregate liabilities for claims for the current fiscal year and the prior two years is as follows:

	Beginning of Fiscal Year Liability	Current Year Claims and Changes in Estimates	Claim Payments	Balance at Fiscal Year End
2021	$ 18,372,816	2,468,732	$ (892,894)	$ 19,948,654
2022	19,948,653	2,953,233	(459,180)	22,442,706
2023	22,442,706	5,089,000	(3,635,479)	23,896,227

Note 14 – Stewardship, Compliance and Accountability

A. Deficit Fund Balance/Net Position

At June 30, 2023, the following funds had a fund balances (deficit) or unrestricted net position (deficit):

Fund	Fund Type	Deficit
Law Enforcement/Fire/Medic DIF Special Revenue	Special Revenue Fund	$ (79,933)
Bike Route Special Revenue	Special Revenue Fund	(5,547)
Highway Safety Special Revenue	Special Revenue Fund	(34,439)
General Liability Fund	Internal Service Fund	(7,892,296)
Workers' Compensation	Internal Service Fund	(9,504,522)
Shop	Internal Service Fund	(327,398)
Successor Agency Private-Purpose Trust	Fiduciary Fund	(95,330,970)

City management intends to eliminate the deficit of the special revenue funds with future receipts and/or transfers from the General Fund, and City management believes the present cash position of the Internal Service Funds are adequate to meet current needs. The deficit of Fiduciary Fund is expected to be eliminated with future payments from the Redevelopment Property Tax Trust Fund to the Successor Agency for its long-term debt.

Note 14 – Stewardship, Compliance and Accountability (Continued)

B. Excess of Expenditures over Appropriations

Total expenditures exceeded budgeted appropriations in the following funds:

Funds	Final Appropriations	Expenditures	Excess
General Fund:	$ 49,043,007	$ 53,747,088	$ (4,704,081)
Street Capital Projects Fund	1,811,919	8,306,129	(6,494,210)
Nonmajor governmental funds:			
Special Revenue Funds:			
Measure W	407,081	754,308	(347,227)
Maintenance District 93-1 Fund	989,903	1,148,133	(158,230)
Public Safety Augmentation Fund	814,800	850,000	(35,200)
Debt Service Fund:			
Debt Service Sales Tax Bond Fund	305,000	1,053,451	(748,451)

Note 15 – Net Investment in Capital Assets

Net investment in capital assets at June 30, 2023 consisted of the following:

	Governmental Activities	Business-Type Activities
Net investment in capital assets:		
Capital assets, net	$ 75,923,938	$ 53,594,092
Unspent 2022 sales tax revenue bonds - bond proceeds	19,079,994	-
Renention payable	(972,734)	(552,679)
Long-term debt:		
2022 Sales tax revenue bonds	(17,280,000)	-
SGVMWD loan	-	(4,000,000)
Premium	(3,057,713)	-
Finance purchase loans	(4,241,933)	(6,646,310)
Lease liabilities	(74,330)	(2,109)
Subscription liabilities	(724,786)	(9,230)
Total net investment in capital assets	$ 68,652,436	$ 42,383,764

Note 16 – Classification of Fund Balances

General Fund Committed Catastrophic-Event – The City's General Fund balance committed for emergency contingencies has been set by resolution and is for specific uses listed as the declaration of a state or federal state of emergency or a local emergency as defined in Monterey Park Municipal Code Section 2.52.020. A state of emergency is the existence of conditions of disasters which may result in property damage, death and/or injuries to the community. An emergency may also result from natural events that did not result in a request for state or federal assistance.

		Special Revenue Funds				Nonmajor	
	General Fund	Grants Fund	Retirement/ Pension Fund	Housing Fund	Street Capital Projects Funds	Governmental Funds	Total
Nonspendable:							
Prepaid items	$ 77,450	$ -	$ -	$ -	$ -	$ -	$ 77,450
	77,450	-	-	-	-	-	77,450
Restricted:							
Housing	-	-	-	3,680,891		-	3,680,891
Grants:		744,046					744,046
Highways and streets	-		-	-	12,147,717	-	12,147,717
Retirement	-	-	4,695,755	-	-	-	4,695,755
OPA Proposition A	-	-	-	-	-	3,820,312	3,820,312
State Gas Tax	-	-	-	-	-	1,405,703	1,405,703
Measure W	-	-	-	-	-	243,894	243,894
Proposition C	-	-	-	-	-	3,103,272	3,103,272
Air Quality Improvement	-	-	-	-	-	426,337	426,337
Asset forfeiture	-	-	-	-	-	760,215	760,215
Park Facilities	-	-	-	-	-	870,609	870,609
Business Improvement Area #1	-	-	-	-	-	204,355	204,355
Maintenance District 93-1	-	-	-	-	-	138,195	138,195
Public Safety Augmentation	-	-	-	-	-	950,864	950,864
Measure R	-	-	-	-	-	1,080,832	1,080,832
Circulation Dev Impact Fee	-	-	-	-	-	332,588	332,588
SB1-RMRA	-	-	-	-	-	2,566,729	2,566,729
Measure M	-	-	-	-	-	3,274,262	3,274,262
SB2 Planning	-	-	-	-	-	52,518	52,518
Capital projects	-	-	-	-	-	564,038	564,038
Subtotal	-	744,046	4,695,755	3,680,891	12,147,717	19,794,723	41,063,132
Committed:							
Catastrophic event	5,340,000	-	-	-	-	-	5,340,000
Working capital	3,000,000	-	-	-	-	-	3,000,000
Economic development	1,886,927	-	-	-	-	-	1,886,927
CERCLA Liabiity	-	-	-	-	-	152,403	152,403
Total committed	10,226,927	-	-	-	-	152,403	10,379,330
Assigned:							
City capital improvements	18,029,418	-	-	-	-	-	18,029,418
Subtotal	18,029,418	-	-	-	-	-	18,029,418
Unassigned (deficit)	119,426	-	-	-	-	(119,919)	(493)
Total	$ 28,453,221	$ 744,046	$ 4,695,755	$ 3,680,891	$ 12,147,717	$ 19,827,207	$ 69,548,837

General Fund Committed Catastrophic-Event – The City's General Fund balance committed for emergency contingencies has been set by resolution and is for specific uses listed as the declaration of a state or federal state of emergency or a local emergency as defined in Monterey Park Municipal Code Section 2.52.020. A state of emergency is the existence of conditions of disasters which may result in property damage, death and/or injuries to the community. An emergency may also result from natural events that did not result in a request for state or federal assistance.

Note 17 – Commitments and Contingencies

A. Commitments

The City has active projects as of June 30, 2023. At year-end, the City's commitments with contractors for these projects are as follows:

Projects	Commitments
Streets	$ 4,108,421
Community	1,007,293
Sewer	380,953
Water	7,052,758
Library	25,380
	$ 12,574,805

B. Contingencies

The City is a defendant in a number of lawsuits that have arisen in the normal course of business. While substantial damages are alleged in some of these actions, their outcome cannot be predicted with certainty. In the opinion of the City Attorney, these actions when finally adjudicated will not have material adverse effect on the financial position of the City.

Note 18 – Prior Period Adjustments/Restatements

The City made following prior period adjustments and restatements as of July 1, 2022:

	Governmental Activities	Business-type Activities	Total
Net position, at July 1, 2022, as previously reported	$ (11,235,092)	$ 55,557,083	$ 44,321,991
Reclassification of OPEB	(1,210,777)	1,210,777	-
Adjust pension related balances	1,319,567	-	1,319,567
Reclassification of Pension	(827,918)	827,918	-
GASB 96 implementation	45,764	-	45,764
Adjust lease receivable beginning balance	(45,951)	-	(45,951)
Net position at July 1, 2022, as restated	$ (11,954,407)	$ 57,595,778	$ 45,641,371

The beginning fund balance at July 1, 2022 of the General Fund was restated as follows:

Fund balance, as previously reported, at July 1, 2022	$ 28,965,265
To adjust beginning balance of lease receivable	(45,951)
Fund balance at July 1, 2022, as restated	$ 28,919,314

Note 18 – Prior Period Adjustments/Restatements (Continued)

The beginning fund balance at July 1, 2022 of the Housing Special Revenue Fund was restated as follows:

Fund balance, as previously reported, at July 1, 2022	$ 2,458,662
Reverse the beginning of unavailable revenue related to loans receivable	1,186,222
Fund balance at July 1, 2022, as restated	$ 3,644,884

The beginning net positions at July 1, 2022 of the proprietary funds were restated as follows:

	Enterprise Funds				Internal Service Funds
	Water Utility	Refuse	Sewer	Total	
Net position, as previously reported, at July 1, 2022	$ 51,234,116	$ 861,412	$ 10,778,522	$ 62,874,050	$ (13,676,720)
To reallocate the deferred outflow pension related	106,855	(4,867)	47,854	149,842	61,097
To reallocate the deferred outflow OPEB related	(106,387)	(35,522)	3,792	(138,117)	77,103
To reallocate the pension liabilities fund balance	1,625,885	(74,047)	728,135	2,279,973	929,636
To reallocate the OPEB liabilities fund balance	785,340	262,220	(27,990)	1,019,570	(569,172)
To reallocate the deferred inflow pension related	(1,142,339)	52,025	(511,583)	(1,601,897)	(653,160)
To reallocate the deferred inflow OPEB related	253,667	84,698	(9,041)	329,324	(183,844)
Net position at July 1, 2022, as restated	$ 52,757,137	$ 1,145,919	$ 11,009,689	$ 64,912,745	$ (14,015,060)

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REQUIRED SUPPLEMENTARY INFORMATION
(UNAUDITED)

City of Monterey Park
Required Supplementary Information (Unaudited)
Schedule of Changes in the Net Pension Liability and Related Ratios
California Public Employees' Retirement System ("CalPERS") – Miscellaneous Plan
Last Ten Measurement Periods
For the Year Ended June 30, 2023

Fiscal Year Ended	June 30, 2023	June 30, 2022	June 30, 2021	June 30, 2020	June 30, 2019
Measurement period	June 30, 2022	June 30, 2021	June 30, 2020	June 30, 2019	June 30, 2018
Total pension liability					
Service cost	$ 2,277,310	$ 2,148,048	$ 2,180,399	$ 2,265,594	$ 2,094,764
Interest	10,590,605	10,443,716	10,151,939	9,748,249	9,247,324
Changes of benefit terms	-	-	-	-	-
Changes of assumptions	4,675,002	-	-	-	(692,460)
Differences between expected and actual experience	(1,948,123)	(746,806)	602,063	2,073,497	(117,357)
Benefit payments, including refunds of employee contributions	(8,008,871)	(7,915,523)	(7,061,615)	(6,792,973)	(6,197,134)
Net change in total pension liability	7,585,923	3,929,435	5,872,786	7,294,367	4,335,137
Total pension liability - beginning	153,625,934	149,696,499	143,823,713	136,529,346	132,194,209
Total pension liability - ending (a)	$ 161,211,857	$ 153,625,934	$ 149,696,499	$ 143,823,713	$ 136,529,346
Pension fiduciary net position					
Contributions - employer	$ 1,281,326	$ 45,650,016	$ 4,961,827	$ 4,364,979	$ 4,603,513
Contributions - employee	1,068,666	878,774	919,290	1,139,478	866,540
Net plan to plan resource movement	-	-	-	-	(229)
Net investment income	(12,885,155)	27,613,258	5,122,746	6,457,617	7,707,169
Benefit payments, including refunds of employee contributions	(8,008,871)	(7,915,523)	(7,061,615)	(6,792,973)	(6,197,134)
Other Miscellaneous income/(expense)	(108,208)	(107,471)	-	229	(271,552)
Other	-	-	-	-	-
Net change in plan fiduciary net position	(18,652,242)	66,119,054	3,942,248	5,169,330	6,708,307
Plan fiduciary net position - beginning	173,704,489	107,585,435	103,643,187	98,473,857	91,765,550
Plan fiduciary net position - ending (b)	$ 155,052,247	$ 173,704,489	$ 107,585,435	$ 103,643,187	$ 98,473,857
Plan net pension liability - ending (a) - (b)	$ 6,159,610	$ (20,078,555)	$ 42,111,064	$ 40,180,526	$ 38,055,489
Plan fiduciary net position as a percentage of the total pension liability	96.18%	113.07%	71.87%	72.06%	72.13%
Covered payroll	$ 11,648,645	$ 12,309,728	$ 12,120,063	$ 11,984,909	$ 11,235,594
Net pension liability as a percentage of covered payroll	52.88%	-163.11%	347.45%	335.26%	338.70%

[1]This schedule is intended to show information for ten years. Additional information will be displayed as it becomes available.

Notes to Schedule:

Changes of Benefit Terms: The figures above generally include any liability impact that may have resulted from voluntary benefit changes that occurred on or before the Measurement Date. However, offers of Two Years Additional Service Credit (a.k.a. Golden Handshakes) that occurred after the Valuation Date are not included in the figures above, unless the liability impact is deemed to be material by the plan actuary.

Changes of Assumptions: Effective with the June 30, 2021 valuation date (2022 measurement date), the accounting discount rate was reduced from 7.15% to 6.90%. In determining the long-term expected rate of return, CalPERS took into account long-term market return expectations as well as the expected pension fund cash flows. Projected returns for all asset classes are estimated, combined with risk estimates, and are used to project compound (geometric) returns over the long term. The discount rate used to discount liabilities was informed by the long-term projected portfolio return. In addition, demographic assumptions and the inflation rate assumption were changed in accordance with the 2021 CalPERS Experience Study and Review of Actuarial Assumptions. The accounting discount rate was 7.15% for measurement dates 2017 through 2021, 7.65% for measurement dates 2015 through 2016, and 7.50% for measurement date 2014.

City of Monterey Park
Required Supplementary Information (Unaudited)
Schedule of Changes in the Net Pension Liability and Related Ratios (Continued)
California Public Employees' Retirement System ("CalPERS") – Miscellaneous Plan
Last Ten Measurement Periods
For the Year Ended June 30, 2023

Fiscal Year Ended	June 30, 2018	June 30, 2017	June 30, 2016	June 30, 2015
Measurement period	June 30, 2017	June 30, 2016	June 30, 2015	June 30, 2014
Total pension liability				
Service cost	$ 2,228,391	$ 2,069,087	$ 1,980,088	$ 1,910,429
Interest	8,924,469	8,653,522	8,290,095	7,992,845
Changes of benefit terms	-	-	-	-
Changes of assumptions	7,347,650	-	(2,040,465)	-
Differences between expected and actual experience	(1,360,108)	(944,621)	(1,849,112)	-
Benefit payments, including refunds of employee contributions	(5,324,401)	(4,855,567)	(4,383,243)	(4,121,783)
Net change in total pension liability	11,816,001	4,922,421	1,997,363	5,781,491
Total pension liability - beginning	120,378,208	115,455,787	113,458,424	107,676,933
Total pension liability - ending (a)	$ 132,194,209	$ 120,378,208	$ 115,455,787	$ 113,458,424
Pension fiduciary net position				
Contributions - employer	$ 3,511,958	$ 3,019,357	$ 2,466,015	$ 2,203,100
Contributions - employee	907,755	917,401	940,132	838,784
Net plan to plan resource movement	-	-	-	-
Net investment income	9,429,350	385,286	1,789,792	12,387,447
Benefit payments, including refunds of employee contributions	(5,324,401)	(4,855,567)	(4,383,243)	(4,121,783)
Other Miscellaneous income/(expense)	-	-	-	-
Other	-	-	-	-
Net change in plan fiduciary net position	8,524,662	(533,523)	812,696	11,307,548
Plan fiduciary net position - beginning	83,240,888	83,774,411	82,961,715	71,654,167
Plan fiduciary net position - ending (b)	$ 91,765,550	$ 83,240,888	$ 83,774,411	$ 82,961,715
Plan net pension liability - ending (a) - (b)	$ 40,428,659	$ 37,137,320	$ 31,681,376	$ 30,496,709
Plan fiduciary net position as a percentage of the total pension liability	69.42%	69.15%	72.56%	73.12%
Covered payroll	$ 11,745,064	$ 11,966,954	$ 11,412,611	$ 10,708,680
Net pension liability as a percentage of covered payroll	344.22%	310.33%	277.60%	284.78%

[1]This schedule is intended to show information for ten years. Additional information will be displayed as it becomes available.

Notes to Schedule:

Changes of Benefit Terms: The figures above generally include any liability impact that may have resulted from voluntary benefit changes that occurred on or before the Measurement Date. However, offers of Two Years Additional Service Credit (a.k.a. Golden Handshakes) that occurred after the Valuation Date are not included in the figures above, unless the liability impact is deemed to be material by the plan actuary.

Changes of Assumptions: Effective with the June 30, 2021 valuation date (2022 measurement date), the accounting discount rate was reduced from 7.15% to 6.90%. In determining the long-term expected rate of return, CalPERS took into account long-term market return expectations as well as the expected pension fund cash flows. Projected returns for all asset classes are estimated, combined with risk estimates, and are used to project compound (geometric) returns over the long term. The discount rate used to discount liabilities was informed by the long-term projected portfolio return. In addition, demographic assumptions and the inflation rate assumption were changed in accordance with the 2021 CalPERS Experience Study and Review of Actuarial Assumptions. The accounting discount rate was 7.15% for measurement dates 2017 through 2021, 7.65% for measurement dates 2015 through 2016, and 7.50% for measurement date 2014.

City of Monterey Park
Required Supplementary Information (Unaudited)
Schedule of Changes in the Net Pension Liability and Related Ratios (Continued)
California Public Employees' Retirement System ("CalPERS") – Safety Plan
Last Ten Measurement Periods
For the Year Ended June 30, 2023

Fiscal Year Ended	June 30, 2023	June 30, 2022	June 30, 2021	June 30, 2020
Measurement period	June 30, 2022	June 30, 2021	June 30, 2020	June 30, 2019
Total pension liability				
Service cost	$ 4,273,500	$ 3,628,780	$ 3,826,239	$ 3,799,004
Interest	16,606,680	16,292,437	15,722,454	15,282,800
Changes of benefit terms	-	-	-	-
Changes of assumptions	6,196,586	-	-	-
Differences between expected and actual experience	(2,515,151)	(986,638)	(2,916,658)	2,807,034
Benefit payments, including refunds of employee contributions	(11,523,017)	(10,706,492)	(10,276,568)	(9,782,967)
Net change in total pension liability	13,038,598	8,228,087	6,355,467	12,105,871
Total pension liability - beginning	240,619,835	232,391,748	226,036,281	213,930,410
Total pension liability - ending (a)	$ 253,658,433	$ 240,619,835	$ 232,391,748	$ 226,036,281
Pension fiduciary net position				
Contributions - employer	$ 2,584,424	$ 71,158,474	$ 6,084,397	$ 5,484,667
Contributions - employee	1,804,252	1,701,579	1,483,430	1,282,715
Net plan to plan resource movement	-	-	-	-
Net investment income	(20,264,806)	43,136,498	7,842,379	10,011,998
Benefit payments, including refunds of employee contributions	(11,523,017)	(10,706,492)	(10,276,568)	(9,782,967)
Other Miscellaneous income/(expense)	(169,516)	(166,821)	-	361
Other	-	-	-	-
Net change in plan fiduciary net position	(27,568,663)	105,123,238	5,133,638	6,996,774
Plan fiduciary net position - beginning	272,121,603	166,998,365	161,864,727	154,867,953
Plan fiduciary net position - ending (b)	$ 244,552,940	$ 272,121,603	$ 166,998,365	$ 161,864,727
Plan net pension liability - ending (a) - (b)	$ 9,105,493	$ (31,501,768)	$ 65,393,383	$ 64,171,554
Plan fiduciary net position as a percentage of the total pension liability	96.41%	113.09%	71.86%	71.61%
Covered payroll	$ 14,016,071	$ 12,831,613	$ 13,434,829	$ 13,251,294
Net pension liability as a percentage of covered payroll	64.96%	-245.50%	486.75%	484.27%

[1]This schedule is intended to show information for ten years. Additional information will be displayed as it becomes available.

Notes to Schedule:

Changes of Benefit Terms: The figures above generally include any liability impact that may have resulted from voluntary benefit changes that occurred on or before the Measurement Date. However, offers of Two Years Additional Service Credit (a.k.a. Golden Handshakes) that occurred after the Valuation Date are not included in the figures above, unless the liability impact is deemed to be material by the plan actuary.

Changes of Assumptions: Effective with the June 30, 2021 valuation date (2022 measurement date), the accounting discount rate was reduced from 7.15% to 6.90%. In determining the long-term expected rate of return, CalPERS took into account long-term market return expectations as well as the expected pension fund cash flows. Projected returns for all asset classes are estimated, combined with risk estimates, and are used to project compound (geometric) returns over the long term. The discount rate used to discount liabilities was informed by the long-term projected portfolio return. In addition, demographic assumptions and the inflation rate assumption were changed in accordance with the 2021 CalPERS Experience Study and Review of Actuarial Assumptions. The accounting discount rate was 7.15% for measurement dates 2017 through 2021, 7.65% for measurement dates 2015 through 2016, and 7.50% for measurement date 2014.

City of Monterey Park
Required Supplementary Information (Unaudited)
Schedule of Changes in the Net Pension Liability and Related Ratios (Continued)
California Public Employees' Retirement System ("CalPERS") – Safety Plan
Last Ten Measurement Periods
For the Year Ended June 30, 2023

Fiscal Year Ended	June 30, 2019	June 30, 2018	June 30, 2017	June 30, 2016	June 30, 2015
Measurement period	June 30, 2018	June 30, 2017	June 30, 2016	June 30, 2015	June 30, 2014
Total pension liability					
Service cost	$ 3,527,711	$ 3,386,209	$ 2,947,888	$ 2,923,036	$ 3,003,645
Interest	14,480,120	13,751,245	13,417,480	12,911,065	12,482,279
Changes of benefit terms	-	-	-	-	-
Changes of assumptions	(449,040)	11,578,272	-	(3,224,562)	-
Differences between expected and actual experience	2,778,709	(2,485,932)	(950,812)	(1,936,767)	-
Benefit payments, including refunds of employee contributions	(9,665,441)	(9,022,216)	(8,465,095)	(8,086,742)	(7,798,383)
Net change in total pension liability	10,672,059	17,207,578	6,949,461	2,586,030	7,687,541
Total pension liability - beginning	203,258,351	186,050,773	179,101,312	176,515,282	168,827,741
Total pension liability - ending (a)	$ 213,930,410	$ 203,258,351	$ 186,050,773	$ 179,101,312	$ 176,515,282
Pension fiduciary net position					
Contributions - employer	$ 4,724,661	$ 4,231,618	$ 3,647,109	$ 3,220,567	$ 2,924,318
Contributions - employee	1,224,504	1,181,754	1,075,386	1,046,298	1,022,948
Net plan to plan resource movement	(361)	-	-	-	-
Net investment income	12,034,298	15,034,493	609,810	2,899,581	21,032,695
Benefit payments, including refunds of employee contributions	(9,665,441)	(9,022,216)	(8,465,095)	(8,086,742)	(7,798,383)
Other Miscellaneous income/(expense)	(434,958)	-	-	-	-
Other	-	-	-	-	-
Net change in plan fiduciary net position	7,882,703	11,425,649	(3,132,790)	(920,296)	17,181,578
Plan fiduciary net position - beginning	146,985,250	135,559,601	138,692,391	139,612,687	122,431,109
Plan fiduciary net position - ending (b)	$ 154,867,953	$ 146,985,250	$ 135,559,601	$ 138,692,391	$ 139,612,687
Plan net pension liability - ending (a) - (b)	$ 59,062,457	$ 56,273,101	$ 50,491,172	$ 40,408,921	$ 36,902,595
Plan fiduciary net position as a percentage of the total pension liability	72.39%	72.31%	72.86%	77.44%	79.09%
Covered payroll	$ 12,387,062	$ 11,847,348	$ 11,565,157	$ 11,541,643	$ 11,410,291
Net pension liability as a percentage of covered payroll	476.81%	474.98%	436.58%	350.11%	323.42%

[1]This schedule is intended to show information for ten years. Additional information will be displayed as it becomes available.

Notes to Schedule:

Changes of Benefit Terms: The figures above generally include any liability impact that may have resulted from voluntary benefit changes that occurred on or before the Measurement Date. However, offers of Two Years Additional Service Credit (a.k.a. Golden Handshakes) that occurred after the Valuation Date are not included in the figures above, unless the liability impact is deemed to be material by the plan actuary.

Changes of Assumptions: Effective with the June 30, 2021 valuation date (2022 measurement date), the accounting discount rate was reduced from 7.15% to 6.90%. In determining the long-term expected rate of return, CalPERS took into account long-term market return expectations as well as the expected pension fund cash flows. Projected returns for all asset classes are estimated, combined with risk estimates, and are used to project compound (geometric) returns over the long term. The discount rate used to discount liabilities was informed by the long-term projected portfolio return. In addition, demographic assumptions and the inflation rate assumption were changed in accordance with the 2021 CalPERS Experience Study and Review of Actuarial Assumptions. The accounting discount rate was 7.15% for measurement dates 2017 through 2021, 7.65% for measurement dates 2015 through 2016, and 7.50% for measurement date 2014.

City of Monterey Park
Required Supplementary Information (Unaudited)
Schedule of Changes in the Net Pension Liability and Related Ratios (Continued)
Massachusetts Mutual Retirement Plan ("MMRP")
Last Ten Measurement Periods
For the Year Ended June 30, 2023

Fiscal Year Ended/Measurement Period Ended	June 30, 2023	June 30, 2022	June 30, 2021	June 30, 2020
Total pension liability				
Service cost	$ -	$ -	$ -	$ -
Interest	147,660	224,352	232,000	247,000
Differences between expected and actual experience	-	(882,892)	-	48,000
Changes of assumptions	(32,713)	233,562	-	(19,000)
Benefit payments, including refunds of employee contributions	(379,706)	(398,781)	(501,000)	(597,000)
Net change in total pension liability	(264,759)	(823,759)	(269,000)	(321,000)
Total pension liability - beginning	4,361,241	5,185,000	5,454,000	5,775,000
Total pension liability - ending (a)	$ 4,096,482	$ 4,361,241	$ 5,185,000	$ 5,454,000
Pension fiduciary net position				
Contributions - employer	$ -	$ -	$ 605,000	$ 1,200,000
Net investment income	66,572	(896,110)	323,000	447,000
Benefit payments, including refunds of employee contributions	(379,706)	(398,781)	(501,000)	(597,000)
Administrative Expense	(10,140)	(15,333)	(17,000)	(17,000)
Net change in plan fiduciary net position	(323,274)	(1,310,224)	410,000	1,033,000
Plan fiduciary net position - beginning	3,988,776	5,299,000	4,889,000	3,856,000
Plan fiduciary net position - ending (b)	$ 3,665,502	$ 3,988,776	$ 5,299,000	$ 4,889,000
Plan net pension liability (asset) - ending (a) - (b)	$ 430,980	$ 372,465	$ (114,000)	$ 565,000
Plan fiduciary net position as a percentage of the total pension liability	89.48%	91.46%	102.20%	89.64%
Covered payroll	$ -	$ -	$ -	$ -
Net pension liability as a percentage of covered payroll	N/A	N/A	N/A	N/A

[1]This schedule is intended to show information for ten years. Additional information will be displayed as it becomes available.

Notes to Schedule:

Benefit Changes: None.

Changes of Assumptions: For 2022, Discount rate was updated based on municipal bond rate. For 2020, mortality improvement scale was updated to Scale MP-18. For 2019,there were none. For 2018, the discount rate is changed from 4.75% to 4.5%, inflation from 3% to 2.75%, and mortality is based on CalPERS 1997-2015 experience study. For 2017 and 2016, there were none. For 2015, the discount rate was 4.75%; inflation 3% and mortality was per CalPERS 1997-2011 experience study.

City of Monterey Park
Required Supplementary Information (Unaudited)
Schedule of Changes in the Net Pension Liability and Related Ratios (Continued)
Massachusetts Mutual Retirement Plan ("MMRP")
Last Ten Measurement Periods
For the Year Ended June 30, 2023

Fiscal Year Ended/Measurement Period Ended	June 30, 2019	June 30, 2018	June 30, 2017	June 30, 2016	June 30, 2015
Total pension liability					
Service cost	$ -	$ -	$ -	$ -	$ -
Interest	263,000	269,000	287,000	305,004	321,000
Differences between expected and actual experience	-	170,000	-	-	(53,000)
Changes of assumptions	-	377,000	-	-	76,000
Benefit payments, including refunds of employee contributions	(641,000)	(659,004)	(666,000)	(691,000)	(702,000)
Net change in total pension liability	(378,000)	156,996	(379,000)	(385,996)	(358,000)
Total pension liability - beginning	6,153,000	5,996,004	6,375,004	6,761,000	7,119,000
Total pension liability - ending (a)	$ 5,775,000	$ 6,153,000	$ 5,996,004	$ 6,375,004	$ 6,761,000
Pension fiduciary net position					
Contributions - employer	$ 1,000,000	$ 950,000	$ 950,000	$ 950,000	$ 950,000
Net investment income	269,000	(98,000)	53,000	(12,000)	57,000
Benefit payments, including refunds of employee contributions	(641,000)	(659,000)	(666,000)	(691,000)	(702,000)
Administrative Expense	(16,000)	(18,000)	(15,000)	(14,000)	(16,000)
Net change in plan fiduciary net position	612,000	175,000	322,000	233,000	289,000
Plan fiduciary net position - beginning	3,244,000	3,069,000	2,747,000	2,514,000	2,225,000
Plan fiduciary net position - ending (b)	$ 3,856,000	$ 3,244,000	$ 3,069,000	$ 2,747,000	$ 2,514,000
Plan net pension liability (asset) - ending (a) - (b)	$ 1,919,000	$ 2,909,000	$ 2,927,004	$ 3,628,004	$ 4,247,000
Plan fiduciary net position as a percentage of the total pension liability	66.77%	52.72%	51.18%	43.09%	37.18%
Covered payroll	$ -	$ -	$ -	$ -	$ -
Net pension liability as a percentage of covered payroll	N/A	N/A	N/A	N/A	N/A

[1]This schedule is intended to show information for ten years. Additional information will be displayed as it becomes available.

Notes to Schedule:

Benefit Changes: None.

Changes of Assumptions: For 2022, Discount rate was updated based on municipal bond rate. For 2020, mortality improvement scale was updated to Scale MP-18. For 2019,there were none. For 2018, the discount rate is changed from 4.75% to 4.5%, inflation from 3% to 2.75%, and mortality is based on CalPERS 1997-2015 experience study. For 2017 and 2016, there were none. For 2015, the discount rate was 4.75%; inflation 3% and mortality was per CalPERS 1997-2011 experience study.

City of Monterey Park
Required Supplementary Information (Unaudited)
Schedule of Contributions - Pension
California Public Employees' Retirement System ("CalPERS") – Miscellaneous Plan
Last Ten Fiscal Years
For the Year Ended June 30, 2023

Fiscal Year Ended	June 30, 2023	June 30, 2022	June 30, 2021	June 30, 2020	June 30, 2019
Contractually Required Contribution (Actuarially Determined)	$ 1,430,911	$ 1,281,326	$ 4,502,361	$ 4,199,483	$ 3,761,279
Contributions in relation to the actuarially determined contribution	(1,430,911)	(1,281,326)	(45,648,992)	(4,961,827)	(4,364,979)
Contribution deficiency (excess)	$ -	$ -	$ (41,146,631)	$ (762,344)	$ (603,700)
Covered payroll	$ 11,968,983	$ 11,648,645	$ 12,309,728	$ 12,120,063	$ 12,119,366
Contributions as a percentage of covered payroll	11.96%	11.00%	370.84%	40.94%	36.02%

Notes to Schedule:

Valuation Date	6/30/2020
Methods and Assumptions Usedto Determine Contribution Rates:	
Actuarial cost method	Actuarial Cost Method
Amortization method	For details, see June 30, 2020 Funding Valuation Report.
Asset valuation method	Fair Value of Assets.
Inflation	2.50%
Salary increases	Varies by entry age and service
Payroll Growth	2.75%
Investment rate of return	7.00% net of pension plan investment and administrative expenses; includes inflation.
Retirement age	The probabilities of retirement are based on the 2017 CalPERS Experience Study for the period from 1997 to 2015.
Mortality	The probabilities of mortality are based on the 2017 CalPERS Experience Study for the period from 1997 to 2015. Pre-retirement and post-retirement mortality rates include 15 years of projected mortality improvement using 90% of Scale MP-2016 published by the Society of Actuaries.

City of Monterey Park
Required Supplementary Information (Unaudited)
Schedule of Contributions - Pension (Continued)
California Public Employees' Retirement System ("CalPERS") – Miscellaneous Plan
Last Ten Fiscal Years
For the Year Ended June 30, 2023

Fiscal Year Ended	June 30, 2018	June 30, 2017	June 30, 2016	June 30, 2015	June 30, 2014
Contractually Required Contribution (Actuarially Determined)	$ 3,320,513	$ 3,241,958	$ 2,779,357	$ 2,466,015	$ 2,203,100
Contributions in relation to the actuarially determined contribution	(4,603,513)	(3,511,958)	(3,019,357)	(2,466,015)	(2,203,100)
Contribution deficiency (excess)	$ (1,283,000)	$ (270,000)	$ (240,000)	$ -	$ -
Covered payroll	$ 11,235,594	$ 11,745,064	$ 11,966,945	$ 11,412,611	$ 10,708,680
Contributions as a percentage of covered payroll	40.97%	29.90%	25.23%	21.61%	20.57%

City of Monterey Park
Required Supplementary Information (Unaudited)
Schedule of Contributions - Pension (Continued)
California Public Employees' Retirement System ("CalPERS") – Safety Plan
Last Ten Fiscal Years
For the Year Ended June 30, 2023

Fiscal Year Ended	June 30, 2023	June 30, 2022	June 30, 2021	June 30, 2020	June 30, 2019
Contractually Required Contribution (Actuarially Determined)	$ 2,647,296	$ 2,582,210	$ 6,744,705	$ 6,084,397	$ 5,484,667
Contributions in relation to the actuarially determined contribution	(2,647,296)	(2,582,210)	(71,143,291)	(6,084,397)	(5,484,667)
Contribution deficiency (excess)	$ -	$ -	$ (64,398,586)	$ -	$ -
Covered payroll	$ 14,401,513	$ 14,016,071	$ 12,831,613	$ 13,434,829	$ 13,402,257
Contributions as a percentage of covered payroll	18.38%	18.42%	554.44%	45.29%	40.92%

Notes to Schedule:

Valuation Date	June 30, 2020
Methods and Assumptions Used to Determine Contribution Rates:	
Actuarial cost method	Actuarial Cost Method
Amortization method	For details, see June 30, 2020 Funding Valuation Report.
Asset valuation method	Fair Value of Assets.
Inflation	2.50%
Salary increases	Varies by entry age and service
Payroll Growth	2.75%
Investment rate of return	7.00% net of pension plan investment and administrative expenses; includes inflation.
Retirement age	The probabilities of retirement are based on the 2017 CalPERS Experience Study for the period from 1997 to 2015.
Mortality	The probabilities of mortality are based on the 2017 CalPERS Experience Study for the period from 1997 to 2015. Pre-retirement and post-retirement mortality rates include 15 years of projected mortality improvement using 90% of Scale MP-2016 published by the Society of Actuaries.

City of Monterey Park
Required Supplementary Information (Unaudited)
Schedule of Contributions - Pension (Continued)
California Public Employees' Retirement System ("CalPERS") – Safety Plan
Last Ten Fiscal Years
For the Year Ended June 30, 2023

Fiscal Year Ended	June 30, 2018	June 30, 2017	June 30, 2016	June 30, 2015	June 30, 2014
Contractually Required Contribution (Actuarially Determined)	$ 4,724,661	$ 4,231,618	$ 3,647,109	$ 3,220,567	$ 2,924,318
Contributions in relation to the actuarially determined contribution	(4,724,661)	(4,231,618)	(3,647,109)	(3,220,567)	(2,924,318)
Contribution deficiency (excess)	$ -	$ -	$ -	$ -	$ -
Covered payroll	$ 12,387,062	$ 11,847,348	$ 11,596,274	$ 11,541,643	$ 11,410,291
Contributions as a percentage of covered payroll	38.14%	35.72%	31.45%	27.90%	25.63%

City of Monterey Park
Required Supplementary Information (Unaudited)
Schedule of Contributions - Pension (Continued)
Massachusetts Mutual Retirement Plan ("MMRP")
Last Ten Fiscal Years
For the Year Ended June 30, 2023

	June 30, 2023	June 30, 2022	June 30, 2021	June 30, 2020
Actuarially Determined Contribution	$ -	$ 64,000	$ 605,000	$ 994,000
Contributions in relation to the actuarially determined contribution	-	-	(605,000)	(1,200,000)
Contribution deficiency (excess)	$ -	$ 64,000	$ -	$ (206,000)
Covered payroll	$ -	$ -	$ -	$ -
Contributions as a percentage of covered payroll	N/A	N/A	N/A	N/A

Notes to Schedule:

Valuation Date	June 30, 2021
Methods and Assumptions Usedto Determine Contribution Rates:	
Actuarial cost method	Entry Age Normal
Amortization method	Level Dollar
Asset valuation method	Market value investment gains and lossesspreading over 5-year rolling period
	Not less than 80% nor more than 120% of market value
Discount Rate	3.00%
General Inflation	2.50%
Mortality	Mortality projected fully generational with Scale MP-2021

[1] This schedule is intended to show information for ten years. Additional information will be displayed as it becomes available.

City of Monterey Park
Required Supplementary Information (Unaudited)
Schedule of Contributions - Pension (Continued)
Massachusetts Mutual Retirement Plan ("MMRP")
Last Ten Fiscal Years
For the Year Ended June 30, 2023

	June 30, 2019	June 30, 2018	June 30, 2017	June 30, 2016	June 30, 2015[1]
Actuarially Determined Contribution	$ 994,000	$ 961,000	$ 961,000	$ 950,000	$ 950,000
Contributions in relation to the actuarially determined contribution	(1,000,000)	(950,000)	(950,000)	(950,000)	(950,000)
Contribution deficiency (excess)	$ (6,000)	$ 11,000	$ 11,000	$ -	$ -
Covered payroll	$ -	$ -	$ -	$ -	$ -
Contributions as a percentage of covered payroll	N/A	N/A	N/A	N/A	N/A

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City of Monterey Park
Required Supplementary Information (Unaudited)
Schedule of Changes in Net OPEB Liability and Related Ratios
Last Ten Measurement Periods[1]
For the Year Ended June 30, 2023

Fiscal Year Ended	June 30, 2023	June 30, 2022	June 30, 2021	June 30, 2020	June 30, 2019	June 30, 2018
Measurement period	June 30, 2022	June 30, 2021	June 30, 2020	June 30, 2019	June 30, 2018	June 30, 2017
Total OPEB liability:						
Service cost	$ 757,555	$ 847,594	$ 822,907	$ 1,014,890	$ 985,000	$ 956,000
Interest	2,050,988	2,288,889	2,199,290	2,418,231	2,307,000	2,204,000
Changes of benefit terms	-	-	-	-	-	-
Differences between expected and actual experience	-	(2,184,649)	-	(5,065,175)	-	-
Changes of assumptions	-	(257,475)	-	(1,135,595)	-	-
Benefit payments, including refunds of employee contributions	(1,651,920)	(1,744,000)	(1,695,000)	(1,628,685)	(1,580,000)	(1,653,000)
Net change in total OPEB liability	1,156,623	(1,049,641)	1,327,197	(4,396,334)	1,712,000	1,507,000
Total OPEB liability - beginning	32,884,222	33,933,863	32,606,666	37,003,000	35,291,000	33,784,000
Total OPEB liability - ending (a)	$ 34,040,845	$ 32,884,222	$ 33,933,863	$ 32,606,666	$ 37,003,000	$ 35,291,000
OPEB fiduciary net position						
Contributions - employer	$ 2,667,920	$ 2,760,000	$ 2,710,000	$ 2,694,599	$ 2,565,000	$ 2,703,000
Contributions - employee	-	-	-	-	-	-
Net investment income	(1,924,920)	2,703,454	318,876	468,237	491,000	475,000
Benefit payments, including refunds of employee contributions	(1,651,920)	(1,744,000)	(1,695,000)	(1,628,685)	(1,580,000)	(1,653,000)
Administrative expense	(19,451)	(19,765)	(19,470)	(17,545)	(10,000)	(2,000)
Net change in plan fiduciary net position	(928,371)	3,699,689	1,314,406	1,516,606	1,466,000	1,523,000
Plan fiduciary net position - beginning	13,189,701	9,490,012	8,175,606	6,659,000	5,193,000	3,670,000
Plan fiduciary net position - ending (b)	$ 12,261,330	$ 13,189,701	$ 9,490,012	$ 8,175,606	$ 6,659,000	$ 5,193,000
Plan net OPEB liability - ending (a) - (b)	$ 21,779,515	$ 19,694,521	$ 24,443,851	$ 24,431,060	$ 30,344,000	$ 30,098,000
Plan fiduciary net position as a percentage of the total OPEB liability	36.02%	40.11%	27.97%	25.07%	18.00%	14.71%
Covered-Employee Payroll	$ 25,472,326	$ 25,378,000	$ 25,791,000	$ 29,951,647	$ 28,530,000	$ 27,659,000
Plan's Net OPEB Liability as a Percentage of Covered-Employee Payroll	85.50%	77.60%	94.78%	81.57%	106.36%	108.82%

[1]This schedule is intended to show information for ten years. Additional information will be displayed as it becomes available.

Notes to Schedule:

Benefit Changes: None

Changes of Assumptions: For measurement period ended June 30, 2019, discount rate was changed from 6.50% to 6.75%, demographic assumptions were updated to CalPERS 1997-2015 Experience Summary, mortality improvement scale was updated to Scale MP-2019, and PEMHCA Minimum Trend was updated.

City of Monterey Park
Required Supplementary Information (Unaudited)
Schedule of Contributions - OPEB
Last Ten Fiscal Years[1]
For the Year Ended June 30, 2023

Fiscal Year	June 30, 2023	June 30, 2022	June 30, 2021	June 30, 2020	June 30, 2019	June 30, 2018
Actuarially Determined Contribution	$ 2,215,000	$ 2,539,000	$ 2,487,000	$ 2,999,000	$ 2,925,000	$ 2,855,000
Contributions in relation to the actuarially determined contribution	(2,607,808)	(2,667,920)	(2,760,000)	(2,710,000)	(2,694,599)	(2,565,000)
Contribution deficiency (excess)	$ (392,808)	$ (128,920)	$ (273,000)	$ 289,000	$ 230,401	$ 290,000
Covered-Employee Payroll	$ 27,159,893	$ 25,472,326	$ 25,378,000	$ 25,791,000	$ 29,951,647	$ 28,530,000
Contributions as a Percentage of Covered-Employee Payroll	9.60%	10.47%	10.88%	10.51%	9.00%	8.99%

Notes to Schedule:

Valuation Date	June 30, 2021
Methods and Assumptions Usedto Determine Contribution Rates:	
Actuarial cost method	Entry Age Normal, Level % of pay
Amortization method	Level % of pay
Amortization Period	21-year fixed period for 2022/23
Asset valuation method	Investment gains and losses spread over 5-yearrolling period
Discount Rate	6.25%
General Inflation	2.50%
Medical Trend	Non-Medicare - 6.50% for 2023, decreasing to anultimate rate of 3.75% in 2076
	Medicare (Non-Kaiser) - 5.65% for 2023, decreasing to an ultimate rate of 3.75% in 2076
	Medicare (Kaiser) - 4.45% for 2023, decreasing to an ultimate rate of 3.75% in 2076
Mortality	CalPERS 2000-2019 Experience Study
Mortality Improvement	Mortality projected fully generational with Scale MP-2021

[1] This schedule is intended to show information for ten years. Additional information will be displayed as it becomes available.

City of Monterey Park
Required Supplementary Information (Unaudited)
Budgetary Comparison Schedule
General Fund
For the Year Ended June 30, 2023

	Budgeted Amounts			
	Original Budget	Final Budget	Actual	Variance with Final Budget
Revenue:				
Taxes	$ 37,082,701	$ 37,082,701	$ 42,160,583	$ 5,077,882
Intergovernmental	175,000	175,000	275,444	100,444
Charges for services	8,822,524	8,822,524	9,499,865	677,341
Licenses and permits	2,423,736	2,423,736	2,533,406	109,670
Fines and forfeitures	375,000	375,000	318,112	(56,888)
Investment income	1,070,135	1,070,135	1,006,690	(63,445)
Miscellaneous	575,000	575,000	635,492	60,492
Total revenues	50,524,096	50,524,096	56,429,592	5,905,496
Expenditures:				
Current:				
General government	9,191,554	9,786,973	9,479,899	307,074
Public safety	30,732,217	30,865,942	31,313,417	(447,475)
Community development	1,804,670	2,218,535	7,246,617	(5,028,082)
Culture and recreation	1,562,263	1,600,202	1,458,740	141,462
Public works	2,720,397	3,179,235	2,903,671	275,564
Capital outlay	-	642,302	406,195	236,107
Debt service:				
Principal retirement	348,071	586,612	849,624	(263,012)
Interest and fiscal charges	94,003	163,206	88,925	74,281
Total expenditures	46,453,175	49,043,007	53,747,088	(4,704,081)
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	4,070,921	1,481,089	2,682,504	1,201,415
Other financing sources (uses):				
Insurance of subscription liabilities	-	-	25,811	25,811
Transfers in	-	-	5,153,633	5,153,633
Transfers out	(3,172,408)	(3,172,408)	(8,328,041)	(5,155,633)
Total other financing sources (uses)	(3,172,408)	(3,172,408)	(3,148,597)	(2,000)
NET CHANGE IN FUND BALANCE	$ 898,513	$ (1,691,319)	(466,093)	$ 1,199,415
Fund balance:				
Beginning of year			28,919,314	
End of year			$ 28,453,221	

City of Monterey Park
Required Supplementary Information (Unaudited)
Budgetary Comparison Schedule
Grants Special Revenue Fund
For the Year Ended June 30, 2023

	Budgeted Amounts			
	Original Budget	Final Budget	Actual	Variance with Final Budget
Revenue:				
Taxes	$ 153,807	$ 153,807	$ 165,270	$ 11,463
Intergovernmental	8,803,695	8,886,408	7,900,440	(985,968)
Investment income	40,000	40,000	126,283	86,283
Miscellaneous	-	-	58,360	58,360
Total revenues	8,997,502	9,080,215	8,250,353	(829,862)
Expenditures:				
Current:				
General government	1,158,355	2,834,853	2,086,352	748,501
Public safety	1,659,758	4,577,074	3,845,974	731,100
Community development	300,000	432,340	182,187	250,153
Culture andrecreation	1,262,649	1,189,485	1,222,060	(32,575)
Public works	23,778	117,579	48,250	69,329
Captial outlay	1,629,528	3,206,108	791,423	2,414,685
Debt service:				
Principal retirement	539,000	-	545,907	(545,907)
Interest and fiscal charges	6,603	-	6,696	(6,696)
Total expenditures	6,579,671	12,357,439	8,728,849	3,628,590
NET CHANGE IN FUND BALANCE	$ 2,417,831	$ (3,277,224)	(478,496)	$ 2,798,728
Fund balance:				
Beginning of year			1,222,542	
End of year			$ 744,046	

City of Monterey Park
Required Supplementary Information (Unaudited)
Budgetary Comparison Schedule
Retirement/Pension Liability Special Revenue Fund
For the Year Ended June 30, 2023

	Budgeted Amounts			
	Original Budget	Final Budget	Actual	Variance with Final Budget
Revenue:				
Taxes	$ 9,471,370	$ 9,471,370	$ 8,797,182	$ (674,188)
Investment income	1,000	1,000	176,742	175,742
Miscellaneous	-	-	145,152	145,152
Total revenues	9,472,370	9,472,370	9,119,076	(353,294)
Expenditures:				
Current:				
General government	673,594	791,544	558,784	232,760
Public safety	2,862,798	2,862,798	2,944,940	(82,142)
Community development	130,959	130,959	88,173	42,786
Culture andrecreation	64,453	64,453	54,496	9,957
Public works	66,236	66,236	57,402	8,834
Debt service:				
Principal retirement	4,542,819	4,542,819	4,082,698	460,121
Interest and fiscal charges	2,794,602	2,794,602	3,032,004	(237,402)
Total expenditures	11,135,461	11,253,411	10,818,497	434,914
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	(1,663,091)	(1,781,041)	(1,699,421)	81,620
Other financing sources:				
Transfers in	4,000,000	4,000,000	3,829,401	(170,599)
Total other financing sources	4,000,000	4,000,000	3,829,401	(170,599)
NET CHANGE IN FUND BALANCE	$ 2,336,909	$ 2,218,959	2,129,980	$ (88,979)
Fund balance:				
Beginning of year			2,565,775	
End of year			$ 4,695,755	

City of Monterey Park
Required Supplementary Information (Unaudited)
Budgetary Comparison Schedule
Housing Special Revenue Fund
For the Year Ended June 30, 2023

	Budgeted Amounts			
	Original Budget	Final Budget	Actual	Variance with Final Budget
Revenue:				
Investment income	$ -	$ -	$ 36,007	$ 36,007
Total revenues	-	-	36,007	36,007
NET CHANGE IN FUND BALANCE	$ -	$ -	36,007	$ 36,007
Fund balance:				
Beginning of Year			3,644,884	
End of Year			$ 3,680,891	

Budget and Budgetary Accounting

The City adheres to the following general procedure in establishing the budgetary data reflected in the financial statements:

The annual budget adopted by the City Council serves as a guideline for the operations of the City. It includes proposed expenditures and estimated revenues and is legally adopted for the General and Special Revenue Fund Types. Budgeted expenditures are controlled at the fund level. Council approval is required for an increase or decrease in total appropriations.

Budgets for the General and Special Revenue Fund Types are adopted on a basis consistent with the generally accepted accounting principles. The modified-accrual basis of accounting is employed in the preparation of the budget for these fund types.

The budget is formally integrated into the accounting system and employed as management control device during the year for all governmental funds. At fiscal year-end, unexpended and unencumbered budget appropriations lapse. Encumbrances outstanding at year-end are carried into the following year for continuing appropriation.

Under Article XIII-B of the California Constitution (The Gann Spending Limitation Initiative), the City is restricted as to the amount of annual appropriations, and if certain proceeds of taxes exceed allowed appropriations, the excess must either be refunded to the State Controller or refunded to the taxpayers through revised tax rate or revised fee schedules. For the fiscal year ended June 30, 2023, based on calculations by City Management, proceeds of taxes did not exceed the appropriations limit.

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SUPPLEMENTARY INFORMATION

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City of Monterey Park
Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual
Street Capital Projects Fund
For the Year Ended June 30, 2023

	Budgeted Amounts			
	Original Budget	Final Budget	Actual	Variance with Final Budget
Expenditures:				
Captial outlay	$ 1,231,004	$ 1,811,919	$ 8,306,129	$ (6,494,210)
Total expenditures	1,231,004	1,811,919	8,306,129	(6,494,210)
NET CHANGE IN FUND BALANCE	$ (1,231,004)	$ (1,811,919)	(8,306,129)	$ (6,494,210)
FUND BALANCE:				
Beginning of Year			20,453,846	
End of Year			$ 12,147,717	

NONMAJOR GOVERNMENTAL FUNDS

SPECIAL REVENUE FUNDS

Special Revenue Funds account for the proceeds of specific revenue sources that are restricted by law or administrative regulation for specified purposes. Special Revenue Funds include the following:

Proposition A Fund - used to account for the City's share of an additional one-half percent sales tax which was approved by the electorate in November 1980 and is collected by the County of Los Angeles to finance transportation projects such as the Monterey Park Spirit Buses and the Dial-A-Ride program.

Gas Tax Fund - used to account for expenditures financed by money apportioned under the Streets and Highways Code of the State of California.

Measure W Fund - used to account for the City's share of a special parcel tax based on impermeable areas within the jurisdiction of the Los Angeles County Flood Control District, approved by the electorate in November 2018 as the Safe Clean Water (SCW) Program, to fund projects and programs that improve water quality, increase stormwater and urban runoff capture and reduce stormwater and urban runoff pollution in the District.

Proposition C Fund - used to account for the City's share of an additional one-half percent sales tax which was approved by the electorate in November 1990 and is collected by the County of Los Angeles to finance transit projects within the City.

Air Quality Improvement Fund - used to account for the City's share of additional motor vehicle registration fees imposed by the South Coast Air Quality Management District to finance the implementation of mobile source emission reduction programs and the provisions of the California Clean Air Act.

Asset Forfeiture Fund - used to account for revenues derived from monies and property seized by the Police Department in drug related incidence. These funds may only be expended on activities used to enhance drug enforcement activities.

Parks/Library/Public Facilities Developer Impact Fee (DIF) Fund - used to account for the acquisition and development of parks, library facilities space and collections, that are financed by developer fees, established pursuant to Monterey Park Municipal Code Section 66006**.**

Business Improvement Area #1 Fund - used to account for receipts and expenditures relating to the promotion of business activities in the downtown area of the City.

Maintenance District 93-1 Fund - used to account for receipts and expenditures relating to the citywide benefit assessment district for street lighting and median maintenance.

Law Enforcement/Fire/Medic Developer Impact Fee (DIF) Fund - used to account for fees collected on new commercial and residential development. These funds will be used exclusively to finance public safety service expansion.

Public Safety Augmentation Fund - used to account for the City's share of the one-half percent sales tax which was approved by the electorate in November of 1993 (Proposition 172). The proceeds are earmarked exclusively for public safety purposes.

Measure R Fund - used to account for the City's share of ½-cent sales tax which was approved by Los Angeles County voters in November 2008 to pay for transportation needs. The proceeds are used exclusively for streets and roads, traffic control, public transit, and bicycle and pedestrian improvements.

Circulation Developer Impact Fee (DIF) Fund - used to account for fees collected on new commercial and residential development. These funds will be used exclusively to improve street lanes, intersections, and traffic management.

CERCLA Liability Fund - used to account for fees collected from the City's permitted haulers for each ton of waste that they dispose. The funds are to be only used to cover future environmental liability costs resulting from incidents falling under the Comprehensive Environmental Response Cleanup and Liability Act (CERCLA).

NONMAJOR GOVERNMENTAL FUNDS (Continued)

SPECIAL REVENUE FUNDS (Continued)

SB1 - RMRA Fund - used to account for the City's 1/2-cent per gallon gas tax began on November 2017 and new vehicle registration taxes began January 2018. The funds are to address basic road maintenance, rehabilitation and critical safety needs on the local street and road system.

Measure M Fund - used to account for the City's share of an additional half-cent sales tax that became effective on July 1, 2017. The funds are allocated to jurisdictions on a per capita basis. The funds are to improve transportation and ease traffic congestion.

SB2 - Planning Grant Fund - used to account for the funding and technical assistance received to help the City prepare, adopt, and implement plans and process improvements that streamline housing approvals and accelerate housing production

Measure B Fund - accounts for the City's share of an annual special parcel tax approved by the electorate in November 2002 to provide funding for emergency medical services.

Highway Safety Improvement Fund – accounts for expenditures financed by the State of California Highway Safety Improvement Program, funds for roadway safety improvements.

Bike Routes Fund - accounts for expenditures financed by the State of California Transportation Development Act, Article 3, funds for bike routes and pedestrian facilities improvements.

DEBT SERVICE FUND

Sales Tax Bond Fund - used to account for the funds collected for debt service payment on the City's Sales Tax Bond.

City of Monterey Park
Combining Balance Sheet
Nonmajor Governmental Funds
June 30, 2023

	Special Revenue Funds			
	Proposition A	Gas Tax	Measure W	Proposition C
ASSETS				
Cash and investments	$ 4,172,705	$ 1,332,348	$ 261,541	$ 3,089,040
Cash and investments with fiscal agents	-	-	-	-
Receivables:				
Accounts	-	133,960	-	-
Interest	20,993	6,807	1,336	15,275
Total assets	$ 4,193,698	$ 1,473,115	$ 262,877	$ 3,104,315
LIABILITIES AND FUND BALANCES				
Liabilities:				
Accounts payable and accrued liabilities	363,816	61,307	15,260	-
Accured payroll	9,570	6,105	-	1,043
Retention payable	-	-	3,723	-
Due to other funds	-	-	-	-
Total liabilities	373,386	67,412	18,983	1,043
Fund balances:				
Restricted	3,820,312	1,405,703	243,894	3,103,272
Committed	-	-	-	-
Unassigned (deficit)	-	-	-	-
Total fund balances	3,820,312	1,405,703	243,894	3,103,272
Total liabilities and fund balances	$ 4,193,698	$ 1,473,115	$ 262,877	$ 3,104,315

(Continued)

City of Monterey Park
Combining Balance Sheet (Continued)
Nonmajor Governmental Funds
June 30, 2023

	Special Revenue Funds			
	Air Quality Improvement	Asset Forfeiture	Parks/Library/ Facilities DIF	Business Improvement Area #1
ASSETS				
Cash and investments	$ 424,170	$ 756,366	$ 866,183	$ 205,092
Cash and investments with fiscal agents	-	-	-	-
Receivables:				
Accounts	-	-	-	-
Interest	2,167	3,849	4,426	1,048
Total assets	$ 426,337	$ 760,215	$ 870,609	$ 206,140
LIABILITIES AND FUND BALANCES				
Liabilities:				
Accounts payable and accrued liabilities	-	-	-	1,785
Accured payroll	-	-	-	-
Retention payable	-	-	-	-
Due to other funds	-	-	-	-
Total liabilities	-	-	-	1,785
Fund balances:				
Restricted	426,337	760,215	870,609	204,355
Committed	-	-	-	-
Unassigned (deficit)	-	-	-	-
Total fund balances	426,337	760,215	870,609	204,355
Total liabilities and fund balances	$ 426,337	$ 760,215	$ 870,609	$ 206,140

(Continued)

City of Monterey Park
Combining Balance Sheet (Continued)
Nonmajor Governmental Funds
June 30, 2023

	Special Revenue Funds			
	Maintenance District 93-1	Law Enforcement/ Fire/Medic DIF	Public Safety Augmentation	Measure R
ASSETS				
Cash and investments	$ 139,307	$ -	$ 782,962	$ 1,153,003
Cash and investments with fiscal agents	-	-	-	-
Receivables:				
Accounts	18,116	-	163,902	-
Interest	712	-	4,000	5,510
Total assets	$ 158,135	$ -	$ 950,864	$ 1,158,513
LIABILITIES AND FUND BALANCES				
Liabilities:				
Accounts payable and accrued liabilities	16,742	-	-	43,435
Accured payroll	3,198	-	-	4,193
Retention payable	-	-	-	30,053
Due to other funds	-	79,933	-	-
Total liabilities	19,940	79,933	-	77,681
Fund balances:				
Restricted	138,195	-	950,864	1,080,832
Committed	-	-	-	-
Unassigned (deficit)	-	(79,933)	-	-
Total fund balances	138,195	(79,933)	950,864	1,080,832
Total liabilities and fund balances	$ 158,135	$ -	$ 950,864	$ 1,158,513

(Continued)

City of Monterey Park
Combining Balance Sheet (Continued)
Nonmajor Governmental Funds
June 30, 2023

	Special Revenue Funds			
	Circulation DIF	CERCLA Liability	SB1 - RMRA	Measure M
ASSETS				
Cash and investments	$ 330,897	$ 136,157	$ 2,357,026	$ 3,258,046
Cash and investments with fiscal agents	-	-	-	-
Receivables:				
Accounts	-	15,550	238,775	-
Interest	1,691	696	12,041	16,216
Total assets	$ 332,588	$ 152,403	$ 2,607,842	$ 3,274,262
LIABILITIES AND FUND BALANCES				
Liabilities:				
Accounts payable and accrued liabilities	-	-	41,113	-
Accured payroll	-	-	-	-
Retention payable	-	-	-	-
Due to other funds	-	-	-	-
Total liabilities	-	-	41,113	-
Fund balances:				
Restricted	332,588	-	2,566,729	3,274,262
Committed	-	152,403	-	-
Unassigned (deficit)	-	-	-	-
Total fund balances	332,588	152,403	2,566,729	3,274,262
Total liabilities and fund balances	$ 332,588	$ 152,403	$ 2,607,842	$ 3,274,262

(Continued)

City of Monterey Park
Combining Balance Sheet (Continued)
Nonmajor Governmental Funds
June 30, 2023

	Special Revenue Funds			
	SB - 2 Planning Grant	Measure B	Bike Route	Highway Safety Improvement
ASSETS				
Cash and investments	$ 360	$ -	$ 2,865	$ 27,018
Cash and investments with fiscal agents	-	-	-	-
Receivables:				
Accounts	310,000	-	9,750	-
Interest	-	-	-	-
Total assets	$ 310,360	$ -	$ 12,615	$ 27,018
LIABILITIES AND FUND BALANCES				
Liabilities:				
Accounts payable and accrued liabilities	-	-	2,865	15,316
Accured payroll	-	-	-	-
Retention payable	-	-	-	11,703
Due to other funds	257,842	-	15,297	34,438
Total liabilities	257,842	-	18,162	61,457
Fund balances:				
Restricted	52,518	-	-	-
Committed	-	-	-	-
Unassigned (deficit)	-	-	(5,547)	(34,439)
Total fund balances	52,518	-	(5,547)	(34,439)
Total liabilities and fund balances	$ 310,360	$ -	$ 12,615	$ 27,018

City of Monterey Park
Combining Balance Sheet (Continued)
Nonmajor Governmental Funds
June 30, 2023

	Debt Service Fund	
	Sales Tax Bond	Total Nonmajor Governmental Funds
ASSETS		
Cash and investments	$ -	$ 19,295,086
Cash and investments with fiscal agents	564,038	564,038
Receivables:		
Accounts	-	890,053
Interest	-	96,767
Total assets	$ 564,038	$ 20,845,944
LIABILITIES AND FUND BALANCES		
Liabilities:		
Accounts payable and accrued liabilities	-	561,639
Accured payroll	-	24,109
Retention payable	-	45,479
Due to other funds	-	387,510
Total liabilities	-	1,018,737
Fund balances:		
Restricted	564,038	19,794,723
Committed	-	152,403
Unassigned (deficit)	-	(119,919)
Total fund balances	564,038	19,827,207
Total liabilities and fund balances	$ 564,038	$ 20,845,944

City of Monterey Park
Combining Statement of Revenues, Expenditures, and Changes in Fund Balances
Nonmajor Governmental Funds
For the Year Ended June 30, 2023

	Special Revenue Funds			
	Proposition A	Gas Tax	Measure W	Proposition C
Revenues:				
Taxes	$ 1,587,070	$ 1,530,670	$ -	$ -
Intergovernmental	-	-	738,669	1,316,429
Charges for services	484	-	-	-
Fines and forfeitures	-	-	-	-
Investment income	95,472	30,514	6,573	71,082
Total revenues	1,683,026	1,561,184	745,242	1,387,511
Expenditures:				
Current:				
General government	1,727	4,673	74	-
Public safety	-	-	-	-
Community development	-	-	-	-
Culture and recreation	594,498	-	-	-
Highways and street	1,222,132	1,232,474	651,573	782,466
Health	-	-	-	-
Captial outlay	100,487	-	102,661	28,550
Debt service:				
Principal retirement	12,323	-	-	-
Interest and fiscal charges	636	-	-	-
Total expenditures	1,931,803	1,237,147	754,308	811,016
Revenues over (under) expenditures	(248,777)	324,037	(9,066)	576,495
Other financing sources (uses):				
Issurance of subscription liabilities	41,090	-	-	-
Transfers in	-	-	-	-
Transfers out	(59,858)	(56,495)	(3,211)	(250,288)
Total other financing sources (uses)	(18,768)	(56,495)	(3,211)	(250,288)
Net Change in Fund Balances	(267,545)	267,542	(12,277)	326,207
Fund balances:				
Beginning of year	4,087,857	1,138,161	256,171	2,777,065
End of year	$ 3,820,312	$ 1,405,703	$ 243,894	$ 3,103,272

(Continued)

City of Monterey Park
Combining Statement of Revenues, Expenditures, and Changes in Fund Balances (Continued)
Nonmajor Governmental Funds
For the Year Ended June 30, 2023

	Special Revenue Funds			
	Air Quality Improvement	Asset Forfeiture	Parks/Library/ Facilities DIF	Business Improvement Area #1
Revenues:				
Taxes	$ -	$ -	$ -	$ -
Intergovernmental	79,255	-	-	35,467
Charges for services	-	-	206,464	-
Fines and forfeitures	-	2,947	-	-
Investment income	9,738	17,766	19,487	4,634
Total revenues	88,993	20,713	225,951	40,101
Expenditures:				
Current:				
General government	-	-	-	-
Public safety	40,175	52,584	-	-
Community development	-	-	-	23,477
Culture and recreation	-	-	-	-
Highways and street	448	-	-	-
Health	-	-	-	-
Captial outlay	-	1,705	6,332	-
Debt service:				
Principal retirement	-	-	-	-
Interest and fiscal charges	-	-	-	-
Total expenditures	40,623	54,289	6,332	23,477
Revenues over (under) expenditures	48,370	(33,576)	219,619	16,624
Other financing sources (uses):				
Issurance of subscription liabilities	-	-	-	-
Transfers in	-	-	-	-
Transfers out	-	-	-	-
Total other financing sources (uses)	-	-	-	-
Net Change in Fund Balances	48,370	(33,576)	219,619	16,624
Fund balances:				
Beginning of year	377,967	793,791	650,990	187,731
End of year	$ 426,337	$ 760,215	$ 870,609	$ 204,355

(Continued)

City of Monterey Park
Combining Statement of Revenues, Expenditures, and Changes in Fund Balances (Continued)
Nonmajor Governmental Funds
For the Year Ended June 30, 2023

	Special Revenue Funds			
	Maintenance District 93-1	Law Enforcement/ Fire/Medic DIF	Public Safety Augmentation	Measure R
Revenues:				
Taxes	$ 1,035,312	$ -	$ 930,083	$ 987,037
Intergovernmental	-	-	-	4,363
Charges for services	-	48,001	-	-
Fines and forfeitures	-	-	-	-
Investment income	2,529	345	24,065	28,553
Total revenues	1,037,841	48,346	954,148	1,019,953
Expenditures:				
Current:				
General government	-	-	-	475
Public safety	-	-	850,000	-
Community development	-	-	-	-
Culture and recreation	417,437	-	-	191,532
Highways and street	730,696	-	-	422,165
Health	-	-	-	-
Captial outlay	-	-	-	437,825
Debt service:				
Principal retirement	-	-	-	-
Interest and fiscal charges	-	-	-	-
Total expenditures	1,148,133	-	850,000	1,051,997
Revenues over (under) expenditures	(110,292)	48,346	104,148	(32,044)
Other financing sources (uses):				
Issurance of subscription liabilities	-	-	-	-
Transfers in	-	-	-	-
Transfers out	(19,673)	-	-	(430,715)
Total other financing sources (uses)	(19,673)	-	-	(430,715)
Net Change in Fund Balances	(129,965)	48,346	104,148	(462,759)
Fund balances:				
Beginning of year	268,160	(128,279)	846,716	1,543,591
End of year	$ 138,195	$ (79,933)	$ 950,864	$ 1,080,832

(Continued)

City of Monterey Park
Combining Statement of Revenues, Expenditures, and Changes in Fund Balances (Continued)
Nonmajor Governmental Funds
For the Year Ended June 30, 2023

	Special Revenue Funds			
	Circulation DIF	CERCLA Liability	SB1 -RMRA	Measure M
Revenues:				
Taxes	$ -	$ -	$ -	$ 1,116,550
Intergovernmental	-	164,920	1,362,640	-
Charges for services	201,711	-	-	-
Fines and forfeitures	-	-	-	-
Investment income	7,337	3,643	58,617	73,351
Total revenues	209,048	168,563	1,421,257	1,189,901
Expenditures:				
Current:				
General government	-	-	-	-
Public safety	-	-	-	-
Community development	-	-	-	-
Culture and recreation	-	-	-	-
Highways and street	-	-	-	10,104
Health	-	292,969	-	-
Captial outlay	-	-	854,662	-
Debt service:				
Principal retirement	-	-	-	-
Interest and fiscal charges	-	-	-	-
Total expenditures	-	292,969	854,662	10,104
Revenues over (under) expenditures	209,048	(124,406)	566,595	1,179,797
Other financing sources (uses):				
Issurance of subscription liabilities	-	-	-	-
Transfers in	-	-	-	-
Transfers out	-	-	-	(409,062)
Total other financing sources (uses)	-	-	-	(409,062)
Net Change in Fund Balances	209,048	(124,406)	566,595	770,735
Fund balances:				
Beginning of year	123,540	276,809	2,000,134	2,503,527
End of year	$ 332,588	$ 152,403	$ 2,566,729	$ 3,274,262

City of Monterey Park
Combining Statement of Revenues, Expenditures, and Changes in Fund Balances (Continued)
Nonmajor Governmental Funds
For the Year Ended June 30, 2023

	Special Revenue Funds			
	SB2 - Planning Grant	Measure B	Bike Route	Highway Safety Improvement
Revenues:				
Taxes	$ -	$ -	$ -	$ -
Intergovernmental	310,000	110,505	9,750	325,297
Charges for services	-	-	-	-
Fines and forfeitures	-	-	-	-
Investment income	-	-	-	1,221
Total revenues	310,000	110,505	9,750	326,518
Expenditures:				
Current:				
General government	-	-	-	-
Public safety	-	110,505	-	-
Community development	5,399	-	-	-
Culture and recreation	-	-	-	-
Highways and street	-	-	-	-
Health	-	-	-	-
Captial outlay	-	-	15,297	360,957
Debt service:				
Principal retirement	-	-	-	-
Interest and fiscal charges	-	-	-	-
Total expenditures	5,399	110,505	15,297	360,957
Revenues over (under) expenditures	304,601	-	(5,547)	(34,439)
Other financing sources (uses):				
Issurance of subscription liabilities	-	-	-	-
Transfers in	-	-	-	-
Transfers out	-	-	-	-
Total other financing sources (uses)	-	-	-	-
Net Change in Fund Balances	304,601	-	(5,547)	(34,439)
Fund balances:				
Beginning of year	(252,083)	-	-	-
End of year	$ 52,518	$ -	$ (5,547)	$ (34,439)

(Continued)

City of Monterey Park
Combining Statement of Revenues, Expenditures, and Changes in Fund Balances (Continued)
Nonmajor Governmental Funds
For the Year Ended June 30, 2023

	Debt Service Fund	
	Sales Tax Bond	Total Nonmajor Governmental Funds
Revenues:		
Taxes	$ -	$ 7,186,722
Intergovernmental	-	4,457,295
Charges for services	-	456,660
Fines and forfeitures	-	2,947
Investment income	560,483	1,015,410
Total revenues	560,483	13,119,034
Expenditures:		
Current:		
General government	-	6,949
Public safety	-	1,053,264
Community development	-	28,876
Culture and recreation	-	1,203,467
Highways and street	-	5,052,058
Health	-	292,969
Captial outlay	-	1,908,476
Debt service:		
Principal retirement	305,000	317,323
Interest and fiscal charges	748,451	749,087
Total expenditures	1,053,451	10,612,469
Revenues over (under) expenditures	(492,968)	2,506,565
Other financing sources (uses):		
Issurance of subscription liabilities	-	41,090
Transfers in	1,053,450	1,053,450
Transfers out	-	(1,229,302)
Total other financing sources (uses)	1,053,450	(134,762)
Net Change in Fund Balances	560,482	2,371,803
Fund balances:		
Beginning of year	3,556	17,455,404
End of year	$ 564,038	$ 19,827,207

(Concluded)

City of Monterey Park
Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual
Proposition A Special Revenue Fund
For the Year Ended June 30, 2023

	Budgeted Amounts		Actual	Variance with Final Budget Positive
	Original	Final	Amounts	(Negative)
Revenues:				
Taxes	$ 1,473,078	$ 1,473,078	$ 1,587,070	$ 113,992
Intergovernmental	106,000	106,000	-	(106,000)
Charges for services	-	-	484	484
Licenses and permits	-	-	-	-
Fines and forfeitures	-	-	-	-
Investment income	1,000	1,000	95,472	94,472
Total Revenues	1,580,078	1,580,078	1,683,026	102,948
Expenditures:				
Current:				
General government	1,727	1,727	1,727	-
Public safety	-	-	-	-
Community development	-	-	-	-
Culture andrecreation	686,111	775,128	594,498	180,630
Highway and streets	1,304,974	2,003,232	1,222,132	781,100
Captial outlay	-	-	100,487	(100,487)
Debt service:				
Principal retirement	-	-	12,323	(12,323)
Interest and fiscal charges	-	-	636	(636)
Total Expenditures	1,992,812	2,780,087	1,931,803	848,284
REVENUE OVER (UNDER) EXPENDITURES	(412,734)	(1,200,009)	(248,777)	951,232
Other Financing Sources (Uses):				
Issurance of subscription liabilities	-	-	41,090	41,090
Transfers out	(59,858)	(59,858)	(59,858)	-
Total Other Financing Sources (Uses)	(59,858)	(59,858)	(18,768)	-
NET CHANGE IN FUND BALANCE	$ (472,592)	$ (1,259,867)	(267,545)	$ 992,322
FUND BALANCE:				
Beginning of Year			4,087,857	
End of Year			$ 3,820,312	

City of Monterey Park
Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual
Gas Tax Special Revenue Fund
For the Year Ended June 30, 2023

	Budgeted Amounts		Actual	Variance with Final Budget Positive
	Original	Final	Amounts	(Negative)
Revenues:				
Taxes	$ 1,559,056	$ 1,559,056	$ 1,530,670	$ (28,386)
Investment income	500	500	30,514	30,014
Total Revenues	1,559,556	1,559,556	1,561,184	1,628
Expenditures:				
Current:				
General government	1,794	1,794	4,673	(2,879)
Public works	1,454,346	1,463,505	1,232,474	231,031
Total Expenditures	1,456,140	1,465,299	1,237,147	228,152
REVENUE OVER (UNDER) EXPENDITURES	103,416	94,257	324,037	229,780
Other Financing (Uses):				
Transfers out	(56,495)	(56,495)	(56,495)	-
Total Other Financing (Uses)	(56,495)	(56,495)	(56,495)	-
NET CHANGE IN FUND BALANCE	$ 46,921	$ 37,762	267,542	$ 229,780
FUND BALANCE:				
Beginning of Year			1,138,161	
End of Year			$ 1,405,703	

City of Monterey Park
Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual
Measure W Special Revenue Fund
For the Year Ended June 30, 2023

	Budgeted Amounts		Actual	Variance with Final Budget Positive
	Original	Final	Amounts	(Negative)
Revenues:				
Intergovernmental	$ 740,000	$ 740,000	$ 738,669	$ (1,331)
Investment income	-	-	6,573	6,573
Total Revenues	740,000	740,000	745,242	5,242
Expenditures:				
Current:				
General government	73	73	74	(1)
Public works	117,008	104,758	651,573	(546,815)
Captial outlay	90,000	302,250	102,661	199,589
Total Expenditures	207,081	407,081	754,308	(347,227)
REVENUE OVER (UNDER) EXPENDITURES	532,919	332,919	(9,066)	(341,985)
Other Financing (Uses):				
Transfers out	(3,211)	(3,211)	(3,211)	-
Total Other Financing (Uses)	(3,211)	(3,211)	(3,211)	-
NET CHANGE IN FUND BALANCE	$ 529,708	$ 329,708	(12,277)	$ (341,985)
FUND BALANCE:				
Beginning of Year			256,171	
End of Year			$ 243,894	

City of Monterey Park
Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual
Proposition C Special Revenue Fund
For the Year Ended June 30, 2023

	Budgeted Amounts		Actual	Variance with Final Budget Positive
	Original	Final	Amounts	(Negative)
Revenues:				
Intergovernmental	$ 1,221,879	$ 1,221,879	$ 1,316,429	$ 94,550
Investment income	1,500	1,500	71,082	69,582
Total Revenues	1,223,379	1,223,379	1,387,511	164,132
Expenditures:				
Current:				
Public works	937,039	1,321,480	782,466	539,014
Captial outlay	-	-	28,550	(28,550)
Total Expenditures	937,039	1,321,480	811,016	510,464
REVENUE OVER (UNDER) EXPENDITURES	286,340	(98,101)	576,495	674,596
Other Financing (Uses):				
Transfers out	(14,472)	(14,472)	(250,288)	(235,816)
Total Other Financing (Uses)	(14,472)	(14,472)	(250,288)	(235,816)
NET CHANGE IN FUND BALANCE	$ 271,868	$ (112,573)	326,207	$ 438,780
FUND BALANCE:				
Beginning of Year			2,777,065	
End of Year			$ 3,103,272	

City of Monterey Park
Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual
Air Quality Improvement Special Revenue Fund
For the Year Ended June 30, 2023

	Budgeted Amounts		Actual	Variance with Final Budget Positive
	Original	Final	Amounts	(Negative)
Revenues:				
Intergovernmental	$ 80,000	$ 80,000	$ 79,255	$ (745)
Investment income	100	100	9,738	9,638
Total Revenues	80,100	80,100	88,993	8,893
Expenditures:				
Current:				
Public safety	55,205	55,205	40,175	15,030
Public works	448	448	448	-
Total Expenditures	55,653	55,653	40,623	15,030
NET CHANGE IN FUND BALANCE	$ 24,447	$ 24,447	48,370	$ 23,923
FUND BALANCE:				
Beginning of Year			377,967	
End of Year			$ 426,337	

City of Monterey Park
Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual
Asset Foreiture Special Revenue Fund
For the Year Ended June 30, 2023

	Budgeted Amounts		Actual	Variance with Final Budget Positive
	Original	Final	Amounts	(Negative)
Revenues:				
Fines and forfeitures	$ 20,000	$ 20,000	$ 2,947	$ (17,053)
Investment income	-	-	17,766	17,766
Total Revenues	20,000	20,000	20,713	713
Expenditures:				
Current:				
Public safety	57,244	63,149	52,584	10,565
Captial outlay	-	-	1,705	(1,705)
Total Expenditures	57,244	63,149	54,289	8,860
NET CHANGE IN FUND BALANCE	$ (37,244)	$ (43,149)	(33,576)	$ 9,573
FUND BALANCE:				
Beginning of Year			793,791	
End of Year			$ 760,215	

City of Monterey Park
Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual
Parks/Library/Facilities Dif Special Revenue Fund
For the Year Ended June 30, 2023

	Budgeted Amounts		Actual	Variance with Final Budget Positive
	Original	Final	Amounts	(Negative)
Revenues:				
Charges for services	$ 164,310	$ 164,310	$ 206,464	$ 42,154
Investment income	-	-	19,487	19,487
Total Revenues	164,310	164,310	225,951	61,641
Expenditures:				
Captial outlay	230,000	230,000	6,332	223,668
Total Expenditures	230,000	230,000	6,332	223,668
NET CHANGE IN FUND BALANCE	$ (65,690)	$ (65,690)	219,619	$ 285,309
FUND BALANCE:				
Beginning of Year			650,990	
End of Year			$ 870,609	

City of Monterey Park
Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual
Business Improvement Area #1 Special Revenue Fund
For the Year Ended June 30, 2023

	Budgeted Amounts		Actual	Variance with Final Budget Positive
	Original	Final	Amounts	(Negative)
Revenues:				
Intergovernmental	$ 75,000	$ 75,000	$ 35,467	$ (39,533)
Investment income	-	-	4,634	4,634
Total Revenues	75,000	75,000	40,101	(34,899)
Expenditures:				
Current:				
Community development	89,539	89,539	23,477	66,062
Total Expenditures	89,539	89,539	23,477	66,062
NET CHANGE IN FUND BALANCE	$ (14,539)	$ (14,539)	16,624	$ 31,163
FUND BALANCE:				
Beginning of Year			187,731	
End of Year			$ 204,355	

City of Monterey Park
Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual
Maintenance District 93-1 Special Revenue Fund
For the Year Ended June 30, 2023

	Budgeted Amounts		Actual	Variance with Final Budget Positive
	Original	Final	Amounts	(Negative)
Revenues:				
Taxes	$ 1,026,920	$ 1,026,920	$ 1,035,312	$ 8,392
Investment income	-	-	2,529	2,529
Total Revenues	1,026,920	1,026,920	1,037,841	10,921
Expenditures:				
Current:				
Culture and recreation	457,530	457,545	417,437	40,108
Public works	532,358	532,358	730,696	(198,338)
Total Expenditures	989,888	989,903	1,148,133	(158,230)
REVENUE OVER (UNDER) EXPENDITURES	37,032	37,017	(110,292)	(147,309)
Other Financing (Uses):				
Transfers out	(19,673)	(19,673)	(19,673)	-
Total Other Financing (Uses)	(19,673)	(19,673)	(19,673)	-
NET CHANGE IN FUND BALANCE	$ 17,359	$ 17,344	(129,965)	$ (147,309)
FUND BALANCE:				
Beginning of Year			268,160	
End of Year			$ 138,195	

City of Monterey Park
Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual
Law Enforcement/Fire/Medic DIF Special Revenue Fund
For the Year Ended June 30, 2023

	Budgeted Amounts		Actual	Variance with Final Budget Positive
	Original	Final	Amounts	(Negative)
Revenues:				
Charges for services	$ 215,000	$ 215,000	$ 48,001	$ (166,999)
Investment income	100	100	345	245
Total Revenues	215,100	215,100	48,346	(166,754)
Expenditures:				
Current:				
Public safety	85,799	85,799	-	85,799
Total Expenditures	85,799	85,799	-	85,799
NET CHANGE IN FUND BALANCE	$ 129,301	$ 129,301	48,346	$ (80,955)
FUND BALANCE (DEFICIT):				
Beginning of year			(128,279)	
End of year			$ (79,933)	

City of Monterey Park
Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual
Public Safety Augmentation Special Revenue Fund
For the Year Ended June 30, 2023

	Budgeted Amounts		Actual	Variance with Final Budget Positive
	Original	Final	Amounts	(Negative)
Revenues:				
Taxes	$ 790,000	$ 790,000	$ 930,083	$ 140,083
Investment income	-	-	24,065	24,065
Total Revenues	790,000	790,000	954,148	164,148
Expenditures:				
Current:				
Public safety	814,800	814,800	850,000	(35,200)
Total Expenditures	814,800	814,800	850,000	(35,200)
NET CHANGE IN FUND BALANCE	$ (24,800)	$ (24,800)	104,148	$ 128,948
FUND BALANCE:				
Beginning of Year			846,716	
End of Year			$ 950,864	

City of Monterey Park
Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual
Measure R Special Revenue Fund
For the Year Ended June 30, 2023

	Budgeted Amounts		Actual	Variance with Final Budget Positive
	Original	Final	Amounts	(Negative)
Revenues:				
Taxes	$ 916,410	$ 916,410	$ 987,037	$ 70,627
Intergovernmental	-	-	4,363	4,363
Investment income	1,000	1,000	28,553	27,553
Total Revenues	917,410	917,410	1,019,953	102,543
Expenditures:				
Current:				
General government	474	474	475	(1)
Culture and recreation	123,007	123,007	191,532	(68,525)
Public works	543,157	578,482	422,165	156,317
Captial outlay	-	4,082,495	437,825	3,644,670
Total Expenditures	666,638	4,784,458	1,051,997	3,732,461
REVENUE OVER (UNDER) EXPENDITURES	250,772	(3,867,048)	(32,044)	3,835,004
Other Financing (Uses):				
Transfers out	(22,898)	(22,898)	(430,715)	(407,817)
Total Other Financing (Uses)	(22,898)	(22,898)	(430,715)	(407,817)
NET CHANGE IN FUND BALANCE	$ 227,874	$ (3,889,946)	(462,759)	$ 3,427,187
FUND BALANCE:				
Beginning of year			1,543,591	
End of year			$ 1,080,832	

City of Monterey Park
Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual
Circulation DIF Special Revenue Fund
For the Year Ended June 30, 2023

	Budgeted Amounts		Actual	Variance with Final Budget Positive
	Original	Final	Amounts	(Negative)
Revenues:				
Charges for services	$ 100,000	$ 100,000	$ 201,711	$ 101,711
Investment income	-	-	7,337	7,337
Total Revenues	100,000	100,000	209,048	109,048
REVENUE OVER (UNDER) EXPENDITURES	100,000	100,000	209,048	109,048
NET CHANGE IN FUND BALANCE	$ 100,000	$ 100,000	209,048	$ 109,048
FUND BALANCE:				
Beginning of year			123,540	
End of year			$ 332,588	

City of Monterey Park
Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual
CERCLA Liabilty Special Revenue Fund
For the Year Ended June 30, 2023

	Budgeted Amounts		Actual	Variance with Final Budget Positive
	Original	Final	Amounts	(Negative)
Revenues:				
Intergovernmental	$ 138,384	$ 138,384	$ 164,920	$ 26,536
Investment income	100	100	3,643	3,543
Total Revenues	138,484	138,484	168,563	30,079
Expenditures:				
Health	292,969	292,969	292,969	-
Total Expenditures	292,969	292,969	292,969	-
NET CHANGE IN FUND BALANCE	$ (154,485)	$ (154,485)	(124,406)	$ 30,079
FUND BALANCE:				
Beginning of year			276,809	
End of year			$ 152,403	

City of Monterey Park
Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual
SB1 - RMRA Special Revenue Fund
For the Year Ended June 30, 2023

	Budgeted Amounts		Actual	Variance with Final Budget Positive
	Original	Final	Amounts	(Negative)
Revenues:				
Intergovernmental	$ 1,250,621	$ 1,250,621	$ 1,362,640	$ 112,019
Investment income	1,500	1,500	58,617	57,117
Total Revenues	1,252,121	1,252,121	1,421,257	169,136
Expenditures:				
Captial outlay	-	1,252,121	854,662	397,459
Total Expenditures	-	1,252,121	854,662	397,459
NET CHANGE IN FUND BALANCE	$ 1,252,121	$ -	566,595	$ 566,595
FUND BALANCE:				
Beginning of year			2,000,134	
End of year			$ 2,566,729	

City of Monterey Park
Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual
Measure M Special Revenue Fund
For the Year Ended June 30, 2023

	Budgeted Amounts		Actual	Variance with Final Budget Positive
	Original	Final	Amounts	(Negative)
Revenues:				
Taxes	$ 1,038,598	$ 6,841,603	$ 1,116,550	$ (5,725,053)
Investment income	-	-	73,351	73,351
Total Revenues	1,038,598	6,841,603	1,189,901	(5,651,702)
Expenditures:				
Current:				
Public works	10,106	10,106	10,104	2
Total Expenditures	10,106	10,106	10,104	2
REVENUE OVER (UNDER) EXPENDITURES	1,028,492	6,831,497	1,179,797	(5,651,700)
Other Financing Sources:				
Transfers out	(1,245)	(1,245)	(409,062)	(407,817)
Total Other Financing Sources	(1,245)	(1,245)	(409,062)	(407,817)
NET CHANGE IN FUND BALANCE	$ 1,027,247	$ 6,830,252	770,735	$ (6,059,517)
FUND BALANCE:				
Beginning of year			2,503,527	
End of year			$ 3,274,262	

City of Monterey Park
Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual
SB2 - Planning Grant Special Revenue Fund
For the Year Ended June 30, 2023

	Budgeted Amounts		Actual	Variance with Final Budget Positive
	Original	Final	Amounts	(Negative)
Revenues:				
Intergovernmental	$ -	$ -	$ 310,000	$ 310,000
Total Revenues	-	-	310,000	310,000
Expenditures:				
Current:				
Community development	39,434	39,434	5,399	34,035
Total Expenditures	39,434	39,434	5,399	34,035
NET CHANGE IN FUND BALANCE	$ (39,434)	$ (39,434)	304,601	$ 344,035
FUND BALANCE (DEFICIT):				
Beginning of year			(252,083)	
End of year			$ 52,518	

City of Monterey Park
Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual
Measure B Special Revenue Fund
For the Year Ended June 30, 2023

	Budgeted Amounts		Actual	Variance with Final Budget Positive
	Original	Final	Amounts	(Negative)
Revenues:				
Intergovernmental	$ 110,601	$ 110,601	$ 110,505	$ (96)
Total Revenues	110,601	110,601	110,505	(96)
Expenditures:				
Current:				
Public safety	110,601	110,601	110,505	96
Total Expenditures	110,601	110,601	110,505	96
NET CHANGE IN FUND BALANCE	$ -	$ -	-	$ -
FUND BALANCE:				
Beginning of year			-	
End of year			$ -	

City of Monterey Park
Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual
Bike Route Special Revenue Fund
For the Year Ended June 30, 2023

	Budgeted Amounts		Actual	Variance with Final Budget Positive
	Original	Final	Amounts	(Negative)
Revenues:				
Intergovernmental	$ -	$ -	$ 9,750	$ 9,750
Total revenues	-	-	9,750	9,750
Expenditures:				
Captial outlay	-	174,946	15,297	159,649
Total expenditures	-	174,946	15,297	159,649
Revenues over (under) expenditures	-	(174,946)	(5,547)	169,399
Net Change in Fund Balances	$ -	$ (174,946)	(5,547)	$ 169,399
Fund balances (deficit):				
Beginning of year			-	
End of year			$ (5,547)	

City of Monterey Park
Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual
Highway Safety Improvement Special Revenue Fund
For the Year Ended June 30, 2023

	Budgeted Amounts		Actual	Variance with Final Budget Positive
	Original	Final	Amounts	(Negative)
Revenues:				
Intergovernmental	$ -	$ -	$ 325,297	$ 325,297
Investment income	-	-	1,221	1,221
Total revenues	-	-	326,518	326,518
Expenditures:				
Captial outlay	-	537,200	360,957	176,243
Total expenditures	-	537,200	360,957	176,243
Revenues over (under) expenditures	-	(537,200)	(34,439)	502,761
Net Change in Fund Balances	$ -	$ (537,200)	(34,439)	$ 502,761
Fund balances (deficit):				
Beginning of year			-	
End of year			$ (34,439)	

City of Monterey Park
Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual
Sales Tax Bond Debt Service Fund
For the Year Ended June 30, 2023

	Budgeted Amounts		Actual	Variance with Final Budget Positive
	Original	Final	Amounts	(Negative)
Revenues:				
Investment income	$ -	$ -	$ 560,483	$ 560,483
Total Revenues	-	-	560,483	560,483
Expenditures:				
Debt service:				
Principal retirement	305,000	305,000	305,000	-
Interest and fiscal charges	-	-	748,451	(748,451)
Total Expenditures	305,000	305,000	1,053,451	(748,451)
REVENUE OVER (UNDER) EXPENDITURES	(305,000)	(305,000)	(492,968)	(187,968)
Other Financing Sources:				
Transfers in	-	-	1,053,450	1,053,450
Total Other Financing Sources	-	-	1,053,450	1,053,450
NET CHANGE IN FUND BALANCE	$ (305,000)	$ (305,000)	560,482	$ 865,482
FUND BALANCE:				
Beginning of year			3,556	
End of year			$ 564,038	

INTERNAL SERVICE FUNDS

These funds account for goods or services provided to other departments of the City where the intent of the City is that the costs of these goods or services are to be recovered through interdepartmental charges at the time that the goods are delivered or the services rendered to those departments.

Separation Benefits Fund - used to account for employee separation costs (i.e., vacation, sick and holiday hours).

General Liability Fund - used to account for the City's general liability insurance, including claims, legal and other expenses.

Workers' Compensation Fund - used to account for the City's workers' compensation insurance costs, including claims, legal and other expenses.

Shop Fund - used to account for the purchase and maintenance of all motorized equipment used by City departments.

Technology Fund - used to account for the City's centralized data processing activities and future technological infrastructure improvements.

Fringe Benefits - This fund is used for City paid benefits which are charged. Examples include medical, dental, disability, unemployment, life insurance and retirement including PERS. These benefit costs are allocated to the funds based on budget for three quarters and then reconciled to actual in the fourth quarter.

City of Monterey Park
Combining Statement of Net Position
Internal Service Funds
June 30, 2023

	Separation Benefits	General Liability	Workers' Compensation	Shop
ASSETS				
Current assets:				
Cash and investments	$ 316,752	$ 2,670,734	$ 5,208,223	$ 303,673
Cash and investments with fiscal agent	-	-	-	622
Accounts receivable	-	15,502	-	-
Total current assets	316,752	2,686,236	5,208,223	304,295
Noncurrent assets:				
Capital assets:				
Nondepreciable	-	-	-	-
Depreciable/amortizable, net	-	-	-	1,044,511
Total capital assets	-	-	-	1,044,511
Total noncurrent assets	-	-	-	1,044,511
Total assets	316,752	2,686,236	5,208,223	1,348,806
DEFERRED OUTFLOWS OF RESOURCES				
Pension related	267,618	267,618	133,809	401,426
Other postemployment benefits related	74,760	74,760	37,380	112,140
Total deferred outflows of resources	342,378	342,378	171,189	513,566
LIABILITIES				
Current Liabilities:				
Accounts payable	-	190,957	23,586	105,296
Accrued payroll	2,604	4,811	2,326	10,060
Due to other funds	-	-	-	-
Insurance assessment payable, due within one year	-	163,514	-	-
Lease liabilities, due within one year	-	-	-	12,488
Suscription liabilities, due within one year	-	-	-	-
Loan payable, due within one year	-	-	-	391,393
Compensated absences, due within one year	-	34,649	22,722	71,517
Claims payable, due within one year	-	1,405,745	2,459,508	-
Total current liabilities	2,604	1,799,676	2,508,142	590,754
Noncurrent liabilities:				
Insurance assessment payable, due in more than one year	-	490,543	-	-
Lease liabilities, due in more than one year	-	-	-	12,037
Suscription liabilities, due in more than one year	-	-	-	-
Loan payable,due in more than one year	-	-	-	610,805
Compensated absences, due in more than one year	-	1,627	1,067	3,359
Claims payable, due in more than one year	-	7,980,520	12,050,454	-
Net pension liability	123,192	123,192	61,596	184,788
Net OPEB liability	435,590	435,590	217,795	653,385
Total noncurrent liabilities	558,782	9,031,472	12,330,912	1,464,374
Total liabilities	561,386	10,831,148	14,839,054	2,055,128
DEFERRED INFLOW OF RESOURCES				
Pension related	21,767	21,767	10,883	32,650
Other postemployment benefits related	67,995	67,995	33,997	101,992
	89,762	89,762	44,880	134,642
NET POSITION:				
Net investment in capital assets	-	-	-	17,788
Restricted	-	-	-	622
Unrestricted (deficit)	7,982	(7,892,296)	(9,504,522)	(345,808)
Total net position (deficit)	$ 7,982	$ (7,892,296)	$ (9,504,522)	$ (327,398)

(Continued)

City of Monterey Park
Combining Statement of Net Position (Continued)
Internal Service Funds
June 30, 2023

	Technology	Fringe Benefits	Total
ASSETS			
Current assets:			
Cash and investments	$ -	1,000,000	$ 9,499,382
Cash and investments with fiscal agent	-	-	622
Accounts receivable	-	-	15,502
Total current assets	-	1,000,000	9,515,506
Noncurrent assets:			
Capital assets:			
Nondepreciable	1,635,459	-	1,635,459
Depreciable/amortizable, net	333,091	-	1,377,602
Total capital assets	1,968,550	-	3,013,061
Total noncurrent assets	1,968,550	-	3,013,061
Total assets	1,968,550	1,000,000	12,528,567
DEFERRED OUTFLOWS OF RESOURCES			
Pension related	267,618	-	1,338,089
Other postemployment benefits related	74,760	-	373,800
Total deferred outflows of resources	342,378	-	1,711,889
LIABILITIES			
Current Liabilities:			
Accounts payable	13,622	1,000,000	1,333,461
Accrued payroll	7,716	-	27,517
Due to other funds	404,228	-	404,228
Insurance assessment payable, due within one year	-	-	163,514
Lease Liabilities, due within one year	-	-	12,488
Suscription liabilities, due within one year	79,856	-	79,856
Loan payable, due within one year	-	-	391,393
Compensated absences, due within one year	16,094	-	144,982
Claims payable, due within one year	-	-	3,865,253
Total current liabilities	521,516	1,000,000	6,422,692
Noncurrent liabilities:			
Insurance assessment payable, due in more than one year	-	-	490,543
Lease liabilities, due in more than one year	-	-	12,037
Suscription liabilities, due in more than one year	43,097	-	43,097
Loan payable, due in more than one year	-	-	610,805
Compensated absences, due in more than one year	756	-	6,809
Claims payable, due in more than one year	-	-	20,030,974
Net pension liability	123,192	-	615,960
Net OPEB liability	435,590	-	2,177,950
Total noncurrent liabilities	602,635	-	23,988,175
Total liabilities	1,124,151	1,000,000	30,410,867
DEFERRED INFLOW OF RESOURCES			
Pension related	21,767	-	108,834
Other postemployment benefits related	67,995	-	339,974
	89,762	-	448,808
NET POSITION:			
Net investment in capital assets	1,845,597	-	1,863,385
Restricted	-	-	622
Unrestricted (deficit)	(748,582)	-	(18,483,226)
Total net position (deficit)	$ 1,097,015	$ -	$ (16,619,219)

(Concluded)

City of Monterey Park
Combining Statement of Revenues, Expenses, and Changes in Net Position
Internal Service Funds
For the Year Ended June 30, 2023

	Separation Benefits	General Liability	Workers' Compensation	Shop
OPERATING REVENUES:				
Charges for services	1,045,994	5,037,813	3,608,842	3,117,678
Miscellaneous	-	1,206	164,889	-
Total operating revenues	1,045,994	5,039,019	3,773,731	3,117,678
OPERATING EXPENSES:				
Salaries and Benefits	1,684,803	592,499	368,510	1,099,687
Materials and supplies	-	15,389	4,253	2,076,287
Insurance and claims	-	4,891,292	3,725,382	-
Depreciation and amortization	-	-	-	746,615
Total operating expenses	1,684,803	5,499,180	4,098,145	3,922,589
OPERATING (LOSS)	(638,809)	(460,161)	(324,414)	(804,911)
NONOPERATING EXPENSES:				
Interest expense	-	-	-	(41,782)
Total nonoperating expense	-	-	-	(41,782)
CHANGES IN NET POSITION	(638,809)	(460,161)	(324,414)	(846,693)
NET POSITION (DEFICIT):				
Beginning of year, as restated (Note 18)	646,791	(7,432,135)	(9,180,108)	519,295
End of year	$ 7,982	$ (7,892,296)	$ (9,504,522)	$ (327,398)

(Continued)

City of Monterey Park
Combining Statement of Revenues, Expenses, and Changes in Net Position (Continued)
Internal Service Funds
For the Year Ended June 30, 2023

	Technology	Fringe Benefits	Total
OPERATING REVENUES:			
Charges for services	1,003,643	1,000,000	$ 14,813,970
Miscellaneous	-	-	166,095
Total operating revenues	1,003,643	1,000,000	14,980,065
OPERATING EXPENSES:			
Salaries and Benefits	593,741	1,000,000	5,339,240
Materials and supplies	494,313	-	2,590,242
Insurance and claims	-	-	8,616,674
Depreciation and amortization	249,671	-	996,286
Total operating expenses	1,337,725	1,000,000	17,542,442
OPERATING (LOSS)	(334,082)	-	(2,562,377)
NONOPERATING EXPENSES:			
Interest expense	-	-	(41,782)
Total nonoperating expense	-	-	(41,782)
CHANGES IN NET POSITION	(334,082)	-	(2,520,595)
NET POSITION:			
Beginning of year, as restated (Note 18)	1,431,097	-	(14,015,060)
End of year	$ 1,097,015	$ -	$ (16,619,219)

(Concluded)

City of Monterey Park
Combining Statement of Cash Flows
Internal Service Funds
For the Year Ended June 30, 2023

	Separation Benefits	General Liability	Workers' Compensation	Shop
CASH FLOWS FROM OPERATING ACTIVITIES				
Cash received from customers and users	$ 1,045,994	$ 5,039,019	$ 3,773,731	$ 3,117,678
Cash paid to suppliers for goods and services	-	(15,389)	(14,805)	(2,062,690)
Cash paid to employees for services	(1,462,274)	(329,371)	(251,923)	(718,188)
Cash paid for insurance claims	-	(3,859,510)	(3,113,106)	-
Net cash provided by (used in) operating activities	(416,280)	834,749	393,897	336,800
CASH FLOWS FROM NONCAPITAL FINANCING ACTIVITIES:				
Cash received other funds	-	-	-	-
Net cash provided by noncapital financing activities	-	-	-	-
CASH FLOWS FROM CAPITAL AND RELATED FINANCING ACTIVITIES:				
Acquisition of capital assets	-	-	-	(128,482)
Principal paid	-	(163,514)	-	(410,500)
Interest paid	-	-	-	(41,782)
Net cash (used in) capital and related financing activities	-	(163,514)	-	(580,764)
Net change in cash and cash equivalents	(416,280)	671,235	393,897	(243,964)
CASH AND CASH EQUIVALENTS:				
Beginning of year	733,032	1,999,499	4,814,326	548,259
End of year	$ 316,752	$ 2,670,734	$ 5,208,223	$ 304,295
CASH AND CASH EQUIVALENTS:				
Cash and investments	$ 316,752	$ 2,670,734	$ 5,208,223	$ 303,673
Cash and investments with fiscal agent	-	-	-	622
Total cash and cash equivalents	$ 316,752	$ 2,670,734	$ 5,208,223	$ 304,295
Reconciliation of Operating (Loss) to to Net Cash Provided by (used in) Operating Activities:				
Operating (loss)	$ (638,809)	$ (460,161)	$ (324,414)	$ (804,911)
Adjustments to reconcile operating (loss) to net cash provided by (used in) operating activities:				
Depreciation and amortization	-	-	-	746,615
Change in assets and liabilities:				
(Increase) decrease in deferred outflows -pension related	(264,715)	(260,756)	(129,982)	(360,783)
(Increase) decrease in deferred outflows - OPEB related	(64,622)	(63,021)	(30,443)	(76,657)
Increase (decrease) in accounts payable	-	190,537	(10,552)	13,597
Increase (decrease) in accrued liabilities	(10,803)	1,118	(1,788)	3,542
Increase (decrease) in compensated absences	-	20,838	4,958	5,205
Increase (decrease) in claims payable	-	841,245	612,276	-
Increase (decrease) in net pension liability	167,365	227,600	119,824	803,207
Increase (decrease) in total OPEB liability	360,751	348,934	166,589	391,448
Increase (decrease) in deferred inflows - pension related	(9,269)	(51,590)	(30,028)	(401,849)
Increase (decrease) in deferred inflows - OPEB related	43,822	40,005	17,457	17,386
Net cash provided by (used in) operating activities	$ (416,280)	$ 834,749	$ 393,897	$ 336,800
NONCASH ITEMS:				
Acquisition of right to use lease assets	$ -	$ -	$ -	$ (28,523)
Issuance of lease and subscription liabilities	$ -	$ -	$ -	$ 28,523

City of Monterey Park
Combining Statement of Cash Flows (Continued)
Internal Service Funds
For the Year Ended June 30, 2023

	Technology	Fringe Benefits	Total
CASH FLOWS FROM OPERATING ACTIVITIES			
Cash received from customers and users	$ 1,003,643	$ 1,000,000	$ 14,980,065
Cash paid to suppliers for goods and services	(509,164)	-	(2,602,048)
Cash paid to employees for services	(370,296)	-	(3,132,052)
Cash paid for insurance claims	-	-	(6,972,616)
Net cash provided by (used in) operating activities	124,183	1,000,000	2,273,349
CASH FLOWS FROM NONCAPITAL FINANCING ACTIVITIES:			
Cash received other funds	193,993	-	193,993
Net cash provided by noncapital financing activities	193,993	-	193,993
CASH FLOWS FROM CAPITAL AND RELATED FINANCING ACTIVITIES:			
Acquisition of capital assets	(81,219)	-	(209,701)
Principal paid	(236,957)	-	(810,971)
Interest paid	-	-	(41,782)
Net cash (used in) capital and related financing activities	(318,176)	-	(1,062,454)
Net change in cash and cash equivalents	-	1,000,000	1,404,888
CASH AND CASH EQUIVALENTS:			
Beginning of year	-	-	8,095,116
End of year	$ -	$ 1,000,000	$ 9,500,004
CASH AND CASH EQUIVALENTS:			
Cash and investments	$ -	$ 1,000,000	$ 9,499,382
Cash and investments with fiscal agent	-	-	622
Total cash and cash equivalents	$ -	$ 1,000,000	$ 9,500,004
Reconciliation of Operating (Loss) to to Net Cash Provided by (used in) Operating Activities:			
Operating (loss)	$ (334,082)	$ -	$ (2,562,377)
Adjustments to reconcile operating (loss) to net cash provided by (used in) operating activities:			
Depreciation and amortization	249,671	-	996,286
Change in assets and liabilities:			
(Increase) decrease in deferred outflows -pension related	(260,756)	-	(1,276,992)
(Increase) decrease in deferred outflows - OPEB related	(61,954)	-	(296,697)
Increase (decrease) in accounts payable	(14,851)	1,000,000	1,178,731
Increase (decrease) in accrued liabilities	2,956	-	(4,975)
Increase (decrease) in compensated absences	(11,327)	-	19,674
Increase (decrease) in claims payable	-	-	1,453,521
Increase (decrease) in net pension liability	227,600	-	1,545,596
Increase (decrease) in total OPEB liability	341,056	-	1,608,778
Increase (decrease) in deferred inflows - pension related	(51,590)	-	(544,326)
Increase (decrease) in deferred inflows - OPEB related	37,460	-	156,130
Net cash provided by (used in) operating activities	$ 124,183	$ 1,000,000	$ 2,273,349
NONCASH ITEMS:			
Acquisition of right to use lease assets	$ (66,901)	$ -	$ (95,424)
Issuance of lease and subscription liabilities	$ 66,901	$ -	$ 95,424

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STATISTICAL SECTION
(Unaudited)

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STATISTICAL SECTION
For the Year Ended June 30, 2023

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City of Monterey Park
Net Position by Components
Last Ten Fiscal Years
(Accrual Basis of Accounting)

	Fiscal Year				
	2013/14	2014/15	2015/16	2016/17	2017/18
Governmental Activities:					
Net investment in capital assets	$ 50,805,697	$ 46,057,423	$ 47,995,442	$ 49,245,097	$ 51,940,625
Restricted	18,330,529	20,198,282	22,221,698	20,689,401	22,583,024
Unrestricted	11,318,896	(79,297,776)	(68,990,541)	(63,742,375)	(85,102,541)
Total governmental activities net position	$ 80,455,122	$ (13,042,071)	$ 1,226,599	$ 6,192,123	$ (10,578,892)
Business-Type Activities:					
Net investment in capital assets	$ 20,020,776	$ 15,083,212	$ 23,132,584	$ 27,583,180	$ 32,224,486
Restricted	-	-	514,518	-	-
Unrestricted	26,197,066	24,186,095	18,629,778	19,078,479	18,182,441
Total business-type activities net position	$ 46,217,842	$ 39,269,307	$ 42,276,880	$ 46,661,659	$ 50,406,927
Primary Government:					
Net investment in capital assets	$ 70,826,473	$ 61,140,635	$ 71,128,006	$ 76,828,277	$ 84,165,111
Restricted	18,330,529	20,198,282	22,736,216	20,689,401	22,583,024
Unrestricted	37,515,962	(55,111,681)	(50,360,763)	(44,663,896)	(66,920,100)
Total primary government net position	$ 126,672,964	$ 26,227,236	$ 43,503,459	$ 52,853,782	$ 39,828,035

Source: City of Monterey Park Management Services Department

City of Monterey Park
Net Position by Components (Continued)
Last Ten Fiscal Years
(Accrual Basis of Accounting)

	Fiscal Year				
	2018/19	2019/20	2020/21	2021/22	2022/23
Governmental Activities:					
Net investment in capital assets	$ 54,422,220	$ 50,393,059	$ 53,107,029	$ 60,290,327	$ 68,652,436
Restricted	28,308,812	28,524,906	22,377,681	52,852,580	41,267,487
Unrestricted	(94,444,814)	(99,160,818)	(97,899,017)	(124,096,720)	(110,242,641)
Total governmental activities net position	$ (11,713,782)	$ (20,242,853)	$ (22,414,307)	$ (10,953,813)	$ (322,718)
Business-Type Activities:					
Net investment in capital assets	$ 32,343,708	$ 31,922,658	$ 32,466,443	$ 35,740,792	$ 42,383,764
Restricted	-	-	-	2,637,265	
Unrestricted	22,623,485	23,894,813	22,403,284	16,933,113	8,423,058
Total business-type activities net position	$ 54,967,193	$ 55,817,471	$ 54,869,727	$ 55,311,170	$ 50,806,822
Primary Government:					
Net investment in capital assets	$ 86,765,928	$ 82,315,717	$ 85,573,472	$ 96,031,119	$ 111,036,200
Restricted	28,308,812	28,524,906	22,377,681	55,489,845	41,267,487
Unrestricted	(71,821,329)	(75,266,005)	(75,495,733)	(107,163,607)	(101,819,583)
Total primary government net position	$ 43,253,411	$ 35,574,618	$ 32,455,420	$ 44,357,357	$ 50,484,104

Source: City of Monterey Park Management Services Department

City of Monterey Park
Changes in Net Position
Last Ten Fiscal Years
(Accrual Basis of Accounting)

	Fiscal Year				
	2013/2014	2014/2015	2015/2016	2016/2017	2017/2018
Expenses:					
Governmental activities:					
General government	$ 4,050,482	$ 4,610,081	$ 3,771,179	$ 4,935,827	$ 13,276,893
Public safety	27,352,152	26,907,556	27,479,974	30,527,993	35,442,619
Community development	2,343,881	7,049,958	2,456,567	2,368,605	2,536,781
Culture and recreation	6,277,461	8,665,230	7,151,089	7,383,391	8,037,936
Highway and streets	6,434,924	5,512,170	6,223,450	5,555,218	5,856,197
Health	120,000	488,697	116,629	250,000	160,000
Interest and fiscal charges	1,207,716	1,269,034	990,315	993,823	940,605
Total governmental activities expenses	47,786,616	54,502,726	48,189,203	52,014,857	66,251,032
Business-type activities:					
Water	11,775,078	12,906,852	11,962,698	13,197,497	11,978,551
Refuse	6,985,344	6,657,089	7,562,168	7,648,908	6,364,504
Sewer	221,078	522,245	1,117,677	1,332,184	2,120,013
Total business-type activities expenses	18,981,500	20,086,186	20,642,543	22,178,589	20,463,068
Total primary government expenses	66,768,116	74,588,912	68,831,746	74,193,446	86,714,100
Program revenues:					
Governmental activities:					
Charges for services:					
General government	907,537	1,005,102	1,157,100	1,216,968	1,290,795
Public safety	3,076,644	2,956,084	3,766,713	2,665,634	4,239,502
Community development	1,442,835	2,023,271	2,607,075	3,660,518	3,364,687
Culture and recreation	690,289	1,320,369	1,289,483	1,327,230	1,956,845
Highway and Streets	400,382	1,462,323	1,403,282	1,688,010	1,382,500
Operating grants and contributions	1,516,481	7,963,721	7,953,884	6,928,332	8,281,863
Capital grants and contributions	627,628	557,625	502,276	1,134,757	159,994
Total government activities program revenues	8,661,796	17,288,495	18,779,813	18,621,449	20,676,186
Business-type activities:					
Charges for services:					
Water	10,747,045	11,452,592	12,323,342	13,439,676	14,213,398
Refuse	6,028,436	6,371,405	6,954,603	7,124,768	6,760,312
Sewer	287,548	1,714,098	2,673,585	2,843,412	3,164,108
Capital grants and contributions	169,783	98,776	97,507	1,916,453	2,341,781
Total business-type activities revenues	17,232,812	19,636,871	22,049,037	25,324,309	26,479,599
Total primary government revenues	$ 25,894,608	$ 36,925,366	$ 40,828,850	$ 43,945,758	$ 47,155,785

Source: City of Monterey Park Management Services Department

City of Monterey Park
Changes in Net Position (Continued)
Last Ten Fiscal Years
(Accrual Basis of Accounting)

	Fiscal Year				
	2018/2019	2019/2020	2020/2021	2021/2022	2022/2023
Expenses:					
Governmental activities:					
General government	$ 8,675,180	$ 7,024,897	$ 16,862,932	$ 4,997,877	$ 13,258,409
Public safety	41,058,210	46,448,518	41,432,208	32,974,783	40,064,832
Community development	2,555,488	385,629	500,831	7,545,425	7,570,239
Culture and recreation	8,394,326	8,194,387	7,367,933	7,250,027	4,436,619
Highway and streets	6,778,639	7,592,489	6,349,422	5,300,505	6,952,909
Health	150,000	137,500	187,500	234,375	292,969
Interest and fiscal charges	931,970	923,137	1,533,531	3,435,272	3,803,497
Total governmental activities expenses	68,543,813	70,706,557	74,234,357	61,738,264	76,379,474
Business-type activities:					
Water	15,975,908	16,130,638	16,900,021	15,173,088	18,647,640
Refuse	6,782,261	6,643,796	7,102,416	6,773,649	7,797,114
Sewer	1,925,498	2,066,260	2,826,252	2,386,431	3,547,895
Total business-type activities expenses	24,683,667	24,840,693	26,828,689	24,333,168	29,992,649
Total primary government expenses	93,227,480	95,547,250	101,063,046	86,071,432	106,372,123
Program revenues:					
Governmental activities:					
Charges for services:					
General government	1,951,847	1,418,515	1,430,819	2,369,083	2,656,843
Public safety	3,263,720	3,123,842	2,765,703	2,792,022	2,993,687
Community development	2,828,385	1,591,515	1,894,660	2,722,923	510,301
Culture and recreation	1,012,436	747,940	230,570	485,573	3,009,094
Highway and Streets	1,341,088	1,523,872	2,410,818	3,661,000	2,670,460
Operating grants and contributions	12,119,613	9,349,191	12,199,854	14,675,500	19,675,615
Capital grants and contributions	1,209,222	279,624	-	-	772,831
Total government activities program revenues	23,726,311	18,034,499	20,932,424	26,706,101	32,288,831
Business-type activities:					
Charges for services:					
Water	15,251,324	13,791,440	16,087,723	14,231,262	12,752,125
Refuse	6,674,188	6,722,940	6,905,547	6,843,084	7,041,047
Sewer	3,546,475	3,158,607	3,273,154	3,252,413	3,331,412
Capital grants and contributions	1,362,136	149,262	93,503	880,892	-
Total business-type activities revenues	26,834,123	23,822,249	26,359,927	25,207,651	23,124,584
Total primary government revenues	$ 50,560,434	$ 41,856,748	$ 47,292,351	$ 51,913,752	$ 55,413,415

Source: City of Monterey Park Management Services Department

City of Monterey Park
Changes in Net Position (Continued)
Last Ten Fiscal Years
(Accrual Basis of Accounting)

	Fiscal Year				
	2013/2014	2014/2015	2015/2016	2016/2017	2017/2018
Net (expense)/revenue:					
Governmental activities:	$ (39,124,820)	$ (37,214,231)	$ (29,409,390)	$ (33,393,408)	$ (45,574,846)
Business-type activities:	(1,748,688)	(449,315)	1,406,494	3,145,720	6,016,531
Total primary government revenues	$ (40,873,508)	$ (37,663,546)	$ (28,002,896)	$ (30,247,688)	$ (39,558,315)
General revenues and other					
Changes in net position:					
Governmental activities:					
Taxes:					
Property Taxes	$ 19,794,165	$ 22,600,233	$ 22,235,616	$ 23,154,960	$ 24,306,944
Sales Taxes	4,942,821	5,245,208	6,427,211	6,517,491	5,341,854
Vehicle In-lieu Taxes	27,588	26,649	25,041	27,482	32,428
Utility User Taxes	3,202,264	3,257,450	3,212,890	3,212,912	2,964,825
Franchise Taxes	970,212	1,028,025	992,615	938,802	966,346
Business License Taxes	974,816	1,340,197	1,052,086	1,244,295	1,146,838
Transient Occupancy Taxes	1,049,070	1,158,767	1,248,578	1,261,777	1,163,775
Other Taxes/Special Accessment	7,282,605	346,203	285,845	269,734	585,106
Revenues from use of money and property	872,174	929,648	1,155,649	701,151	1,689,011
Other	731,679	1,153,382	1,403,883	1,030,348	1,736,642
Transfers	18,000	-	-	-	-
Total general revenues and transfers	39,865,394	37,085,762	38,039,414	38,358,952	39,933,769
Extraordinary item	-	-	5,638,626	-	-
Business-type activities:					
Revenues from use of money and property	-	-	-	105	-
Other	1,897,638	2,192	1,601,079	1,238,954	1,053,244
Gain/(Loss) on sale of property	4,840	1,258,626	-	-	-
Transfers	(18,000)	18,485	-	-	-
Total business-type activities	1,884,478	1,279,303	1,601,079	1,239,059	1,053,244
Total primary government	41,749,872	38,365,065	39,640,493	39,598,011	40,987,013
Changes in net position					
Governmental activities	740,574	(128,469)	14,268,650	4,965,544	(5,641,077)
Business-type activities	135,790	829,988	3,007,573	4,384,779	7,069,775
Total primary government	$ 876,364	$ 701,519	$ 17,276,223	$ 9,350,323	$ 1,428,698

Source: City of Monterey Park Management Services Department

City of Monterey Park
Changes in Net Position (Continued)
Last Ten Fiscal Years
(Accrual Basis of Accounting)

	Fiscal Year				
	2018/2019	2019/2020	2020/2021	2021/2022	2022/2023
Net (expense)/revenue:					
Governmental activities:	$ (44,817,502)	$ (52,672,058)	$ (53,301,933)	$ (35,313,442)	$ (44,090,643)
Business-type activities:	2,150,457	(1,018,444)	(468,762)	1,120,396	(6,868,065)
Total primary government revenues	$ (42,667,046)	$ (53,690,502)	$ (53,770,695)	$ (34,193,046)	$ (50,958,708)
General revenues and other Changes in net position:					
Governmental activities:					
Taxes:					
Property Taxes	$ 25,904,561	$ 27,133,836	$ 29,942,243	$ 29,676,242	$ 31,571,303
Sales Taxes	7,156,102	6,923,739	9,063,297	9,294,060	11,640,655
Vehicle In-lieu Taxes	29,876	48,934	44,545	69,754	62,585
Utility User Taxes	3,107,983	2,846,105	2,931,943	3,278,449	3,799,736
Franchise Taxes	973,084	982,837	1,011,131	1,067,908	1,230,330
Business License Taxes	1,140,840	985,158	721,601	661,415	713,015
Transient Occupancy Taxes	1,064,049	847,272	953,200	2,098,921	2,653,156
Other Taxes/Special Accessment	158,828	171,413	220,485	284,927	1,035,042
Revenues from use of money and property	2,413,637	2,096,340	395,918	(1,858,601)	1,354,512
Other	1,733,652	1,565,830	1,339,319	1,445,282	1,182,587
Transfers	-	541,523	533,787	474,300	479,411
Total general revenues and transfers	43,682,612	44,142,987	47,157,469	46,492,657	55,722,332
Extraordinary item	-	-	-	-	-
Business-type activities:					
Revenues from use of money and property	-	562,859	53,395	41,256	558,250
Other	2,409,810	2,260,426	1,410	4	-
Gain/(Loss) on sale of property	-	-	-	-	-
Transfers	-	(541,523)	(533,787)	-	(479,141)
Total business-type activities	2,409,810	2,281,762	(478,982)	41,260	79,109
Total primary government	46,092,422	46,424,749	46,678,487	46,533,917	55,801,441
Changes in net position					
Governmental activities	(1,134,890)	(8,529,071)	(6,144,464)	11,460,494	11,631,689
Business-type activities	4,560,267	1,263,318	(947,744)	915,743	(6,788,956)
Total primary government	$ 3,425,377	$ (7,265,753)	$ (7,092,208)	$ 12,376,237	$ 4,842,733

Source: City of Monterey Park Management Services Department

City of Monterey Park
Fund Balances of Governmental Funds
Last Ten Fiscal Years
(Modified Accrual Basis of Accounting)

	Fiscal Year				
	2013/14	2014/15	2015/16	2016/17	2017/18
General Fund:					
Nonspendable	$ -	$ 741,556	$ 741,556	$ 816,495	$ 74,939
Restricted	-	-	78,799	-	-
Committed	7,173,519	7,173,519	10,979,027	- 10,826,927	10,826,927
Assigned	9,321,463	10,095,120	12,052,503	14,414,724	15,064,826
Unassigned	3,554,425	3,556,499	4,554,426	4,144,661	3,994,828
Total general fund	$ 20,049,407	$ 21,566,694	$ 28,406,311	$ 30,202,807	$ 29,961,520
All other governmental funds:					
Nonspendable	$ 1,989,686	$ 1,921,015	$ -	$ -	$ -
Restricted	17,449,555	19,872,630	21,597,574	21,426,308	22,145,598
Committed	1,496,211	699,188	584,570	472,919	437,426
Assigned	-	-	-	-	-
Unassigned	-	(931,973)	(168,139)	(1,369,489)	-
Total all other governmental funds	$ 20,935,452	$ 21,560,860	$ 22,014,005	$ 20,529,738	$ 22,583,024
Total for Governmental Funds:	$ 40,984,859	$ 43,127,554	$ 50,420,316	$ 50,732,545	$ 52,544,544

Source: City of Monterey Park Management Services Department

City of Monterey Park
Fund Balances of Governmental Funds (Continued)
Last Ten Fiscal Years
(Modified Accrual Basis of Accounting)

	Fiscal Year				
	2018/19	2019/20	2020/21	2021/22	2022/23
General Fund:					
Nonspendable	$ 75,778	$ 78,802	$ 72,590	$ 82,310	$ 77,450
Restricted	-	-			
Committed	7,226,927	7,226,927	9,226,927	9,726,927	10,226,927
Assigned	20,147,039	19,365,589	21,418,237	19,156,028	18,029,418
Unassigned	5,105,667	5,838,129	4,419,338	-	119,426
Total general fund	$ 32,555,411	$ 32,509,447	$ 35,137,092	$ 28,965,265	$ 28,453,221
All other governmental funds:					
Nonspendable	$ -	$ -	$ -	$ -	$ -
Restricted	26,088,353	26,887,421	20,468,071	44,755,797	41,063,132
Committed	417,741	418,383	367,752	276,809	152,403
Assigned	-	-	-		
Unassigned	-	(72,645)	(58,728)	(380,362)	(119,919)
Total all other governmental funds	$ 26,506,094	$ 27,233,159	$ 20,777,095	$ 44,652,244	$ 41,095,616
Total for Governmental Funds:	$ 59,061,505	$ 59,742,606	$ 55,914,187	$ 73,617,509	$ 69,548,837

Source: City of Monterey Park Management Services Department

City of Monterey Park
Changes in Fund Balances of Governmental Funds
Last Ten Fiscal Years
(Modified Accrual Basis of Accounting)

	Fiscal Year				
	2013/14	2014/15	2015/16	2016/17	2017/18
Revenues:					
Taxes	$ 38,059,146	$ 41,748,001	$ 41,158,303	$ 37,078,002	$ 36,662,530
Licenses and permits	848,949	775,135	2,428,895	2,913,671	2,729,412
Intergovernmental revenues	2,035,035	3,072,957	3,203,752	6,664,547	8,945,319
Charges for services	4,922,983	5,521,035	6,110,829	6,721,667	8,417,372
Revenues from use of money & property/Investment income	943,369	919,998	1,207,629	694,820	1,727,784
Fines and forfeitures	931,718	1,043,704	1,295,647	605,957	680,133
Other	767,790	1,180,868	1,414,172	1,074,799	1,756,785
Total revenues	48,508,990	54,261,698	56,819,227	55,753,463	60,919,335
Expenditures					
Current:					
General government	3,859,127	4,609,650	5,744,019	5,844,104	7,146,292
Public safety	25,647,992	27,076,488	28,396,653	29,258,673	30,235,225
Community development	2,345,099	3,015,194	2,261,895	2,392,374	2,497,952
Culture and recreation	5,587,721	6,738,804	6,464,589	6,634,294	6,981,663
Highways and streets	5,672,512	4,938,939	5,103,275	4,780,221	4,812,085
Health	120,000	488,697		250,000	160,000
Capital outlay	2,957,442	4,855,050	4,594,721	3,415,464	4,413,196
Debt service:					
Principal	1,229,166	1,255,802	1,291,263	1,370,156	1,416,257
Interest and fiscal charges	1,217,331	1,279,276	1,058,676	995,948	944,666
Total expenditures	48,636,390	54,257,900	54,915,091	54,941,234	58,607,336
Excess (deficiency) of revenues over (under) expenditures	(127,400)	3,798	1,904,136	812,229	2,311,999
Other financing sources (uses):					
Transfers in	943,350	1,380,000	2,327,332	2,246,686	2,225,885
Transfers out	(903,905)	(1,380,000)	(2,577,332)	(2,746,686)	(2,725,885)
Capital Lease					
Proceeds from sale of property	16,750	562,114	-	-	-
Issue of long term debt	-	1,576,783	-	-	-
Total other financing Sources (uses)	56,195	2,138,897	(250,000)	(500,000)	(500,000)
Net change in fund balances before Extraordinary Item	$ (71,205)	$ 2,142,695	$ 1,654,136	$ 312,229	$ 1,811,999
Extraordinary Items	-	-	5,638,626	-	-
Net change in fund balances	$ (71,205)	$ 2,142,695	$ 7,292,762	$ 312,229	$ 1,811,999
Debt services as a percentage of noncapital expenditures (1)	5.36%	5.13%	4.67%	4.59%	4.36%

Notes:

(1) The ratio of total debt service to noncapital expenditures is calculated as total debt service expenditures (principal and interest) / total noncapital expenditures (the difference between total expenditures and capitalized capital outlay expenditures).

Source: City of Monterey Park Management Services Department

City of Monterey Park
Changes in Fund Balances of Governmental Funds (Continued)
Last Ten Fiscal Years
(Modified Accrual Basis of Accounting)

	Fiscal Year				
	2018/19	2019/20	2020/21	2021/22	2022/23
Revenues:					
Taxes	$ 39,864,511	$ 40,160,022	$ 45,232,837	$ 46,856,891	$ 58,309,757
Licenses and permits	3,038,847	1,837,426	1,849,831	2,153,956	2,533,406
Intergovernmental revenues	11,577,229	9,385,537	11,430,832	13,698,421	12,633,179
Charges for services	7,161,652	6,057,607	6,458,077	9,723,880	9,956,525
Revenues from use of money & property/Investment income	2,701,145	2,329,927	518,793	(1,734,973)	2,361,132
Fines and forfeitures	1,623,039	587,059	446,741	595,615	321,059
Other	1,741,046	1,566,488	1,622,030	1,715,830	839,004
Total revenues	67,707,469	61,924,066	67,559,141	73,009,620	86,954,062
Expenditures					
Current:					
General government	6,136,588	6,898,124	115,631,413	8,127,513	12,131,984
Public safety	34,708,110	35,762,037	37,642,012	33,805,125	39,157,595
Community development	2,563,517	316,097	430,627	7,424,848	7,545,853
Culture and recreation	7,383,682	7,034,788	6,618,326	6,260,135	3,938,763
Highways and streets	5,347,037	6,627,295	5,621,649	5,893,763	8,061,381
Health	150,000	137,500	187,500	234,375	292,969
Capital outlay	2,927,407	3,111,577	9,655,402	6,696,125	11,412,223
Debt service:					
Principal	1,079,149	1,115,754	1,154,028	4,165,346	5,795,552
Interest and fiscal charges	895,018	853,417	809,641	3,949,977	3,876,712
Total expenditures	61,190,508	61,856,589	177,750,598	76,557,207	92,213,032
Excess (deficiency) of revenues over (under) expenditures	6,516,961	67,477	(110,191,457)	(3,547,587)	(5,258,970)
Other financing sources (uses):					
Transfers in	3,003,264	4,319,658	4,488,195	4,146,091	10,036,484
Transfers out	(3,003,264)	(3,706,035)	(4,929,208)	(3,583,991)	(9,557,343)
Capital Lease			2,682,300		
Proceeds from sale of property	-	-	-	-	-
Issue of long term debt	-	-	100,892,026	21,026,121	66,901
Total other financing Sources (uses)	-	613,623	103,133,313	21,588,221	546,042
Net change in fund balances before Extraordinary Item	$ 6,516,961	$ 681,100	$ (7,058,144)	$ 18,040,634	$ (4,712,928)
Extraordinary Items	-	-	-	-	-
Net change in fund balances	$ 6,516,961	$ 681,100	$ (7,058,144)	$ 18,040,634	$ (4,712,928)
Debt services as a percentage of noncapital expenditures (1)	3.39%	3.35%	1.17%	11.62%	11.97%

Notes:

(1) The ratio of total debt service to noncapital expenditures is calculated as total debt service expenditures (principal and interest) / total noncapital expenditures (the difference between total expenditures and capitalized capital outlay expenditures).

Source: City of Monterey Park Management Services Department

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City of Monterey Park
Assessed Value of Taxable Property [1]
Last Ten Fiscal Years
(In Thousands)

Fiscal Year	Residential Property	Commercial Property	Industrial Property	Other Property	Tax-Exempt Property[2]	Total Taxable Assessed Value	Total Direct Tax Rate[3] [4]
2013/14	4,589,336,142	1,037,976,948	156,760,121	268,842,451	33,537,437	6,052,915,662	0.24388
2014/15	4,819,968,671	1,058,583,010	160,416,355	276,605,994	29,479,877	6,315,574,030	0.24412
2015/16	5,057,044,107	1,093,431,570	164,909,195	276,512,462	29,538,778	6,591,897,334	0.24437
2016/17	5,307,806,812	1,140,647,311	173,217,543	312,397,210	28,011,283	6,934,068,876	0.24460
2017/18	5,602,078,820	1,173,225,228	186,112,221	308,114,143	27,269,372	7,269,530,412	0.24384
2018/19	5,900,997,427	1,246,669,672	202,037,631	301,345,786	27,122,190	7,651,050,516	0.24490
2019/20	6,154,110,366	1,385,210,969	214,058,031	335,807,643	27,122,190	8,089,187,009	0.24507
2020/21	6,452,593,484	1,442,805,214	225,355,790	362,258,108	27,122,190	8,483,012,596	0.24526
2021/22	6,696,922,280	1,485,031,636	236,761,070	352,907,188	27,122,190	8,771,622,174	0.24540
2022/23	7,069,923,565	1,575,607,923	257,317,476	357,318,569	27,122,190	9,260,167,533	0.24561

Notes:

(1) In 1978 the voters of the State of California passed Proposition 13 which limited property taxes to a total maximum rate of 1% based upon the assessed value of the property being taxed. Each year, the assessed value of property may be increased by an "inflation factor" (limited to a maximum increase of 2%). With few exceptions, property is only re-assessed as a result of new construction activity or at the time that it is sold to a new owner. At that point, the property is reassessed based on the added value of the construction or at the purchase price (market value) or economic value of the property sold. The assessed valuation data shown above represents the only data currently available with respect to the actual market value of taxable property and is subject to the limitations described above.

(2) Exempt values are not included in total.

(3) Total direct rate is the weighted average of all individual direct rates applied by the government preparing the statistical section

(4) Retirement tax at 0.091170 per $100 of Assessed Valuation.

Sources: 1. County of Los Angeles Department of Auditor-Controller
2. HDL Coren & Cone

City of Monterey Park
Direct and Overlapping Property Tax Rates
Last Ten Fiscal Years
(Rate per $100 of taxable value)

Agency	Fiscal Year 2013/14	2014/15	2015/16	2016/17	2017/18
Basic Levy [1]	1.00000	1.00000	1.00000	1.00000	1.00000
City Direct Rates:					
Monterey Park - General Obligation Bonds	0.09117	0.09117	0.09117	0.09117	0.09117
Total Direct Rates	**1.09117**	**1.09117**	**1.09117**	**1.09117**	**1.09117**
Overlapping Rates:					
Alhambra Unified School District	0.04906	0.04985	0.04926	0.03615	0.05786
Garvey School District	0.05978	0.05947	0.05874	0.06067	0.08332
Garvey-Alhambra	0.04914	0.04522	0.04538	0.05303	0.09319
Los Angeles Community College District	0.04454	0.04017	0.03575	0.03596	0.04599
Los Angeles Unified School District	0.14644	0.14688	0.12971	0.13110	0.12219
Metropolitan Water District	0.01800	0.01800	0.01800	0.02300	0.03000
Montebello Unified School District	0.09457	0.08750	0.08715	0.14705	0.13514
Monterey Park GO Debt	0.09117	0.09117	0.09117	0.09117	0.09117
Total Overlapping Rates	**0.55270**	**0.53826**	**0.51516**	**0.57813**	**0.65886**
Total Direct & Overlapping [2] **Tax Rates**	**1.64387**	**1.62943**	**1.60633**	**1.66930**	**1.75003**
City's Share of 1% Levy Per Prop 13 [3]	0.15778	0.15778	0.15778	0.15778	0.15778
General Obligation Debt Rate	0.09117	0.09117	0.09117	0.09117	0.09117
Redevelopment Rate [4]	0.00000	0.00000	0.00000	0.00000	0.00000
Total Direct Rate [5]	0.24388	0.24412	0.24437	0.24460	0.24384

Notes:

(1) In 1978, California voters passed Proposition 13 which sets the property tax rate at a 1.00% fixed amount. This 1.00% is shared by all taxing agencies for which the subject property resides within. In addition to the 1.00% fixed amount, property owners are charged taxes as a percentage of assessed property values for the payment of any voter approved bonds.

(2) Overlapping rates are those of local and county governments that apply to property owners within the city. Not all overlapping rates apply to all City property owners.

(3) City's share of 1% Levy is based on the City's share of the general fund tax rate area with the largest net taxable value within the city. ERAF general fund tax shifts may not be included in tax ratio figure.

(4) Redevelopment rate is based on the largest RDA tax rate area and only includes rates(s) from indebtedness adopted prior to 1989 per California State statute. RDA direct and overlapping rates are applied only to the incremental property values. The approval of ABX1 26 eliminated Redevelopment from the State of California for the fiscal year 2012/13 and years thereafter.

(5) Total direct rate is the weighted average of all individual direct rates applied by the government preparing the statistical section information and excludes revenue derived from aircraft. Beginning in 2013/14 the total direct rate no longer includes revenue generated from the former redevelopment tax rate areas. Challenges to recognized enforceable obligations are assumed to have been resloved during 2012/13. For the purposes of this report, residual revenue is assumed to be distributed to the City in the same proportions as general fund revenue.

(6) Because basic and debt rates vary by tax rate area, individual rates cannot be summed.

Sources: 1. HDL Coren & Cone

2. County of Los Angeles Department of Auditor-Controller

City of Monterey Park
Direct and Overlapping Property Tax Rates (Continued)
Last Ten Fiscal Years
(Rate per $100 of taxable value)

	Fiscal Year				
Agency	**2018/19**	**2019/20**	**2020/21**	**2021/22**	**2022/23**
Basic Levy [1]	1.00000	1.00000	1.00000	1.00000	1.00000
City Direct Rates:					
Monterey Park - General Obligation Bonds	0.09117	0.09117	0.09117	0.09117	0.09117
Total Direct Rates	**1.09117**	**1.09117**	**1.09117**	**1.09117**	**1.09117**
Overlapping Rates:					
Alhambra Unified School District	0.05404	0.04501	0.04509	0.04405	0.05131
Garvey School District	0.08705	0.08623	0.08425	0.08837	0.08566
Garvey-Alhambra	0.08800	0.07055	0.07360	0.05726	0.05737
Los Angeles Community College District	0.04621	0.02717	0.04016	0.04376	0.02488
Los Angeles Unified School District	0.12323	0.12552	0.13993	0.11323	0.12107
Metropolitan Water District	0.03000	0.03000	0.03000	0.03000	0.03000
Montebello Unified School District	0.13921	0.09306	0.09706	0.09031	0.12770
Monterey Park GO Debt	0.09117	0.09117	0.09117	0.09117	0.09117
Total Overlapping Rates	**0.65891**	**0.56871**	**0.60126**	**0.55815**	**0.58916**
Total Direct & Overlapping [2] **Tax Rates**	**1.75008**	**1.65988**	**1.69243**	**1.64932**	**1.68033**
City's Share of 1% Levy Per Prop 13 [3]	0.15778	0.15778	0.15778	0.15778	0.15778
General Obligation Debt Rate	0.09117	0.09117	0.09117	0.09117	0.09117
Redevelopment Rate [4]	0.00000	0.00000	0.00000	0.00000	0.00000
Total Direct Rate [5]	0.24490	0.24507	0.24526	0.24540	0.24561

Notes:

(1) In 1978, California voters passed Proposition 13 which sets the property tax rate at a 1.00% fixed amount. This 1.00% is shared by all taxing agencies for which the subject property resides within. In addition to the 1.00% fixed amount, property owners are charged taxes as a percentage of assessed property values for the payment of any voter approved bonds.

(2) Overlapping rates are those of local and county governments that apply to property owners within the city. Not all overlapping rates apply to all City property owners.

(3) City's share of 1% Levy is based on the City's share of the general fund tax rate area with the largest net taxable value within the city. ERAF general fund tax shifts may not be included in tax ratio figure.

(4) Redevelopment rate is based on the largest RDA tax rate area and only includes rates(s) from indebtedness adopted prior to 1989 per California State statute. RDA direct and overlapping rates are applied only to the incremental property values. The approval of ABX1 26 eliminated Redevelopment from the State of California for the fiscal year 2012/13 and years thereafter.

(5) Total Direct rate is the weighted average of all individual direct rates applied by the government preparing the statistical section information and excludes revenue derived from aircraft. Beginning in 2013/14 the Total Direct Rate no longer includes revenue generated from the former redevelopment tax rate areas. Challenges to recognized enforceable obligations are assumed to have been resloved during 2012/13. For the purposes of this report, residual revenue is assumed to be distributed to the City in the same proportions as general fund revenue.

(6) Because basic and debt rates vary by tax rate area, individual rates cannot be summed.

Sources: 1. HDL Coren & Cone

2. County of Los Angeles Department of Auditor-Controller

City of Monterey Park
Principal Property Taxpayers
(Current Year and Nine Years Ago)

Taxpayers	2022/23 Taxable Assessed Valuation	2022/23 Percent of Total City Taxable Assessed Valuation
ATLANTIC TIMES SQUARE X LLC	$ 154,452,227	1.67%
MPRP TRACT 3 LLC	137,081,423	1.48%
OMNINET LACC LLC ET AL	88,596,320	0.96%
ETHAN CAPITAL LLC	88,457,430	0.96%
UNION BANK	58,489,342	0.63%
GARFIELD CALMED INVESTMENT LP	57,148,047	0.62%
ATLANTIC SQUARE LLC	51,952,123	0.56%
BRE CALIFORNIA SATURN LLC	41,815,881	0.45%
MAR CENTER LLC ET AL	39,050,027	0.42%
EMERALD HILLS LLC	36,737,814	0.40%
	$ 753,780,634	8.14%
Total City Assessed Value	$ 9,260,167,533	

Sources: 1. HDL Coren & Cone

2. County of Los Angeles Department of Auditor-Controller

City of Monterey park
Principal Property Taxpayers (Continued)
(Current Year and Nine Years Ago)

Taxpayers	2013/14 Taxable Assessed Valuation	2013/14 Percent of Total City Taxable Assessed Valuation
ATLANTIC TIMES SQUARE II LLC	$ 147,783,899	2.44%
LOS ANGELES CORPORATE CENTER LLC	67,160,000	1.11%
UNION BANK	62,699,589	1.04%
GARFIELD CALMED INVESTMENT LP	53,591,924	0.89%
1977 SATURN LLC	46,900,000	0.77%
GMS FIVE LLC	44,770,795	0.74%
EMERALD HILLS LLC	31,385,792	0.52%
MPM PARTNERS LLC	26,453,380	0.44%
CARE 1ST HEALTH PLAN INC	23,851,970	0.39%
REAL ESTATE INVESTORS 1984 1 ET AL	21,000,000	0.35%
	$ 525,597,349	8.68%
Total City Assessed Value	$ 6,052,915,662	

Sources: 1. HDL Coren & Cone

2. County of Los Angeles Department of Auditor-Controller

City of Monterey Park
Property Tax Levies and Collections
Last Ten Fiscal Years

	Original Levy			1% - CY PER BOOK			
	Taxes Levied for the Fiscal Year			Collected within the Fiscal Year of Levy			
Fiscal Year	**1%**	**D.S.**	**Amount**	**1%**	**D.S.**	**Amount**	**Percentage of Levy**
2013/14	7,634,155	4,523,042	12,157,197	7,425,568	4,437,271	11,862,839	97.58%
2014/15	8,065,770	4,540,488	12,606,259	7,796,253	4,443,105	12,239,358	97.09%
2015/16	8,455,052	4,956,680	13,411,732	8,163,466	4,837,739	13,001,205	96.94%
2016/17	8,824,332	5,182,017	14,006,349	8,497,606	5,046,043	13,543,649	96.70%
2017/18	9,279,439	5,447,199	14,726,639	8,918,736	5,290,647	14,209,382	96.49%
2018/19	9,729,981	5,745,652	15,475,634	9,348,499	5,629,544	14,978,043	96.78%
2019/20	10,218,301	5,990,008	16,208,309	9,742,395	5,844,063	15,586,458	96.16%
2020/21	10,722,859	6,244,037	16,966,896	10,230,502	6,088,919	16,319,421	96.18%
2021/22	10,954,338	6,470,729	17,425,067	10,109,659	6,194,802	16,304,462	93.57%
2022/23	11,569,892	6,799,424	18,369,316	11,037,821	6,607,287	17,645,108	96.06%

Note: The amounts presented are the City's property tax including secured and unsecured, but excluding interest and penalties.

(1) This percentage may exceed 100% due to information provided by Tax Assessor may not clearly identify the year collected.

(2) Amount included pension override voter approved portion generated from the former redevelopment project areas.

Source: 1 City of Monterey Park Finance Department
2 County of Los Angeles Tax Assessor

City of Monterey Park
Property Tax Levies and Collections (Continued)
Last Ten Fiscal Years

	1% - PY PER BOOK			Total Collections to Date			
	Collections in Subsequent Years						
Fiscal Year	**1%**	**D.S.**	**Amount**	**1%**	**D.S.**	**Amount**	**Percentage of Levy (1)**
2013/14	273,471	95,500	368,971	7,699,039	4,532,770	12,231,809	101%
2014/15	143,686	77,728	221,414	7,939,938	4,520,833	12,460,772	99%
2015/16	196,898	120,616	317,514	8,360,364	4,958,355	13,318,719	99%
2016/17	265,175	110,404	375,579	8,762,781	5,156,448	13,919,228	99%
2017/18	109,223	150,134	259,357	9,027,959	5,440,781	14,468,740	98%
2018/19	196,298	130,331	326,629	9,544,797	5,759,875	15,304,672	99%
2019/20	456,762	107,931	564,692	10,199,157	5,951,993	16,151,150	100%
2020/21	285,221	126,640	411,860	10,515,722	6,215,559	16,731,281	99%
2021/22	357,825	139,127	496,952	10,467,484	6,333,929	16,801,414	96%
2022/23	309,212	121,454	430,666	11,347,033	6,728,741	18,075,774	98%

Note: The amounts presented are the City's property tax including secured and unsecured, but excluding interest and penalties.

(1) This percentage may exceed 100% due to information provided by Tax Assessor may not clearly identify the year collected.

(2) Amount included pension override voter approved portion generated from the former redevelopment project areas.

Source: 1 City of Monterey Park Finance Department
2 County of Los Angeles Tax Assessor

City of Monterey Park
Outstanding Debt by Type
Last Ten Fiscal Years
(In Thousands)

	Governmental Activities							
Fiscal Year	**Pension Obligation Bonds**	**Street Bonds**	**HUD Section 108 Loans**	**Library Special Tax Revenue Note**	**Finance Purchase Loans**	**Lease Liabilities**	**Subscription Liabilities**	**Total Governmental Activities**
2013/14	14,890		3,873	1,409	988	-	-	21,160
2014/15	14,425		3,538	1,077	2,442	-	-	21,482
2015/16	13,970		3,182	731	2,307	-	-	20,190
2016/17	13,520		2,804	373	2,123	-	-	18,820
2017/18	13,075		2,403	-	1,926	-	-	17,404
2018/19	12,635		1,977	-	4,162	-	-	18,774
2019/20	12,200		1,526	-	3,587	-	-	17,313
2020/21	112,662		1,047	-	5,669	-	-	119,378
2021/22	109,268	20,752	539	-	4,969	96	1,397	137,021
2022/23	105,185	20,338	-	-	4,242	74	725	130,564

Notes:

(1) Percentage of Personal Income was based on data from Los Angeles County State of California Employment Department.

(2) Debt per capita data was based on the number of population within the City of Monterey Park.

(3) Start from FY17/18, personal income data for California

Source: 1. HDL Coren & Cone
2. City of Monterey Park Finance Department

City of Monterey Park
Outstanding Debt by Type (Continued)
Last Ten Fiscal Years
(In Thousands)

	Business-Type Activity							
Fiscal Year	**Loans**	**Pension Obligation Bonds**	**Lease Liabilities**	**Subscription Liabilities**	**Total Primary Government**	**(1) Percentage of Personal Income**	**Population**	**(2) Debt Per Capita**
2013/14	4,392	-	-	-	25,552	0.01%	61,777	414
2014/15	12,747	-	-	-	34,229	0.01%	61,805	554
2015/16	12,127	-	-	-	32,317	0.01%	61,346	527
2016/17	10,567	-	-	-	29,387	0.00%	61,606	477
2017/18	9,809	-	-	-	27,213	1.08% (3	62,240	437
2018/19	9,167	-	-	-	27,941	1.10%	61,828	452
2019/20	8,466	-	-	-	25,779	0.92%	60,734	424
2020/21	7,915	5,443	-	-	132,736	4.42%	60,380	2,198
2021/22	11,310	5,282	3	12	153,628	5.09%	60,207	2,552
2022/23	10,646	5,085	2	9	146,306	N/A	59,288	2,468

Notes:

(1) Percentage of Personal Income was based on data from Los Angeles County State of California Employment Department.

(2) Debt per capita data was based on the number of population within the City of Monterey Park.

(3) Start from FY17/18, personal income data for California

Source: 1. HDL Coren & Cone
2. City of Monterey Park Finance Department

City of Monterey Park
Ratio of General Bonded Debt Outstanding
Last Ten Fiscal Years
(In Thousands, except Per Capita)

Fiscal Year	Pension Obligation Bonds (1)	Actual Taxable Value of Property	Percent of Actual Taxable Value of Property (2)	Population	Net Bonded Debt Per Capita
2013/14	14,890	6,052,916	0.25%	61,777	241
2014/15	14,425	6,315,574	0.23%	61,805	233
2015/16	13,970	6,591,897	0.21%	61,346	228
2016/17	13,520	6,934,069	0.19%	61,606	219
2017/18	13,075	7,269,530	0.18%	62,240	210
2018/19	12,635	7,651,050	0.17%	61,828	204
2019/20	12,200	8,089,187	0.15%	60,734	201
2020/21	118,105	8,483,013	1.39%	60,380	1,956
2021/22	114,550	8,771,622	1.31%	60,207	1,903
2022/23	110,270	9,260,168	1.19%	59,288	1,860

Note:

(1) The City has Pension Obligation bonds and does not have any other General Obligation Bonds.

(2) Assessed value has been used because the actual value of taxable property is not readily available in the State of California.

Source: 1 City of Monterey Park Finance Department

City of Monterey Park
Direct and Overlapping Debt
As of June 30, 2023

	Total Debt	% Applicable To City (1)	City's Share of Debt
OVERLAPPING TAX AND ASSESSMENT DEBT			
Metropolitan Water District	19,215,000	0.015	2,882
Los Angeles Community College District	4,500,730,000	0.864	38,886,307
Alhambra Unified School District	67,504,695	32.134	21,691,959
Alhambra Unified School District School Facilities Improvement District No.	188,784,708	32.965	29,267,879
Alhambra Unified School District (former Elementary School District)	12,098,640	32.965	3,988,317
Los Angeles Unified School District	10,704,725,000	0.033	3,532,559
Montebello Unified School District	248,196,585	9.151	22,712,469
Garvey School District	56,673,063	29.354	16,635,811
TOTAL OVERLAPPING TAX AND ASSESSMENT DEBT			$ 136,718,183
DIRECT AND OVERLAPPING GENERAL FUND DEBT			
Los Angeles County General Fund Obligations	2,601,551,282	0.489	12,721,586
Los Angeles County Superintendent of Schools Certificates of Participation	3,403,487	0.489	16,643
Los Angeles Unified School District General Fund Obligations	97,870,000	0.033	32,297
Montebello Unified School District General Fund Obligations	4,615,000	9.151	422,319
City of Monterey Park Pension Obligation Bonds	110,270,000	100.000	110,270,000
Los Angeles County Sanitation District No. 2 Authority	776,732	11.921	92,594
Los Angeles County Sanitation District No. 15 Authority	795,080	0.224	1,781
TOTAL DIRECT AND OVERLAPPING GENERAL FUND DEBT			$ 123,557,220
OVERLAPPING TAX INCREMENT DEBT (Successor Agency)	8,210,000	100.000	$ 8,210,000
TOTAL DIRECT DEBT			$ 110,270,000
TOTAL OVERLAPPING DEBT			$ 158,215,403
COMBINED TOTAL DEBT			$ 268,485,403 (2)

Notes:

(1) The percentage of overlapping debt applicable to the city is estimated using taxable assessed property value. Applicable percentages were estimated by determining the portion of the overlapping district's assessed value that is within the boundaries of the city divided by the district's total taxable assessed value.

(2) Excludes tax and revenue anticipation notes, enterprise revenue, mortgage revenue and non-bonded capital lease obligations.

Ratios to 2022-23 Assessed Valuation	
Total Direct Debt ($110,270,000)	1.19%
Total Overlapping Tax and Assessment Debt	1.48%
Combined Total Debt	2.90%

Ratios to Redevelopment Successor Agency Incremental Valuation ($1,928,244,213)	
Overlapping Tax Increment Debt	0.43%

Source: HDL Coren & Cone

City of Monterey Park
Legal Debt Margin Information
Last Ten Fiscal Years
(In Thousands)

	Fiscal Year				
	2013/14	2014/15	2015/16	2016/17	2017/18
Assessed valuation	6,052,916	6,315,574	6,591,897	6,934,068	7,269,530
Debt limit percentage	15%	15%	15%	15%	15%
Debt limit	907,937	947,336	988,785	1,040,110	1,090,430
Total net debt applicable to limit:					
Pension obligation bonds	14,890	14,425	13,970	13,520	13,075
Legal debt margin	$ 893,047	$ 932,911	$ 974,815	$ 1,026,590	$ 1,077,355
Total debt applicable to the limit as a percentage of debt limit	1.64%	1.52%	1.41%	1.30%	1.20%

Note: In accordance with California Government Code Section 436
exceed 15 percent of total assessed valuation.

Sources:
1. City of Monterey Park Finance Department
2. HDL Coren & Cone
3. County of Los Angeles Department of Auditor-Controller

City of Monterey Park
Legal Debt Margin Information (Continued)
Last Ten Fiscal Years
(In Thousands)

	Fiscal Year				
	2018/19	2019/20	2020/21	2021/22	2022/23
Assessed valuation	7,651,050	8,089,187	8,483,013	8,771,622	9,260,168
Debt limit percentage	15%	15%	15%	15%	15%
Debt limit	1,147,657	1,213,378	1,272,452	1,315,743	1,389,025
Total net debt applicable to limit:					
Pension obligation bonds	12,635	12,200	118,105	114,550	110,270
Legal debt margin	$ 1,135,022	$ 1,201,178	$ 1,154,347	$ 1,201,193	$ 1,278,755
Total debt applicable to the limit as a percentage of debt limit	1.10%	1.01%	9.28%	8.71%	7.94%

Note: In accordance with California Government Code Section 436
exceed 15 percent of total assessed valuation.

Sources: 1. City of Monterey Park Finance Department
2. HDL Coren & Cone
3. County of Los Angeles Department of Auditor-Controller

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City of Monterey Park
Demographic and Economic Statistics
Last Ten Fiscal Years

Fiscal Year	Population	Personal Income	Per Capita Personal Income	Unemployment Rate
2013/14	61,777	499,767,889	49,400	6.5%
2014/15	61,805	544,324,900	53,521	5.2%
2015/16	61,346	563,907,868	55,624	5.2%
2016/17	61,606	593,741,110	58,419	4.5%
2017/18 (1)	62,240	2,514,503	63,720	3.9%
2018/19	61,828	2,544,235	64,513	4.1%
2019/20	60,734	2,790,524	70,647	9.6%
2020/21	60,380	3,006,184	76,614	13.3%
2021/22	60,207	3,018,471	77,339	5.4%
2022/23	59,288	N/A	N/A	4.9%

Note: Note: (1) Start from FY17/18, personal income and Per capita personal income are the data shown for California from Bureau of Economic Analysis.

Sources:
1. U.S. Bureau of Economic Analysis
2. HDL Coren & Cone
3. California Employment Development Department

City of Monterey Park
Principal Employers
(Current Year and Nine Years Ago)

	2022/23	
Employers	Number of Employees	Percentage of Total Employment [1]
GARFIELD MEDICAL CENTER	1,019	0.021%
SOUTHERN CALIFORNIA GAS COMPANY	445	0.009%
COSTCO WHOLESALE #1318	425	0.009%
MONTEREY PARK HOSPITAL	345	0.007%
HOME DEPOT #2304	214	0.005%
RALPHS GROCERY CO (2 LOCATIONS)	194	0.004%
REMITCO L L C	158	0.003%
CARMICHAEL INTERNATIONAL SERVICE	151	0.003%
BEHAVIOR RESPITE IN ACTION INC	132	0.003%
HERITAGE MANOR HEALTHCARE	132	0.003%
CAMINO REAL CHEVROLET	113	0.002%
MONTEREY PARK CONVALESCENT HOSPITAL INC	110	0.002%
LA COLONIAL TORTILLA PRODUCTS INC	86	0.002%
NETWORK MEDICAL MANAGEMENT INC	80	0.002%
GREAT WALL SUPERMARKET	78	0.002%

Note:
(1) Percentage of total employment is calculated based on Los Angeles County's total employment annual force of 4,739,900 in 2022 and 4,471,400 in 2013.

Sources: 1. City of Monterey Park Finance Department
2. State of California Employment Development Department

City of Monterey Park
Principal Employers (Continued)
(Current Year and Nine Years Ago)

Employers	2013/14 Number of Employees	2013/14 Percentage of Total Employment [1]
GARFIELD MEDICAL CENTER	976	0.022%
CARE 1ST HEALTH PLAN	541	0.012%
SOUTHERN CALIFORNIA GAS COMPANY	387	0.009%
SYNER MED INC	356	0.008%
MONTEREY PARK HOSPITAL	320	0.007%
REMITCO LLC	187	0.004%
RALPHS GROCERY (2 LOCATIONS)	171	0.004%
24 HOUR FITNESS #867	143	0.003%
CHINESE DAILY NEWS	142	0.003%
CALIFORNIA PSYCHCARE INC	103	0.002%
CAMINO REAL CHEVROLET	100	0.002%
MONTEREY PARK CONVALESCENT	92	0.002%
SOUTHERN CALIFORNIA EDISON	90	0.002%
HERITAGE MANOR HEALTHCARE	90	0.002%
LA COLONIAL TORTILLA PRODUCTS INC	85	0.002%

Note:
(1) Percentage of total employment is calculated based on Los Angeles County's total employment annual force of 4,739,900 in 2022 and 4,471,400 in 2013.

Sources: 1. City of Monterey Park Finance Department
2. State of California Employment Development Department

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City of Monterey Park
City Employees by Function
Last Ten Fiscal Years

Function	Fiscal Year 13-14	14-15	15-16	16-17	17-18	18-19	19-20	20-21	21-22	22-23
General Government	32	31	32	33	33	35	38	40	55	57
Public Safety										
Police	114	114	116	119	119	122	122	124	124	126
Fire	58	58	58	59	61	61	66	66	64	64
Public Works	70	69	71	71	71	71	80	83	74	74
Culture and Recreation										
Library	25	26	26	26	26	26	25	25	19	24
Recreation/Community Services	36	37	37	37	37	37	36	38	37	37
Community/Economic Development [1]	13	14	14	15	17	17	0	0	0	0
Total	**347**	**348**	**352**	**359**	**364**	**368**	**367**	**376**	**373**	**382**

Note: Numbers represent Full-Time-Equivalent positions.

(1) Starting from FY2019-20, personnel and functions from Community/Economic Development are distributed to Fire and Public Works departments. In FY2019-20, code Enforcement Division is under the supervision of Fire Deparetment and Planning and Building Divisions are under the supervision of Public Works Department.

Source: City of Monterey Park Annual Adopted Budget

City of Monterey Park
Operating Indicators by Function
Last Ten Fiscal Years

	Fiscal Year				
	2013/14	2014/15	2015/16	2016/17	2017/18
Police:					
Number of service calls	51,735	54,568	54,183	53,646	54,696
Response time priority I (emergency) (minutes/seconds)	4:28	3:56	4:49	4:46	4:22
Fire:					
Number of emergency calls	4,538	4,605	4,985	5,047	5,121
Inspections	2,955	2,424	5,139	3,523	3,523
Public works:					
Street resurfacing (miles)	0.48	0.16	2.12	2.71	2.80
Parks and recreation:					
Hours of recreation classes	640	640	650	600	922
Number of facility rentals / Number of hours of facility rentals (1)	167	165	175	1,197	1,230
Water:					
Meters changed and upgrades (2)	329	10,994	98	112	8
Water turn-ons and turn-offs	2,412	2,412	2,682	2,440	2,440
Average daily consumption (thousand of gallons)	8,000	8,000	8,000	8,000	8,000

Note:
(1) Start FY 2016/17, number of hours of facility rentals are being used.
(2) Start FY 2017/18, total meters installed to field-testable and/or field-repairable standards was being omitted.

Sources: 1. City of Monterey Park Annual Budget
2. City of Monterey Park Finance, Fire, Public Works, Recreation Departments

City of Monterey Park
Operating Indicators by Function (Continued)
Last Ten Fiscal Years

	Fiscal Year				
	2018/19	2019/20	2020/21	2021/22	2022/23
Police:					
Number of service calls	53,534	50,153	49,154	49,899	52,152
Response time priority I (emergency) (minutes/seconds)	4:02	3:59	3:32	3:59	4:05
Fire:					
Number of emergency calls	4,355	4,251	4,979	5,266	5,535
Inspections	2,922	3,200	2,356	1,776	3,972
Public works:					
Street resurfacing (miles)	0	2.79	0	9.39	12.39
Parks and recreation:					
Hours of recreation classes	960	640	95	441	441
Number of facility rentals / Number of hours of facility rentals (1)	2,816	640	0	264	720
Water:					
Meters changed and upgrades (2)	5	7	2	3	2
Water turn-ons and turn-offs	2,080	3,471	1,078	1,866	2,000
Average daily consumption (thousand of gallons)	8,000	8,000	8,000	8,000	8,000

Note:
(1) Start FY 2016/17, number of hours of facility rentals are being used.
(2) Start FY 2017/18, total meters installed to field-testable and/or field-repairable standards was being omitted.

Sources: 1. City of Monterey Park Annual Budget
2. City of Monterey Park Finance, Fire, Public Works, Recreation Departments

City of Monterey Park
Capital Assets Statistics by Function
Last Ten Fiscal Years

	Fiscal Year				
	2013/14	2014/15	2015/16	2016/17	2017/18
Police:					
Stations	1	1	1	1	1
Fire:					
Fire stations	3	3	3	3	3
Public works:					
Streets (miles)	119	119	119	119	119
Streetlights	3,359	3,359	3,359	3,359	3,359
Traffic signals	75	75	75	75	75
Parks and recreation:					
Parks	14	14	14	14	14
Community centers					
Water:					
Water mains (miles)	134	134	134	134	134
Maximum Actual Daily Pumped (thousands of gallons)	11,510	9,680	7,200	6,800	7,000
Wastewater:					
Sanitary sewers (miles)	126	126	126	126	126
Storm sewers (miles)	12.43	12.43	12.43	12.43	12.43

Sources: 1. City of Monterey Park Annual Budget
2. City of Monterey Park Water Division

City of Monterey Park
Capital Assets Statistics by Function (Continued)
Last Ten Fiscal Years

	Fiscal Year				
	2018/19	2019/20	2020/21	2021/22	2022/23
Police:					
Stations	1	1	1	1	1
Fire:					
Fire stations	3	3	3	3	3
Public works:					
Streets (miles)	119	119	119	119	119
Streetlights	3,359	3,359	3,359	3,359	3,359
Traffic signals	75	75	75	75	75
Parks and recreation:					
Parks	14	14	14	14	14
Community centers					
Water:					
Water mains (miles)	134	134	134	134	134
Maximum Actual Daily Pumped (thousands of gallons)	6,700	6,700	6,800	6,300	6,000
Wastewater:					
Sanitary sewers (miles)	126	126	126	126	126
Storm sewers (miles)	12.43	12.43	12.43	12.43	12.43

Sources: 1. City of Monterey Park Annual Budget
2. City of Monterey Park Water Division

City of Monterey Park
Water Sold by Type of Customer
Last Ten Fiscal Years
(in millions of gallons)

	Fiscal Year									
	2013/14	2014/15	2015/16	2016/17	2017/18	2018/19	2019/20	2020/21	2021/22	2022/23
Type of Customers:										
Residential	1,956.0	1,965.9	1,564.2	1,555.6	1,571.6	1,524.5	1,557.1	1,734.8	1,552.1	1,847.2
Commercial	671.8	709.0	594.0	618.0	610.0	579.5	530.4	507.0	507.8	603.9
Institutional	11.1	-	4.4	6.0	6.0	5.1	5.3	5.9	5.8	5.8
Government	13.6	10.6	37.3	45.7	98.5	48.8	48.8	67.6	56.5	60.3
Total	2,652.5	2,685.5	2,199.9	2,225.3	2,286.1	2,157.9	2,141.6	2,315.3	2,122.2	2,517.2

Source: City of Monterey Park Public Works Department

City of Monterey Park
Water Rates
Last Ten Fiscal Years

Fiscal Year	Monthly Base Rate	Rate per 1,000 Gallons
2013/14	12.63	2.21
2014/15	14.50	2.39
2015/16	15.95	2.49
2016/17	17.55	2.89
2017/18	19.30	3.02
2018/19	21.25	3.15
2019/20	19.20	3.01
2020/21	19.20	3.01
2021/22	19.20	3.01
2022/23	19.20	3.01

Note: Rates are based on 5/8" meter and 3/4 meters (the City is standardizing to 3/4 meters), which is the standard household meter size.

Source: City of Monterey Park Finance Department

City of Monterey Park
Top Ten Water Customers
(Current Year and Four Years Ago)

	2022/23		2018/2019	
Water Customer	**Water Charges**	**Percent of Total Water Revenues**	**Water Charges**	**Percent of Total Water Revenues**
Garfield Estates	$ 110,056	0.68%	$ 60,024	0.33%
Continental Homes	96,621	0.60%	-	0.00%
Atlantic Times Square II, LLC	88,498	0.55%	155,091	0.86%
Garfield Medical Ctr	86,285	0.54%	76,941	0.42%
MP 3600 LLC	79,139	0.49%	-	0.00%
Aespace America Inc	73,102	0.45%	111,915	0.62%
Atlantic Times Square II, LLC	68,308	0.43%	104,822	0.58%
Moon Valley Nursery of CA, Inc	53,302	0.33%	62,256	0.34%
Mtry Pk Intrcm Hosp	48,952	0.30%	51,016	0.28%
Atlantic Times Square II, LLC	38,412	0.24%	-	0.00%
	$ 742,675	4.62%	$ 622,065	3.43%

Source: City of Monterey Park Finance Department

APPENDIX B

DEFINITIONS AND SUMMARY OF CERTAIN PROVISIONS OF THE INSTALLMENT PURCHASE AGREEMENT AND THE INDENTURE

The following is a summary of certain provisions of the Installment Purchase Agreement and the Indenture that are not described elsewhere in this Official Statement. This summary does not purport to be comprehensive and reference should be made to the applicable document for a full and complete statement of the provisions thereof.

INSTALLMENT PURCHASE AGREEMENT

DEFINITIONS

Definitions. Unless the context otherwise requires, the terms that are defined in the Installment Purchase Agreement will for all purposes thereof and of any amendment thereof or supplement thereto and of any report or other document that is mentioned therein have the meanings that are defined therein, the following definitions to be equally applicable to both the singular and plural forms of any of the terms that are defined therein. All capitalized terms that are used in the Installment Purchase Agreement and not defined therein will have the meanings that are ascribed thereto in the Indenture.

Accountant's Report. The term "Accountant's Report" means a report signed by an Independent Certified Public Accountant.

Acquisition Fund. The term "Acquisition Fund" means the fund by that name established in the Installment Purchase Agreement.

Authority. The term "Authority" means Monterey Park Financing Authority, a joint exercise of powers agency that is duly organized pursuant to the JPA Agreement and existing under and by virtue of the laws of the State of California.

Bonds. The term "Bonds" means all revenue bonds or notes of the City that are authorized, executed, issued and delivered by the City, the payments of which are payable from Net Revenues on a parity with the Series 2024 Installment Payments and which are secured by a pledge of and lien on Revenues as described in the Installment Purchase Agreement.

City. The term "City" means City of Monterey Park, a municipal corporation that is duly organized and existing under and by virtue of the general laws of the State of California.

City Manager. The term "City Manager" means the City Manager of the City, or any other person that is designated by the City Manager to act on behalf of the City Manager.

Contracts. The term "Contracts" means all contracts of the City that are authorized and executed by the City, the payments under which are payable from Net Revenues on a parity with the Series 2024 Installment Payments and which are secured by a pledge and lien on Revenues as described in the Installment Purchase Agreement; but excluding contracts entered into for operation and maintenance of the Water System.

Debt Service. The term "Debt Service" means, for any period of calculation, the sum of:

(i) the interest accruing during such period on all outstanding Bonds, assuming that all outstanding serial Bonds are retired as scheduled and that all outstanding term Bonds are redeemed or paid from sinking fund payments as scheduled (except to the extent that such interest is capitalized or is reasonably anticipated to be

reimbursed to the City by the United States of America pursuant to Section 54AA of the Code (Section 1531 of Title I of Division B of the American Recovery and Reinvestment Act of 2009 (Pub. L. No. 111-5, 23 Stat. 115 (2009), enacted February 17, 2009)), or any future similar program);

(ii) those portions of the principal amount of all outstanding serial Bonds maturing in such period;

(iii) those portions of the principal amount of all outstanding term Bonds required to be prepaid or paid in such period; and

(iv) those portions of the Contracts that are required to be paid during such period (except to the extent that the interest that is evidenced and represented thereby is capitalized or is reasonably anticipated to be reimbursed to the City by the United States of America pursuant to Section 54AA of the Code (Section 1531 of Title I of Division B of the American Recovery and Reinvestment Act of 2009 (Pub. L. No. 111-5, 23 Stat. 115 (2009), enacted February 17, 2009)), or any future similar program);

but less the earnings to be derived from the investment of moneys on deposit in debt service reserve funds established for Bonds or Contracts;

provided that, as to any such Bonds or Contracts bearing or comprising interest at other than a fixed rate, the rate of interest used to calculate Debt Service will, for all purposes, be assumed to be a fixed rate equal to the higher of: (1) the then-current variable interest rate borne by such Bonds or Contract plus 1%; and (2) the highest variable rate borne over the preceding 3 months by outstanding variable rate debt issued by the City or, if no such variable rate debt is at the time outstanding, by variable rate debt of which the interest rate is computed by reference to an index that is comparable to that to be utilized in determining the interest rate for the debt then proposed to be issued;

provided further that if any series or issue of such Bonds or Contracts have 25% or more of the aggregate principal amount of such series or issue due in any one year, Debt Service will be determined for the period of determination as if the principal of and interest on such series or issue of such Bonds or Contracts were being paid from the date of incurrence thereof in substantially equal annual amounts over a period of 30 years from the date of calculation; and

provided further that, as to any such Bonds or Contracts or portions thereof which bear no interest but which are sold at a discount and which discount accretes with respect to such Bonds or Contracts or portions thereof, such accreted discount will be treated as interest in the calculation of Debt Service; and

provided further that if the Bonds or Contracts constitute interest rate swap agreements or other paired obligations, the interest rate on such Bonds or Contracts will be the resulting linked rate or the effective fixed interest rate to be paid by the City with respect to such paired obligations; and

provided further that the amount on deposit in a debt service reserve fund on any date of calculation of Debt Service will be deducted from the amount of principal due at the final maturity of the Bonds and Contracts for which such debt service reserve fund was established and, to the extent that the amount in such debt service reserve fund is in excess of such amount of principal, such excess will be applied to the full amount of principal due, in each preceding year, in descending order, until such amount is exhausted.

Event of Default. The term "Event of Default" means an event that is described in the Installment Purchase Agreement.

Fiscal Year. The term "Fiscal Year" means the twelve month period beginning on July 1 of each year and ending on the next succeeding June 30, both dates inclusive, or any other twelve month period later selected and designated as the official fiscal year period of the City.

Indenture. The term "Indenture" means the Indenture of Trust, dated as of the date of the Installment Purchase Agreement, by and between the Authority and the Trustee relating to the 2024 Bonds.

Independent Certified Public Accountant. The term "Independent Certified Public Accountant" means any firm of certified public accountants that is appointed by the City, and each of whom is independent pursuant to the Statement on Auditing Standards No. 1 of the American Institute of Certified Public Accountants.

Independent Financial Consultant. The term "Independent Financial Consultant" means a financial consultant or firm of such consultants that is appointed by the City, and who, or each of whom: (1) is in fact independent and not under domination of the City; (2) does not have any substantial interest, direct or indirect, with the City; (3) is not connected with the City as an officer or employee of the City, but who may be regularly retained to make reports to the City; and (4) is registered as a "municipal advisor," as defined in Section 15B of the Securities Exchange Act of 1934, as amended.

Installment Purchase Agreement. The term "Installment Purchase Agreement" means the Installment Purchase Agreement, dated as of May 1, 2024, by and between the City and the Authority, as originally executed and as it may from time to time be amended or supplemented in accordance therewith.

JPA Agreement. The term "JPA Agreement" means the Joint Exercise of Powers Agreement, dated June 16, 2021, by and between the City and the Monterey Park Housing Authority, pursuant to which the Authority is established.

Net Proceeds. The term "Net Proceeds" means, when used with respect to any casualty insurance or condemnation award, the proceeds from such insurance or condemnation award remaining after payment of all expenses (including attorneys' fees) incurred in the collection of such proceeds.

Net Revenues. The term "Net Revenues" means, for any Fiscal Year, the Revenues for such Fiscal Year less the Operation and Maintenance Costs for such Fiscal Year. When held by the Trustee in any funds or accounts established under the Installment Purchase Agreement, Net Revenues will include all interest or gain derived from the investment of amounts in any of such funds or accounts.

Operation and Maintenance Costs. The term "Operation and Maintenance Costs" means: (1) costs spent or incurred for maintenance and operation of the Water System calculated in accordance with generally accepted accounting principles applicable to governmental agencies, including, but not limited to, the reasonable expenses of management and repair and other expenses that are necessary to maintain and preserve the Water System in good repair and working order, and including administrative costs of the City that are charged directly or apportioned to the Water System, including but not limited to salaries and wages of employees, payments to the Public Employees Retirement System, overhead, insurance, taxes (if any), fees of auditors, accountants, attorneys or engineers and insurance premiums, and including all other reasonable and necessary costs of the City or charges (other than debt service payments) required to be paid by it to comply with the terms of the 2024 Bonds or of the Installment Purchase Agreement or any Contract or of any resolution or indenture authorizing the issuance of any Bonds or of such Bonds; and (2) all payments under any contract for the purchase of water; but excluding in all cases depreciation, replacement and obsolescence charges or reserves therefor and amortization of intangibles or other bookkeeping entries of a similar nature.

Purchase Price. The term "Purchase Price" means the principal amount plus interest thereon owed by the City to the Authority under the terms of the Installment Purchase Agreement as provided therein.

Rate Stabilization Fund. The term "Rate Stabilization Fund" means the fund by that name held by the City and established pursuant to the Installment Purchase Agreement.

Revenue Fund. The term "Revenue Fund" means the Water Utility Enterprise Fund of the City, together with other accounts that may be created in the future and designated by action of the City Council of the City as

a part of the fund called "Revenue Fund" that has been established pursuant to the Installment Purchase Agreement.

Revenues. The term "Revenues" means all income, rents, rates, fees, charges and other moneys derived from the ownership of or operation of the Water System, including, without limiting the generality of the foregoing: (1) all in lieu charges (including investment earnings thereon) collected by or on behalf of the City; (2) all income, rents, rates, fees, charges, business interruption insurance proceeds or other moneys derived by the City from the sale, furnishing and supplying of the water or other services, facilities and commodities sold, furnished or supplied through the facilities of or in the conduct or operation of the business of the Water System; (3) the earnings on and income derived from the investment of such income, rents, rates, fees, charges, proceeds or other moneys, including City reserves; and (4) deposits to the Revenue Fund from amounts on deposit in the Rate Stabilization Fund in accordance with the Installment Purchase Agreement; but excluding in all cases: (w) any Revenues transferred from the Revenue Fund to the Rate Stabilization Fund in accordance with the Installment Purchase Agreement; (x) all amounts reasonably anticipated to be reimbursed to the City by the United States of America pursuant to Section 54AA of the Code (Section 1531 of Title I of Division B of the American Recovery and Reinvestment Act of 2009 (Pub. L. No. 111-5, 23 Stat. 115 (2009), enacted February 17, 2009)), or any future similar program), to the extent that such amounts have been or will be deducted from the calculation of Debt Service; (y) customers' deposits or any other deposits or advances that are subject to refund until such deposits or advances have become the property of the City; and (z) proceeds of taxes or benefit assessments restricted by law to be used by the City to pay amounts due on bonds or other obligations later incurred.

Series 2024 Installment Payment Date. The term "Series 2024 Installment Payment Date" means the fifteenth day of January and July of each year commencing on July 15, 2024.

Series 2024 Installment Payments. The term "Series 2024 Installment Payments" means the Installment Payments scheduled to be paid by the City under and pursuant to the Installment Purchase Agreement.

Trustee. The term "Trustee" means U.S. Bank Trust Company, National Association, acting in its capacity as Trustee under and pursuant to the Indenture, and its successors and assigns.

2024 Project. The term "2024 Project" means the additions, betterments, extensions and improvements to the City's Water System facilities, including real property and buildings, if any, which are described as such in Installment Purchase Agreement.

2024 Bonds. The term "2024 Bonds" means the Monterey Park Financing Authority Water Revenue Bonds, Series 2024 issued pursuant to the Indenture.

Water Service. The term "Water Service" means the potable water distribution service that is made available or provided by the Water System.

Water System. The term "Water System" means the whole and each and every part of the potable and recycled water system serving the City, whether owned or operated by the City or another party, including the portion thereof existing on the date of the Installment Purchase Agreement, and including all additions, betterments, extensions and improvements to such water system or any part thereof later acquired or constructed.

ACQUISITION OF 2024 PROJECT

Acquisition and Construction of the 2024 Project. The Authority has agreed to cause the 2024 Project, and any additions or modifications thereto, to be constructed, acquired or installed by the City as its agent, and the City will enter into contracts and provide for, as agent of the Authority, the complete acquisition of the 2024 Project. The City has agreed that it will cause the construction, acquisition and installation of the 2024 Project to be diligently performed after the deposit of funds with the City pursuant to the Indenture, upon satisfactory

completion of design work and compliance with the California Environmental Quality Act and approval by the City Council of the City, unforeseeable delays beyond the reasonable control of the City only excepted. It has been understood and agreed that the Authority is under no liability of any kind or character whatsoever for the payment of any cost of the 2024 Project and that all such costs and expenses will be paid by the City, regardless of whether the funds deposited in the Acquisition Fund are sufficient to cover all such costs and expenses.

Changes to the 2024 Project. The City may substitute other improvements for those listed as components of the 2024 Project in the Installment Purchase Agreement, but only if the City first files with the Trustee a statement of the City in the form set forth therein.

Purchase and Sale of the 2024 Project. In consideration for the Series 2024 Installment Payments as set forth in the Installment Purchase Agreement, the Authority has agreed to sell, and has sold, to the City, and the City has agreed to purchase, and has purchased, from the Authority, the 2024 Project at the purchase price specified in the Installment Purchase Agreement and otherwise in the manner and in accordance with the provisions of the Installment Purchase Agreement.

Title. All right, title and interest in each component of the 2024 Project will vest in the City immediately upon acquisition or construction thereof. Such vesting will occur without further action by the Authority or the City, and the Authority will, if requested by the City or if necessary to assure such automatic vesting, deliver any and all documents which are required to assure such vesting.

Acquisition Fund. There has been established with the City a fund known as the "Acquisition Fund," which the City will maintain and hold in trust separate and apart from other funds held by it. The moneys in the Acquisition Fund will be applied to the payment of the costs of acquisition of the 2024 Project and of expenses incidental thereto. Before any payment is made from the Acquisition Fund, the City Manager will cause to be filed with the Director of Finance of the City a Written Requisition in the form set forth in the Installment Purchase Agreement. Upon receipt of such Written Requisition, the Director of Finance will pay the amount set forth therein. The Director of Finance need not make any such payment if he or she has received notice of any lien, right to lien or attachment upon, or claim affecting the right to receive payment of, any of the moneys so to be paid, which has not been released and will not be released simultaneously with such payment.

When the 2024 Project has been constructed and acquired in accordance with the Installment Purchase Agreement, a statement of the City stating the fact and date of such acquisition, construction and acceptance and stating that all of such costs of acquisition and incidental expenses have been determined and paid (or that all of such costs and expenses have been paid less specified claims which are subject to dispute and for which a retention in the Acquisition Fund is to be maintained in the full amount of such claims until such dispute is resolved), will be delivered to the Director of Finance of the City and the Trustee by the City Manager. Upon the receipt of such statement, the Director of Finance of the City will transfer any remaining balance in the Acquisition Fund not needed for Acquisition Fund purposes (but less the amount of any such retention which amount will be certified to the Director of Finance of the City by the City Manager) to the Trustee, which will transfer such amounts to the Revenue Fund.

SERIES 2024 INSTALLMENT PAYMENTS

Purchase Price. The Purchase Price to be paid by the City under the Installment Purchase Agreement to the Authority is the sum of the principal amount of the City's obligations thereunder plus the interest to accrue on the unpaid balance of such principal amount from the effective date thereof over the term thereof, subject to prepayment as provided therein. The principal amount of the payments to be made by the City under the Installment Purchase Agreement is set forth therein. The interest to accrue on the unpaid balance of such principal amount is as specified in the Installment Purchase Agreement, and will be paid by the City as and constitute interest paid on the principal amount of the City's obligations thereunder.

Series 2024 Installment Payments. The City will, subject to its rights of prepayment provided in the Installment Purchase Agreement, pay the Authority the Purchase Price in installment payments of interest and principal in the amounts and on the Series 2024 Installment Payment Dates as set forth in the Installment Purchase Agreement.

Each Series 2024 Installment Payment will be paid to the Authority in lawful money of the United States of America. In the event that the City fails to make any of the payments which are required to be made by it under the Installment Purchase Agreement, such payment will continue as an obligation of the City until such amount has been fully paid, and the City has agreed to pay the same with interest accruing thereon at the rate or rates of interest then applicable to the remaining unpaid principal balance of the Series 2024 Installment Payments if paid in accordance with their terms.

The obligation of the City to make the Series 2024 Installment Payments is absolute and unconditional, and until such time as the Purchase Price has been paid in full (or provision for the payment thereof will have been made pursuant to the Installment Purchase Agreement), the City will not discontinue or suspend any Series 2024 Installment Payment which is required to be made by it under the Installment Purchase Agreement when due, whether or not the Water System or any part thereof is operating or operable or its use is suspended, interfered with, reduced or curtailed or terminated in whole or in part, and whether or not the 2024 Project has been completed, and such payments will not be subject to reduction whether by offset or otherwise and will not be conditional upon the performance or nonperformance by any party of any agreement for any cause whatsoever.

SECURITY

Pledge of Revenues. The Revenues, other amounts that are on deposit in the Revenue Fund and any other amounts (including proceeds of the sale of the 2024 Bonds) which are held in any fund or account that is established pursuant to the Installment Purchase Agreement (including the Rate Stabilization Fund) are irrevocably pledged to the payment of the Series 2024 Installment Payments. Except for the payment of the Operation and Maintenance Costs, the Revenues will not be used for any other purpose while any of the Series 2024 Installment Payments remain unpaid; provided that out of the Revenues there may be apportioned such sums for such purposes as are expressly permitted in the Installment Purchase Agreement. The foregoing pledge constitutes a first lien on Revenues, the Revenue Fund, the Rate Stabilization Fund and the other funds and accounts that are created under the Installment Purchase Agreement for the payment of the Series 2024 Installment Payments and all other Contracts and Bonds in accordance with the terms thereof and of the Indenture.

Allocation of Revenues. In order to carry out and effectuate the pledge and lien contained in the Installment Purchase Agreement, the City has agreed and covenanted that all Revenues will be received by the City in trust thereunder and deposited when and as received in a special fund designated as the "Revenue Fund," which fund has been created and which fund the City has agreed and covenanted to maintain and to hold separate and apart from other funds so long as any Contracts or Bonds remain unpaid. Moneys in the Revenue Fund will be used and applied by the City as provided in the Installment Purchase Agreement.

The City will, from the moneys in the Revenue Fund, pay all Operation and Maintenance Costs (including amounts which are reasonably required to be set aside in contingency reserves for Operation and Maintenance Costs, the payment of which is not then immediately required) as they become due and payable. All remaining moneys in the Revenue Fund will be set aside by the City at the following times in the following respective special funds in the following order of priority, and all moneys in each of such funds will be held in trust and will be applied, used and withdrawn only for the following purposes:

(a) Bond Payment Fund. On or before each Series 2024 Installment Payment Date, the City will, from remaining moneys in the Revenue Fund, transfer to the Trustee for deposit in the Bond Payment Fund an amount that is equal to the interest and principal payable and coming due on the 2024 Bonds on the next

succeeding Interest Payment Date. The City will also, from the moneys in the Revenue Fund, transfer to the applicable trustee for deposit in the applicable payment fund, without preference or priority, and in the event of any insufficiency of such moneys ratably without any discrimination or preference, any other Debt Service in accordance with the provisions of the Contract, Bond, resolution or indenture relating thereto.

Any moneys which are on deposit in the Bond Payment Fund on each Series 2024 Installment Payment Date (other than amounts that are required for the payment of past due principal or interest with respect to any 2024 Bonds not presented for payment) will be credited to the payment of the Series 2024 Installment Payments due and payable on such date. No deposit need be made in the Bond Payment Fund as Series 2024 Installment Payments if the amount in the Bond Payment Fund is at least equal to the amount of the Series 2024 Installment Payment that is due and payable on the next succeeding Series 2024 Installment Payment Date.

(b) Reserve Funds. On or before each Series 2024 Installment Payment Date, the City will, from remaining moneys in the Revenue Fund, thereafter, without preference or priority, and in the event of any insufficiency of such moneys ratably without any discrimination or preference, transfer to the Trustee for deposit in the Reserve Fund and to the applicable trustee for such other reserve funds and/or accounts, if any, as may have been established in connection with Bonds or Contracts other than the Installment Purchase Agreement, that sum, if any, necessary to restore the Reserve Fund or such other reserve funds and/or accounts to an amount equal to the Reserve Requirement or such other reserve requirements; provided, however that the City may provide for the Reserve Fund by means other than cash and Permitted Investments pursuant to the Indenture.

(c) Surplus. Moneys on deposit in the Revenue Fund which are not necessary to make any of the payments which are required above may be expended by the City at any time for any purpose permitted by law, including but not limited to transfers to the Rate Stabilization Fund.

Investments. All moneys which are held by the City in the Revenue Fund, the Rate Stabilization Fund and the Acquisition Fund will be invested in Permitted Investments, and the investment earnings thereon will remain on deposit in such fund, except as otherwise provided in the Installment Purchase Agreement.

Rate Stabilization Fund. There has been established with the City a fund to be known as the "Rate Stabilization Fund." The City has agreed and covenanted to maintain, so long as any 2024 Bonds remain outstanding, the Rate Stabilization Fund. There is $0 on deposit in the Rate Stabilization Fund as of the date of the initial issuance of the 2024 Bonds. The City may deposit amounts therein from time to time in its sole discretion. Amounts in the Rate Stabilization Fund will be disbursed, allocated and applied by the City solely to the uses and purposes described in the Installment Purchase Agreement, and will be accounted for separately and apart from all other accounts, funds, money or other resources of the City. The Rate Stabilization Fund and all amounts on deposit therein have been irrevocably pledged to the payment of the Bonds and Contracts as provided in the Installment Purchase Agreement; provided that amounts on deposit in the Rate Stabilization Fund may be apportioned for such purposes as are expressly permitted therein. The foregoing pledge constitutes a first lien on amounts on deposit in the Rate Stabilization Fund for the payment of Contracts and Bonds in accordance with the terms of the Installment Purchase Agreement.

The City may withdraw all or any portion of the amounts on deposit in the Rate Stabilization Fund from time to time and transfer such amounts to the Revenue Fund for application in accordance with the Installment Purchase Agreement. Amounts transferred from the Rate Stabilization Fund to the Revenue Fund pursuant to the Installment Purchase Agreement during or within 270 days after the end of a Fiscal Year may be taken into account as Revenues for purposes of the calculations, required for the additional debt test and rate covenant, in such Fiscal Year to the extent provided in the definition of "Revenues."

COVENANTS OF THE CITY

Compliance with Installment Purchase Agreement and Ancillary Agreements. The City will punctually pay the Series 2024 Installment Payments in strict conformity with the terms of the Installment Purchase

Agreement, and will faithfully observe and perform all of the agreements, conditions, covenants and terms contained therein which are required to be observed and performed by it, and will not terminate the Installment Purchase Agreement for any cause including, without limiting the generality of the foregoing, any acts or circumstances that may constitute failure of consideration, destruction of or damage to the 2024 Project, commercial frustration of purpose, any change in the tax or other laws of the United States of America or of the State of California or any political subdivision of either or any failure of the Authority to observe or perform any agreement, condition, covenant or term which is contained therein and required to be observed and performed by it, whether express or implied, or any duty, liability or obligation arising out of or connected therewith or the insolvency, or deemed insolvency, or bankruptcy or liquidation of the Authority or any force majeure, including acts of God, tempest, storm, earthquake, war, rebellion, riot, civil disorder, acts of public enemies, blockade or embargo, strikes, industrial disputes, lock outs, lack of transportation facilities, fire, explosion or acts or regulations of governmental authorities.

The City will faithfully observe and perform all of the agreements, conditions, covenants and terms which are required to be observed and performed by it pursuant to all outstanding Contracts and Bonds as such may from time to time be executed or issued, as the case may be.

Against Encumbrances. The City will not make any pledge of or place any lien on Revenues or the moneys in the Revenue Fund or the Rate Stabilization Fund except as provided in the Installment Purchase Agreement. In addition, the City may at any time, or from time to time, issue evidences of indebtedness or incur other obligations for any lawful purpose which are payable from and secured by a pledge of and lien on Revenues or any moneys in the Revenue Fund as may from time to time be deposited in the Installment Purchase Agreement (as provided therein), provided that such pledge and lien is subordinate in all respects to the pledge of and lien thereon provided therein.

Against Sale or Other Disposition of Property. So long as the Bonds are outstanding or any amounts are due and payable to the Insurer, the City will not sell, lease, transfer, encumber or otherwise dispose of the Water System or any material portion thereof or enter into any agreement or lease which impairs the operation of the Water System or any part thereof which is necessary to secure adequate Revenues for the payment of the Series 2024 Installment Payments, or which would otherwise impair the rights of the Authority under the Installment Purchase Agreement or the operation of the Water System, except upon obtaining the prior written consent of the Insurer. Any real or personal property which has become nonoperative or which is not needed for the efficient and proper operation of the Water System, or any material or equipment which has become worn out, may be sold if such sale will not impair the ability of the City to pay the Series 2024 Installment Payments and if the proceeds of such sale are deposited in the Revenue Fund.

Nothing in the Installment Purchase Agreement restricts the ability of the City to sell any portion of the Water System if such portion is immediately repurchased by the City and if such arrangement cannot by its terms result in the purchaser of such portion of the Water System exercising any remedy which would deprive the City of or otherwise interfere with its right to own and operate such portion of the Water System.

Against Competitive Facilities. The City will not, to the extent permitted by law, acquire, construct, maintain or operate and will not, to the extent permitted by law and within the scope of its powers, permit any other public or private agency, corporation, district or political subdivision or any person whomsoever to acquire, construct, maintain or operate within the City any water system competitive with the Water System.

Tax Covenants. Notwithstanding any other provision of the Installment Purchase Agreement, absent an opinion of Bond Counsel that the exclusion from gross income of the interest on the 2024 Bonds will not be adversely affected for federal income tax purposes, the City has covenanted to comply with all applicable requirements of the Code which are necessary to preserve such exclusion from gross income with respect to the 2024 Bonds and has specifically covenanted, without limiting the generality of the foregoing, as follows:

(a) Private Activity. The City will take no action and refrain from taking any action, and the City will make no use of the proceeds of the 2024 Bonds or of any other moneys or property, which would cause the 2024 Bonds to be "private activity bonds" within the meaning of Section 141 of the Code;

(b) Arbitrage. The City will make no use of the proceeds of the 2024 Bonds or of any other amounts or property, regardless of the source, and the City will not take any action or refrain from taking any action, which will cause the 2024 Bonds to be "arbitrage bonds" within the meaning of Section 148 of the Code;

(c) Federal Guarantee. The City will make no use of the proceeds of the 2024 Bonds, and the City will not take or omit to take any action, that would cause the 2024 Bonds to be "federally guaranteed" within the meaning of Section 149(b) of the Code;

(d) Information Reporting. The City will take or cause to be taken all necessary action to comply with the informational reporting requirement of Section 149(e) of the Code which is necessary to preserve the exclusion of interest on the 2024 Bonds pursuant to Section 103(a) of the Code;

(e) Hedge Bonds. The City will make no use of the proceeds of the 2024 Bonds or any other amounts or property, regardless of the source, and the City will not take any action and refrain from taking any action, that would cause the 2024 Bonds to be considered "hedge bonds" within the meaning of Section 149(g) of the Code unless the City takes all necessary action to assure compliance with the requirements of Section 149(g) of the Code to maintain the exclusion from gross income of interest on the 2024 Bonds for federal income tax purposes; and

(f) Miscellaneous. The City will not take any action or refrain from taking any action which is inconsistent with its expectations stated in the Tax Certificate executed by the City in connection with the issuance of the 2024 Bonds and will comply with the covenants and requirements that are stated therein and incorporated by reference in the Installment Purchase Agreement.

The foregoing tax covenants are not applicable to, and nothing that is contained in the Installment Purchase Agreement will be deemed to prevent the City from causing the Authority to issue revenue bonds or issuing bonds or executing and delivering contracts that are payable on a parity with the 2024 Bonds, the interest with respect to which has been determined to be subject to federal income taxation.

Prompt Acquisition. The City will take all necessary and appropriate steps to acquire the 2024 Project, as agent of the Authority, with all practicable dispatch and in an expeditious manner and in conformity with law so as to complete the same as soon as possible.

Maintenance and Operation of the Water System. The City will maintain and preserve the Water System in good repair and working order at all times, operate the Water System in an efficient and economical manner and pay all Operation and Maintenance Costs as they become due and payable.

Payment of Claims. The City will pay and discharge any and all lawful claims for labor, materials or supplies which, if unpaid, might become a lien on the Revenues or the funds or accounts created under the Installment Purchase Agreement or under the Indenture or on any funds in the hands of the City which are pledged to pay the Series 2024 Installment Payments or the Bonds, or which might impair the security of the Series 2024 Installment Payments.

Compliance with Contracts. The City will comply with, keep, observe and perform all agreements, conditions, covenants and terms, express or implied, which are required to be performed by it contained in all contracts for the use of the Water System and all other contracts affecting or involving the Water System, to the extent that the City is a party thereto.

Insurance.

(a) The City will procure and maintain or cause to be procured and maintained insurance on the Water System, excluding coverage for earthquake damage or destruction, with responsible insurers in such amounts and against such risks (including accident to or destruction of the Water System) as are usually covered in connection with facilities that are similar to the Water System, so long as such insurance is available at reasonable rates.

In the event of any damage to or destruction of the Water System caused by the perils covered by such insurance, the Net Proceeds thereof will be applied to the reconstruction, repair or replacement of the damaged or destroyed portion of the Water System. The City will begin such reconstruction, repair or replacement promptly after such damage or destruction occurs, and will continue and properly complete such reconstruction, repair or replacement as expeditiously as possible, and will pay out of such Net Proceeds all costs and expenses in connection with such reconstruction, repair or replacement so that the same are completed and the Water System will be free and clear of all claims and liens. The City has covenanted to reconstruct, repair or replace the damaged or destroyed portions of the Water System promptly if a failure to reconstruct, repair or replace such portions would impair or adversely affect the ability of the City to pay the Series 2024 Installment Payments.

(b) The City will procure and maintain such other insurance which it deems advisable or necessary to protect its interests and the interests of the Authority, which insurance will afford protection in such amounts and against such risks as are usually covered in connection with municipal water systems similar to the Water System.

(c) Any insurance that is required to be maintained by paragraph (a) above and, if the City determines to procure and maintain insurance pursuant to paragraph (b) above, such insurance, may be maintained under a self-insurance program so long as such self-insurance is maintained in the amounts and manner usually maintained in connection with water systems similar to the Water System, and is, in the opinion of an accredited actuary, actuarially sound.

All policies of insurance which are required to be maintained by the Installment Purchase Agreement must provide that the Authority or its assignee be given 30 days' written notice of any intended cancellation thereof or reduction of coverage provided thereby.

Annually on or before September 1 in each year, the Authority will provide the Trustee with a Certificate stating that the City is in full compliance with the foregoing insurance provisions. The Trustee is entitled to rely on any such Certificate as to the City's compliance with these provisions, and the Trustee has no further duties in that regard.

Accounting Records; Financial Statements and Other Reports.

(a) The City will keep appropriate accounting records in which complete and correct entries are made of all transactions relating to the Water System, which records will be available for inspection by the Authority and the Trustee at reasonable hours and under reasonable conditions.

(b) The City will prepare and file with the Authority or its assignee, annually within 270 days after the close of each Fiscal Year (commencing with the Fiscal Year ending June 30, 2024) financial statements of the City for the preceding Fiscal Year prepared in accordance with generally accepted accounting principles, together with an Accountant's Report thereon. The Trustee has no obligation to review any such financial statements.

Protection of Security and Rights of the Authority. The City will preserve and protect the security of the Installment Purchase Agreement and the rights of the Authority to the Series 2024 Installment Payments thereunder and will warrant and defend such rights against all claims and demands of all persons.

Payment of Taxes and Compliance with Governmental Regulations. The City will pay and discharge all taxes, assessments and other governmental charges which may later be lawfully imposed upon the Water System or any part thereof, or upon the Revenues when the same become due. The City will duly observe and conform with all valid regulations and requirements of any governmental authority relative to the operation of the Water System, or any part thereof, but the City is not required to comply with any regulations or requirements so long as the validity or application thereof is contested in good faith.

Amount of Rates and Charges.

(a) The City will, to the fullest extent permitted by law, fix and prescribe, at the commencement of each Fiscal Year, rates and charges for the Water Service which are reasonably expected, at the commencement of each Fiscal Year, to be at least sufficient to yield during each Fiscal Year Net Revenues equal to 120% of the Debt Service in such Fiscal Year. The City may make adjustments from time to time in such rates and charges and may make such classification thereof as it deems necessary, but will not reduce the rates and charges then in effect unless the Net Revenues from such reduced rates and charges will at all times be sufficient to meet the requirements as set forth in the Installment Purchase Agreement.

(b) So long as the City has complied with its obligations set forth in the Installment Purchase Agreement, the failure of Net Revenues to meet the thresholds set forth in the Installment Purchase Agreement will not constitute a default or an Event of Default under the Installment Purchase Agreement or under the Indenture.

Collection of Rates and Charges. The City will have in effect at all times bylaws, rules and regulations requiring each customer to pay the rates and charges applicable to the Water Service to such customer's land and providing for the billing thereof and for a due date and a delinquency date for each bill. In each case where such bill remains unpaid in whole or in part after it becomes delinquent, the City may discontinue such service from the Water System, and such service may not thereafter be recommenced except in accordance with City bylaws or rules, regulations and the laws of the State of California governing such situations of delinquency.

Eminent Domain Proceeds. If all or any part of the Water System are taken by eminent domain proceedings, the Net Proceeds thereof will be applied either to additions, betterments, extensions or improvements to the Water System or, if the City elects not to apply such Net Proceeds to such capital items or if such Net Proceeds are not fully expended for such purposes, such Net Proceeds which are not required by the City for such purposes will be deposited in the Revenue Fund.

Further Assurances. The City will adopt, deliver, execute and make any and all further assurances, instruments and resolutions as may be reasonably necessary or proper to carry out the intention or to facilitate the performance of the Installment Purchase Agreement and for the better assuring and confirming unto the Authority of the rights and benefits provided to it therein.

Enforcement of Contracts. So long as any of the 2024 Bonds are outstanding, the City will not voluntarily consent to or permit any rescission of, nor will it consent to any amendment to or otherwise take any action under or in connection with any contracts previously or later entered into if such rescission or amendment would in any manner impair or adversely affect the ability of the City to pay principal of and interest on the 2024 Bonds.

PREPAYMENT OF SERIES 2024 INSTALLMENT PAYMENTS

Prepayment.

(a) The City may prepay the Series 2024 Installment Payments as a whole, or in part, on February 1, 2034 or any date thereafter in the order of payment date as directed by the City, at a prepayment price equal

to the principal amount of the Series 2024 Installment Payments to be prepaid, together with accrued interest thereon to the date of prepayment, without premium.

(b) Notwithstanding any such prepayment, the City will not be relieved of its obligations under the Installment Purchase Agreement until the Purchase Price has been fully paid (or provision for payment thereof has been provided to the written satisfaction of the Authority).

Method of Prepayment. Before making any prepayment pursuant to the Installment Purchase Agreement, the City will, within five days following the event permitting the exercise of such right to prepay or creating such obligation to prepay, give written notice to the Authority and the Trustee describing such event and specifying the date on which the prepayment will be paid, which date must be not less than 60 (or such shorter number of days as is acceptable to the Trustee) days from the date that such notice is given.

EVENTS OF DEFAULT AND REMEDIES OF THE AUTHORITY

Events of Default and Acceleration of Maturities. If one or more of the following Events of Default happen:

(a) if default is made by the City in the due and punctual payment of any Series 2024 Installment Payment or any Contract or Bond when and as the same becomes due and payable;

(b) if default is made by the City in the performance of any of the agreements or covenants which are required by the Installment Purchase Agreement to be performed by it, and such default has continued for a period of 30 days after the City has been given notice in writing of such default by the Authority; provided, however, that if in the reasonable opinion of the City the default stated in the notice can be corrected, but not within such 30 day period, and corrective action is instituted by the City within such 30 day period and diligently pursued in good faith until the default is corrected, such default will not be an Event of Default under the Installment Purchase Agreement;

(c) if the City files a petition or answer seeking arrangement or reorganization under the federal bankruptcy laws or any other applicable law of the United States of America or any state therein, or if a court of competent jurisdiction approves a petition filed with or without the consent of the City seeking arrangement or reorganization under the federal bankruptcy laws or any other applicable law of the United States of America or any state therein, or if under the provisions of any other law for the relief or aid of debtors any court of competent jurisdiction assumes custody or control of the City or of the whole or any substantial part of its property; or

(d) if payment of the principal of any Contract or Bond is accelerated in accordance with its terms;

then and in each and every such case during the continuance of an Event of Default, the Authority will, by notice in writing to the City, with the prior written consent of the Insurer, so long as the Policy is in full force and effect and the Insurer has not defaulted on its obligations under the Policy and the Reserve Surety Policy, declare the entire principal amount of the unpaid Series 2024 Installment Payments and the accrued interest thereon to be due and payable immediately, and upon any such declaration the same will become immediately due and payable, anything contained in the Installment Purchase Agreement to the contrary notwithstanding. The foregoing, however, is subject to the condition that if at any time after the entire principal amount of the unpaid Series 2024 Installment Payments and the accrued interest thereon have been so declared due and payable, but before any judgment or decree for the payment of the moneys due has been obtained or entered, the City deposits with the Authority an amount that is sufficient to pay the unpaid principal amount of the Series 2024 Installment Payments or the unpaid payment of any other Contract or Bond referred to in clause (a) above due prior to such declaration and the accrued interest thereon, with interest on such overdue installments, at the rate or rates applicable to the remaining unpaid principal balance of the Series 2024 Installment Payments or such Contract or Bond if paid in accordance with their terms, and the reasonable expenses of the Authority, and any and all other defaults known to the Authority (other than in the payment of the entire principal amount of the

unpaid Series 2024 Installment Payments and the accrued interest thereon due and payable solely by reason of such declaration) has been made good or cured to the satisfaction of the Authority or provision deemed by the Authority to be adequate has been made therefor, then and in every such case the Authority, by written notice to the City, may rescind and annul such declaration and its consequences; but no such rescission and annulment will extend to or affect any subsequent default or impair or exhaust any right or power consequent thereon.

Application of Funds Upon Acceleration. Upon the date of the declaration of acceleration as provided in the Installment Purchase Agreement, all Revenues thereafter received by the City will be applied in the following order:

First, to the payment, without preference or priority, and in the event of any insufficiency of such Revenues ratably without any discrimination or preference, of the fees, costs and expenses of the Trustee and its assigns and thereafter to the Authority, as the case may be, in carrying out the default provisions of the Installment Purchase Agreement, including reasonable compensation to their respective accountants and counsel;

Second, to the payment of the Operation and Maintenance Costs; and

Third, to the payment, on a pro rata basis, of the entire principal amount of the unpaid Series 2024 Installment Payments and the unpaid principal amount of all Bonds and Contracts and the accrued interest thereon, with interest on the overdue installments at the rate or rates of interest applicable to the Series 2024 Installment Payments and such Bonds and Contracts if paid in accordance with their respective terms.

Other Remedies of the Authority. The Authority has the right:

(a) by mandamus or other action or proceeding or suit at law or in equity to enforce its rights against the City or any director, officer or employee thereof, and to compel the City or any such director, officer or employee to perform and carry out its or his or her duties under the laws of the State of California and the agreements and covenants required to be performed by it or him or her contained in the Installment Purchase Agreement;

(b) by suit in equity to enjoin any acts or things which are unlawful or violate the rights of the Authority; or

(c) by suit in equity upon the happening of an Event of Default to require the City and its directors, officers and employees to account as the trustee of an express trust.

Notwithstanding anything contained in the Installment Purchase Agreement, the Authority has no security interest in or mortgage on the 2024 Project, the Water System or other assets of the City and no default thereunder will result in the loss of the 2024 Project, the Water System or other assets of the City.

Non-Waiver. Nothing in the Installment Purchase Agreement affects or impairs the obligation of the City, which is absolute and unconditional, to pay the Series 2024 Installment Payments to the Authority at the respective due dates or upon prepayment from the Net Revenues, the Revenue Fund, the Rate Stabilization Fund and the other funds therein pledged for such payment, or affects or impairs the right of the Authority, which is also absolute and unconditional, to institute suit to enforce such payment by virtue of the contract embodied in the Installment Purchase Agreement.

A waiver of any default or breach of duty or contract by the Authority will not affect any subsequent default or breach of duty or contract or impair any rights or remedies on any such subsequent default or breach of duty or contract. No delay or omission by the Authority to exercise any right or remedy accruing upon any default or breach of duty or contract will impair any such right or remedy or be construed to be a waiver of any such default or breach of duty or contract or an acquiescence therein, and every right or remedy that is conferred

upon the Authority by the laws of the State of California or by the Installment Purchase Agreement may be enforced and exercised from time to time and as often as is deemed expedient by the Authority.

If any action, proceeding or suit to enforce any right or exercise any remedy is abandoned or determined adversely to the Authority, the City and the Authority will be restored to their former positions, rights and remedies as if such action, proceeding or suit had not been brought or taken.

Remedies Not Exclusive. No remedy that is conferred upon or reserved to the Authority in the Installment Purchase Agreement is intended to be exclusive of any other remedy, and each such remedy will be cumulative and in addition to every other remedy given thereunder or now or later existing in law or in equity or by statute or otherwise and may be exercised without exhausting and without regard to any other remedy conferred by the laws of the State of California or any other law.

Control by the Insurer Upon Default. Anything in the Installment Purchase Agreement or in the Indenture to the contrary notwithstanding, so long as the Policy is in full force and effect and the Insurer has not defaulted on its obligations under the Policy or the Reserve Surety Policy, upon the occurrence and continuance of a default or an Event of Default: (a) the Insurer will be entitled to control and direct the enforcement of all rights and remedies granted to the holders of the Bonds or the Trustee for the benefit of the holders of the Bonds under the Installment Purchase Agreement; (b) no default or Event of Default may be waived without the Insurer's written consent; and (c) the Insurer will be deemed to be the sole owner of the Bonds for all purposes of the Installment Purchase Agreement, including, without limitations, for purposes of exercising remedies and approving amendments.

DISCHARGE OF OBLIGATIONS

Discharge of Obligations. When:

(a) all or any portion of the Series 2024 Installment Payments have become due and payable in accordance with the Installment Purchase Agreement or a written notice of the City to prepay all or any portion of the Series 2024 Installment Payments has been filed with the Trustee; and

(b) there has been deposited with the Trustee at or prior to the Series 2024 Installment Payment Date or dates specified for prepayment, in trust for the benefit of the Authority or its assigns and irrevocably appropriated and set aside to the payment of all or any portion of the Series 2024 Installment Payments, sufficient moneys or a combination of sufficient moneys and non-callable Permitted Investments that are described in clause (A) of the definition thereof, the principal of and interest on which Permitted Investments when due will provide (together with any cash) money that is sufficient in the opinion of an Independent Certified Public Accountant to pay all principal, prepayment premium, if any, and interest of such Series 2024 Installment Payments to their respective Series 2024 Installment Payment Dates, as the case may be; and

(c) provision has been made for paying all fees and expenses of the Trustee, then and in that event, the right, title and interest of the Authority in the Installment Purchase Agreement and the obligations of the City thereunder will, with respect to all or such portion of the Series 2024 Installment Payments as have been so provided for, thereupon cease, terminate, become void and be completely discharged and satisfied (except for the right of the Trustee and the obligation of the City to have such moneys and such Permitted Investments applied to the payment of such Series 2024 Installment Payments).

In such event, upon request of the City, the Trustee will cause an accounting for such period or periods as may be requested by the City to be prepared and filed with the City and will execute and deliver to the City all such instruments as may be necessary or desirable to evidence such total or partial discharge and satisfaction, as the case may be, and, in the event of a total discharge and satisfaction, the Trustee will pay over to the City, after payment of all amounts due the Trustee pursuant to the Indenture, as an overpayment of Series 2024 Installment Payments, all such moneys or such Permitted Investments held by it pursuant to the Installment

Purchase Agreement, other than such moneys and such Permitted Investments as are required for the payment or prepayment of the Series 2024 Installment Payments, which moneys and Permitted Investments will continue to be held by the Trustee in trust for the payment of the Series 2024 Installment Payments and will be applied by the Trustee to the payment of the Series 2024 Installment Payments of the City.

MISCELLANEOUS

Benefits of Installment Purchase Agreement Limited to Parties. Nothing contained in the Installment Purchase Agreement, expressed or implied, is intended to give to any person other than the City, the Insurer and the Authority any right, remedy or claim under or pursuant thereto, and any agreement or covenant that is required therein to be performed by or on behalf of the City or the Authority will be for the sole and exclusive benefit of the other party. The insurer is recognized as and will be deemed to be a third party beneficiary of the Installment Purchase Agreement and may enforce the provisions thereof as if it were a party thereto.

Successor Is Deemed Included in all References to Predecessor. Whenever either the City or the Authority is named or referred to in the Installment Purchase Agreement, such reference will be deemed to include the successor to the powers, duties and functions that are presently vested in the City or the Authority, and all agreements and covenants which are required thereby to be performed by or on behalf of the City or the Authority will bind and inure to the benefit of the respective successors thereof whether so expressed or not.

Waiver of Personal Liability. No member, officer or employee of the City will be individually or personally liable for the payment of the Series 2024 Installment Payments, but nothing contained in the Installment Purchase Agreement will relieve any member, officer or employee of the City from the performance of any official duty provided by any applicable provisions of law or thereby.

Partial Invalidity. If any one or more of the agreements or covenants or portions thereof required by the Installment Purchase Agreement to be performed by or on the part of the City or the Authority is contrary to law, then such agreement or agreements, such covenant or covenants or such portions thereof will be null and void and will be deemed separable from the remaining agreements and covenants or portions thereof and will in no way affect the validity thereof. The City and the Authority have declared that they would have executed the Installment Purchase Agreement, and each and every other article, section, paragraph, subdivision, sentence, clause and phrase thereof irrespective of the fact that any one or more articles, sections, paragraphs, subdivisions, sentences, clauses or phrases thereof or the application thereof to any person or circumstance may be held to be unconstitutional, unenforceable or invalid.

Assignment. The Installment Purchase Agreement and any rights thereunder may be assigned by the Authority, as a whole or in part, without the necessity of obtaining the prior consent of the City. In addition to the rights and remedies assigned by the Authority to the Trustee, to the extent that the Indenture and the Installment Purchase Agreement confer upon or give or grant to the Trustee any right, remedy or claim under or by reason of the Indenture or the Installment Purchase Agreement, the Trustee has been explicitly recognized as being a third party beneficiary under the Installment Purchase Agreement and may enforce any such right, remedy or claim conferred given or granted.

Net Contract. The Installment Purchase Agreement will be deemed and construed to be a net contract, and the City will pay absolutely net during the term thereof the Series 2024 Installment Payments and all other payments required thereunder, free of any deductions and without abatement, diminution or set-off whatsoever.

California Law. THE INSTALLMENT PURCHASE AGREEMENT WILL BE CONSTRUED AND GOVERNED IN ACCORDANCE WITH THE LAWS OF THE STATE OF CALIFORNIA.

Effective Date. The Installment Purchase Agreement will become effective upon its execution and delivery, and will terminate when the Purchase Price has been fully paid (or provision for the payment thereof has been made to the written satisfaction of the Authority).

Indemnification of Authority. The City has agreed to indemnify and hold harmless the Authority and its assigns and its officers and directors if and to the extent permitted by law, from and against all claims, advances, damages and losses, including legal fees and expenses, arising out of or in connection with the acceptance or the performance of its duties under the Installment Purchase Agreement and under the Indenture; provided that no indemnification will be made for willful misconduct, negligence or breach of an obligation under the Installment Purchase Agreement or under the Indenture by the Authority.

Amendments Permitted.

(a) The Installment Purchase Agreement and the rights and obligations of the Authority and the City and of the Owners of the 2024 Bonds and of the Trustee may be modified or amended at any time by an amendment thereto which will become binding upon the prior written consents of the Insurer, so long as the Policy is in full force and effect and the Insurer has not defaulted on its obligations under the Policy or the Reserve Surety Policy, and the Owners of a majority in aggregate principal amount of the 2024 Bonds then Outstanding, exclusive of 2024 Bonds disqualified as provided in the Indenture. No such modification or amendment may: (1) extend the fixed maturity of any 2024 Bonds, or reduce the amount of principal thereof or premium (if any) thereon, or extend the time of payment, or change the rate of interest or the method of computing the rate of interest thereon, or extend the time of payment of interest thereon, without the consent of the Owner of each 2024 Bond so affected; or (2) reduce the aforesaid percentage of 2024 Bonds the consent of the Owners of which is required to affect any such modification or amendment, or permit the creation of any lien on the Revenues and other assets pledged under the Installment Purchase Agreement prior to or on a parity with the lien created by the Installment Purchase Agreement except as permitted in the Installment Purchase Agreement, or deprive the Owners of the 2024 Bonds of the lien created by the Indenture on such Revenues and other assets except as permitted in the Installment Purchase Agreement, without the consent of the Owners of all of the 2024 Bonds then Outstanding.

(b) The Installment Purchase Agreement and the rights and obligations of the Authority and the City and of the Owners of the 2024 Bonds may also be modified or amended at any time by an amendment thereto which will become binding upon adoption, without the consent of the Owners of any 2024 Bonds or the Insurer, but only to the extent permitted by law and only for any one or more of the following purposes: (1) to add to the covenants and agreements of the City contained in the Installment Purchase Agreement other covenants and agreements thereafter to be observed, to pledge or assign additional security for the 2024 Bonds (or any portion thereof), or to surrender any right or power therein reserved to or conferred upon the City; (2) to make such provisions for the purpose of curing any ambiguity, inconsistency or omission, or of curing or correcting any defective provision, contained in the Installment Purchase Agreement, or in regard to matters or questions arising under the Installment Purchase Agreement, as the City may deem necessary or desirable; (3) to modify, amend or supplement the Installment Purchase Agreement in such manner as to cause interest on the 2024 Bonds to remain excludable from gross income under the Code; and (4) to facilitate the issuance of additional Bonds or Contracts in accordance with the terms hereof. No amendment without consent of the Owners may modify any of the rights or obligations of the Trustee without the written consent thereto.

Consent of the Insurer in Addition to Bondholder Consent. Notwithstanding anything to the contrary set forth in the Installment Purchase Agreement or the Indenture, whenever any provision of the Installment Purchase Agreement requires the consent of holders of Bonds, the Insurer's consent will also be required so long as the Policy is in full force and effect and the Insurer has not defaulted on its obligations thereunder. In addition, any amendment, supplement, modification to, or waiver of, any provision of the Installment Purchase Agreement that adversely affects the rights or interests of the Insurer will be subject to the prior written consent of the Insurer.

No contract may be entered into or any action taken by which the rights of the Insurer or (so long as the Policy is in full force and effect and the Insurer has not defaulted on its obligations thereunder) security for or source of payment of the Bonds may be impaired or prejudiced in any material respect except upon obtaining the prior written consent of the Insurer.

Insolvency. Any reorganization or liquidation plan with respect to the City must be acceptable to the Insurer, so long as the Policy is in full force and effect and the Insurer has not defaulted on its obligations thereunder. So long as the Policy is in full force and effect and the Insurer has not defaulted on its obligations thereunder, each owner of the Bonds appoints the Insurer as its agent and attorney-in-fact with respect to the Bonds and agrees that the Insurer may at any time during the continuation of Insolvency Proceeding direct all matters relating to such Insolvency Proceeding, including without limitation: (a) all matters relating to any Claim; (b) the direction of any appeal of any order relating to any Claim; (c) the posting of any surety, supersedeas or performance bond pending any such appeal; and (d) the right to vote to accept or reject any plan of adjustment. In addition, each owner of the Bonds delegates and assigns to the Insurer, so long as the Policy is in full force and effect and the Insurer has not defaulted on its obligations thereunder, to the fullest extent permitted by law, the rights of each owner of the Bonds with respect to the Bonds in the conduct of any Insolvency Proceeding, including, without limitation, all rights of any party to an adversary proceeding or action with respect to any court order issued in connection with any such Insolvency Proceeding.

INDENTURE

DEFINITIONS; CONTENT OF CERTIFICATES AND OPINIONS

Definitions. Unless the context otherwise requires, the terms that are defined in the Indenture will, for all purposes of the Indenture and of any indenture supplemental thereto and of any certificate, opinion or other document therein mentioned, have the meanings therein specified, to be equally applicable to both the singular and plural forms of any of the terms therein defined. Unless the context otherwise requires, all capitalized terms that are used in the Indenture and not defined have the meanings that are ascribed thereto in the Installment Purchase Agreement.

Administrative Costs. The term "Administrative Costs" means fees and expenses of the Insurer's agents, attorneys, accountants, consultants, appraisers and auditors and reasonable costs of investigations, in connection with the administration (including waivers and consents, if any), enforcement, defense, exercise or preservation of any rights and remedies in respect of the Installment Purchase Agreement and the Indenture.

Authority. The term "Authority" means the Monterey Park Financing Authority, a public body that is duly organized and existing under the JPA Agreement, and under the Constitution and laws of the State of California.

Authority Revenues. The term "Authority Revenues" means: (a) all Series 2024 Installment Payments received by the Authority or the Trustee pursuant to or with respect to the Installment Purchase Agreement; and (b) all interest or gain derived from the investment of amounts in any of the funds or accounts established under the Indenture.

Authorized Representative. The term "Authorized Representative" means with respect to the Authority, its Chair, Vice Chair, Executive Director and Treasurer or any other person designated as an Authorized Representative of the Authority by a Certificate of the Authority signed by its Chair, Vice Chair, Executive Director or Treasurer and filed with the Trustee.

Bond Counsel. The term "Bond Counsel" means Stradling, Yocca, Carlson & Rauth LLP, or another firm of nationally recognized attorneys experienced in the issuance of obligations the interest on which is excludable from gross income under Section 103 of the Code.

Bond Payment Fund. The term "Bond Payment Fund" means the fund by that name established pursuant to the Indenture.

Bond Year. The term "Bond Year" has the meaning that is given to such term in the Tax Certificate.

Bonds. The term "Bonds" means the Water Revenue Bonds, Series 2024 issued by the Authority and at any time Outstanding pursuant to the Indenture.

Business Day. The term "Business Day" means: (i) a day which is not a Saturday, Sunday or legal holiday on which banking institutions in the State, or in any other state in which the Office of the Trustee is located, are closed; or (ii) a day on which the New York Stock Exchange is not closed.

Certificate; Direction; Request; Requisition. The terms "Certificate," "Direction," "Request," and "Requisition" of the Authority mean a written certificate, direction, request or requisition signed in the name of the Authority by its Authorized Representative. Any such instrument and supporting opinions or representations, if any, may, but need not, be combined in a single instrument with any other instrument, opinion or representation, and the two or more so combined will be read and construed as a single instrument. If and to the extent required by the Indenture, each such instrument will include the statements that are provided for in the Indenture.

City. The term "City" means the City of Monterey Park, a municipal corporation that is duly organized and existing under and by virtue of the general laws of the State.

Claim. The term "Claim" means any claim or enforcement proceeding in connection with an Insolvency Proceeding.

Closing Date. The term "Closing Date" means the date on which the Bonds are delivered to the original purchaser thereof.

Code. The term "Code" means the Internal Revenue Code of 1986, as amended.

Costs of Issuance. The term "Costs of Issuance" means all items of expense directly or indirectly payable by or reimbursable to the Authority and related to the authorization, issuance, sale and delivery of the Bonds, including but not limited to costs of preparation and reproduction of documents, printing expenses, filing and recording fees, initial fees and charges of the Trustee and counsel to the Trustee, legal fees and charges, fees and disbursements of attorneys, consultants and other professionals, rating agency fees, title insurance premiums, letter of credit fees and bond insurance premiums (if any), fees and charges for preparation, execution and safekeeping of the Bonds and any other cost, charge or fee in connection with the original issuance of the Bonds.

Costs of Issuance Fund. The term "Costs of Issuance Fund" means the fund by that name established pursuant to the Indenture.

Depository; DTC. The terms "Depository" and "DTC" mean The Depository Trust Company, New York, New York, a limited purpose trust company that is organized under the laws of the State of New York, in its capacity as securities depository for the Bonds.

Event of Default. The term "Event of Default" means any of the events that are specified as such in the Indenture.

Federal Securities. The term "Federal Securities" means any direct, noncallable general obligations of the United States of America (including obligations issued or held in book-entry form on the books of the Department of the Treasury of the United States of America), or noncallable obligations the timely payment of principal of and interest on which are fully and unconditionally guaranteed by the United States of America.

Fitch. The term "Fitch" means Fitch Ratings, Inc., or any successor thereto.

Government Code. The term "Government Code" means the Government Code of the State.

Indenture. The term "Indenture" means the Indenture of Trust, dated as of May 1, 2024, by and between the Authority and the Trustee, as originally executed or as it may from time to time be supplemented, modified or amended by any Supplemental Indenture.

Information Services. The term "Information Services" means the Municipal Securities Rulemaking Board; or, in accordance with then-current guidelines of the Securities and Exchange Commission, such other services providing information with respect to called bonds as the Authority may specify in a certificate to the Authority and the Trustee as the Trustee may select.

Insolvency Proceeding. The term "Insolvency Proceeding" means any proceeding by or against the Authority or the City under the United States Bankruptcy Code or any other applicable bankruptcy, insolvency, receivership, rehabilitation or similar law.

Installment Purchase Agreement. The term "Installment Purchase Agreement" means the Installment Purchase Agreement, dated as of the date of the Indenture, by and between the Authority and the City, as amended from time to time.

Insurer. The term "Insurer" means Build America Mutual Assurance Company, or any successor thereto.

Insurer Default. The term "Insurer Default" means: (i) the Insurer has failed to make any payment under the Policy when due and owing in accordance with its terms; (ii) the Insurer will: (a) voluntarily commence any proceeding or file any petition seeking relief under the United States Bankruptcy Code or any other Federal, state or foreign bankruptcy, insolvency or similar law; (b) consent to the institution of or fail to controvert in a timely and appropriate manner, any such proceeding or the filing of any such petition; (c) apply for or consent to the appointment of a receiver, trustee, custodian, sequestrator or similar official for such party or for a substantial part of its property; (d) file an answer admitting the material allegations of a petition filed against it in any such proceeding; (e) make a general assignment for the benefit of creditors; or (f) take action for the purpose of effecting any of the foregoing; or (iii) any state or federal agency or instrumentality will order the suspension of payments on the Policy or will obtain an order or grant approval for the rehabilitation, liquidation, conservation or dissolution of the Insurer (including without limitation under the New York Insurance Law).

Insurer Policy Payment. The term "Insurer Policy Payment" means sum equal to the total of all amounts paid by the Insurer under the Policy.

Insurer Policy Payment Account. The term "Insurer Policy Payment Account" means the account by that name established and held by the Trustee pursuant to the Indenture, to be used only to make scheduled payments of principal of and interest on the Bonds.

Insurer Reimbursement Amounts. The term "Insurer Reimbursement Amounts" means a sum equal to the total of all the Insurer Policy Payments and interest on such Insurer Policy Payments form the date paid by the Insurer until payment thereof in full by the Authority, payable to the Insurer at the Late Payment Rate per annum.

Interest Account. The term "Interest Account" means the account by that name in the Bond Payment Fund established pursuant to the Indenture.

Interest Payment Date. The term "Interest Payment Date" means February 1 and August 1 each year, commencing August 1, 2024.

Investment Agreement. The term "Investment Agreement" means an investment agreement by a provider, supported by appropriate opinions of counsel, provided that any such Investment Agreement must: (i) be from a provider rated by S&P or Moody's at "A-" or "A3", respectively, or above; (ii) require the Authority

or the City to terminate such agreement and immediately reinvest the proceeds thereof in other Permitted Investments if the rating assigned to the provider by S&P or Moody's falls to "BBB" or "Baa2", respectively, or below; and (iii) expressly permit the withdrawal, without penalty, of any amounts necessary at any time to fund any deficiencies on account of debt service requirements with respect to the Bonds, together with such amendments as may be approved by the Authority and the Trustee from time to time.

Letter of Representations. The term "Letter of Representations" means the letter of the Authority delivered to and accepted by the Depository on or prior to delivery of the Bonds as book-entry bonds setting forth the basis on which the Depository serves as depository for such book-entry bonds, as originally executed or as it may be supplemented or revised or replaced by a letter from the Authority delivered to and accepted by the Depository.

Moody's. The term "Moody's" means Moody's Investors Service, Inc. or any successor thereto.

Nominee. The term "Nominee" means the nominee of the Depository, which may be the Depository, as determined from time to time pursuant to the Indenture.

Office. The term "Office" means with respect to the Trustee, the principal corporate trust office of the Trustee at 633 West Fifth Street, 24th Floor, Los Angeles, California 90071, Attention: Corporate Trust, Reference: Monterey Park 2024 Water Revenue Bonds, or at such other or additional offices as may be specified in writing by the Trustee to the Authority, except that with respect to presentation of Bonds for payment or for registration of transfer and exchange such term means the office or agency of the Trustee at which, at any particular time, its corporate trust agency business is conducted.

Outstanding. The term "Outstanding," when used as of any particular time with reference to Bonds, means (subject to the provisions of the Indenture) all Bonds theretofore, or thereupon being, authenticated and delivered by the Trustee under the Indenture except: (i) Bonds theretofore canceled by the Trustee or surrendered to the Trustee for cancellation; (ii) Bonds with respect to which all liability of the Authority has been discharged in accordance with the Indenture, including Bonds (or portions thereof) described under the caption "MISCELLANEOUS—Money Held for Particular Bonds;" and (iii) Bonds for the transfer or exchange of or in lieu of or in substitution for which other Bonds have been authenticated and delivered by the Trustee pursuant to the Indenture.

Owner; Bond Owner. The terms "Owner" or "Bond Owner," whenever used in the Indenture with respect to a Bond, mean the person in whose name the ownership of such Bond is registered on the Registration Books.

Participants. The term "Participants" means those broker-dealers, banks and other financial institutions from time to time for which the Depository holds book-entry certificates as securities depository.

Permitted Investments. The term "Permitted Investments" means any of the following which at the time of investment are legal investments under the laws of the State for the moneys proposed to be invested therein (provided that the Trustee is entitled to rely upon any written Request from the Authority as conclusive certification that the investments described therein are so authorized under the laws of the State):

(A) for all purposes, including: (i) as defeasance investments in refunding escrow accounts; and (ii) for the purpose of investing (and receiving premium credit for) accrued and capitalized interest: (1) cash; or (2) Federal Securities; and

(B) for all purposes other than: (i) defeasance investments in refunding escrow accounts; and (ii) investing (and receiving credit for) accrued and capitalized interest: (1) obligations of any of the following federal agencies which obligations represent full faith and credit of the United States of America, including the Export -Import Bank; Farmers Home Administration; General Services Administration; U.S. Maritime

Administration; Small Business Administration; Government National Mortgage Association (GNMA); U.S. Department of Housing & Urban Development (PHAs); and Federal Housing Administration; (2) bonds, notes or other evidences of indebtedness rated "AAA" and "Aaa" by the applicable Rating Agency issued by the Federal National Mortgage Association or the Federal Home Loan Mortgage Corporation with remaining maturities not exceeding three years; (3) U.S. dollar denominated deposit accounts, demand deposits, including interest bearing money market accounts, trust funds, trust accounts, overnight bank deposits, interest-bearing deposits, other deposit products, certificates of deposit, federal funds and banker's acceptances with domestic commercial banks, which may include the Trustee and its affiliates, which: (I) have a rating on their short term certificates of deposit on the date of purchase of "A -1" or "A -1+" by S&P and "P -1" by Moody's; or (II) deposits insured by the Federal Deposit Insurance Corporation maturing no more than 360 days after the date of purchase (ratings on holding companies are not considered as the rating of the bank); (4) commercial paper which is rated at the time of purchase in the single highest classification, "A -1+" by S&P and "P -1" by Moody's and which matures not more than 270 days after the date of purchase; (5) investments in a money market fund rated "AAAm," "AAAm-G," "AAm" or "Aam-G" or better by S&P, including funds for which the Trustee or its affiliates receives and retains a fee for services provided to the fund, whether as a custodian, transfer agent, investment advisor or otherwise; (6) pre-refunded municipal obligations defined as follows: any bonds or other obligations of any state of the United States of America or of any agency, instrumentality or local governmental unit of any such state which are not callable at the option of the obligor prior to maturity or as to which irrevocable instructions have been given by the obligor to call on the date specified in the notice and which are rated, based on the escrow, in the highest rating category of S&P and Moody's, or any successor thereto; (7) any Investment Agreement; (8) the Local Agency Investment Fund of the State of California; and (9) any other investment permitted by law.

Policy. The term "Policy" means the Municipal Bond Insurance Policy issued by the Insurer, which guarantees the scheduled payment of principal of and interest on the Bonds when due.

Policy Payment. The term "Insurer Policy Payment" means sum equal to the total of all amounts paid by the Insurer under the Policy.

Policy Payment Account. The term "Insurer Policy Payment Account" means the account by that name established and held by the Trustee pursuant to the Indenture to be used only to make scheduled payments of principal of and interest on the Bonds.

Policy Reimbursement Amounts. The term "Insurer Reimbursement Amounts" means a sum equal to the total of all Insurer Policy Payments and interest on such Insurer Policy Payments from the date paid by the Insurer until payment thereof in full by the Authority, payable to the Insurer at the Late Payment Rate per annum.

Principal Account. The term "Principal Account" means the account by that name in the Bond Payment Fund established pursuant to the Indenture.

Rating Agencies. The term "Rating Agencies" means S&P, Moody's and Fitch.

Rebate Fund. The term "Rebate Fund" means the fund by that name established pursuant to the Indenture.

Record Date. The term "Record Date" means, with respect to any Interest Payment Date, the fifteenth day of the calendar month preceding such Interest Payment Date, whether or not such day is a Business Day.

Redemption Date. The term "Redemption Date" means the date fixed for an optional redemption prior to maturity of the Bonds.

Redemption Fund. The term "Redemption Fund" means the fund by that name established pursuant to the Indenture.

Redemption Price. The term "Redemption Price" means, with respect to any Bond (or portion thereof), the principal amount of such Bond (or portion) plus the interest accrued to the applicable Redemption Date and the applicable premium, if any, payable upon redemption thereof pursuant to the provisions of such Bond and the Indenture.

Registration Books. The term "Registration Books" means the records maintained by the Trustee for the registration of ownership and registration of transfer of the Bonds pursuant to the Indenture.

Reserve Fund. The term "Reserve Fund" means the fund by that name established pursuant to the Indenture.

Reserve Surety Policy. The term "Reserve Surety Policy" means the municipal bond debt service reserve insurance policy issued by the Insurer and deposited in the Reserve Fund to satisfy the Reserve Requirement.

Responsible Officer of the Trustee. The term "Responsible Officer of the Trustee" means any officer within the corporate trust division (or any successor group or department of the Trustee) including any vice president, assistant vice president, assistant secretary or any other officer or assistant officer of the Trustee customarily performing functions similar to those performed by the persons who at the time are such officers, respectively, with responsibility for the administration of the Indenture.

S&P. The term "S&P" means S&P Global Ratings, a Standard & Poor's Financial Services LLC business, or any successor thereto.

Securities Depositories. The term "Securities Depositories" means The Depository Trust Company; and, in accordance with then current guidelines of the Securities and Exchange Commission, such other securities depositories as the Authority may designate in a Request of the Authority delivered to the Trustee.

State. The term "State" means the State of California.

Supplemental Indenture. The term "Supplemental Indenture" means any indenture that is later duly authorized and entered into between the Authority and the Trustee, supplementing, modifying or amending the Indenture; but only if and to the extent that such Supplemental Indenture is specifically authorized under the Indenture.

Tax Certificate. The term "Tax Certificate" means the Tax Certificate dated the Closing Date, concerning certain matters pertaining to the use and investment of proceeds of the Bonds issued by the Authority on the date of issuance of the Bonds, including any and all exhibits attached thereto.

Trustee. The term "Trustee" means U.S. Bank Trust Company, National Association, a national banking association duly organized and existing under the laws of the United States of America, or its successor, as Trustee in the Indenture as provided therein.

Content of Certificates and Opinions. Every certificate or opinion that is provided for in the Indenture, except the certificate of destruction that is provided for therein, with respect to compliance with any provision of the Indenture must include: (1) a statement that the person making or giving such certificate or opinion has read such provision and the definitions in the Indenture relating thereto; (2) a brief statement as to the nature and scope of the examination or investigation upon which the certificate or opinion is based; (3) a statement that, in the opinion of such person he or she has made or caused to be made such examination or investigation as is necessary to enable such person to express an informed opinion with respect to the subject matter referred to in the instrument to which such person's signature is affixed; (4) a statement of the assumptions upon which such certificate or opinion is based, and that such assumptions are reasonable; and (5) a statement as to whether, in the opinion of such person, such provision has been complied with.

Any such certificate or opinion that is made or given by an officer of the Authority may be based, insofar as it relates to legal or accounting matters, upon a certificate or opinion of or representation by counsel or an Independent Certified Public Accountant, unless such officer knows, or in the exercise of reasonable care should have known, that the certificate, opinion or representation with respect to the matters upon which such certificate or statement may be based, as aforesaid, is erroneous. Any such certificate or opinion made or given by counsel or an Independent Certified Public Accountant may be based, insofar as it relates to factual matters (with respect to which information is in the possession of the Authority) upon a certificate or opinion of or representation by an officer of the Authority, unless such counsel or Independent Certified Public Accountant knows, or in the exercise of reasonable care should have known, that the certificate or opinion or representation with respect to the matters upon which such person's certificate or opinion or representation may be based, as aforesaid, is erroneous. The same officer of the Authority, or the same counsel or Independent Certified Public Accountant, as the case may be, need not certify to all of the matters that are required to be certified under any provision of the Indenture, but different officers, counsel or Independent Certified Public Accountants may certify to different matters, respectively.

THE BONDS

Interest on the Bonds will be payable on each Interest Payment Date to the person whose name appears on the Registration Books as the Owner thereof as of the Record Date immediately preceding each such Interest Payment Date, such interest to be paid by check of the Trustee sent by first class mail on the applicable Interest Payment Date to the Owner at the address of such Owner as it appears on the Registration Books (except that in the case of an Owner of $1,000,000 or more in principal amount, such payment may, at such Owner's option, be made by wire transfer of immediately available funds to an account in the United States in accordance with written instructions provided to the Trustee by such Owner prior to the Record Date). Principal of and premium (if any) on any Bond will be paid by check of the Trustee upon presentation and surrender thereof at maturity or upon the prior redemption thereof, at the Office of the Trustee. Both the principal of and interest and premium (if any) on the Bonds will be payable in lawful money of the United States of America.

Each Bond will be dated the date of initial delivery, and will bear interest from the Interest Payment Date next preceding the date of authentication thereof unless: (a) it is authenticated after a Record Date and on or before the following Interest Payment Date, in which event it will bear interest from such Interest Payment Date; or (b) unless it is authenticated on or before July 15, 2024, in which event it will bear interest from the date of initial delivery; provided, however, that if, as of the date of authentication of any Bond, interest thereon is in default, such Bond will bear interest from the Interest Payment Date to which interest has previously been paid or made available for payment thereon. Interest on the Bonds will be calculated on the basis of a 360-day year composed of twelve 30-day months.

Prior to any transfer of the Bonds outside the book-entry system (including, but not limited to, the initial transfer outside the book-entry system) the transferor will provide or cause to be provided to the Trustee all information necessary to allow the Trustee to comply with any applicable tax reporting obligations, including without limitation any cost basis reporting obligations under Section 6045 of the Code, as amended. The Trustee will conclusively rely on the information provided to it and has no responsibility to verify or ensure the accuracy of such information.

Registration Books. The Trustee will keep or cause to be kept, at the Office of the Trustee, records for the registration and transfer of ownership of the Bonds, which will upon reasonable notice and at reasonable times be open to inspection during regular business hours by the Authority, the City and the Owners; and, upon presentation for such purpose, the Trustee will, under such reasonable regulations as it may prescribe, register or transfer or cause to be registered or transferred, on such records, the ownership of the Bonds as provided in the Indenture.

The person in whose name any Bond is registered will be deemed the Owner thereof for all purposes of the Indenture, and payment of or on account of the interest on and principal and Redemption Price of such Bonds

will be made only to or upon the order in writing of such registered Owner, which payments will be valid and effectual to satisfy and discharge liability upon such Bond to the extent of the sum or sums so paid.

Form and Execution of Bonds. The Bonds will be in substantially the form set forth in the Indenture. The Bonds will be executed in the name and on behalf of the Authority with the manual or facsimile signature of its Chair or Executive Director, and attested by the manual or facsimile signature of its Secretary. The Bonds may carry a seal, and such seal may be in the form of a facsimile of the Authority's seal and may be reproduced, imprinted or impressed on the Bonds. The Bonds will then be delivered to the Trustee for authentication by it. In case any of the officers who will have signed or attested any of the Bonds will cease to be such officer or officers of the Authority before the Bonds so signed or attested will have been authenticated or delivered by the Trustee, or issued by the Authority, such Bonds may nevertheless be authenticated, delivered and issued and, upon such authentication, delivery and issue, will be as binding upon the Authority as though those who signed and attested the same had continued to be such officers of the Authority, and any Bonds may be signed and attested on behalf of the Authority by those persons who at the actual date of execution of such Bonds are the proper officers of the Authority although at the nominal date of such Bonds any such person will not have been such officer of the Authority.

Only such of the Bonds as will bear thereon a certificate of authentication substantially in the form set forth in the Indenture, manually executed by the Trustee, will be valid or obligatory for any purpose or entitled to the benefits of the Indenture, and such certificate of or on behalf of the Trustee will be conclusive evidence that the Bonds so authenticated have been duly executed, authenticated and delivered thereunder and are entitled to the benefits of the Indenture.

Bonds Mutilated, Lost, Destroyed or Stolen. If any Bond becomes mutilated, the Authority, at the expense of the Owner of said Bond, will execute, and the Trustee will thereupon authenticate and deliver, a new Bond of like tenor, series and authorized denomination in exchange and substitution for the Bonds so mutilated, but only upon surrender to the Trustee of the Bond so mutilated. Every mutilated Bond so surrendered to the Trustee will be canceled by it and upon the written request of the Authority delivered to, or upon the order of, the Authority. If any Bond is lost, destroyed or stolen, evidence of such loss, destruction or theft may be submitted to the Trustee and, if such evidence is satisfactory to the Trustee and indemnity satisfactory to the Trustee is given, the Authority, at the expense of the Owner, will execute, and the Trustee will thereupon authenticate and deliver, a new Bond of like tenor, series and authorized denomination in lieu of and in substitution for the Bond so lost, destroyed or stolen (or if any such Bond has matured or is about to mature, instead of issuing a substitute Bond, the Trustee may pay the same without surrender thereof). The Authority may require payment by the Owner of a sum not exceeding the actual cost of preparing each new Bond issued under the Indenture and of the expenses which may be incurred by the Authority and the Trustee in the premises. Any Bond issued under the provisions of the Indenture in lieu of any Bond alleged to be lost, destroyed or stolen will constitute an original additional contractual obligation on the part of the Authority whether or not the Bond so alleged to be lost, destroyed, or stolen be at any time enforceable by anyone, and will be entitled to the benefits of the Indenture with all other Bonds secured by the Indenture. Notwithstanding any other provision of the Indenture, in lieu of delivering a new Bond for a Bond which has been mutilated, lost, destroyed or stolen and which has matured or has been selected for redemption, the Trustee may make payment of such Bond upon receipt of indemnity satisfactory to the Trustee.

Book-Entry System.

(a) Election of Book-Entry System. Prior to the issuance of the Bonds, the Authority may provide that such Bonds be initially issued as book-entry Bonds. If the Authority elects to deliver any Bonds in book-entry form, then the Authority will cause the delivery of a separate single fully registered bond (which may be typewritten) for each maturity date of such Bonds in an authorized denomination corresponding to that total principal amount of the Bonds designated to mature on such date. Upon initial issuance, the ownership of each such Bond will be registered in the Bond Registration Books in the name of the Nominee, as nominee of the

Depository, and ownership of the Bonds, or any portion thereof may not thereafter be transferred except as provided in the Indenture.

With respect to book-entry Bonds, the Authority and the Trustee have no responsibility or obligation to any Participant or to any person on behalf of which such a Participant holds an interest in such book-entry Bonds. Without limiting the immediately preceding sentence, the Authority and the Trustee have no responsibility or obligation with respect to: (i) the accuracy of the records of the Depository, the Nominee, or any Participant with respect to any ownership interest in book-entry Bonds; (ii) the delivery to any Participant or any other person, other than an Owner as shown in the Bond Registration Books, of any notice with respect to book-entry Bonds, including any notice of redemption; (iii) the selection by the Depository and its Participants of the beneficial interests in book-entry Bonds to be redeemed in the event that the Authority redeems the Bonds in part; or (iv) the payment by the Depository or any Participant or any other person of any amount of principal of, premium, if any, or interest on book-entry Bonds. The Authority and the Trustee may treat and consider the person in whose name each book-entry Bond is registered in the Bond Registration Books as the absolute Owner of such book-entry Bond for the purpose of payment of principal of, premium and interest on such Bond, for the purpose of giving notices of redemption and other matters with respect to such Bond, for the purpose of registering transfers with respect to such Bond and for all other purposes whatsoever. The Trustee will pay all principal of, premium, if any, and interest on the Bonds only to or upon the order of the respective Owner, as shown in the Bond Registration Books, or his or her respective attorney duly authorized in writing, and all such payments will be valid and effective to fully satisfy and discharge the Authority's obligations with respect to payment of principal of, premium, if any, and interest on the Bonds to the extent of the sum or sums so paid. No person other than an Owner, as shown in the Bond Registration Books, will receive a Bond evidencing the obligation to make payments of principal of, premium, if any, and interest on the Bonds. Upon delivery by the Depository to the Authority and the Trustee of written notice to the effect that the Depository has determined to substitute a new nominee in place of the Nominee, and subject to the provisions in the Indenture with respect to Record Dates, the word Nominee in the Indenture will refer to such nominee of the Depository.

In no event will the Trustee be responsible or liable for special, indirect, consequential, punitive or incidental loss or damage of any kind whatsoever (including, but not limited to, loss of profit) irrespective of whether the Trustee has been advised of the likelihood of such loss or damage and regardless of the form of action.

(b) Delivery of Letter of Representations. In order to qualify the book-entry Bonds for the Depository's book-entry system, the Authority will execute and deliver to the Depository a Letter of Representations. The execution and delivery of a Letter of Representations will not in any way impose upon the Authority or the Trustee any obligation whatsoever with respect to persons having interests in such book-entry Bonds other than the Owners, as shown on the Registration Books. In addition to the execution and delivery of a Letter of Representations, the Authority and the Trustee, if necessary, will take such other actions, not inconsistent with the Indenture, as are reasonably necessary to qualify book-entry Bonds for the Depository's book-entry program.

(c) Selection of Depository. In the event that: (i) the Depository determines not to continue to act as securities depository for book-entry Bonds; or (ii) the Authority determines that continuation of the book-entry system is not in the best interest of the beneficial owners of the Bonds or the Authority, then the Authority will discontinue the book-entry system with the Depository. If the Authority determines to replace the Depository with another qualified securities depository, the Authority will prepare or direct the preparation of a new single, separate, fully registered Bond for each of the maturity dates of such book-entry Bonds, registered in the name of such successor or substitute qualified securities depository or its Nominee as provided in paragraph (e) below. If the Authority fails to identify another qualified securities depository to replace the Depository, then the Bonds will no longer be restricted to being registered in such Bond Registration Books in the name of the Nominee, but will be registered in whatever name or names the Owners transferring or exchanging such Bonds designate, in accordance with the provisions of the Indenture.

(d) Payments To Depository. Notwithstanding any other provision of the Indenture to the contrary, so long as all Outstanding Bonds are held in book-entry form and registered in the name of the Nominee, all payments of principal of, redemption premium, if any, and interest on such Bonds and all notices with respect to such Bonds will be made and given, respectively to the Nominee, as provided in the Letter of Representations or as otherwise instructed by the Depository and agreed to by the Trustee notwithstanding any inconsistent provisions in the Indenture.

(e) Transfer of Bonds to Substitute Depository.

(i) The Bonds will be initially issued as provided in the Indenture. Registered ownership of such Bonds, or any portions thereof, may not thereafter be transferred except: (A) to any successor of DTC or its nominee, or of any substitute depository designated pursuant to clause (B) (a "Substitute Depository") in the Indenture; provided that any successor of DTC or Substitute Depository is qualified under any applicable laws to provide the service proposed to be provided by it; (B) to any Substitute Depository, upon: (1) the resignation of DTC or its successor (or any Substitute Depository or its successor) from its functions as depository; or (2) a determination by the Authority that DTC (or its successor) is no longer able to carry out its functions as depository; provided that any such Substitute Depository is qualified under any applicable laws to provide the services proposed to be provided by it; or (C) to any person as provided below, upon: (1) the resignation of DTC or its successor (or any Substitute Depository or its successor) from its functions as depository; or (2) a determination by the Authority that DTC or its successor (or Substitute Depository or its successor) is no longer able to carry out its functions as depository.

(ii) In the case of any transfer pursuant to clause (A) or clause (B) of the Indenture, upon receipt of all Outstanding Bonds by the Trustee, together with a written request of the Authority to the Trustee designating the Substitute Depository, a single new Bond, which the Authority will prepare or cause to be prepared, will be issued for each maturity of Bonds then Outstanding, registered in the name of such successor or such Substitute Depository or their Nominees, as the case may be, all as specified in such written request of the Authority. In the case of any transfer pursuant to clause (C), upon receipt of all Outstanding Bonds by the Trustee, together with a written request of the Authority to the Trustee, new Bonds, which the Authority will prepare or cause to be prepared, will be issued in such denominations and registered in the names of such persons as are requested in such written request of the Authority, subject to the limitations of the Indenture, provided that the Trustee is not required to deliver such new Bonds within a period of less than 60 days from the date of receipt of such written request from the Authority.

(iii) In the case of a partial redemption or an advance refunding of any Bonds evidencing a portion of the principal maturing in a particular year, DTC or its successor (or any Substitute Depository or its successor) will make an appropriate notation on such Bonds indicating the date and amounts of such reduction in principal, in form acceptable to the Trustee, all in accordance with the Letter of Representations. The Trustee will not be liable for such Depository's failure to make such notations or errors in making such notations and the records of the Trustee as to the outstanding principal amount of such Bonds will be controlling.

(iv) The Authority and the Trustee are entitled to treat the person in whose name any Bond is registered as the Owner thereof for all purposes of the Indenture and any applicable laws, notwithstanding any notice to the contrary received by the Trustee or the Authority; and the Authority and the Trustee has no responsibility for transmitting payments to, communicating with, notifying, or otherwise dealing with any beneficial owners of the Bonds. Neither the Authority nor the Trustee has any responsibility or obligation, legal or otherwise, to any such beneficial owners or to any other party, including DTC or its successor (or Substitute Depository or its successor), except to the Owner of any Bonds, and the Trustee may rely conclusively on its records as to the identity of the Owners of the Bonds.

ISSUANCE OF BONDS; APPLICATION OF PROCEEDS

Establishment and Application of Costs of Issuance Fund. The Trustee will establish, maintain and hold in trust a separate fund designated as the "Costs of Issuance Fund." The moneys in the Costs of Issuance Fund will be used and withdrawn by the Trustee to pay the Costs of Issuance upon submission of Requisitions of the Authority stating the person to whom payment is to be made, the amount to be paid, the purpose for which the obligation was incurred, that such payment is a proper charge against said fund and that payment for such charge has not previously been made. Each such Requisition of the Authority will be sufficient evidence to the Trustee of the facts stated therein, and the Trustee will have no duty to confirm the accuracy of such facts. On the six month anniversary of the Closing Date, or upon the earlier Request of the Authority, all amounts remaining in the Costs of Issuance Fund will be deposited in the Interest Account and the Costs of Issuance Fund will be closed.

Validity of Bonds. The validity of the authorization and issuance of the Bonds is not dependent on and will not be affected in any way by any proceedings taken by the Authority, the City or the Trustee with respect to or in connection with the Installment Purchase Agreement. The recital contained in the Bonds that the same are issued pursuant to the Constitution and laws of the State will be conclusive evidence of the validity and of compliance with the provisions of law in their issuance.

REVENUES, FUNDS AND ACCOUNTS; PAYMENT OF PRINCIPAL AND INTEREST

Pledge and Assignment; Bond Payment Fund.

(a) The Authority, for good and valuable consideration in hand received, has irrevocably assigned and transferred to the Trustee without recourse, for the benefit of the Owners of the Bonds as set forth in the Indenture, all of its rights, title, and interest in all Series 2024 Installment Payments payable by the City pursuant to the Installment Purchase Agreement, including all rights of the Authority thereunder as may be necessary to enforce compliance with said provisions (including enforcement of payment obligations and rate covenants, if any, contained in the Installment Purchase Agreement, or otherwise to protect the interest of the Owners of the Bonds). Such assignment will be subject to and limited by the terms of the Indenture.

(b) There has been established with the Trustee the Bond Payment Fund, which the Trustee has covenanted to maintain and hold in trust separate and apart from other funds held by it so long as any Series 2024 Installment Payments remain unpaid. Except as directed in the Indenture, all Authority Revenues will be promptly deposited by the Trustee upon receipt thereof into the Bond Payment Fund; except that all moneys received by the Trustee and required under the Indenture to be deposited in the Redemption Fund will be promptly deposited therein. All Authority Revenues deposited with the Trustee will be held, disbursed, allocated and applied by the Trustee only as provided in the Indenture. The Trustee will also create and maintain an Interest Account and a Principal Account within the Bond Payment Fund.

Allocation of Authority Revenues. The Trustee will transfer from the Bond Payment Fund and deposit into the following respective accounts the following amounts in the following order of priority and at the following times, the requirements of each such account (including the making up of any deficiencies in any such account resulting from lack of Authority Revenues sufficient to make any earlier required deposit) at the time of deposit to be satisfied before any transfer is made to any account subsequent in priority:

(a) Not later than the Business Day preceding each date on which the interest on the Bonds becomes due and payable under the Indenture, the Trustee will deposit in the Interest Account that sum, if any, required to cause the aggregate amount on deposit in the Interest Account to be at least equal to the amount of interest becoming due and payable on such date on all Bonds then Outstanding.

(b) Not later than the Business Day preceding each date on which the principal of the Bonds become due and payable under the Indenture, the Trustee will deposit in the Principal Account that sum, if any,

required to cause the aggregate amount on deposit in the Principal Account to equal the principal amount of the Bonds coming due and payable on such date or subject to mandatory sinking fund redemption on such date.

Application of Interest Account. All amounts in the Interest Account will be used and withdrawn by the Trustee solely for the purpose of paying interest on the Bonds as it becomes due and payable (including accrued interest on any Bonds purchased or accelerated prior to maturity pursuant to the Indenture).

Application of Principal Account. All amounts in the Principal Account will be used and withdrawn by the Trustee solely to pay the principal amount of the Bonds at maturity, mandatory sinking fund redemption, purchase or acceleration; provided, however, that at any time prior to selection for redemption of any such Bonds, upon written direction of the Authority, the Trustee will apply such amounts to the purchase of Bonds at public or private sale, as and when and at such prices (including brokerage and other charges, but excluding accrued interest, which is payable from the Interest Account) as will be directed pursuant to a Request of the Authority, except that the purchase price (exclusive of accrued interest) may not exceed the redemption price then applicable to the Bonds.

Application of Redemption Fund. There has been established with the Trustee, when needed, a special fund designated as the "Redemption Fund." All amounts in the Redemption Fund will be used and withdrawn by the Trustee solely for the purpose of paying the principal of and accrued interest on the Bonds to be optionally redeemed on any Redemption Date pursuant to the Indenture; provided, however, that at any time prior to selection for redemption of any such Bonds, upon written direction of the Authority, the Trustee will apply such amounts to the purchase of Bonds at public or private sale, as and when and at such prices (including brokerage and other charges, but excluding accrued interest, which is payable from the Interest Account) as directed pursuant to a Request of the Authority, except that the purchase price (exclusive of accrued interest) may not exceed the redemption price then applicable to the Bonds.

Investments. All moneys in any of the funds or accounts that are established with the Trustee pursuant to the Indenture will be invested by the Trustee solely in Permitted Investments, which will, as nearly as practicable, mature on or before the dates when such moneys are anticipated to be needed for disbursement. Such investments will be directed by the Authority pursuant to a Request of the Authority filed with the Trustee at least two (2) Business Days in advance of the making of such investments. In the absence of any such directions from the Authority, the Trustee will invest any such moneys in Permitted Investments that are described in clause (B)(5) of the definition thereof; provided, however, that any such investment will be made by the Trustee only if, prior to the date on which such investment is to be made, the Trustee has received a Direction from the Authority specifying a specific money market fund and, if no such Direction from the Authority is so received, the Trustee will hold such moneys uninvested. Obligations purchased as an investment of moneys in any fund will be deemed to be part of such fund or account.

All interest or gain derived from the investment of amounts in any of the funds or accounts established under the Indenture (except for interest or gain derived from the Permitted Investment described in clause (B)(7) of the definition thereof, which will be retained in such Permitted Investment) will be deposited in the Reserve Fund to the extent the amount available and contained therein is less than the Reserve Requirement and thereafter in the Interest Account unless otherwise provided in the Indenture. For purposes of acquiring any investments under the Indenture, the Trustee may commingle funds (other than the Rebate Fund) held by it thereunder upon the Request of the Authority. The Trustee may act as principal or agent in the acquisition or disposition of any investment and may impose its customary charges therefor. The Trustee will incur no liability for losses arising from any investments made pursuant to the Indenture.

The Authority has acknowledged that to the extent that regulations of the Comptroller of the Currency or other applicable regulatory entity grant the Authority the right to receive brokerage confirmations of security transactions as they occur, the Authority has specifically waived receipt of such confirmations to the extent permitted by law. The Authority further understands that trade confirmations for securities transactions effected by the Trustee will be available upon request at no additional cost and other trade confirmations may be obtained

from the applicable broker. The Trustee will furnish the Authority with periodic cash transaction statements which include detail for all investment transactions effected by the Trustee under the Indenture. Upon the Authority's election, such statements will be delivered via the Trustee's online service and upon electing such service, paper statements will be provided only upon request.

The Trustee or any of its affiliates may act as sponsor, advisor or manager in connection with any investments made by the Trustee under the Indenture. The Trustee may rely conclusively upon the investment direction of the Authority as to the suitability and legality of the directed investments.

The Authority will invest, or cause to be invested, all moneys in any fund or accounts established with the Trustee as provided in the Tax Certificate.

In determining the market value of Permitted Investments, the Trustee may use and rely conclusively and without liability upon any generally recognized pricing information service (including brokers and dealers in securities) available to it.

Rebate Fund.

(a) Establishment. The Trustee will establish a separate fund designated the "Rebate Fund" when required in accordance with the Indenture. Absent an opinion of Bond Counsel that the exclusion from gross income for federal income tax purposes of interest with respect to the Bonds will not be adversely affected, the Authority will cause to be deposited in the Rebate Fund such amounts as are required to be deposited therein pursuant to the Indenture and the Tax Certificate. All money at any time deposited in the Rebate Fund will be held by the Trustee in trust for payment to the United States Treasury. All amounts on deposit in the Rebate Fund for the Bonds will be governed by the Indenture and the Tax Certificate for the Bonds, unless and to the extent that the Authority delivers to the Trustee an opinion of Bond Counsel that the exclusion from gross income for federal income tax purposes of interest on the Bonds will not be adversely affected, if such requirements are not satisfied. Notwithstanding anything to the contrary in the Indenture or in the Tax Certificate, the Trustee: (i) will be deemed conclusively to have complied with the provisions thereof if it follows all Requests of the Authority; (ii) has no liability or responsibility to enforce compliance by the Authority with the terms of the Tax Certificate; (iii) may rely conclusively on the Authority's calculations and determinations and certifications relating to rebate matters; and (iv) has no responsibility to independently make any calculations or determinations or to review the Authority's calculations or determinations thereunder.

(i) Annual Computation. Within 55 days of the end of each Bond Year (as such term is defined in the Tax Certificate), the Authority will calculate or cause to be calculated the amount of rebatable arbitrage, in accordance with Section 148(f)(2) of the Code and Section 1.148-3 of the Treasury Regulations (taking into account any applicable exceptions with respect to the computation of the rebatable arbitrage, described, if applicable, in the Tax Certificate (e.g., the temporary investments exceptions of Section 148(f)(4)(B) and the construction expenditures exception of Section 148(f)(4)(C) of the Code), and taking into account whether the election pursuant to Section 148(f)(4)(C)(vii) of the Code (the "1½% Penalty") has been made), for such purpose treating the last day of the applicable Bond Year as a computation date, within the meaning of Section 1.148 1(b) of the Treasury Regulations (the "Rebatable Arbitrage"). The Authority will obtain expert advice as to the amount of the Rebatable Arbitrage to comply with the foregoing provisions.

(ii) Annual Transfer. Within 55 days of the end of each Bond Year, upon the Request of the Authority, an amount will be deposited to the Rebate Fund by the Trustee from any Authority Revenues legally available for such purpose (as specified by the Authority in the aforesaid Request), if and to the extent required so that the balance in the Rebate Fund equals the amount of Rebatable Arbitrage so calculated in accordance with clause (i) above. In the event that immediately following the transfer required by the previous sentence, the amount then on deposit to the credit of the Rebate Fund exceeds the amount required to be on deposit therein, upon Request of the Authority, the Trustee will withdraw the excess from the Rebate Fund and then credit the excess to the Bond Payment Fund.

(iii) Payment to the Treasury. The Trustee will pay, as directed by Request of the Authority, to the United States Treasury, out of amounts in the Rebate Fund: (A) Not later than 60 days after the end of: (X) the fifth Bond Year; and (Y) each applicable fifth Bond Year thereafter, an amount equal to at least 90% of the Rebatable Arbitrage calculated as of the end of such Bond Year; and (B) Not later than 60 days after the payment of all of the Bonds, an amount equal to 100% of the Rebatable Arbitrage calculated as of the end of such applicable Bond Year, and any income attributable to the Rebatable Arbitrage, computed in accordance with Section 148(f) of the Code and Section 1.148-3 of the Treasury Regulations.

In the event that, prior to the time of any payment required to be made from the Rebate Fund, the amount in the Rebate Fund is not sufficient to make such payment when such payment is due, the Authority will calculate or cause to be calculated the amount of such deficiency and deposit an amount received from any legally available source equal to such deficiency prior to the time such payment is due. Each payment required to be made pursuant to the foregoing provisions will be made to the Internal Revenue Service Center, Ogden, Utah 84201 on or before the date on which such payment is due, and will be accompanied by Internal Revenue Service Form 8038-T (prepared by the Authority), or will be made in such other manner as provided under the Code.

(b) Disposition of Unexpended Funds. Any funds remaining in the Rebate Fund after redemption and payment of the Bonds and the payments described in paragraph (a) above being made may be withdrawn by the Authority and utilized in any manner by the Authority.

(c) Survival of Defeasance. Notwithstanding anything in the Indenture to the contrary, the obligation to comply with the Rebate Fund requirements of the Indenture will survive the defeasance or payment in full of the Bonds.

Reserve Fund. The Trustee will establish and hold in trust the Reserve Fund. The City will cause the Reserve Surety Policy to be deposited in the Reserve Fund and the Trustee will draw upon the Reserve Surety Policy in accordance with the Indenture. There will be maintained in the Reserve Fund the Reserve Surety Policy in an amount equal to the Reserve Requirement, which will satisfy for all purposes the Authority's and the City's obligation to fund the Reserve Fund in the amount of the Reserve Requirement with respect to the Bonds. Neither the Authority nor the City will have any obligation to replace the Reserve Surety Policy or to fund the Reserve Fund with cash if, at any time that the Bonds are Outstanding, any rating assigned to the Insurer is downgraded, suspended or withdrawn or amounts are not available under the Reserve Surety Policy, other than in connection with a draw on the Reserve Surety Policy. Amounts drawn under the Reserve Surety Policy will be used solely to pay scheduled payments of principal of and interest on the Bonds.

Notwithstanding anything to the contrary set forth herein, the following provisions govern the Reserve Fund:

(a) The Trustee will ascertain the necessity for a claim upon the Reserve Surety Policy in accordance with the provisions in the Indenture and provide notice to the Insurer in accordance with the terms of the Reserve Surety Policy at least five (5) Business Days prior to an Interest Payment Date. Where deposits are required to be made by the Authority with the Trustee to the Bond Payment Fund for the payment of principal of and interest on the Bonds more often than semi-annually, the Trustee will be instructed to give notice to the Insurer of any failure of the Authority to make timely payment in full of such deposits within two Business Days of the date due.

(b) Draws on the Reserve Surety Policy may only be used to make payments on the Bonds (and not any other obligations of the Authority or City, whether issued on a parity with the Bonds, or otherwise). The City and the Authority will repay any draws under the Reserve Surety Policy and pay all related reasonable expenses incurred by the Insurer. Interest will accrue and be payable on such draws and expenses from the date of payment by the Insurer at the Late Payment Rate. "Late Payment Rate" means the lesser of: (i) the greater of: (A) the per annum rate of interest, publicly announced from time to time by JP Morgan Chase Bank at its principal office in the City of New York, as its prime or base lending rate ("Prime Rate") (any change in such

Prime Rate to be effective on the date such change is announced by JP Morgan Chase Bank) plus 5%; and (B) the then applicable highest rate of interest on the Bonds; and (ii) the maximum rate permissible under applicable usury or similar laws limiting interest rates. The Late Payment Rate will be computed on the basis of the actual number of days elapsed over a year of 360 days. In the event that JP Morgan Chase Bank ceases to announce its Prime Rate publicly, Prime Rate will be the publicly announced prime or base lending rate of such national bank as the Insurer will specify.

If the interest provisions of the indenture will result in an effective rate of interest which, for any period, exceeds the limit of the usury or any other laws applicable to the indebtedness created thereunder, then all sums in excess of those lawfully collectible as interest for the period in question will, without further agreement or notice between or by any party in the Indenture, be applied as additional interest for any later periods of time when amounts are outstanding thereunder to the extent that interest otherwise due thereunder for such periods plus such additional interest would not exceed the limit of the usury or such other laws, and any excess will be applied upon principal immediately upon receipt of such moneys by the Insurer, with the same force and effect as if the City and the Authority had specifically designated such extra sums to be so applied and the Insurer had agreed to accept such extra payment(s) as additional interest for such later periods. In no event will any agreed-to or actual exaction as consideration for the indebtedness created in the Indenture exceed the limits imposed or provided by the law applicable to this transaction for the use or detention of money or for forbearance in seeking its collection.

(c) Repayment of draws and payment of expenses and accrued interest thereon at the Late Payment Rate (collectively, "Policy Costs") will commence in the first month following each draw, and each such monthly payment will be in an amount at least equal to 1/12 of the aggregate of Policy Costs related to such draw.

(d) Amounts in respect of Policy Costs paid to the Insurer will be credited first to interest due, then to the expenses due and then to principal due. As and to the extent that payments are made to the Insurer on account of principal due, the coverage under the Reserve Surety Policy will be increased by a like amount, subject to the terms of the Reserve Surety Policy.

(e) All cash and investments in the Reserve Fund will be transferred to the Bond Payment Fund for payment of the principal of and interest on the Bonds before any drawing may be made on the Reserve Surety Policy or any other credit facility credited to the Reserve Fund in lieu of cash ("Credit Facility"). Payment of any Policy Costs will be made prior to replenishment of any such cash amounts. Draws on all Credit Facilities (including the Reserve Surety Policy) on which there is available coverage will be made on a pro-rata basis (calculated by reference to the coverage then available thereunder) after applying all available cash and investments in the Reserve Fund. Payment of Policy Costs and reimbursement of amounts with respect to other Credit Facilities will be made on a pro-rata basis prior to replenishment of any cash drawn from the Reserve Fund. For the avoidance of doubt, "available coverage" means the coverage then available for disbursement pursuant to the terms of the applicable alternative credit instrument without regard to the legal or financial ability or willingness of the provider of such instrument to honor a claim or draw thereon or the failure of such provider to honor any such claim or draw.

(f) Authority's obligation to pay Policy Costs is secured by a pledge of the Revenues in favor of the Insurer, subordinate only to the pledge in favor of the Owners of the Bonds. If the Authority and City fail to pay any Policy Costs in accordance with the requirements of the Indenture, the Insurer will be entitled to exercise any and all legal and equitable remedies available to it, including those provided under this Indenture other than: (i) acceleration of the maturity of the payments of principal of and interest on the Bonds; or (ii) remedies which would adversely affect Owners of the Bonds.

(g) The Reserve Surety Policy will expire on the earlier of the date the Bonds are no longer outstanding and the final maturity date of the Bonds.

So long as the Reserve Surety Policy is in full force and effect and the Insurer has not defaulted on any obligation under the Reserve Surety Policy, future deposits of a surety or other credit enhancement in the Reserve Fund will require the prior written consent of the Insurer.

Application of Funds and Accounts When No Bonds are Outstanding. On the date on which all Bonds are retired under the Indenture or provision made therefor pursuant thereto and after payment of all amounts due the Trustee under the Indenture, all moneys then on deposit in any of the funds or accounts (other than the Rebate Fund) established with the Trustee pursuant to the Indenture will be withdrawn by the Trustee and paid to the Authority for distribution in accordance with the Installment Purchase Agreement.

PARTICULAR COVENANTS

Punctual Payment. The Authority will punctually pay or cause to be paid the principal and interest to become due in respect of all of the Bonds, in strict conformity with the terms of the Bonds and of the Indenture, according to the true intent and meaning thereof, but only out of Authority Revenues and other assets pledged for such payment as provided in the Indenture.

Extension of Payment of Bonds. The Authority may not directly or indirectly extend or assent to the extension of the maturity of any of the Bonds or the time of payment of any claims for interest by the purchase of such Bonds or by any other arrangement, and in case the maturity of any of the Bonds or the time of payment of any such claims for interest is extended, such Bonds or claims for interest are not entitled, in case of any default under the Indenture, to the benefits thereof, except subject to the prior payment in full for the principal of all of the Bonds then Outstanding and of all claims for interest thereon which have not been so extended. Nothing in the Indenture will be deemed to limit the right of the Authority to issue Bonds for the purpose of refunding any Outstanding Bonds, and such issuance will not be deemed to constitute an extension of maturity of Bonds.

Against Encumbrances. The Authority will not create, or permit the creation of, any pledge, lien, charge or other encumbrances upon the Authority Revenues and other assets pledged or assigned under the Indenture while any of the Bonds are Outstanding, except the pledge and assignment created by the Indenture. Subject to the foregoing limitation, the Authority has expressly reserved the right to enter into one or more other indentures for any of its corporate purposes, including other programs under the JPA Agreement, and has reserved the right to issue other obligations for such purposes.

Power to Issue Bonds and Make Pledge and Assignment. The Authority is duly authorized pursuant to law to issue the Bonds and to enter into the Indenture and to pledge and assign the Authority Revenues and other assets that are pledged and assigned under the Indenture in the manner and to the extent that is provided in the Indenture. The Bonds and the provisions of the Indenture are and will be the legal, valid and binding special obligations of the Authority in accordance with their terms, and the Authority and the Trustee will at all times, subject to the provisions of the Indenture and to the extent permitted by law, defend, preserve and protect said pledge and assignment of Authority Revenues and other assets and all the rights of the Bond Owners under the Indenture against all claims and demands of all persons whomsoever.

Accounting Records and Financial Statements. The Trustee will at all times keep, or cause to be kept, proper books of record and account, prepared in accordance with corporate trust industry standards, in which complete and accurate entries are made of all transactions that are undertaken by it relating to the proceeds of Bonds, the Authority Revenues and all funds and accounts that have been established by it pursuant to the Indenture. Such books of record and account will be available for inspection by the Authority and the City upon reasonable prior notice during business hours and under reasonable circumstances.

Tax Covenants. Notwithstanding any other provision of the Indenture or the Installment Purchase Agreement, absent an opinion of Bond Counsel that the exclusion from gross income of the interest on the Bonds will not be adversely affected for federal income tax purposes, the Authority has covenanted to comply with all

applicable requirements of the Code that are necessary to preserve such exclusion from gross income with respect to the Bonds and has specifically covenanted, without limiting the generality of the foregoing, as follows:

(a) Private Activity. The Authority will take no action and refrain from taking any action, and the Authority will make no use of the proceeds of the Bonds or of any other moneys or property, which would cause the Bonds to be "private activity bonds" within the meaning of Section 141 of the Code;

(b) Arbitrage. The Authority will make no use of the proceeds of the Bonds or of any other amounts or property, regardless of the source, and the Authority will not take any action or refrain from taking any action, which will cause the Bonds to be "arbitrage bonds" within the meaning of Section 148 of the Code;

(c) Federal Guarantee. The Authority will make no use of the proceeds of the Bonds, and the Authority will not take or omit to take any action, that would cause the Bonds to be "federally guaranteed" within the meaning of Section 149(b) of the Code;

(d) Information Reporting. The Authority will take or cause to be taken all necessary action to comply with the informational reporting requirement of Section 149(e) of the Code which is necessary to preserve the exclusion of interest on the Bonds pursuant to Section 103(a) of the Code;

(e) Hedge Bonds. The Authority will make no use of the proceeds of the Bonds or any other amounts or property, regardless of the source, and the Authority will not take any action or refrain from taking any action, that would cause the Bonds to be considered "hedge bonds" within the meaning of Section 149(g) of the Code unless the Authority takes all necessary action to assure compliance with the requirements of Section 149(g) of the Code to maintain the exclusion from gross income of interest on the Bonds for federal income tax purposes; and

(f) Miscellaneous. The Authority will not take any action or refrain from taking any action which is inconsistent with its expectations stated in the Tax Certificate executed by the Authority in connection with the issuance of the Bonds and will comply with the covenants and requirements that are stated therein and incorporated by reference in the Indenture.

The foregoing tax covenants are not applicable to, and nothing that is contained in the Indenture will be deemed to prevent the Authority from issuing revenue bonds or executing and delivering contracts that are payable on a parity with the Bonds, the interest with respect to which has been determined to be subject to federal income taxation.

Payments Under Installment Purchase Agreement. The Authority will promptly collect all Series 2024 Installment Payments due from the City pursuant to the Installment Purchase Agreement and, subject to the provisions of the Indenture, will enforce and take all steps, actions and proceedings which the Authority or the Trustee determines to be reasonably necessary for the enforcement of all of the obligations of the City thereunder.

The Authority will not enter into any amendments to the Installment Purchase Agreement except as permitted therein. The Trustee will give written consent only if: (a) such amendment, modification or termination will not materially adversely affect the interests of the Bond Owners; or (b) the Trustee first obtains the written consent of the Owners of a majority in aggregate principal amount of the Bonds then Outstanding to such amendment, modification or termination.

Waiver of Laws. The Authority will not at any time insist upon or plead in any manner whatsoever, or claim or take the benefit or advantage of, any stay or extension law now or at any time later in force that may affect the covenants and agreements contained in the Indenture or in the Bonds, and all benefit or advantage of any such law or laws has been expressly waived by the Authority to the extent permitted by law.

Further Assurances. The Authority will make, execute and deliver any and all such further indentures, instruments and assurances as may be reasonably necessary or proper to carry out the intention or to facilitate the performance of the Indenture and for the better assuring and confirming unto the Owners of the Bonds of the rights and benefits provided in the Indenture.

Eminent Domain. If all or any part of the Water System is taken by eminent domain proceedings (or sold to a government entity that is threatening to exercise the power of eminent domain), the Net Proceeds therefrom will be applied in the manner that is specified in the Installment Purchase Agreement.

EVENTS OF DEFAULT AND REMEDIES OF BOND OWNERS

Events of Default. The following events will be Events of Default under the Indenture:

(a) Default by the Authority in the due and punctual payment of the principal of any Bonds when and as the same become due and payable, whether at maturity as therein expressed, by proceedings for redemption, by acceleration, or otherwise.

(b) Default by the Authority in the due and punctual payment of any installment of interest on any Bonds when and as the same become due and payable.

(c) Default by the Authority in the observance of any of the other covenants, agreements or conditions on its part in the Indenture or in the Bonds contained, if such default continues for a period of 30 days after written notice thereof specifying such default and requiring the same to be remedied have been given to the Authority by the Trustee or by the Owners of not less than a majority in aggregate principal amount of Bonds Outstanding; provided, however, that if in the reasonable opinion of the Authority the default stated in the notice can be corrected, but not within such 30 day period, and corrective action is instituted by the Authority within such 30 day period and diligently pursued in good faith until the default is corrected, such default will not be an Event of Default thereunder; provided, however, if such default will have been continued for ninety (90) days without being cured then such default will become an Event of Default unless the Insurer (so long as the Insurer has not defaulted on any obligation under the Insurance Policy or the Reserve Surety Policy) has consented to extend the time for such corrective action.

(d) The Authority files a petition or answer seeking arrangement or reorganization under the federal bankruptcy laws or any other applicable law of the United States of America or any state therein, or a court of competent jurisdiction approves a petition filed with or without the consent of the Authority seeking arrangement or reorganization under the federal bankruptcy laws or any other applicable law of the United States of America or any state therein, or if under the provisions of any other law for the relief or aid of debtors any court of competent jurisdiction assumes custody or control of the Authority or of the whole or any substantial part of its property.

Remedies Upon Event of Default. If any Event of Default occurs, then, and in each and every such case during the continuance of such Event of Default, the Trustee may, with the prior written consent of the Insurer, so long as the Policy is in full force and effect and the Insurer has not defaulted on its obligations under the Insurance Policy or the Reserve Surety Policy, and, at the written direction of the Owners of not less than a majority in aggregate principal amount of the Bonds at the time Outstanding and with the prior written consent of the Insurer, so long as the Policy is in full force and effect and the Insurer has not defaulted on its obligations under the Insurance Policy or the Reserve Surety Policy, will in each case, upon notice in writing to the Authority and the City, declare the principal of all of the Bonds then Outstanding, and the interest accrued thereon, to be due and payable immediately, and upon any such declaration the same will become and will be immediately due and payable, anything in the Indenture or in the Bonds contained to the contrary notwithstanding.

Nothing contained in the Indenture permits or require the Trustee or the Authority to accelerate payments due under the Installment Purchase Agreement if the City, which is a party to such Installment Purchase Agreement, is not in default of its obligation thereunder.

Any such declaration is subject to the condition that if, at any time after such declaration, but before any judgment or decree for the payment of the moneys due has been obtained or entered, the Authority or the City deposits with the Trustee an amount that is sufficient to pay all the principal of and installments of interest on the Bonds the payment of which is overdue, with interest on such overdue principal at the rate borne by the respective Bonds to the extent permitted by law, and the reasonable charges and expenses of the Trustee, and any and all other Events of Default known to the Trustee (other than in the payment of principal of and interest on the Bonds that is due and payable solely by reason of such declaration) have been made good or cured to the satisfaction of the Trustee or provision deemed by the Trustee to be adequate has been made therefor, then, and in every such case the Trustee will on behalf of the Owners of all of the Bonds, rescind and annul such declaration and its consequences and waive such Event of Default; but no such rescission and annulment will extend to or affect any subsequent Event of Default or impair or exhaust any right or power consequent thereon.

Application of Authority Revenues and Other Funds After Default. If an Event of Default occurs and is continuing, all Authority Revenues then held or thereafter received by the Trustee and any other funds then held or thereafter received by the Trustee under any of the provisions of the Indenture (other than amounts held in the Rebate Fund) will be applied by the Trustee as follows and in the following order:

(a) To the payment of any expenses that are necessary in the opinion of the Trustee to protect the interests of the Owners of the Bonds and to the payment of reasonable fees and expenses of the Trustee (including reasonable fees and disbursements of its counsel) incurred in and about the performance of its powers and duties under the Indenture; and

(b) To the payment of the principal of and interest then due on the Bonds (upon presentation of the Bonds to be paid, and stamping or otherwise noting thereon of the payment if only partially paid, or surrender thereof if fully paid) in accordance with the provisions of the Indenture, in the following order of priority:

First: To the payment to the persons that are entitled thereto of all installments of interest then due in the order of the maturity of such installments, and, if the amount that is available is not sufficient to pay in full any installment or installments maturing on the same date, then to the payment thereof ratably, according to the amounts due thereon, to the persons entitled thereto, without any discrimination or preference; and

Second: To the payment to the persons entitled thereto of the unpaid principal of any Bonds which have become due, whether at maturity or by acceleration or redemption, with interest on the overdue principal at the rate of 8% per annum, and, if the amount that is available is not sufficient to pay in full all the Bonds, together with such interest, then to the payment thereof ratably, according to the amounts of principal due on such date to the persons entitled thereto, without any discrimination or preference; and

Third: If there exists any remainder after the foregoing payments, such remainder will be paid to the Authority.

Trustee to Represent Bond Owners. The Trustee has been irrevocably appointed (and the successive respective Owners of the Bonds, by taking and holding the same, will be conclusively deemed to have so appointed the Trustee) as trustee and true and lawful attorney in fact of the Owners of the Bonds for the purpose of exercising and prosecuting on their behalf such rights and remedies as may be available to such Owners under the provisions of the Bonds or the Indenture and applicable provisions of any other law. Upon the occurrence and continuance of an Event of Default or other occasion giving rise to a right in the Trustee to represent the Bond Owners, the Trustee in its discretion may, and upon the written request of the Owners of a majority in aggregate principal amount of the Bonds then Outstanding, and upon being indemnified to its satisfaction therefor, will proceed to protect or enforce its rights or the rights of such Owners by such appropriate action,

suit, mandamus or other proceedings as it deems most effectual to protect and enforce any such right, at law or in equity, either for the specific performance of any covenant or agreement contained in the Indenture, or in aid of the execution of any power therein granted, or for the enforcement of any other appropriate legal or equitable right or remedy vested in the Trustee or in such Owners under the Bonds or the Indenture or any other law; and upon instituting such proceeding, the Trustee is entitled, as a matter of right, to the appointment of a receiver of the Authority Revenues and other assets pledged under the Indenture, pending such proceedings. All rights of action under the Indenture or the Bonds or otherwise may be prosecuted and enforced by the Trustee without the possession of any of the Bonds or the production thereof in any proceeding relating thereto, and any such suit, action or proceeding instituted by the Trustee will be brought in the name of the Trustee for the benefit and protection of all the Owners of such Bonds, subject to the provisions of the Indenture.

Bond Owners' Direction of Proceedings. Anything in the Indenture to the contrary notwithstanding, the Owners of a majority in aggregate principal amount of the Bonds then Outstanding have the right, by an instrument or concurrent instruments in writing that are executed and delivered to the Trustee, and upon indemnification of the Trustee to its reasonable satisfaction, to direct the method of conduct in all remedial proceedings taken by the Trustee under the Indenture, provided that such direction may not be otherwise than in accordance with law and the provisions of the Indenture, and that the Trustee has the right to decline to follow any such direction which in the opinion of the Trustee would be unjustly prejudicial to Bond Owners who are not parties to such direction.

Suit by Owners. No Owner of any Bonds has the right to institute any suit, action or proceeding at law or in equity, for the protection or enforcement of any right or remedy under the Indenture, the Installment Purchase Agreement, the JPA Agreement or any other applicable law with respect to such Bonds, unless: (a) such Owners have given to the Trustee written notice of the occurrence of an Event of Default; (b) the Owners of not less than 25% in aggregate principal amount of the Bonds then Outstanding have made written request upon the Trustee to exercise the powers granted in the Indenture or to institute such suit, action or proceeding in its own name; (c) such Owner or Owners have tendered to the Trustee reasonable indemnity against the costs, expenses and liabilities to be incurred in compliance with such request; (d) the Trustee has failed to comply with such request for a period of 60 days after such written request has been received by, and said tender of indemnity has been made to, the Trustee; and (e) no direction which is inconsistent with such written request has been given to the Trustee during such 60 day period by the Owners of a majority in aggregate principal amount of the Bonds then Outstanding.

Such notification, request, tender of indemnity and refusal or omission have been declared, in every case, to be conditions precedent to the exercise by any Owner of Bonds of any remedy under the Indenture or under law; it being understood and intended that no one or more Owners of Bonds have any right in any manner whatever by their action to affect, disturb or prejudice the security of the Indenture or the rights of any other Owners of Bonds, or to enforce any right under the Bonds, the Indenture, the Installment Purchase Agreement, the JPA Agreement or other applicable law with respect to the Bonds, except in the manner provided in the Indenture, and that all proceedings at law or in equity to enforce any such right will be instituted, had and maintained in the manner therein provided and for the benefit and protection of all Owners of the Outstanding Bonds, subject to the provisions of the Indenture.

Absolute Obligation of the Authority. Nothing in the Indenture or in the Bonds affects or impairs the obligation of the Authority, which is absolute and unconditional, to pay the principal of and interest on the Bonds to the respective Owners of the Bonds at their respective dates of maturity, or upon call for redemption, as provided in the Indenture, but only out of the Authority Revenues and other assets therein pledged therefor, or affects or impairs the right of such Owners, which is also absolute and unconditional, to enforce such payment by virtue of the contract embodied in the Bonds.

Remedies Not Exclusive. No remedy conferred upon or reserved to the Trustee or to the Owners of the Bonds is intended to be exclusive of any other remedy or remedies, and each and every such remedy, to the

extent permitted by law, will be cumulative and in addition to any other remedy given under the Indenture or now or later existing at law or in equity or otherwise.

No Waiver of Default. No delay or omission of the Trustee or of any Owner of the Bonds to exercise any right or power arising upon the occurrence of any Event of Default will impair any such right or power or be construed to be a waiver of any such Event of Default or an acquiescence therein.

Control by the Insurer Upon Default. Anything in the Indenture or in the Installment Purchase Agreement to the contrary notwithstanding, so long as the Policy is in full force and effect and the Insurer has not defaulted on its obligations thereunder, upon the occurrence and continuance of a default or an Event of Default; (a) the Insurer will be entitled to control and direct the enforcement of all rights and remedies granted to the holders of the Bonds or the Trustee for the benefit of the holders of the Bonds under the Indenture; (b) no default or Event of Default may be waived without the Insurer's written consent; and (c) the Insurer will be deemed to be the sole owner of the Bonds for all purposes of the Indenture, including, without limitations, for purposes of exercising remedies and approving amendments.

THE TRUSTEE

Duties, Immunities and Liabilities of Trustee.

(a) The Trustee will, prior to an Event of Default, and after the curing of all Events of Default which may have occurred, perform such duties and only such duties as are expressly and specifically set forth in the Indenture, and no implied covenants or duties will be read into the Indenture against the Trustee. The Trustee will, during the existence of any Event of Default (which has not been cured), exercise such of the rights and powers vested in it by the Indenture, and use the same degree of care and skill in their exercise, as a prudent man would exercise or use under the circumstances in the conduct of his own affairs.

(b) The Authority may remove the Trustee upon 30 days prior notice, unless an Event of Default has occurred and then be continuing, and will remove the Trustee if at any time requested to do so by an instrument or concurrent instruments in writing signed by the Owners of not less than a majority in aggregate principal amount of the Bonds then Outstanding (or their attorneys duly authorized in writing) or if at any time the Trustee ceases to be eligible in accordance with paragraph (e) below, or becomes incapable of acting, or is adjudged a bankrupt or insolvent, or a receiver of the Trustee or its property is appointed, or any public officer takes control or charge of the Trustee or of its property or affairs for the purpose of rehabilitation, conservation or liquidation, in each case by giving written notice of such removal to the Trustee. The Authority will promptly appoint a successor Trustee by an instrument in writing.

(c) The Trustee may at any time resign by giving written notice of such resignation to the Authority and by giving the Bond Owners notice of such resignation by mail at the addresses shown on the Registration Books. Upon receiving such notice of resignation, the Authority will promptly appoint a successor Trustee by an instrument in writing.

(d) No removal, resignation or termination of the Trustee will become effective until a successor meeting the requirements of the Indenture or otherwise acceptable to the Insurer, so long as the Policy is in full force and effect and the Insurer has not defaulted on its obligations thereunder, will be qualified and appointed and will have accepted its appointment. If no successor Trustee has been appointed and has accepted appointment within 45 days of giving notice of removal or notice of resignation as aforesaid, the resigning Trustee or any Bond Owner (on behalf of himself and all other Bond Owners) may petition any court of competent jurisdiction for the appointment of a successor Trustee, and such court may thereupon, after such notice (if any) as it may deem proper, appoint such successor Trustee. Any successor Trustee that is appointed under the Indenture will signify its acceptance of such appointment by executing and delivering to the Authority and to its predecessor Trustee a written acceptance thereof, and thereupon such successor Trustee, without any further act, deed or conveyance, will become vested with all the moneys, estates, properties, rights, powers,

trusts, duties and obligations of such predecessor Trustee, with like effect as if originally named Trustee in the Indenture; but, nevertheless at the Request of the Authority or the request of the successor Trustee, such predecessor Trustee will execute and deliver any and all instruments of conveyance or further assurance and do such other things as may reasonably be required for more fully and certainly vesting in and confirming to such successor Trustee all of the right, title and interest of such predecessor Trustee in and to any property held by it under the Indenture and will pay over, transfer, assign and deliver to the successor Trustee any money or other property that is subject to the trusts and conditions set forth in the Indenture. Upon request of the successor Trustee, the Authority will execute and deliver any and all instruments as may be reasonably required for more fully and certainly vesting in and confirming to such successor Trustee all such moneys, estates, properties, rights, powers, trusts, duties and obligations. Upon acceptance of appointment by a successor Trustee as provided in the Indenture, the Authority will mail or cause the successor trustee to mail a notice of the succession of such Trustee to the trusts under the Indenture to each rating agency which is then rating the Bonds and to the Bond Owners at the addresses shown on the Registration Books. If the Authority fails to mail such notice within 15 days after acceptance of appointment by the successor Trustee, the successor Trustee will cause such notice to be mailed at the expense of the Authority.

(e) Any Trustee that is appointed under the provisions of the Indenture in succession to the Trustee must be a national banking association that is supervised by the Office of the Comptroller of the Currency and has at least $250 million of assets, a state-chartered commercial bank that is a member of the Federal Reserve System and has at least $1 billion of assets or otherwise approved by the Insurer in writing. If such national banking association or bank publishes a report of condition at least annually, pursuant to law or to the requirements of any supervising or examining authority that is referred to above, then for the purpose of the Indenture, the combined capital and surplus of such national banking association or bank will be deemed to be its combined capital and surplus as set forth in its most recent report of condition so published. In case at any time the Trustee ceases to be eligible in accordance with the provisions of the Indenture, the Trustee will resign immediately in the manner and with the effect specified in the Indenture.

(f) The Insurer must receive prior written notice of any name change of the Trustee or the resignation or removal of the Trustee.

Merger or Consolidation. Any trust company, banking association or bank into which the Trustee may be merged or converted or with which it may be consolidated, any trust company, banking association or bank resulting from any merger, conversion or consolidation to which it is a party or any trust company, banking association or bank to which the Trustee may sell or transfer all or substantially all of its corporate trust business, provided that such trust company, banking association or bank is eligible under the Indenture, will be the successor to such Trustee, without the execution or filing of any paper or any further act, anything in the Indenture to the contrary notwithstanding.

Liability of Trustee.

(a) The recitals of facts in the Indenture and in the Bonds will be taken as statements of the Authority, and the Trustee will not assume responsibility for the correctness of the same, or make any representations as to the validity or sufficiency of the Indenture, the Bonds or the Installment Purchase Agreement, nor will the Trustee incur any responsibility in respect thereof, other than as expressly stated in the Indenture in connection with the respective duties or obligations therein or in the Bonds assigned to or imposed upon it. The Trustee will, however, be responsible for its representations contained in its certificate of authentication on the Bonds. The Trustee will not be liable in connection with the performance of its duties under the Indenture, except for its own negligence or willful misconduct. The Trustee may become the Owner of Bonds with the same rights it would have if it were not Trustee, and, to the extent permitted by law, may act as depository for and permit any of its officers or directors to act as a member of, or in any other capacity with respect to, any committee formed to protect the rights of Bond Owners, whether or not such committee represents the Owners of a majority in principal amount of the Bonds then Outstanding.

(b) The Trustee will not be liable for any error of judgment that is made in good faith by a responsible officer, unless it is proved that the Trustee was negligent in ascertaining the pertinent facts.

(c) The Trustee will not be liable with respect to any action taken or omitted to be taken by it in good faith in accordance with the direction of the Owners of not less than a majority (or such other percentage provided for in the Indenture) in aggregate principal amount of the Bonds at the time Outstanding relating to the time, method and place of conducting any proceeding for any remedy available to the Trustee, or exercising any trust or power conferred upon the Trustee under the Indenture.

(d) The Trustee will not be liable for any action taken by it in good faith and believed by it to be authorized or within the discretion or rights or powers conferred upon it by the Indenture.

(e) The Trustee will not be deemed to have knowledge of any default or Event of Default under the Indenture or under the Installment Purchase Agreement or any other event which, with the passage of time, the giving of notice, or both, would constitute an Event of Default under the Indenture or under the Installment Purchase Agreement unless and until a Responsible Officer of the Trustee has actual knowledge of such event or the Trustee has been notified in writing, in accordance with the Indenture, of such event by the Authority or the Owners of not less than 25% of the Bonds then Outstanding. Except as otherwise expressly provided in the Indenture, the Trustee is not bound to ascertain or inquire as to the performance or observance by the Authority or the City of any of the terms, conditions, covenants or agreements in the Indenture, or under the Installment Purchase Agreement, of any of the documents executed in connection with the Bonds or as to the existence of an Event of Default thereunder or an event which would, with the giving of notice, the passage of time, or both, constitute an Event of Default thereunder. The Trustee is not responsible for the validity, effectiveness or priority of any collateral that is given to or held by it.

(f) No provision of the Indenture requires the Trustee to expend or risk its own funds or otherwise incur any financial liability in the performance of its duties under the Indenture, or in the exercise of any of its rights or powers.

(g) The Trustee is under no obligation to exercise any of the rights or powers that are vested in it by the Indenture at the request or direction of Owners pursuant to the Indenture unless such Owners have offered to the Trustee reasonable security or indemnity against the costs, expenses and liabilities which might be incurred by it in compliance with such request or direction. No permissive power, right or remedy that is conferred upon the Trustee under the Indenture will be construed to impose a duty to exercise such power, right or remedy.

(h) Whether or not expressly so provided in the Indenture, every provision of the Indenture relating to the conduct or affecting the liability of or affording protection to the Trustee will be subject to the provisions of the Indenture.

(i) The Trustee has responsibility or liability with respect to any information, statement, or recital in any official statement, offering memorandum or any other disclosure material prepared or distributed with respect to the Bonds.

(j) The immunities that are extended to the Trustee also extend to its directors, officers, employees and agents.

(k) The Trustee may execute any of the trusts or powers of the Indenture and perform any of its duties through attorneys, agents and receivers and will not be answerable for the conduct of the same if appointed by it with reasonable care.

(l) The Trustee is not considered in breach of or in default in its obligations under the Indenture or progress in respect thereto in the event of enforced delay in the performance of such obligations due to unforeseeable causes beyond its control and without its fault or negligence, including, but not limited to, acts of

God or of the public enemy or terrorists, acts of a government, acts of the other party, fires, floods, epidemics, quarantine restrictions, strikes, freight embargoes, earthquakes, explosions, mob violence, riots, inability to procure or general sabotage or rationing of labor, equipment, facilities, sources of energy, material or supplies in the open market, litigation or arbitration involving a party or others relating to zoning or other governmental action or inaction pertaining to the 2024 Project, malicious mischief, condemnation and unusually severe weather or delays of suppliers or subcontractors due to such causes or any similar event and/or occurrences beyond the control of the Trustee.

(m) The Trustee has the right to accept and act upon instructions, including funds transfer instructions ("Instructions") given pursuant to the Indenture and delivered using Electronic Means ("Electronic Means"), which means the following communications methods: e-mail, facsimile transmission, secure electronic transmission containing applicable authorization codes, passwords and/or authentication keys issued by the Trustee, or another method or system specified by the Trustee as available for use in connection with its services under the Indenture); provided, however, that the Authority provides to the Trustee an incumbency certificate listing officers with the authority to provide such Instructions ("Authorized Officers") and containing specimen signatures of such Authorized Officers, which incumbency certificate will be amended by the Authority whenever a person is to be added or deleted from the listing. If the Authority elects to give the Trustee Instructions using Electronic Means and the Trustee acts upon such Instructions, the Trustee's understanding of such Instructions will be deemed controlling. The Authority has understood and agreed that the Trustee cannot determine the identity of the actual sender of such Instructions and that the Trustee will conclusively presume that directions that purport to have been sent by an Authorized Officer listed on the incumbency certificate provided to the Trustee have been sent by such Authorized Officer. The Authority will be responsible for ensuring that only Authorized Officers transmit such Instructions to the Trustee and that the Authority and all Authorized Officers are solely responsible to safeguard the use and confidentiality of applicable user and authorization codes, passwords and/or authentication keys upon receipt by the Authority. The Trustee is not liable for any losses, costs or expenses arising directly or indirectly from the Trustee's reliance upon and compliance with such Instructions notwithstanding the fact that such directions conflict or are inconsistent with a subsequent written instruction. The Authority has agreed: (i) to assume all risks arising out of the use of Electronic Means to submit Instructions to the Trustee, including without limitation the risk of the Trustee acting on unauthorized Instructions, and the risk of interception and misuse by third parties; (ii) that it is fully informed of the protections and risks associated with the various methods of transmitting Instructions to the Trustee and that there may be more secure methods of transmitting Instructions than the method(s) selected by the Authority; (iii) that the security procedures (if any) to be followed in connection with its transmission of Instructions provide to it a commercially reasonable degree of protection in light of its particular needs and circumstances; and (iv) to notify the Trustee immediately upon learning of any compromise or unauthorized use of the security procedure.

(n) The Trustee is not concerned with or accountable to anyone for the subsequent use or application of any moneys which are released or withdrawn in accordance with the provisions of the Indenture.

(o) The permissive right of the Trustee to do things enumerated in the Indenture will not be construed as a duty and it will not be answerable for other than its negligence or willful misconduct.

Right to Rely on Documents. The Trustee will be protected in acting upon any notice, resolution, requisition, request, consent, order, certificate, report, opinion, notes, direction, facsimile transmission, electronic mail or other paper or document believed by it to be genuine and to have been signed or presented by the proper party or parties. The Trustee may consult with counsel, who may be counsel of or to the Authority, with regard to legal questions, and the opinion of such counsel will be full and complete authorization and protection in respect of any action taken or suffered by it under the Indenture in good faith and in accordance therewith.

The Trustee may treat the Owners of the Bonds appearing in the Trustee's Registration Books as the absolute owners of the Bonds for all purposes and the Trustee will not be affected by any notice to the contrary.

Whenever in the administration of the trusts imposed upon it by the Indenture the Trustee deems it necessary or desirable that a matter be proved or established prior to taking or suffering any action under the Indenture, such matter (unless other evidence in respect thereof is specifically prescribed in the Indenture) may be deemed to be conclusively proved and established by a Certificate, Request or Requisition of the Authority, and such Certificate, Request or Requisition will be full warrant to the Trustee for any action taken or suffered in good faith under the provisions of the Indenture in reliance upon such Certificate, Request or Requisition, but in its discretion the Trustee may, in lieu thereof, accept other evidence of such matter or may require such additional evidence as it may deem reasonable.

Preservation and Inspection of Documents. All documents that are received by the Trustee under the provisions of the Indenture will be retained in its possession and will be subject at all reasonable times to the inspection of the Authority, the City and any Bond Owner, and their agents and representatives duly authorized in writing, at reasonable hours and under reasonable conditions.

Compensation and Indemnification. The Authority will pay to the Trustee from time to time reasonable compensation for all services that are rendered under the Indenture, and also all reasonable expenses, charges, legal and consulting fees and other disbursements and those of their attorneys, agents and employees, incurred in and about the performance of their powers and duties under the Indenture.

The Authority will indemnify, defend and hold harmless the Trustee, its officers, employees, directors and agents from and against any loss, costs, claims, liability or expense (including fees and expenses of its attorneys and advisors) incurred without negligence or willful misconduct on its part as finally adjudicated by a court of competent jurisdiction, arising out of or in connection with the execution of the Indenture, acceptance or administration of the trust of the Indenture, including costs and expenses of defending itself against any claim or liability in connection with the exercise or performance of any of its powers thereunder. The rights of the Trustee and the obligations of the Authority under the Indenture will survive removal or resignation of the Trustee thereunder or the discharge of the Bonds and the Indenture.

MODIFICATION OR AMENDMENT OF THE INDENTURE

Amendments Permitted.

(a) The Indenture and the rights and obligations of the Authority, the Owners of the Bonds and the Trustee may be modified or amended from time to time and at any time by an indenture or indentures supplemental thereto, which the Authority and the Trustee may enter into when the prior written consents of the Insurer, so long as the Policy is in full force and effect and the Insurer has not defaulted on its obligations under the Policy or the Reserve Surety Policy, and the Owners of a majority in aggregate principal amount of all Bonds then Outstanding, exclusive of Bonds that are disqualified as provided in the Indenture, have been filed with the Trustee. No such modification or amendment may: (1) extend the fixed maturity of any Bonds, or reduce the amount of principal thereof or premium (if any) thereon, or extend the time of payment, or change the rate of interest or the method of computing the rate of interest thereon, or extend the time of payment of interest thereon, without the consent of the Owner of each Bond so affected; or (2) reduce the aforesaid percentage of Bonds the consent of the Owners of which is required to affect any such modification or amendment, or permit the creation of any lien on the Authority Revenues and other assets pledged under the Indenture prior to or on a parity with the lien that is created by the Indenture except as permitted in the Indenture, or deprive the Owners of the Bonds of the lien created by the Indenture on such Authority Revenues and other assets except as permitted in the Indenture, without the consent of the Owners of all of the Bonds then Outstanding. It is not necessary for the consent of the Bond Owners to approve the particular form of any Supplemental Indenture, but it is sufficient if such consent approves the substance thereof. Promptly after the execution by the Authority and the Trustee of any Supplemental Indenture pursuant to the Indenture, the Trustee will mail a notice, setting forth in general terms the substance of such Supplemental Indenture, to each Rating Agency and the Owners of the Bonds at the respective addresses shown on the Registration Books. Any failure to give such notice, or any defect therein, will not, however, in any way impair or affect the validity of any such Supplemental Indenture.

(b) The Indenture and the rights and obligations of the Authority, the Trustee and the Owners of the Bonds may also be modified or amended from time to time and at any time by a Supplemental Indenture, which the Authority and the Trustee may enter into without the consent of any Bond Owners or the Insurer, if the Trustee receives an opinion of Bond Counsel to the effect that the provisions of such Supplemental Indenture will not materially adversely affect the interests of the Owners of the Outstanding Bonds, including, without limitation, for any one or more of the following purposes:

(1) to add to the covenants and agreements of the Authority contained in the Indenture other covenants and agreements thereafter to be observed, to pledge or assign additional security for the Bonds (or any portion thereof), or to surrender any right or power reserved to or conferred upon the Authority in the Indenture;

(2) to make such provisions for the purpose of curing any ambiguity, inconsistency or omission, or of curing or correcting any defective provision, contained in the Indenture, or in regard to matters or questions arising under the Indenture, as the Authority may deem necessary or desirable;

(3) to modify, amend or supplement the Indenture in such manner as to permit the qualification thereof under the Trust Indenture Act of 1939, as amended, or any similar federal statute thereunder in effect, and to add such other terms conditions and provisions as may be permitted by said act or similar federal statute;

(4) to modify, amend or supplement the Indenture in such manner as to cause interest on the Bonds to remain excludable from gross income under the Code; and

(5) to facilitate the issuance of additional Bonds or Contracts (as such terms are defined in the Installment Purchase Agreement) in accordance with the terms of the Installment Purchase Agreement.

(c) The Trustee may in its discretion, but is not obligated to, enter into any such Supplemental Indenture that is authorized by paragraphs (a) or (b) above which materially adversely affects the Trustee's own rights, duties or immunities under the Indenture or otherwise.

(d) Prior to the Trustee entering into any Supplemental Indenture under the Indenture, there will be delivered to the Trustee an opinion of Bond Counsel stating, in substance, that such Supplemental Indenture has been adopted in compliance with the requirements of the Indenture and that the adoption of such Supplemental Indenture will not, in and of itself, adversely affect the exclusion of interest on the Bonds from federal income taxation and the exclusion of interest on the Bonds from state income taxation.

Effect of Supplemental Indenture. Upon the execution of any Supplemental Indenture pursuant to the Indenture, the Indenture will be deemed to be modified and amended in accordance therewith, and the respective rights, duties and obligations under the Indenture of the Authority, the Trustee and all Owners of Bonds Outstanding will thereafter be determined, exercised and enforced thereunder subject in all respects to such modification and amendment, and all the terms and conditions of any such Supplemental Indenture will be deemed to be part of the terms and conditions of the Indenture for any and all purposes.

Endorsement of Bonds; Preparation of New Bonds. Bonds delivered after the execution of any Supplemental Indenture pursuant to the Indenture may, and if the Trustee so determines will, bear a notation by endorsement or otherwise in form approved by the Authority as to any modification or amendment provided for in such Supplemental Indenture, and, in that case, upon demand on the Owner of any Bonds Outstanding at the time of such execution and presentation of his or her Bonds for the purpose at the Office of the Trustee or at such additional offices as the Trustee may select and designate for that purpose, a suitable notation will be made on such Bonds. If the Supplemental Indenture so provides, new Bonds so modified as to conform, in the opinion of the Authority, to any modification or amendment that is contained in such Supplemental Indenture, will be prepared and executed by the Authority and authenticated by the Trustee, and upon demand on the Owners of

any Bonds then Outstanding will be exchanged at the Office of the Trustee, without cost to any Bond Owner, for Bonds then Outstanding, upon surrender for cancellation of such Bonds, in equal aggregate principal amount of the same maturity.

Amendment of Particular Bonds. The provisions of the Indenture do not prevent any Bond Owner from accepting any amendment as to the particular Bonds held by such Bond Owner.

DEFEASANCE

Discharge of Indenture. The Bonds may be paid by the Authority in any of the following ways, provided that the Authority also pays or causes to be paid any other sums payable under the Indenture by the Authority: (a) by paying or causing to be paid the principal of and interest and redemption premiums (if any) on the Bonds, as and when the same become due and payable; (b) by depositing with the Trustee, in trust, at or before maturity, money or securities (or a combination of money and securities) in the necessary amount (as provided in the Indenture) to pay or redeem all Bonds then Outstanding; or (c) by delivering to the Trustee, for cancellation by it, all of the Bonds then Outstanding.

If the Authority also pays or causes to be paid all other sums that are payable under the Indenture by the Authority, then and in that case, at the election of the Authority (as evidenced by a Certificate of the Authority, filed with the Trustee, signifying the intention of the Authority to discharge all such indebtedness and the Indenture), and notwithstanding that any Bonds have not been surrendered for payment, the Indenture and the pledge of Authority Revenues and other assets under the Indenture and all covenants, agreements and other obligations of the Authority under the Indenture will cease, terminate, become void and be completely discharged and satisfied. In such event, upon the Request of the Authority, the Trustee will execute and deliver to the Authority all such instruments as may be necessary or desirable to evidence such discharge and satisfaction, and the Trustee will pay over, transfer, assign or deliver all moneys or securities or other property held by it pursuant to the Indenture which are not required for the payment or redemption of Bonds not theretofore surrendered for such payment or redemption to the Authority.

Discharge of Liability on Bonds. Upon the deposit with the Trustee, in trust, at or before maturity, of money or securities (or a combination of money and securities) in the necessary amount (as provided in the Indenture) to pay or redeem any Outstanding Bonds (whether upon or prior to the maturity or the redemption date of such Bonds), provided that, if such Outstanding Bonds are to be redeemed prior to maturity, notice of such redemption has been given as provided in the Indenture or provisions satisfactory to the Trustee have been made for the giving of such notice, then all liability of the Authority in respect of such Bonds will cease, terminate and be completely discharged, and the Owners thereof will thereafter be entitled only to payment out of such money or securities that are deposited with the Trustee as aforesaid for their payment, subject however, to the provisions of the Indenture.

The Authority may at any time surrender to the Trustee for cancellation by it any Bonds that were previously issued and delivered, which the Authority may have acquired in any manner whatsoever, and such Bonds, upon such surrender and cancellation, will be deemed to be paid and retired.

Deposit of Money or Securities with Trustee. Whenever in the Indenture it is provided or permitted that there be deposited with or held in trust by the Trustee money or securities in the necessary amount to pay or redeem any Bonds, the money or securities so to be deposited or held may include money or securities held by the Trustee in the funds and accounts established pursuant to the Indenture and will be:

(a) lawful money of the United States of America in an amount that is equal to the principal amount of such Bonds and all unpaid interest thereon to maturity, except that, in the case of Bonds which are to be redeemed prior to maturity and in respect of which notice of such redemption has been given as provided in the Indenture or provisions satisfactory to the Trustee have been made for the giving of such notice, the amount to

be deposited or held will be the principal amount of such Bonds and all unpaid interest and premium, if any, thereon to the redemption date; or

(b) Federal Securities the principal of and interest on which when due will, in the written opinion of an Independent Certified Public Accountant filed with the Authority and the Trustee, provide money that is sufficient to pay the principal of and all unpaid interest to maturity, or to the redemption date (with premium, if any), as the case may be, on the Bonds to be paid or redeemed, as such principal, interest and premium, if any, become due, provided that in the case of Bonds which are to be redeemed prior to the maturity thereof, notice of such redemption has been given as provided in the Indenture or provision satisfactory to the Trustee has been made for the giving of such notice;

provided, in each case, that: (i) the Trustee has been irrevocably instructed (by the terms of the Indenture or by Request of the Authority) to apply such money to the payment of such principal, interest and premium, if any, with respect to such Bonds; and (ii) the Authority has delivered to the Trustee an opinion of Bond Counsel addressed to the Authority and the Trustee to the effect that such Bonds have been discharged in accordance with the Indenture (which opinion may rely upon and assume the accuracy of the Independent Certified Public Accountant's opinion referred to above).

At least three (3) Business Days prior to any defeasance with respect to the Bonds, the Authority will deliver to the Insurer draft copies of an escrow agreement, an opinion of Bond Counsel regarding the validity and enforceability of the escrow agreement and the defeasance of the Bonds and a verification report (a "Verification Report") prepared by an Independent Certified Public Accountant regarding the sufficiency of the escrow fund. Such opinion and Verification Report will be addressed to the Insurer and, so long as the Insurer has not defaulted on any obligation under the Policy or the Reserve Surety Policy, such opinion and Verification Report will be in form and substance satisfactory to the Insurer. In addition, the escrow agreement must provide that any substitution of securities following the execution and delivery of the escrow agreement will require the delivery of: (I) a Verification Report; (II) an opinion of Bond Counsel that such substitution will not adversely affect the exclusion (if interest on the Bonds is excludable) from gross income of the holders of the Bonds of the interest on the Bonds for federal income tax purposes; and (III) the prior written consent of the Insurer, which consent will not be unreasonably withheld.

The Authority will not exercise any prior optional redemption of the Bonds secured by the escrow agreement or any other redemption other than mandatory sinking fund redemptions unless: (1) the right to make any such redemption has been expressly reserved in the escrow agreement and such reservation has been disclosed in detail in the official statement for the refunding bonds; and (2) as a condition to any such redemption there is provided to the Insurer a Verification Report as to the sufficiency of escrow receipts without reinvestment to meet the escrow requirements remaining following any such redemption.

The City and the Authority may not amend the escrow agreement or enter into a forward purchase agreement or other agreement with respect to rights in the escrow without the prior written consent of the Insurer.

Payment of Bonds After Discharge of Indenture. Notwithstanding any provisions of the Indenture, any moneys which are held by the Trustee in trust for the payment of the principal of, or interest on, any Bonds and which remain unclaimed for two years after the principal of all of the Bonds has become due and payable (whether at maturity or upon call for redemption or by acceleration as provided in the Indenture), if such moneys were so held at such date, or two years after the date of deposit of such moneys if deposited after said date when all of the Bonds became due and payable, will be repaid (without liability for interest) to the Authority free from the trusts created by the Indenture upon receipt of an indemnification agreement that is acceptable to the Authority and the Trustee indemnifying the Trustee with respect to claims of Owners of Bonds which have not yet been paid, and all liability of the Trustee with respect to such moneys will thereupon cease; provided, however, that before the repayment of such moneys to the Authority as aforesaid, the Trustee will at the written direction of the Authority (at the cost of the Authority) first mail to the Owners of Bonds which have not yet been paid, at the addresses shown on the Registration Books, a notice, in such form as may be deemed

appropriate by the Trustee with respect to the Bonds so payable and not presented and with respect to the provisions relating to the repayment to the Authority of the moneys held for the payment thereof.

MISCELLANEOUS

Liability of Authority Limited to Authority Revenues. Notwithstanding anything in the Indenture or the Bonds, the Authority is not required to advance any moneys derived from any source other than the Authority Revenues and other moneys pledged under the Indenture for any of the purposes of the Indenture, whether for the payment of the principal of or interest on the Bonds or for any other purpose of the Indenture. Nevertheless, the Authority may, but is not required to, advance for any of the purposes of the Indenture any funds of the Authority which may be made available to it for such purposes.

The Bonds are not a debt of the members of the Authority, the State or any of its political subdivisions (other than the Authority) and neither the members of the Authority, said State nor any of its political subdivisions (other than the Authority) is liable thereon. The City has no liability or obligation in the Indenture except with respect to Series 2024 Installment Payments payable under the Installment Purchase Agreement.

Successor Is Deemed Included in All References to Predecessor. Whenever in the Indenture either the Authority or the Trustee is named or referred to, such reference will be deemed to include the successors or assigns thereof, and all covenants and agreements in the Indenture by or on behalf of the Authority or the Trustee will bind and inure to the benefit of the respective successors and assigns thereof whether so expressed or not.

Limitation of Rights to Parties and Bond Owners. Nothing in the Indenture or in the Bonds, express or implied, is intended or will be construed to give to any person other than the Authority, the Trustee, the Insurer, the City and the Owners of the Bonds, any legal or equitable right, remedy or claim under or in respect of the Indenture or any covenant, condition or provision therein contained; and all such covenants, conditions and provisions are and will be held to be for the sole and exclusive benefit of the Authority, the Trustee, the Insurer, the City and the Owners of the Bonds. The Insurer is recognized as and will be deemed to be a third party beneficiary of the Indenture and may enforce the provisions thereof as if it were a party thereto.

Waiver of Notice; Requirement of Mailed Notice. Whenever in the Indenture the giving of notice by mail or otherwise is required, the giving of such notice may be waived in writing by the person who is entitled to receive such notice, and in any such case the giving or receipt of such notice will not be a condition precedent to the validity of any action taken in reliance upon such waiver. Whenever in the Indenture any notice is required to be given by mail, such requirement will be satisfied by the deposit of such notice in the United States mail, postage prepaid, by first class mail.

Destruction of Bonds. Whenever in the Indenture provision is made for the cancellation by the Trustee and the delivery to the Authority of any Bonds, the Trustee will destroy such Bonds as may be allowed by law and upon request deliver a certificate of such destruction to the Authority.

Severability of Invalid Provisions. If any one or more of the provisions contained in the Indenture or in the Bonds is for any reason be held to be invalid, illegal or unenforceable in any respect, then such provision or provisions will be deemed severable from the remaining provisions contained in the Indenture and such invalidity, illegality or unenforceability will not affect any other provision of the Indenture, and the Indenture will be construed as if such invalid or illegal or unenforceable provision had never been contained therein. The Authority has declared that it would have entered into the Indenture and each and every other Section, paragraph, sentence, clause or phrase of the Indenture and authorized the issuance of the Bonds pursuant thereto irrespective of the fact that any one or more Sections, paragraphs, sentences, clauses or phrases of the Indenture may be held illegal, invalid or unenforceable.

Evidence of Rights of Bond Owners. Any request, consent or other instrument that is required or permitted by the Indenture to be signed and executed by Bond Owners may be in any number of concurrent

instruments of substantially similar tenor and will be signed or executed by such Bond Owners in person or by an agent or agents duly appointed in writing. Proof of the execution of any such request, consent or other instrument or of a writing appointing any such agent, or of the holding by any person of Bonds transferable by delivery, will be sufficient for any purpose of the Indenture and will be conclusive in favor of the Trustee and the Authority if made in the manner provided therein.

The fact and date of the execution by any person of any such request, consent or other instrument or writing may be proved by the certificate of any notary public or other officer of any jurisdiction, authorized by the laws thereof to take acknowledgments of deeds, certifying that the person signing such request, consent or other instrument acknowledged to him the execution thereof, or by an affidavit of a witness of such execution duly sworn to before such notary public or other officer.

The Ownership of Bonds will be proved by the Registration Books. Any request, consent, or other instrument or writing of the Owner of any Bond will bind every future Owner of the same Bond and the Owner of every Bond issued in exchange therefor or in lieu thereof, in respect of anything done or suffered to be done by the Trustee or the Authority in accordance therewith or reliance thereon.

Disqualified Bonds. In determining whether the Owners of the requisite aggregate principal amount of Bonds have concurred in any demand, request, direction, consent or waiver under the Indenture, Bonds which are actually known by the Trustee to be owned or held by or for the account of the Authority, or by any other obligor on the Bonds, or by any person that is directly or indirectly controlling or controlled by, or under direct or indirect common control with, the Authority or any other obligor on the Bonds, will be disregarded and deemed not to be Outstanding for the purpose of any such determination. Bonds so owned which have been pledged in good faith may be regarded as Outstanding for the purposes of the Indenture if the pledgee establishes to the satisfaction of the Trustee the pledgee's right to vote such Bonds and that the pledgee is not a person that is directly or indirectly controlling or controlled by, or under direct or indirect common control with, the Authority or any other obligor on the Bonds. In case of a dispute as to such right, any decision by the Trustee taken upon the advice of counsel will be full protection to the Trustee. Upon request, the Authority will certify to the Trustee those Bonds that are disqualified pursuant to the Indenture and the Trustee may conclusively rely on such certificate.

Money Held for Particular Bonds. The money held by the Trustee for the payment of the interest, principal or premium due on any date with respect to particular Bonds (or portions of Bonds in the case of registered Bonds redeemed in part only) will, on and after such date and pending such payment, be set aside on its books and held in trust by it for the Owners of the Bonds entitled thereto, subject, however, to the provisions of the Indenture, but without any liability for interest thereon.

Funds and Accounts. Any fund or account that is required by the Indenture to be established and maintained by the Trustee may be established and maintained in the accounting records of the Trustee, either as a fund or an account, and may, for the purposes of such records, any audits thereof and any reports or statements with respect thereto, be treated either as a fund or as an account; but all such records with respect to all such funds and accounts will at all times be maintained in accordance with corporate trust industry standards to the extent practicable, and with due regard for the requirements of the Indenture and for the protection of the security of the Bonds and the rights of every Owner thereof.

Waiver of Personal Liability. No member, officer, agent, employee, consultant or attorney of the Authority or the City will be individually or personally liable for the payment of the principal of or premium or interest on the Bonds or subject to any personal liability or accountability by reason of the issuance thereof; but nothing contained in the Indenture relieves any such member, officer, agent, employee, consultant or attorney from the performance of any official duty provided by law or by the Indenture.

CUSIP Numbers. Neither the Trustee nor the Authority are liable for any defect or inaccuracy in the CUSIP number that appears on any Bond or in any redemption notice. The Trustee may, in its discretion, include

in any redemption notice a statement to the effect that the CUSIP numbers on the Bonds have been assigned by an independent service and are included in such notice solely for the convenience of the Bondholders and that neither the Authority nor the Trustee are liable for any inaccuracies in such numbers.

Choice of Law. THE INDENTURE WILL BE GOVERNED BY THE LAWS OF THE STATE OF CALIFORNIA.

Notice to Rating Agencies and the Insurer. The Trustee will provide any rating agency rating the Bonds and the Insurer with written notice of each amendment to the Indenture and a copy thereof at least 15 days in advance of its execution.

Consent of the Insurer in Addition to Bondholder Consent. Notwithstanding anything to the contrary set forth in the Indenture or in the Installment Purchase Agreement, whenever any provision of the Indenture requires the consent of holders of the Bonds, the Insurer's consent will also be required so long as the Policy is in full force and effect and the Insurer has not defaulted on its obligations thereunder. In addition, any amendment, supplement, modification to, or waiver of, any provision of the Indenture that adversely affects the rights or interests of the Insurer will be subject to the prior written consent of the Insurer.

No contract may be entered into or any action taken by which the rights of the Insurer or (so long as the Policy is in full force and effect and the Insurer has not defaulted on its obligations thereunder) security for or source of payment of the Bonds may be impaired or prejudiced in any material respect except upon obtaining the prior written consent of the Insurer.

Insolvency. Any reorganization or liquidation plan with respect to the Authority must be acceptable to the Insurer, so long as the Policy is in full force and effect and the Insurer has not defaulted on its obligations thereunder. So long as the Policy is in full force and effect and the Insurer has not defaulted on its obligations thereunder, the Trustee and each Owner of the Bonds appoint the Insurer as their agent and attorney-in-fact with respect to the Bonds and agree that the Insurer may at any time during the continuation of any Insolvency Proceeding direct all matters relating to such Insolvency Proceeding, including without limitation: (a) all matters relating to any Claim; (b) the direction of any appeal of any order relating to any Claim; (c) the posting of any surety, supersedeas or performance bond pending any such appeal; and (d) the right to vote to accept or reject any plan of adjustment. In addition, the Trustee and each Owner of the Bonds delegate and assign to the Insurer, so long as the Policy is in full force and effect and the Insurer has not defaulted on its obligations thereunder, to the fullest extent permitted by law, the rights of the Trustee and each Owner of the Bonds with respect to the Bonds in the conduct of any Insolvency Proceeding, including, without limitation, all rights of any party to an adversary proceeding or action with respect to any court order issued in connection with any such Insolvency Proceeding.

Special Provisions for Insurer Default. If an Insurer Default occurs and is continuing, then, notwithstanding anything in the Indenture or the Installment Purchase Agreement to the contrary: (a) if at any time prior to or following an Insurer Default, the Insurer has made payment under the Policy, to the extent of such payment the Insurer will be treated like any other holder of the Bonds for all purposes, including giving of consents; and (b) if the Insurer has not made any payment under the Policy, the Insurer will have no further consent rights until the particular Insurer Default is no longer continuing or the Insurer makes a payment under the Policy, in which event, the foregoing clause (a) will control.

Payment Procedure Under the Policy. the Insurer is entitled to pay principal or interest on the Bonds that become Due for Payment but are unpaid by reason of Nonpayment by the Issuer (as such terms are defined in the Policy) and any amounts due on the Bonds as a result of acceleration of the maturity thereof in accordance with the Indenture and the Installment Purchase Agreement, whether or not the Insurer has received a claim upon the Policy.

In the event that principal and/or interest due on the Bonds is paid by the Insurer pursuant to the Policy, the Bonds will remain outstanding for all purposes, not be defeased or otherwise satisfied and not be considered paid by the Authority, the assignment and pledge of the trust estate and all covenants, agreements and other obligations of the Authority to the registered Owners will continue to exist and run to the benefit of the Insurer, and the Insurer will be subrogated to the rights of such registered owners.

In the event that on the second Business Day prior to any Interest Payment Date on the Bonds, the Trustee has not received sufficient moneys to pay all principal of and interest on the Bonds due on such payment date, the Trustee will immediately notify the Insurer or its designee on the same Business Day by telephone or electronic mail, of the amount of the deficiency. If any deficiency is made up in whole or in part prior to or on the payment date, the Trustee will so notify the Insurer or its designee.

In addition, if the Trustee has notice that any holder of the Bonds has been required to disgorge payments of principal of or interest on the Bonds pursuant to a final, non-appealable order by a court of competent jurisdiction that such payment constitutes an avoidable preference to such holder within the meaning of any applicable bankruptcy law, then the Trustee will notify the Insurer or its designee of such fact by telephone or electronic mail, or by overnight or other delivery service as to which a delivery receipt is signed by a person authorized to accept delivery on behalf of the Insurer.

The Trustee will irrevocably be designated, appointed, directed and authorized to act as attorney-in-fact for holders of the Bonds as follows:

(a) If there is a deficiency in amounts required to pay interest and/or principal on the Bonds, the Trustee will: (i) execute and deliver to the Insurer, in form satisfactory to the Insurer, an instrument appointing the Insurer as agent and attorney-in-fact for such holders of the Bonds in any legal proceeding related to the payment and assignment to the Insurer of the claims for interest on the Bonds; (ii) receive as designee of the respective holders (and not as Trustee) in accordance with the tenor of the Policy payment from the Insurer with respect to the claims for interest so assigned; (iii) segregate all such payments in the Insurer Policy Payment Account established under the Indenture and held by the Trustee, to be used only to make scheduled payments of principal of and interest on the Bond; and (iv) disburse the same to such respective holders.

(b) If there is a deficiency in amounts required to pay principal of the Bonds, the Trustee will: (i) execute and deliver to the Insurer, in form satisfactory to the Insurer, an instrument appointing the Insurer as agent and attorney-in-fact for such holder of the Bonds in any legal proceeding related to the payment of such principal and an assignment to the Insurer of the Bonds surrendered to the Insurer; (ii) receive as designee of the respective holders (and not as Trustee) in accordance with the tenor of the Policy payment therefor from the Insurer; (iii) segregate all such payments in the Insurer Policy Payment Account to only be used to make scheduled payments of principal of and interest on the Bond; and (iv) disburse the same to such holders.

The Trustee will designate any portion of payment of principal on the Bonds paid by the Insurer, whether by virtue of mandatory sinking fund redemption, maturity or other advancement of maturity, on its books as a reduction in the principal amount of Bonds registered to the then current holder, whether DTC or its nominee or otherwise, and will issue a replacement Bond to the Insurer, registered in the name directed by the Insurer, in a principal amount equal to the amount of principal so paid (without regard to authorized denominations); provided that the Trustee's failure to so designate any payment or issue any replacement Bonds will have no effect on the amount of principal or interest payable by the Authority on any Bond or the subrogation or assignment rights of the Insurer.

Payments with respect to claims for interest on and principal of the Bonds disbursed by the Trustee from proceeds of the Policy will not be considered to discharge the obligation of the Authority with respect to such Bonds, and the Insurer will become the owner of such unpaid Bonds and claims for the interest in accordance with the tenor of the assignment made to it under the provisions of the preceding paragraphs or otherwise. The Indenture and the Installment Purchase Agreement will not be discharged or terminated unless all amounts due

or to become due to the Insurer have been paid in full or duly provided for. The Authority's obligation to pay such amounts will expressly survive payment in full of the Bonds.

Irrespective of whether any such assignment is executed and delivered, the Authority and the Trustee have agreed for the benefit of the Insurer that:

(1) They recognize that to the extent that the Insurer makes payments directly or indirectly (e.g., by paying through the Trustee), on account of principal of or interest on the Bonds, the Insurer will be subrogated to the rights of such holders to receive the amount of such principal and interest from the Authority, with interest thereon, as provided and solely from the sources stated in the Indenture and the Bonds.

(2) They will accordingly pay to the Insurer the amount of such principal and interest, with interest thereon as provided in the transaction documents and the Bonds, but only from the sources and in the manner provided therein for the payment of principal of and interest on the Bonds to holders, and will otherwise treat the Insurer as the owner of such rights to the amount of such principal and interest.

Additional Payments. The Authority has agreed unconditionally that it will pay or reimburse the Insurer on demand any and all reasonable charges, fees, costs, losses, liabilities and expenses that the Insurer may pay or incur, including, but not limited to, Administrative Costs. For purposes of the foregoing, costs and expenses include a reasonable allocation of compensation and overhead attributable to the time of employees of the Insurer spent in connection with the actions described in the preceding sentence. The Authority has agreed that failure to pay any Administrative Costs on a timely basis will result in the accrual of interest on the unpaid amount at the Late Payment Rate, compounded semi-annually, from the date that payment is first due to the Insurer until the date the Insurer is paid in full.

Notwithstanding anything in the Indenture to the contrary, the Authority has agreed to pay to the Insurer the Insurer Reimbursement Amounts, compounded semi-annually. Notwithstanding anything to the contrary, including without limitation the post-Event of Default application of revenue provisions, the Insurer Reimbursement Amounts will be, and the Authority has covenanted and agreed that the Insurer Reimbursement Amounts are, payable from and secured by a lien on and pledge of the same Authority Revenues and other collateral pledged to the Bonds on a parity with debt service due on the Bonds.

Exercise of Rights by the Insurer. The rights granted to the Insurer under the Indenture and the Installment Purchase Agreement to request, consent to or direct any action are rights granted to the Insurer in consideration of its issuance of the Policy. Any exercise by the Insurer of such rights is merely an exercise of the Insurer's contractual rights and will not be construed or deemed to be taken for the benefit, or on behalf, of the holders of the Bonds, and such action does not evidence any position of the Insurer, affirmative or negative, as to whether the consent of the holders of the Bonds or any other person is required in addition to the consent of the Insurer.

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APPENDIX C

FORM OF OPINION OF BOND COUNSEL

Upon issuance of the Bonds, Stradling Yocca Carlson & Rauth LLP, Bond Counsel, proposes to render its final approving opinion in substantially the following form:

_____, 2024

Monterey Park Financing Authority
c/o City of Monterey Park
320 West Newmark Avenue
Monterey Park, California 91754

Re: $20,555,000 *Monterey Park Financing Authority Water Revenue Bonds, Series 2024*

Members of the Board of Directors:

We have acted as Bond Counsel to the Monterey Park Financing Authority (the "Authority") in connection with the issuance of $20,555,000 aggregate principal amount of Monterey Park Financing Authority Water Revenue Bonds, Series 2024 (the "Bonds"). The Bonds have been issued by the Authority pursuant to the terms of the Indenture of Trust, dated as of May 1, 2024 (the "Indenture"), by and between the Authority and U.S. Bank Trust Company, National Association, as trustee (the "Trustee").

The Bonds are limited obligations of the Authority payable solely from payments to be made by the City of Monterey Park (the "City") to the Authority pursuant to an Installment Purchase Agreement, dated as of May 1, 2024 (the "Installment Purchase Agreement"), by and between the City and the Authority, and from certain funds and accounts established under the Indenture.

In connection with our representation, we have examined a certified copy of the proceedings relating to the Bonds. As to questions of fact material to our opinion, we have relied upon the certified proceedings and other certifications of public officials furnished to us without undertaking to verify the same by independent investigations.

Based upon the foregoing and after examination of such questions of law as we have deemed relevant in the circumstances, but subject to the limitations set forth herein, we are of the opinion that:

1. The proceedings of the Authority show lawful authority for the issuance and sale by the Authority of the Bonds under the laws of the State of California (the "State") now in force, and the Indenture has been duly authorized, executed and delivered by the Authority. Assuming due authorization, execution and delivery by the Trustee, as appropriate, the Bonds and the Indenture are valid and binding obligations of the Authority enforceable against the Authority in accordance with their respective terms.

2. The obligation of the Authority to make the payments of principal and interest on the Bonds from Authority Revenues (as such term is defined in the Indenture) is an enforceable obligation of the Authority and does not constitute an indebtedness of the Authority in contravention of any constitutional or statutory debt limit or restriction.

3. Under existing statutes, regulations, rulings and judicial decisions, and assuming the accuracy of certain representations and compliance with certain covenants and requirements described herein, interest (and original issue discount) on the Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of calculating the federal alternative minimum tax imposed on

individuals; however, for tax years beginning after December 31, 2022, with respect to applicable corporations as defined in Section 59(k) of the Internal Revenue Code of 1986, as amended (the "Code"), interest (and original issue discount) on the Bonds might be taken into account in determining adjusted financial statement income for the purposes of computing the alternative minimum tax imposed on such corporations.

4. Interest (and original issue discount) on the Bonds is exempt from State personal income tax.

5. The difference between the issue price of a Bond (the first price at which a substantial amount of the Bonds of the same series and maturity is to be sold to the public) and the stated redemption price at maturity with respect to such Bonds constitutes original issue discount. Original issue discount accrues under a constant yield method, and original issue discount will accrue to a Bond Owner before receipt of cash attributable to such excludable income. The amount of original issue discount deemed received by the Bond Owner will increase the Bond Owner's basis in the Bond.

6. The amount by which a Bond Owner's original basis for determining loss on sale or exchange in the applicable Bond (generally, the purchase price) exceeds the amount payable on maturity (or on an earlier call date) constitutes amortizable Bond premium, which must be amortized under Section 171 of the Code; such amortizable Bond premium reduces the Bond Owner's basis in the applicable Bond (and the amount of tax-exempt interest received), and is not deductible for federal income tax purposes. The basis reduction as a result of the amortization of Bond premium may result in a Bond Owner realizing a taxable gain when a Bond is sold by the Owner for an amount equal to or less (under certain circumstances) than the original cost of the Bond to the Owner. Purchasers of the Bonds should consult their own tax advisors as to the treatment, computation and collateral consequences of amortizable bond premium.

The opinions that are expressed herein as to the exclusion from gross income of interest (and original issue discount) on the Bonds are based upon certain representations of fact and certifications made by the City and the Authority and are subject to the condition that the City and the Authority comply with all requirements of the Code that must be satisfied subsequent to issuance of the Bonds to assure that interest (and original issue discount) on the Bonds will not become includable in gross income for federal income tax purposes. Failure to comply with such requirements of the Code might cause interest (and original issue discount) on the Bonds to be included in gross income for federal income tax purposes retroactive to the date of issuance of the Bonds. The City and the Authority have covenanted to comply with all such requirements.

The opinions that are expressed herein may be affected by actions taken (or not taken) or events occurring (or not occurring) after the date hereof. We have not undertaken to determine, or to inform any person, whether any such actions or events are taken or do occur. Our engagement with respect to the Bonds terminates on the date of their issuance. The Indenture, the Installment Purchase Agreement and the Tax Certificate relating to the Bonds permit certain actions to be taken or to be omitted if a favorable opinion of Bond Counsel is provided with respect thereto. No opinion is expressed herein as to the effect on the exclusion from gross income of interest (and original issue discount) on the Bonds for federal income tax purposes if any such action is taken or omitted based upon the opinion or advice of counsel other than ourselves. Other than expressly stated herein, we express no other opinion regarding tax consequences with respect to the Bonds.

The opinions that are expressed herein are based upon our analysis and interpretation of existing statutes, regulations, rulings and judicial decisions and cover certain matters not directly addressed by such authorities. We call attention to the fact that the rights and obligations under the Indenture, the Installment Purchase Agreement and the Bonds are subject to bankruptcy, insolvency, reorganization, moratorium, fraudulent conveyance and other similar laws affecting creditors' rights, to the application of equitable principles if equitable remedies are sought, to the exercise of judicial discretion in appropriate cases and to limitations on legal remedies against public agencies in the State. Additionally, we express no opinion with respect to the municipal bond insurance policy or the municipal bond debt service reserve insurance policy relating to the Bonds.

By delivering this opinion, we are not expressing any opinion with respect to any indemnification, contribution, liquidated damages, penalty (including any remedy deemed to constitute a penalty), right of set-off, arbitration, judicial reference, choice of law, choice of forum, choice of venue, non-exclusivity of remedies, waiver or severability provisions contained in the Bonds, the Indenture or the Installment Purchase Agreement, nor are we expressing any opinion with respect to the state or quality of title to or interest in any assets described in or as subject to the lien of the Indenture or the Installment Purchase Agreement or the accuracy or sufficiency of the description contained therein of, or the remedies available to enforce liens on any assets thereunder.

Our opinion is limited to matters governed by the laws of the State and federal law. We assume no responsibility with respect to the applicability or the effect of the laws of any other jurisdiction.

We express no opinion herein as to the accuracy, completeness or sufficiency of the Official Statement or other offering material relating to the Bonds and expressly disclaim any duty to advise the Owners of the Bonds with respect to matters contained in the Official Statement.

Respectfully submitted,

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APPENDIX D

INFORMATION CONCERNING DTC

The information in this section concerning DTC and DTC's book-entry only system has been obtained from sources that the Authority, the City and the Underwriter believe to be reliable, but none of the Authority, the City or the Underwriter takes any responsibility for the completeness or accuracy thereof. The following description of the procedures and record keeping with respect to beneficial ownership interests in the Bonds, payment of principal, premium, if any, accreted value, if any, and interest on the Bonds to DTC Participants or Beneficial Owners, confirmation and transfers of beneficial ownership interests in the Bonds and other related transactions by and between DTC, the DTC Participants and the Beneficial Owners is based solely on information provided by DTC.

The Depository Trust Company ("DTC"), New York, NY, will act as securities depository for the Bonds. The Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully registered bond will be issued for each annual maturity of the Bonds, each in the aggregate principal amount of such annual maturity, and will be deposited with DTC.

DTC, the world's largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC's participants ("Direct Participants") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("Indirect Participants"). DTC has a Standard & Poor's rating of AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com.

Purchases of Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Bonds on DTC's records. The ownership interest of each actual purchaser of each Bond ("Beneficial Owner") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in the Bonds, except in the event that use of the book-entry system for the Bonds is discontinued.

To facilitate subsequent transfers, all Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts

such Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Bonds, such as redemptions, tenders, defaults, and proposed amendments to the Bond documents. For example, Beneficial Owners of Bonds may wish to ascertain that the nominee holding the Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them.

Redemption notices shall be sent to DTC. If less than all of the Bonds within a maturity are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such maturity to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to Bonds unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the Authority as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Redemption proceeds, distributions, and dividend payments on the Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the Authority or the Trustee, on payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, the Trustee, or the Authority, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of redemption proceeds, distributions, and dividend payments to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the Authority or the Trustee, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

A Bond Owner shall give notice to elect to have its Bonds purchased or tendered, through its Participant, to the Trustee, and shall effect delivery of such Bonds by causing the Direct Participant to transfer the Participant's interest in the Bonds, on DTC's records, to the Trustee. The requirement for physical delivery of Bonds in connection with an optional tender or a mandatory purchase will be deemed satisfied when the ownership rights in the Bonds are transferred by Direct Participants on DTC's records and followed by a book-entry credit of tendered Bonds to the Trustee's DTC account. DTC may discontinue providing its services as depository with respect to the Bonds at any time by giving reasonable notice to the Authority or the Trustee. Under such circumstances, in the event that a successor depository is not obtained, physical certificates are required to be printed and delivered.

The Authority may decide to discontinue use of the system of book-entry only transfers through DTC (or a successor securities depository). In that event, bonds will be printed and delivered to DTC.

THE TRUSTEE, AS LONG AS A BOOK-ENTRY ONLY SYSTEM IS USED FOR THE BONDS, WILL SEND ANY NOTICE OF REDEMPTION OR OTHER NOTICES TO OWNERS ONLY TO DTC. ANY FAILURE OF DTC TO ADVISE ANY DTC PARTICIPANT, OR OF ANY DTC PARTICIPANT TO NOTIFY ANY BENEFICIAL OWNER, OF ANY NOTICE AND ITS CONTENT OR EFFECT WILL NOT AFFECT THE VALIDITY OF SUFFICIENCY OF THE PROCEEDINGS RELATING TO THE REDEMPTION OF THE BONDS CALLED FOR REDEMPTION OR OF ANY OTHER ACTION PREMISED ON SUCH NOTICE.

APPENDIX E

FORM OF CONTINUING DISCLOSURE CERTIFICATE

Upon the issuance of the Bonds, the City proposes to enter into a Continuing Disclosure Certificate in substantially the following form:

This Continuing Disclosure Certificate (the "Disclosure Certificate") is executed and delivered by the City of Monterey Park (the "City") in connection with the issuance of $20,555,000 Monterey Park Financing Authority Water Revenue Bonds, Series 2024 (the "Bonds"). The Bonds are being issued pursuant to the Indenture of Trust, dated as of May 1, 2024 (the "Indenture"), by and between the Monterey Park Financing Authority (the "Authority") and U.S. Bank Trust Company, National Association, as trustee (the "Trustee") , in order to provide funds to finance the acquisition, construction and improvement of certain public capital improvements within the jurisdiction of the City. The City covenants and agrees as follows:

Section 1. Purpose of the Disclosure Certificate. This Disclosure Certificate is being executed and delivered by the City for the benefit of the Holders of the Bonds and to assist the Participating Underwriter in complying with SEC Rule 15c2-12(b)(5).

Section 2. Definitions. In addition to the definitions set forth in the Indenture and in the Installment Purchase Agreement, dated as of May 1, 2024 (the "Installment Purchase Agreement"), by and between the Authority and the City, which apply to any capitalized terms used in this Disclosure Certificate, unless otherwise defined in this Section, the following capitalized terms shall have the following meanings:

"Annual Report" shall mean any Annual Report provided by the City pursuant to, and as described in, Sections 3 and 4 of this Disclosure Certificate.

"Annual Report Date" shall mean March 31 of each year.

"*Beneficial Owner*" shall mean any person which (a) has the power, directly or indirectly, to vote or consent with respect to, or to dispose of ownership of, any Bonds (including persons holding Bonds through nominees, depositories or other intermediaries), or (b) is treated as the owner of any Bonds for federal income tax purposes.

"Dissemination Agent" shall mean Urban Futures, Inc., or any successor Dissemination Agent designated in writing by the City and which has filed with the City a written acceptance of such designation.

"*Holders*" shall mean, while the Bonds are registered in the name of The Depository Trust Company, any applicable participant in its depository system, or the Owner of any Bond for Federal income tax purposes.

"Listed Events" shall mean any of the events listed in Section 5(a) or 5(b) of this Disclosure Certificate.

"Official Statement" means the Official Statement dated April 30, 2024, relating to the Bonds.

"Participating Underwriter" shall mean Samuel A. Ramirez & Co., Inc., the original underwriter of the Bonds required to comply with the Rule in connection with offering of the Bonds.

"*Repository*" shall mean the Municipal Securities Rulemaking Board, which can be found at http://emma.msrb.org/, or any other repository of disclosure information that may be designated by the Securities and Exchange Commission as such for purposes of the Rule in the future.

"Rule" shall mean Rule 15c2-12(b)(5) adopted by the SEC under the Securities Exchange Act of 1934, as the same may be amended from time to time.

"SEC" shall mean the Securities and Exchange Commission.

Section 3. Provision of Annual Reports.

(a) The City shall, or shall cause the Dissemination Agent to, no later than March 31 of each year, commencing March 31, 2025, with the report for Fiscal Year 2023-24, provide to each Repository, an Annual Report that is consistent with the requirements of Section 4 of this Disclosure Certificate. The Official Statement shall constitute the Annual Report for Fiscal Year 2022-23. The Annual Report may cross-reference other information as provided in Section 4 of this Disclosure Certificate; provided that the audited financial statements of the City may be submitted separately from the balance of the Annual Report and later than the date required above for the filing of the Annual Report if they are not available by that date. If the City's fiscal year changes, it shall give notice of such change in the same manner as for a Listed Event under Section 5(d). The Annual Report may be submitted as a single document or as separate documents comprising a package, and may include by reference other information as provided in Section 4 of this Disclosure Certificate; provided that the audited financial statements of the City may be submitted separately from the balance of the Annual Report, and later than the Annual Report Date, if not available by that date. If the City's fiscal year changes, it shall give notice of such change in the same manner as for a Listed Event under Section 5(d). The City shall provide a written certification with each Annual Report furnished to the Dissemination Agent to the effect that such Annual Report constitutes the Annual Report required to be furnished by the City hereunder.

(b) Not later than 15 Business Days prior to the Annual Report Date, the City shall provide the Annual Report to the Dissemination Agent (if other than the City). If by 15 Business Days prior to the Annual Report Date the Dissemination Agent (if other than the City) has not received a copy of the Annual Report, the Dissemination Agent shall contact the City to determine if the City is in compliance with the previous sentence. If the City is unable to provide to the Repositories an Annual Report by the date required in subsection (a), the City will send a notice to each Repository in substantially the form attached as Exhibit A.

(c) With respect to each Annual Report, the Dissemination Agent shall:

(i) determine each year prior to the Annual Report Date the then applicable rules and electronic format prescribed by the MSRB for the filing of annual continuing disclosure reports; and

(ii) if the Dissemination Agent is other than the City, file a report with the City certifying that the Annual Report has been provided pursuant to this Disclosure Certificate, and stating the date it was provided, and listing all the Repositories to which it was provided.

Section 4. Content of Annual Reports. Each Annual Report shall contain or incorporate by reference the following:

(a) The City's audited financial statements prepared in accordance with generally accepted accounting principles as promulgated to apply to governmental entities from time to time by the Governmental Accounting Standards Board. If the City's audited financial statements are not available by the Annual Report Date, the Annual Report shall contain unaudited financial statements in a format similar to the financial statements contained in the final Official Statement, and the audited financial statements shall be filed in the same manner as the Annual Report when they become available.

(b) Principal amount of the Bonds outstanding.

(c) An update of the information for the prior fiscal year in substantially the form set forth in the following tables in the Official Statement under the caption "THE WATER SYSTEM":

1. Table 1 – Historical Water Supply in Acre Feet;

2. Table 2 – Historical Water System Deliveries in Acre Feet;

3. Table 3 – Historical Water System Connections;

4. Table 4 – Historical Water System Sales Revenues; and

5. Table 5 – Ten Largest Water System Customers.

(d) An update of the information for the prior fiscal year (with no obligation to update projections) in substantially the form set forth in the following table in the Official Statement under the caption "WATER SYSTEM FINANCIAL INFORMATION":

1. Table 14 – Projected Water System Operating Results and Debt Service Coverage Fiscal Year Ended June 30.

Any or all of the items listed above may be included by specific reference to other documents, including official statements of debt issues of the City or related public entities, which are available to the public on the MSRB's Internet website or filed with the Securities and Exchange Commission. The City shall clearly identify each such other document so included by reference.

Section 5. Reporting of Significant Events.

(a) Pursuant to the provisions of this Section 5, the City shall give, or cause to be given, notice of the occurrence of any of the following events with respect to the Bonds in a timely manner, not to exceed 10 business days after the occurrence of the event:

1. principal and interest payment delinquencies.

2. tender offers.

3. defeasances.

4. rating changes.

5. adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, or Notices of Proposed Issue (IRS Form 5701-TEB).

6. unscheduled draws on the debt service reserves reflecting financial difficulties.

7. unscheduled draws on credit enhancement reflecting financial difficulties.

8. substitution of the credit or liquidity providers or their failure to perform.

9. bankruptcy, insolvency, receivership or similar event (within the meaning of the Rule) of the City. For the purposes of the event identified in this Section 5(a)(9), the event is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent or similar officer for the City in a proceeding under the U.S. Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the City, or if such jurisdiction has been assumed by leaving the existing governmental body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan

of reorganization, arrangement or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the City.

10. Default, event of acceleration, termination event, modification of terms, or other similar events under the terms of a financial obligation of the obligated person, any of which reflect financial difficulties.

(b) Pursuant to the provisions of this Section 5, the City shall give, or cause to be given, notice of the occurrence of any of the following events with respect to the Bonds, if material:

1. non-payment related defaults.

2. modifications to rights of Bondholders.

3. bond calls.

4. unless described under Section 5(a)(5) above, material notices or determinations with respect to the tax status of the Bonds, or other material events affecting the tax status of the Bonds.

5. release, substitution or sale of property securing repayment of the Bonds.

6. the consummation of a merger, consolidation, or acquisition involving the City or the sale of all or substantially all of the assets of the City, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms.

7. Appointment of a successor or additional trustee or paying agent with respect to the Bonds or the change of name of such a trustee or paying agent.

8. Incurrence of a financial obligation of the obligated person, or agreement to covenants, events of default, remedies, priority rights, or other similar terms of a financial obligation of the obligated person, any of which affect Bond holders.

(c) Whenever the City obtains knowledge of the occurrence of a Listed Event under Section 5(b) hereof, the City shall as soon as possible determine if such event would be material under applicable federal securities laws.

(d) If the City determines that knowledge of the occurrence of a Listed Event would be material under applicable federal securities laws, the City shall (i) file a notice of such occurrence with the Repository in a timely manner not in excess of 10 business days after the occurrence of the event or (ii) provide notice of such reportable event to the Dissemination Agent in format suitable for filing with the Repository in a timely manner not in excess of 10 business days after the occurrence of the event. The Dissemination Agent shall have no duty to independently prepare or file any report of Listed Events. The Dissemination Agent may conclusively rely on the City's determination of materiality pursuant to Section 5(c).

(e) For purposes of the events identified in subparagraphs (a)(10) and (b)(8) under this Section 5, the term "financial obligation" means a (i) debt obligation; (ii) derivative instrument entered into in connection with, or pledged as security or a source of payment for, an existing or planned debt obligation; or (iii) guarantee of (i) or (ii). The term financial obligation shall not include municipal securities as to which a final official statement has been provided to the Municipal Securities Rulemaking Board consistent with the Rule.

Section 6. Termination of Reporting Obligation. The City's obligation under this Disclosure Certificate shall terminate upon the legal defeasance, prior redemption or payment in full of all of the Bonds.

If such termination occurs prior to the maturity of the Bonds, the City shall give notice of such termination in the same manner as for a Listed Event under Section 5(d).

Section 7. Dissemination Agent. The City may, from time to time, appoint or engage a Dissemination Agent to assist it in carrying out its obligations under this Disclosure Certificate, and may discharge any such Agent, with or without appointing a successor Dissemination Agent. The Dissemination Agent shall not be responsible in any manner for the content of any notice or report prepared by the City pursuant to this Disclosure Certificate.

Section 8. Amendment; Waiver. Notwithstanding any other provision of this Disclosure Certificate, the City may amend this Disclosure Certificate, and any provision of this Disclosure Certificate may be waived, provided that in the opinion of nationally recognized bond counsel, such amendment or waiver is permitted by the Rule. In the event of any amendment or waiver of a provision of this Disclosure Certificate, the City shall describe such amendment in the same manner as for a Listed Event under section 5(d).

Section 9. Additional Information. Nothing in this Disclosure Certificate shall be deemed to prevent the City from disseminating any other information, using the means of dissemination set forth in this Disclosure Certificate or any other means of communication, or including any other information in any Annual Report or notice of occurrence of a Listed Event, in addition to that which is required by this Disclosure Certificate. If the City chooses to include any information in any Annual Report or notice of occurrence of a Listed Event in addition to that which is specifically required by this Disclosure Certificate, the City shall have no obligation under this Disclosure Certificate to update such information or include it in any future Annual Report or notice of occurrence of a Listed Event.

The City acknowledges and understands that other state and federal laws, including but not limited to the Securities Act of 1933 and Rule 10b-5, promulgated under the Securities and Exchange Act of 1934, may apply to the City, and that under some circumstances compliance with this Disclosure Certificate, without additional disclosures or other such action, may not fully discharge all duties and obligations of the City under such laws.

Section 10. Default. In the event of a failure of the City to comply with any provision of this Disclosure Certificate, the sole legal remedy of any Holder or Beneficial Owner of the Bonds or the Participating Underwriter shall be an action to compel performance. A default under this Disclosure Certificate shall not be deemed an Event of Default under the Indenture or the Installment Purchase Agreement.

No Bondholder or Beneficial Owner may institute such action, suit or proceeding to compel performance unless they shall have first delivered to the City satisfactory written evidence of their status as such, and a written notice of and request to cure such failure, and the City shall have refused to comply therewith within a reasonable time.

Section 11. Duties, Immunities and Liabilities of Dissemination Agent. The Dissemination Agent shall have only such duties as are specifically set forth in this Disclosure Certificate, and the City agrees to indemnify and save the Dissemination Agent, its officers, directors, employees and agents, harmless against any loss, expense and liabilities which it may incur arising out of or in the exercise or performance of its powers and duties hereunder, including the costs and expenses (including attorneys' fees) of defending against any claim of liability, but excluding liabilities due to the Dissemination Agent's negligence or willful misconduct. The obligations of the City under this Section shall survive resignation or removal of the Dissemination Agent and payment of the Bonds.

Section 12. Beneficiaries. This Disclosure Certificate shall inure solely to the benefit of the City, the Dissemination Agent, the Participating Underwriter and Holders from time to time of the Bonds, and shall create no rights in any other person or entity.

Dated: May 16, 2024

CITY OF MONTEREY PARK

By: _____
City Manager

Acknowledged as to Duties as Dissemination Agent:

URBAN FUTURES, INC.

By: _____
Authorized Officer

EXHIBIT A

NOTICE OF FAILURE TO FILE ANNUAL REPORT

Name of Obligor:	City of Monterey Park
Name of Bonds:	Monterey Park Financing Authority Water Revenue Bonds, Series 2024
Date of Issuance:	May 16, 2024

NOTICE IS HEREBY GIVEN that the City of Monterey Park, California (the "City") has not provided an Annual Report with respect to the above-named Bonds as required by the Continuing Disclosure Certificate, dated May 16, 2024. The City anticipates that the Annual Report will be filed by _____.

Dated:

CITY OF MONTEREY PARK

By: _____
Authorized Signatory

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APPENDIX F

CITY SINGLE AUDIT REPORT FOR THE YEAR ENDED JUNE 30, 2023

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City of Monterey Park

Monterey Park, California

Single Audit and
Independent Auditors' Reports

For the Year Ended June 30, 2023

THE PUN GROUP
ACCOUNTANTS & ADVISORS

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City of Monterey Park
Single Audit and Independent Auditors' Reports
For the Year Ended June 30, 2023

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THE PUN GROUP
ACCOUNTANTS & ADVISORS

200 E. Sandpointe Avenue, Suite 600
Santa Ana, California 92707

www.pungroup.cpa

REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING AND ON COMPLIANCE AND OTHER MATTERS BASED ON AN AUDIT OF FINANCIAL STATEMENTS PERFORMED IN ACCORDANCE WITH *GOVERNMENT AUDITING STANDARDS*

Independent Auditors' Report

To the Honorable Mayor and the Members of City Council
of the City of Monterey Park
Monterey Park, California

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States ("*Government Auditing Standards*"), the financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City of Monterey Park, California (the "City"), as of and for the year ended June 30, 2023, and the related notes to the financial statements, which collectively comprise the City's basic financial statements, and have issued our report thereon dated February 15, 2024.

Report on Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered the City's internal control over financial reporting ("internal control") as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control. Accordingly, we do not express an opinion on the effectiveness of the City's internal control.

Our consideration of internal control was for the limited purpose described in the preceding paragraph and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies and therefore, material weaknesses or significant deficiencies may exist that have not been identified. However, as described in the accompanying schedule of findings and responses, we identified certain deficiencies in internal control that we consider to be material weakness and significant deficiencies.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected, on a timely basis. We consider the deficiency described in the accompanying schedule of findings and questioned costs as item 2023-001 to be material weaknesses.

A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance. We consider the deficiency described in the accompanying schedule of findings and questioned costs as item 2023-002 to be significant deficiency.

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether the City's financial statements are free of material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*, and which are described in the accompanying schedule of findings and questioned costs as item 2023-002.

City's Response to Findings

Government Auditing Standards requires the auditor to perform limited procedures on the City's response to the finding identified in our audit and described in the accompanying schedule of findings and questioned costs. The City's response was not subjected to the other auditing procedures applied in the audit of the financial statements and, accordingly, we express no opinion on the response.

Purpose of This Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

The Pun Group, LLP

Santa Ana, California
March 28, 2024

THE PUN GROUP
ACCOUNTANTS & ADVISORS

200 E. Sandpointe Avenue, Suite 600
Santa Ana, California 92707

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REPORT ON COMPLIANCE FOR EACH MAJOR FEDERAL PROGRAM; REPORT ON INTERNAL CONTROL OVER COMPLIANCE; AND REPORT ON THE SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS REQUIRED BY THE UNIFORM GUIDANCE

Independent Auditors' Report

To the Honorable Mayor and the Members of City Council
of the City of Monterey Park
Monterey Park, California

Report on Compliance for Each Major Federal Program

Opinion on Each Major Federal Program

We have audited the City of Monterey Park, California's (the "City") compliance with the types of compliance requirements identified as subject to audit in the OMB *Compliance Supplement* that could have a direct and material effect on each of the City's major federal programs for the year ended June 30, 2023. The City's major federal programs are identified in the summary of the auditors' results section of the accompanying Schedule of Findings and Questioned Costs.

In our opinion, the City complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2023.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America ("GAAS"); the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States ("*Government Auditing Standards*"), and the audit requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* ("Uniform Guidance"). Our responsibilities under those standards and the Uniform Guidance are further described in the Auditors' Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of the City and to meet our other ethical responsibilities, in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination of City's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules and provisions of contracts or grant agreements applicable to City's federal programs.

Auditors' Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on the City's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material, if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about the City's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance, we:

- exercise professional judgment and maintain professional skepticism throughout the audit.

- identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the City's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.

- obtain an understanding of the City's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Report on Internal Control Over Compliance

Our consideration of internal control over compliance was for the limited purpose described in the Auditors' Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance and therefore, material weaknesses or significant deficiencies may exist that were not identified. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, as discussed below, we did identify certain deficiencies in internal control over compliance that we consider to be significant deficiencies.

A *deficiency* in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance. We consider the deficiencies in internal control over compliance described in the accompanying schedule of findings and questioned costs as item 2023-003 to be a significant deficiency.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

Government Auditing Standards requires the auditor to perform limited procedures on the City's response to the internal control over compliance findings identified in our compliance audit described in the accompanying schedule of findings and questioned costs. The City's response was not subjected to the other auditing procedures applied in the audit of compliance and, accordingly, we express no opinion on the response.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

Report on the Schedule of Expenditures of Federal Awards Required by the Uniform Guidance

We have audited the financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City as of and for the year ended June 30, 2023, and the related notes to the financial statements, which collectively comprise the City's basic financial statements. We issued our report thereon dated February 15, 2024, which contained unmodified opinions on those financial statements. Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the basic financial statements. The accompanying Schedule of Expenditures of Federal Awards is presented for purposes of additional analysis as required by Uniform Guidance and is not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with GAAS. In our opinion, the Schedule of Expenditure of Federal Awards is fairly stated in all material respects in relation to the basic financial statements as a whole.

The Pun Group, LLP

Santa Ana, California
March 28, 2024, except for the Schedule of Expenditures of Federal Awards, which is as of February 15, 2024.

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City of Monterey Park
Schedule of Expenditures of Federal Awards
For the Year Ended June 30, 2023

Federal Grantor/Pass-Through Grantor Program Title	Assistance Listing Number	Agency or Pass-Through Number	Federal Expenditures
U.S. Department of Housing and Urban Development			
Direct Program:			
CDBG - Entitlement Grant Cluster			
Community Development Block Grants / Entitlement Grants	14.218	B-21-MC-06-0548	$ 160,873
Total CDBG - Entitlement Grant Cluster			160,873
Home Investment Partnership Agreement	14.239	M-21-MC-06-0550	263,600
Total U.S. Department of Housing and Urban Development			424,473
U.S. Department of The Interior			
Passed through the San Gabriel Valley Municipal Water District:			
Water SMART (Sustain and Manage America's Resources for Tomorrow)	15.507	2361-AG	29,971
Total U.S. Department of The Interior			29,971
U.S. Department of Justice			
Direct Program:			
Bulletproof Vest Partnership Program	16.607	2020BUBX15075628	7,058
Total U.S. Department of Justice			7,058
U.S. Department of the Treasury			
Direct Programs:			
Equitable Sharing	21.016	CA0194800	47,044
COVID-19 Coronavirus State and Local Fiscal Recovery Funds	21.027	N/A	6,424,800
Total U.S. Department of the Treasury			6,471,844
U.S. Department of Education			
Passed through California Department of Education:			
Adult Education - Basic Grants to States	84.002	22-14508-26970	57,240
Total U.S. Department of Education			57,240
U.S. Department of Homeland Security			
Passed through County of Los Angeles:			
Homeland Security Grant Program (HSGP)	97.067	2020-0095	96,164
Passed through City of Los Angeles:			
Homeland Security Grant Program (HSGP)	97.067	C-140615	31,051
Homeland Security Grant Program (HSGP)	97.067	C-143080	119,510
Homeland Security Grant Program (HSGP)	97.067	C-138595	248,673
Total Homeland Security Grant Program (HSGP)			495,398
Total U.S. Department of Homeland Security			495,398
Total Expenditures of Federal Awards			$ 7,485,984

See accompanying Notes to the Schedule of Expenditures of Federal Awards.

Note 1 – Reporting Entity

The financial reporting entity, as defined by the Governmental Accounting Standards Board ("GASB") Codification, consists of the primary government, which is the City of Monterey Park, California (the "City"), organizations for which the primary government is financially accountable, and other organizations for which the nature and significance of their relationship with the primary government are such that exclusion would cause the City's financial statements to be misleading or incomplete.

The City Council acts as the governing body and is able to impose its will on the following organization, establishing financial accountability:

- The Monterey Park Public Financing Authority
- The Monterey Park Housing Authority

Note 2 – Summary of Significant Accounting Policies

Basis of Accounting

Funds received under the various grant programs have been recorded within the General Fund, special revenue funds and enterprise fund of the City. The City utilizes the modified accrual basis of accounting for the General Fund and special revenue funds and the accrual basis of accounting for enterprise funds. The accompanying Schedule of Expenditures of Federal Awards (the "Schedule") is presented in accordance with the requirements of Title 2 U.S. *Code of Federal Regulations ("CFR")* Part 200*, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (the "Uniform Guidance"). Therefore, some amounts presented in the Schedule may differ from amounts presented in, or used in, the preparation of City's basic financial statements.

Schedule of Expenditures of Federal Awards

The accompanying Schedule presents the activity of all federal financial assistance programs of the City. Federal financial assistance received directly from federal agencies, as well as federal financial assistance passed through the San Gabriel Valley Municipal Water District, California Department of Education, County of Los Angeles, and City of Los Angeles, are included in the Schedule. The Schedule was prepared from only the accounts of various grant programs and, therefore, does not present the financial position or results of operations of the City.

Indirect Cost Rate

The City did not elect to use the 10% de minimis cost rate

City of Monterey Park
Schedule of Findings and Questioned Costs
For the Year Ended June 30, 2023

Section I – Summary of Auditors' Results

Financial Statements

Types of report the auditors issued on whether the financial statements audited were prepared in accordance with GAAP: **Unmodified**

Internal control over financial reporting:

- Material weakness(es) identified? **2023-001**
- Significant deficiency(ies) identified? **2023-002**

Noncompliance material to financial statements noted? **No**

Federal Awards

Internal control over major federal programs:

- Material weakness(es) identified? **No**
- Significant deficiency(ies) identified? **2023-003**

Type of auditors' report issued on compliance for major federal programs: **Unmodified**

Any audit findings disclosed that are required to be reported in accordance with 2 CFR 200.516(a)? **No**

Identification of major federal programs:

Assistance Listing Numbers	Major Federal Program or Cluster	Federal Expenditures
21.027	COVID-19 Coronavirus State and Local Fiscal Recovery Funds	6,424,800
	Total Expenditures of All Major Federal Programs	$ 6,424,800
	Total Expenditures of Federal Awards	$ 7,485,984
	Percent of Total Expenditures of Federal Awards	85.82%

Dollar threshold used to distinguish between type A and type B programs: **$750,000**

Auditee qualified as a low-risk auditee in accordance with 2 CFR 200.520? **No**

Section II – Financial Statement Findings

A. Current Year Findings – Financial Statement

Finding 2023-001 Internal Control Over Financial Reporting

Criteria:
Management is responsible for the preparation and fair presentation as well as the accuracy of its financial statements including disclosures in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error. As part of satisfying that responsibility, staff should possess skills, knowledge, and experience necessary to complete year-end closing process.

Generally accepted auditing standards defined internal control as a process – affected by the Members of City Council, management, and other personnel – designed to provide reasonable assurance regarding the achievement of objectives in the following categories:

- Reliability of financial reporting
- Effectiveness and efficiency of operations, and
- Compliance with applicable laws and regulations.

The Committee of Sponsoring Organizations of the Treadway Commission ("COSO") established the following framework that stress the need for policies and procedures to promote effective internal control for an entity:

- Control Environment – Establish structures, reporting lines, authorities and responsibilities
- Risk Assessment– Select and develop control activities that mitigate risks
- Control Activities – Deploy control activities through policies and procedures
- Information and Communication – Communicate internal control information internally
- Monitoring – Evaluations are used to determine if controls are present and functioning

An overall purpose of internal control over financial reporting is to foster the preparation of reliable financial statements. Reliable financial statements must be materially accurate.

Condition:

During the audit, we noted the following conditions that resulted adjustments to the financial statements:

- Prior period adjustments were made to correct the understated deferred outflow of pension amount at July 1, 2022 (Approximately $1.3 million)
- Prior period adjustments were made to correct the beginning unavailable revenue and fund balance at July 1, 2022 of the Housing Special Revenue Fund (Approximately $1.19 million)
- Prior period adjustments were made to reallocate the beginning balance of the pension related balances between government activities and business-type activities (Approximately $827,000)
- Prior period adjustments were made to reallocated the beginning balance of the other postemployment benefits related balances between government activities and business-type activities (Approximately $1.2 million)
- Interest payable of Pension Obligation Bonds – the City did not properly allocate the interest payable into internal service funds base on the bonds' allocation.

Section II – Financial Statement Findings (Continued)

A. Current Year Findings – Financial Statement (Continued)

Finding 2023-001 Internal Control Over Financial Reporting (Continued)

Cause:

Monitoring controls are ineffective to ensure the City follow its policies and procedures for evaluating, reviewing, and properly recording financial transactions relating to the recording and reporting of deferred outflow of pension and unavailable revenue.

Effect or Potential Effect:

Multiple adjusting entries were proposed during the audit to correct the financials and delayed the process of the audit.

Context:

See condition above for context of the finding.

Recommendation:

We recommend that the City implement procedures to reduce number of journal entries and errors found after the closing process and reduce the risk of errors in the preparation of the financial statements. In addition, the City should contemplate whether additional skilled personnel are needed in order to enhance its review processes for internal control over the financial reporting and within each transaction cycle to ensure that they are thoroughly evaluated, reviewed and recorded in order to facilitate the accurate and complete year-end closing of the general ledger.

Views of Responsible Officials:

The City Director of Finance, Martha Garcia, will implement a monthly reporting cycle which will include review of internal control over financial reporting on a monthly basis. If and when errors are detected, journal entries will be prepared monthly to correct the financial reports.

On going training is scheduled for Finance staff members. The training includes but is not limited to attending CSMFO and GFOA Conferences and Webinars.

Section II – Financial Statement Findings (Continued)

A. Current Year Findings – Financial Statement (Continued)

Finding 2023-002 Measure W Reporting

Criteria:

Los Angeles County Code of Ordinance §18.06B requires each municipality prepare, prior to the start of the municipality's fiscal year, a plan for how SCW Program funds will be used in the ensuing fiscal year. In accordance with Safe, Clean Water Program - Municipal Program Transfer Agreement, Section IV A, the Municipality shall annually prepare and submit to the District, an Annual Plan. The Annual Plan for the 2020-21 Fiscal Year shall be submitted to the District no later than 45-days after the execution of this Agreement by the last party to sign. An Annual Plan for each subsequent Fiscal Year shall be submitted not later than 90-days prior to the start of the Fiscal Year for which the Plan is prepared.

Los Angeles County Code of Ordinance §18.06D requires each municipality prepare and submit an annual report to the Los Angeles County Flood Control District (the "District"), no later than six months after the end of the municipality's fiscal year.

In accordance with Safe, Clean Water Program - Municipal Program Transfer Agreement, Exhibit B – General Terms and Conditions, Section B-30, the Los Angeles County Flood Control District may withhold all or any portion of the SCW program payment for any fiscal year in the event that the Municipality has violate any provision of the Transfer Agreement or fail to submit annual reports on meeting SCW Program goals.

Condition:

During our audit we noted the following late reporting:

Required Report	Frequency	Period End	Deadline	Date Submitted
Municipal Program				
Subsequent Annual Spending Plan	Annual	June 30, 2023	April 1, 2022	April 7, 2022
Annual Progress/Expenditure Report	Annual	June 30, 2023	December 31, 2023	February 14, 2024

Cause:

The City was unfamiliar with the Municipal Program reporting requirement because the program was new to the City.

Effect or Potential Effect:

Without timely submitting the required annual spending plan and the annual reports, the City is not in compliance with the SCW Program requirements and could potentially lose the funding.

Recommendation:

We recommend the City develop policies and procedures to ensure timely submission of the annual spending plans and the annual progress/expenditure reports.

Section II – Financial Statement Findings (Continued)

A. Current Year Findings – Financial Statement (Continued)

Finding 2023-002 Measure W Reporting (Continued)

View of Responsible Officials:

The City will train additional staff to ensure timely submission of annual spending plans and the annual progress/expenditure reports.

B. Prior Year Findings – Financial Statement

Finding 2022-001 Internal Control Over Financial Reporting on Deposits Payable

Condition:

Detail of the police evidence deposits payable account includes a large, old, lump-sum amount that was carried over from an old accounting system. There appears to be little detail to support the individual balances that might be included in that lump sum amount.

Recommendation:

It was recommended to the city to evaluate the details of the police evidence deposit liability account in order to determine the validity of the underlying individual deposits. Deposits for which the purpose has been met or completed, should be removed from the account by returning it to the rightful depositor or by recognizing it as revenue depending on the individual circumstances.

Status:

Corrective action has been implemented.

Section III – Federal Award Findings and Questioned Costs

A. Current Year Findings and Questioned Costs – Major Federal Award Program Audit

2023-003 Procurement and Suspension, and Debarment – Internal Control over Verification Against the System for Award Management ("SAM")

Identification of the Federal Program:
Assistance Listing Number: 21.027
Assistance Listing Title: Coronavirus State and Local Fiscal Recovery Funds
Federal Agency: Department of Treasury
Federal Award Number and Award Year: 2021

Criteria or Specific Requirement (Including Statutory, Regulatory, or Other Citation):
Suspension and Debarment, Non-Federal entities are prohibited from contracting with or making subawards under covered transactions to parties that are suspended or debarred. "Covered transactions" include those procurement contracts for goods and services awarded under a nonprocurement transaction (e.g., grant or cooperative agreement) that are expected to equal or exceed $25,000 or meet certain other criteria as specified in 2 CFR section 180.220. All nonprocurement transactions entered into by a recipient (i.e., subawards to subrecipients), irrespective of award amount, are considered covered transactions, unless they are exempt as provided in 2 CFR section 180.215.

When a non-Federal entity enters into a covered transaction with an entity at a lower tier, the non-Federal entity must verify that the entity, as defined in 2 CFR section 180.995 and agency adopting regulations, is not suspended or debarred or otherwise excluded from participating in the transaction. This verification may be accomplished by (1) checking the System for Award Management (SAM) Exclusions maintained by the General Services Administration (GSA) and available at https://www.sam.gov/portal/public/SAM/ (Note: The OMB guidance at 2 CFR part 180 and agency implementing regulations still refer to the SAM Exclusions as the Excluded Parties List System (EPLS)), (2) collecting a certification from the entity, or (3) adding a clause or condition to the covered transaction with that entity (2 CFR section 180.300).

Condition:
During our audit, we noted that 2 out of 5 samples selected for testing which the City did not have documentation on verifying the vendors against the SAM prior entering into contracts with the vendors to ensure that they were not suspended or debarred from federally funded purchases.

Cause:
The City does not have a process to train new staff on documentation of performing suspension or debarment checks on vendors that the City entered into contracts with for federally-funded projects.

Effect or Potential Effect:
Without verifying whether vendors are suspended or debarred from working on federally-funded projects, the City could be contracting with vendors that are prohibited from working on federally-funded projects.

Questioned Costs:

None.

Context:

See condition above for context of the finding.

Section III – Federal Award Findings and Questioned Costs (Continued)

A. Current Year Findings and Questioned Costs – Major Federal Award Program Audit (Continued)

2023-003 Procurement and Suspension, and Debarment – Internal Control over Verification Against the System for Award Management ("SAM") (Continued)

Identification as a Repeat Finding, If Applicable:

Not applicable.

Recommendation:

We recommended the City establish internal control procedures to document its suspension and debarment check to ensure vendors are not suspended or debarred from federally-funded purchases.

View of Responsible Officials:

Management concurs the finding.

B. Prior Year Findings and Questioned Costs – Major Federal Award Program Audit

No prior year findings were reported.

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APPENDIX G

SPECIMEN MUNICIPAL BOND INSURANCE POLICY

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MUNICIPAL BOND INSURANCE POLICY

ISSUER: [NAME OF ISSUER]

Policy No: _____

MEMBER: [NAME OF MEMBER]

BONDS: $_____ in aggregate principal amount of [NAME OF TRANSACTION] [and maturing on]

Effective Date: _____

Risk Premium: $_____
Member Surplus Contribution: $ _____
Total Insurance Payment: $_____

BUILD AMERICA MUTUAL ASSURANCE COMPANY ("BAM"), for consideration received, hereby UNCONDITIONALLY AND IRREVOCABLY agrees to pay to the trustee (the "Trustee") or paying agent (the "Paying Agent") for the Bonds named above (as set forth in the documentation providing for the issuance and securing of the Bonds), for the benefit of the Owners or, at the election of BAM, directly to each Owner, subject only to the terms of this Policy (which includes each endorsement hereto), that portion of the principal of and interest on the Bonds that shall become Due for Payment but shall be unpaid by reason of Nonpayment by the Issuer.

On the later of the day on which such principal and interest becomes Due for Payment or the first Business Day following the Business Day on which BAM shall have received Notice of Nonpayment, BAM will disburse (but without duplication in the case of duplicate claims for the same Nonpayment) to or for the benefit of each Owner of the Bonds, the face amount of principal of and interest on the Bonds that is then Due for Payment but is then unpaid by reason of Nonpayment by the Issuer, but only upon receipt by BAM, in a form reasonably satisfactory to it, of (a) evidence of the Owner's right to receive payment of such principal or interest then Due for Payment and (b) evidence, including any appropriate instruments of assignment, that all of the Owner's rights with respect to payment of such principal or interest that is Due for Payment shall thereupon vest in BAM. A Notice of Nonpayment will be deemed received on a given Business Day if it is received prior to 1:00 p.m. (New York time) on such Business Day; otherwise, it will be deemed received on the next Business Day. If any Notice of Nonpayment received by BAM is incomplete, it shall be deemed not to have been received by BAM for purposes of the preceding sentence, and BAM shall promptly so advise the Trustee, Paying Agent or Owner, as appropriate, any of whom may submit an amended Notice of Nonpayment. Upon disbursement under this Policy in respect of a Bond and to the extent of such payment, BAM shall become the owner of such Bond, any appurtenant coupon to such Bond and right to receipt of payment of principal of or interest on such Bond and shall be fully subrogated to the rights of the Owner, including the Owner's right to receive payments under such Bond. Payment by BAM either to the Trustee or Paying Agent for the benefit of the Owners, or directly to the Owners, on account of any Nonpayment shall discharge the obligation of BAM under this Policy with respect to said Nonpayment.

Except to the extent expressly modified by an endorsement hereto, the following terms shall have the meanings specified for all purposes of this Policy. "Business Day" means any day other than (a) a Saturday or Sunday or (b) a day on which banking institutions in the State of New York or the Insurer's Fiscal Agent (as defined herein) are authorized or required by law or executive order to remain closed. "Due for Payment" means (a) when referring to the principal of a Bond, payable on the stated maturity date thereof or the date on which the same shall have been duly called for mandatory sinking fund redemption and does not refer to any earlier date on which payment is due by reason of call for redemption (other than by mandatory sinking fund redemption), acceleration or other advancement of maturity (unless BAM shall elect, in its sole discretion, to pay such principal due upon such acceleration together with any accrued interest to the date of acceleration) and (b) when referring to interest on a Bond, payable on the stated date for payment of interest. "Nonpayment" means, in respect of a Bond, the failure of the Issuer to have provided sufficient funds to the Trustee or, if there is no Trustee, to the Paying Agent for payment in full of all principal and interest that is Due for Payment on such Bond. "Nonpayment" shall also include, in respect of a Bond, any payment made to an Owner by or on behalf of the Issuer of principal or interest that is Due for Payment, which payment has been recovered from such Owner pursuant to the United States Bankruptcy Code in accordance with a final, nonappealable order of a court having competent jurisdiction. "Notice" means delivery to BAM of a notice of claim and certificate, by certified mail, email or telecopy as set forth on the attached Schedule or other acceptable electronic delivery, in a form satisfactory to BAM, from and signed by an Owner, the Trustee or the Paying Agent, which notice shall specify (a) the person or entity making the claim, (b) the Policy Number, (c) the claimed amount, (d) payment instructions and (e) the date such claimed amount becomes or became Due for Payment. "Owner" means, in respect of a Bond, the person or entity who, at the time of Nonpayment, is entitled under the terms of such Bond to payment thereof, except that "Owner" shall not include the Issuer, the Member or any other person or entity whose direct or indirect obligation constitutes the underlying security for the Bonds.

SPECIMEN

BAM may appoint a fiscal agent (the "Insurer's Fiscal Agent") for purposes of this Policy by giving written notice to the Trustee, the Paying Agent, the Member and the Issuer specifying the name and notice address of the Insurer's Fiscal Agent. From and after the date of receipt of such notice by the Trustee, the Paying Agent, the Member or the Issuer (a) copies of all notices required to be delivered to BAM pursuant to this Policy shall be simultaneously delivered to the Insurer's Fiscal Agent and to BAM and shall not be deemed received until received by both and (b) all payments required to be made by BAM under this Policy may be made directly by BAM or by the Insurer's Fiscal Agent on behalf of BAM. The Insurer's Fiscal Agent is the agent of BAM only, and the Insurer's Fiscal Agent shall in no event be liable to the Trustee, Paying Agent or any Owner for any act of the Insurer's Fiscal Agent or any failure of BAM to deposit or cause to be deposited sufficient funds to make payments due under this Policy.

To the fullest extent permitted by applicable law, BAM agrees not to assert, and hereby waives, only for the benefit of each Owner, all rights (whether by counterclaim, setoff or otherwise) and defenses (including, without limitation, the defense of fraud), whether acquired by subrogation, assignment or otherwise, to the extent that such rights and defenses may be available to BAM to avoid payment of its obligations under this Policy in accordance with the express provisions of this Policy. This Policy may not be canceled or revoked.

This Policy sets forth in full the undertaking of BAM and shall not be modified, altered or affected by any other agreement or instrument, including any modification or amendment thereto. Except to the extent expressly modified by an endorsement hereto, any premium paid in respect of this Policy is nonrefundable for any reason whatsoever, including payment, or provision being made for payment, of the Bonds prior to maturity. THIS POLICY IS NOT COVERED BY THE PROPERTY/CASUALTY INSURANCE SECURITY FUND SPECIFIED IN ARTICLE 76 OF THE NEW YORK INSURANCE LAW. THIS POLICY IS ISSUED WITHOUT CONTINGENT MUTUAL LIABILITY FOR ASSESSMENT.

In witness whereof, BUILD AMERICA MUTUAL ASSURANCE COMPANY has caused this Policy to be executed on its behalf by its Authorized Officer.

BUILD AMERICA MUTUAL ASSURANCE COMPANY

By: _____
Authorized Officer

SPECIMEN

Notices (Unless Otherwise Specified by BAM)

Email:
claims@buildamerica.com
Address:
200 Liberty Street, 27th floor
New York, New York 10281
Telecopy:
212-962-1524 (attention: Claims)

SPECIMEN

CALIFORNIA

ENDORSEMENT TO

MUNICIPAL BOND INSURANCE POLICY

NO.

This Policy is not covered by the California Insurance Guaranty Association established pursuant to Article 15.2 of Chapter 1 of Part 2 of Division 1 of the California Law.

Nothing herein shall be construed to waive, alter, reduce or amend coverage in any other section of the Policy. If found contrary to the Policy language, the terms of this Endorsement supersede the Policy language

IN WITNESS WHEREOF, BUILDAMERICA MUTUAL ASSURANCE COMPANY has caused this policy to be executed on its behalf by its Authorized Officer.

BUILD AMERICA MUTUAL ASSURANCE COMPANY

By

_____

Authorized Officer

SPECIMEN

MONTEREY PARK FINANCING AUTHORITY WATER REVENUE BONDS, SERIES 2024

Mixed Sources
Product group from well managed forests, controlled sources and recycled wood or fiber.

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